

In the opinion of Orrick, Herrington & Sutcliffe LLP, Bond Counsel, based upon an analysis of existing laws, regulations, rulings and court decisions, and assuming, among other matters, the accuracy of certain representations and compliance with certain covenants, interest on the Tax-Exempt Bonds is excluded from gross income for federal income tax purposes under Section 103 of the Internal Revenue Code of 1986. In the further opinion of Bond Counsel, interest on the Tax-Exempt Bonds is not a specific preference item for purposes of the federal individual alternative minimum tax. Bond Counsel observes that, for tax years beginning after December 31, 2022, interest on the Tax-Exempt Bonds included in adjusted financial statement income of certain corporation is not excluded from the federal corporate alternative minimum tax. In the opinion of Bond Counsel, interest on the Series 2023C Bonds is not excludable from gross income for federal income tax purposes. In the opinion of Bond Counsel, interest on all of the Bonds is exempt from State of California personal income taxes under existing law. Bond Counsel expresses no opinion regarding any other tax consequences related to the ownership or disposition of, or the amount, accrual or receipt of interest on, the Bonds. See “TAX MATTERS.”



\$61,300,000
CALIFORNIA MUNICIPAL FINANCE AUTHORITY
INSURED REVENUE AND REFUNDING BONDS
(ALDERSLY PROJECT)

CONSISTING OF

\$31,010,000 Series 2023A Tax Exempt Fixed Rate Final CUSIP: 13048VL63†	\$7,125,000 Series 2023B-1 Tax Exempt Mandatory Paydown Securities (TEMPS-85SM) CUSIP: 13048VL71†	\$17,950,000 Series 2023B-2 Tax Exempt Mandatory Paydown Securities (TEMPS-65SM) CUSIP: 13048VL89†	\$5,215,000 Series 2023C Taxable Mandatory Paydown Securities (TMPSSM) CUSIP: 13048VL97†
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Dated: Date of Delivery

Due: As shown on inside cover

The (a) \$31,010,000 California Municipal Finance Authority Insured Revenue and Refunding Bonds (Aldersly Project), Series 2023A (the “Series 2023A Bonds”), (b) \$7,125,000 California Municipal Finance Authority Insured Revenue and Refunding Bonds (Aldersly Project), Series 2023B-1 Tax Exempt Mandatory Paydown Securities (TEMPS-85SM) (the “Series 2023B-1 Bonds”), (c) \$17,950,000 California Municipal Finance Authority Insured Revenue and Refunding Bonds (Aldersly Project), Series 2023B-2 Tax Exempt Mandatory Paydown Securities (TEMPS-65SM) (the “Series 2023B-2 Bonds” and, together with the Series 2023B-1 Bonds, the “Series 2023B Bonds”) and (d) \$5,215,000 California Municipal Finance Authority Insured Revenue and Refunding Bonds (Aldersly Project), Series 2023C Taxable Mandatory Paydown Securities (TMPSSM) (the “Series 2023C Bonds” and, together with the Series 2023A Bonds and the Series 2023B Bonds, the “Bonds”) will be issued as fully registered bonds in denominations of \$5,000 or any integral multiple thereof and, when delivered, will be registered in the name of Cede & Co., as nominee for The Depository Trust Company, New York, New York (“DTC”). The Series 2023A Bonds and the Series 2023B Bonds are referred to herein, collectively, as the “Tax-Exempt Bonds.” Beneficial owners of Bonds will not receive physical certificates representing the Bonds purchased but will receive a credit balance on the books of the nominees of such purchasers. So long as Cede & Co. is the registered owner of the Bonds, principal of and premium, if any, and interest on the Bonds will be paid by The Bank of New York Mellon Trust Company, N.A., as Trustee, to DTC, which, in turn, will remit such principal, premium, if any, and interest to its participants for subsequent disbursement to the beneficial owners of the Bonds, as described herein. See APPENDIX H—“BOOK-ENTRY SYSTEM” hereto. Interest on the Bonds is payable on May 15 and November 15 of each year, commencing November 15, 2023.

The Bonds are subject to optional, mandatory and special redemption prior to their maturity, as described herein.

The Bonds are limited obligations of the California Municipal Finance Authority (the “Authority”) payable solely from the Revenues pledged under the Indenture (which consist primarily of Loan Repayments (as defined herein) required to be made by Aldersly (the “Corporation”) under the Loan Agreement) and from certain funds held under the Indenture, as described herein. Pursuant to the Regulatory Agreement (as defined herein), the Corporation may incur additional indebtedness secured on a parity basis with the Bonds provided certain conditions are met. See “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS—Parity Debt; Other Indebtedness” herein.

Pursuant to the California Constitution Article XVI, Section 4, and California Health and Safety Code, Division 107, Part 6, Chapter 1, as amended, the Corporation’s payment of the principal of and interest on the Bonds to the Trustee will be insured by the Department of Health Care Access and Information of the State of California, and all debentures issued in payment of any claims under such insurance will be fully and unconditionally guaranteed by the State of California, all as more fully described herein. See “CALIFORNIA HEALTH FACILITY CONSTRUCTION LOAN INSURANCE PROGRAM” herein.

NONE OF THE AUTHORITY, ANY AUTHORITY MEMBER OR ANY PERSON EXECUTING THE BONDS IS LIABLE PERSONALLY ON THE BONDS OR SUBJECT TO ANY PERSONAL LIABILITY OR ACCOUNTABILITY BY REASON OF THEIR ISSUANCE. THE BONDS ARE LIMITED OBLIGATIONS OF THE AUTHORITY, PAYABLE SOLELY FROM AND SECURED BY THE PLEDGE OF CERTAIN REVENUES UNDER THE INDENTURE. NEITHER THE AUTHORITY, ITS MEMBERS, THE STATE OF CALIFORNIA, NOR ANY OF ITS POLITICAL SUBDIVISIONS SHALL BE DIRECTLY, INDIRECTLY, CONTINGENTLY OR MORALLY OBLIGATED TO USE ANY OTHER MONIES OR ASSETS TO PAY ALL OR ANY PORTION OF THE DEBT SERVICE DUE ON THE BONDS, TO LEVY OR TO PLEDGE ANY FORM OF TAXATION WHATEVER THEREFOR OR TO MAKE ANY APPROPRIATION FOR THEIR PAYMENT (EXCEPT TO THE EXTENT EXPRESSLY PROVIDED THROUGH THE INSURANCE PROGRAM DESCRIBED HEREIN). THE BONDS ARE NOT A PLEDGE OF THE FAITH AND CREDIT OF THE AUTHORITY, ITS MEMBERS, THE STATE OF CALIFORNIA OR ANY OF ITS POLITICAL SUBDIVISIONS, NOR DO THEY CONSTITUTE INDEBTEDNESS WITHIN THE MEANING OF ANY CONSTITUTIONAL OR STATUTORY DEBT LIMITATION. THE AUTHORITY HAS NO TAXING POWER.

This cover page contains certain information for general reference only. It is not intended to be a summary of the security or terms of the Bonds. Investors should read the entire Official Statement to obtain information essential to the making of an informed investment decision.

SEE MATURITY SCHEDULE ON INSIDE FRONT COVER.

The Bonds are offered when, as and if received by the Underwriter, subject to prior sale, to withdrawal or modification of the offer without notice, and to the approval of the validity of the Bonds and certain other legal matters by Orrick, Herrington & Sutcliffe LLP, Bond Counsel to the Authority, the approval of certain matters for the Authority by its counsel, Jones Hall, a Professional Law Corporation, and the approval of certain matters for the Corporation by its counsel, Hanson Bridgett LLP, San Francisco, California. Certain legal matters will be passed upon for the Underwriter by Chapman and Cutler LLP. It is expected that the Bonds in book-entry form will be available for delivery through the facilities of DTC on or about June 8, 2023.



Date: May 24, 2023

SM TEMPS-85, TEMPS-65 and TMPS are service marks of B.C. Ziegler and Company.

† A registered trademark of The American Bankers Association. CUSIP data is provided by CUSIP Global Services (“CGS”) managed on behalf of the American Bankers Association by S&P Capital IQ. This data is not intended to create a database and does not serve in any way as a substitute for the CGS database. CUSIP numbers are provided for convenience of reference and none of the Authority, the Corporation or the Underwriter take responsibility for the accuracy of such data.

THE SERIES 2023A BONDS

Interest Accrues from Date of Delivery

Due: May 15, as shown below

The Series 2023A Bonds will be issuable in fully registered form without coupons in minimum denominations of \$5,000 or any integral multiple thereof. Interest on the Series 2023A Bonds will be payable on each May 15 and November 15 of each year, commencing on November 15, 2023. The Series 2023A Bonds will be subject to redemption prior to maturity, as more fully described herein.

MATURITY DATE (MAY 15)	PRINCIPAL AMOUNT	INTEREST RATE (%)	YIELD (%)	PRICE	CUSIP [†]
2027	\$575,000	5.000	3.180	106.681	13048VK23
2028	605,000	5.000	3.140	108.441	13048VK31
2029	635,000	5.000	3.110	110.170	13048VK49
2030	665,000	5.000	3.060	112.039	13048VK56
2031	700,000	5.000	3.050	113.651	13048VK64
2032	735,000	5.000	3.090	114.265 ^C	13048VK72
2033	775,000	5.000	3.150	113.859 ^C	13048VK80
2034	810,000	5.000	3.210	113.454 ^C	13048VK98
2035	850,000	5.000	3.400	112.184 ^C	13048VL22

\$6,745,000 5.000% Term Bonds due May 15, 2043; Priced at 107.450^{CC} to Yield 4.080%; CUSIP[†] No. 13048VL30

\$1,735,000 4.125% Term Bonds due May 15, 2043; Priced at 97.018 to Yield 4.350%; CUSIP[†] No. 13048VL48

\$10,645,000 5.000% Term Bonds due May 15, 2053; Priced at 105.195^{CC} to Yield 4.350%; CUSIP[†] No. 13048VL55

\$5,535,000 4.250% Term Bonds due May 15, 2053; Priced at 95.907 to Yield 4.500%; CUSIP[†] No. 13048VL63

^C Priced to the first optional redemption date of May 15, 2030.

^{CC} Priced to the par call date of May 15, 2033.

[†] A registered trademark of The American Bankers Association. CUSIP data is provided by CUSIP Global Services (“CGS”) managed on behalf of the American Bankers Association by S&P Capital IQ. This data is not intended to create a database and does not serve in any way as a substitute for the CGS database. CUSIP numbers are provided for convenience of reference and none of the Authority, the Corporation or the Underwriter take responsibility for the accuracy of such data.

THE SERIES 2023B BONDS

Interest Accrues from Date of Delivery

Due: As shown below

The Series 2023B Bonds will be issuable in fully registered form without coupons in minimum denominations of \$5,000 or any integral multiple thereof. Interest on the Series 2023B Bonds will be payable on each May 15 and November 15 of each year, commencing on November 15, 2023. The Series 2023B Bonds will be subject to redemption prior to maturity, as more fully described herein.

	MATURITY (NOVEMBER 15)	PRINCIPAL AMOUNT	INTEREST RATE PER ANNUM	YIELD	PRICE	CUSIP[†]
Series 2023B-1	2028	\$7,125,000	4.000%	4.000%	100.000	13048VL71
Series 2023B-2	2028	17,950,000	3.750	3.750	100.000	13048VL89

THE SERIES 2023C BONDS

Interest Accrues from Date of Delivery

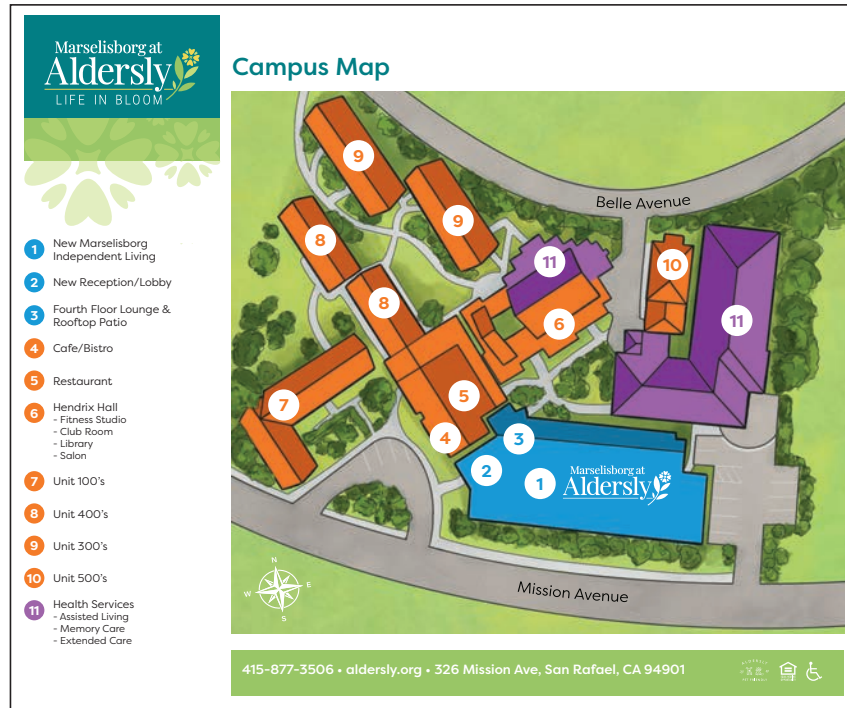
Due: As shown below

The Series 2023C Bonds will be issuable in fully registered form without coupons in minimum denominations of \$5,000 or any integral multiple thereof. Interest on the Series 2023C Bonds will be payable on each May 15 and November 15 of each year, commencing on November 15, 2023. The Series 2023C Bonds will be subject to redemption prior to maturity, as more fully described herein.

MATURITY	PRINCIPAL AMOUNT	INTEREST RATE PER ANNUM	YIELD	PRICE	CUSIP[†]
November 15, 2027	\$5,215,000	5.500%	5.500%	100.000	13048VL97

[†] A registered trademark of The American Bankers Association. CUSIP data is provided by CUSIP Global Services ("CGS") managed on behalf of the American Bankers Association by S&P Capital IQ. This data is not intended to create a database and does not serve in any way as a substitute for the CGS database. CUSIP numbers are provided for convenience of reference and none of the Authority, the Corporation or the Underwriter take responsibility for the accuracy of such data.

Campus Map



Existing Campus





Marselisborg Expansion Project Renderings



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This Official Statement does not constitute an offer to sell the Bonds or the solicitation of an offer to buy, nor shall there be any sale of the Bonds by any person in any state or other jurisdiction to any person to whom it is unlawful to make such offer, solicitation or sale in such state or jurisdiction. No dealer, salesperson or any other person has been authorized to give any information or to make any representation other than those contained herein in connection with the offering of the Bonds, and, if given or made, such information or representation must not be relied upon.

The information relating to the Authority set forth herein under the captions “THE AUTHORITY” and “ABSENCE OF MATERIAL LITIGATION—The Authority” has been furnished by the Authority. The Authority does not warrant the accuracy of the statements contained herein relating to the Corporation nor does it directly or indirectly guarantee, endorse or warrant (1) the creditworthiness or credit standing of the Corporation, (2) the sufficiency of the security for the Bonds or (3) the value or investment quality of the Bonds. The Authority makes no representations or warranties whatsoever with respect to any information contained herein except for the information under the sections entitled “THE AUTHORITY” and “ABSENCE OF MATERIAL LITIGATION—The Authority.” The information set forth herein under the caption “CALIFORNIA HEALTH FACILITY CONSTRUCTION LOAN INSURANCE PROGRAM” has been furnished by the Department of Health Care Access and Information of the State of California (the “*Department*”), and the information relating to DTC and the book-entry system set forth herein under the captions “THE BONDS—General,” and “—Book-Entry System” and in APPENDIX H hereto has been furnished by DTC. Such information is believed to be reliable but is not guaranteed as to accuracy or completeness and is not to be construed as a representation by the Underwriter or the Corporation. All other information set forth herein has been obtained from the Corporation and other sources that are believed to be reliable, but the information herein, other than that described as being provided by the Authority in the first sentence of this paragraph, is not guaranteed as to accuracy or completeness and is not to be construed as a representation by the Underwriter or the Authority. The information and expressions of opinion herein are subject to change without notice, and neither the delivery of this Official Statement nor any sale of the Bonds made hereunder shall create under any circumstances any indication that there has been no change in the affairs of the Authority, the Department, the Corporation or DTC since the date hereof.

The Underwriter has provided the following sentence for inclusion in this Official Statement. The Underwriter has reviewed the information in this Official Statement in accordance with and as part of its responsibilities to investors under the federal securities laws as applied to the facts and circumstances of this transaction, but the Underwriter does not guarantee the accuracy or completeness of such information. This Official Statement is submitted in connection with the issuance of securities referred to herein and may not be used, in whole or in part, for any other purpose.

THE BONDS HAVE NOT BEEN REGISTERED UNDER THE SECURITIES ACT OF 1933, AS AMENDED, AND THE INDENTURE HAS NOT BEEN QUALIFIED UNDER THE TRUST INDENTURE ACT OF 1939, AS AMENDED, IN RELIANCE UPON EXEMPTIONS CONTAINED IN SUCH ACTS. THE REGISTRATION OR QUALIFICATION OF THE BONDS IN ACCORDANCE WITH APPLICABLE PROVISIONS OF LAWS OF THE STATES IN WHICH BONDS HAVE BEEN REGISTERED OR QUALIFIED AND THE EXEMPTION FROM REGISTRATION OR QUALIFICATION IN OTHER STATES CANNOT BE REGARDED AS A RECOMMENDATION THEREOF. NEITHER THE AUTHORITY, THE STATE OF CALIFORNIA, NOR ANY POLITICAL SUBDIVISION THEREOF, PASSED UPON THE MERITS OF THE BONDS OR THE ACCURACY OR COMPLETENESS OF THIS OFFICIAL STATEMENT. ANY REPRESENTATION TO THE CONTRARY MAY BE A CRIMINAL OFFENSE.

IN CONNECTION WITH THE OFFERING OF THE BONDS, THE UNDERWRITER MAY OVERALLOT OR EFFECT TRANSACTIONS THAT STABILIZE OR MAINTAIN THE MARKET PRICE OF THE BONDS OFFERED HEREBY AT LEVELS ABOVE THAT WHICH OTHERWISE MIGHT PREVAIL IN THE OPEN MARKET. SUCH STABILIZING, IF COMMENCED, MAY BE DISCONTINUED AT ANY TIME.

CAUTIONARY STATEMENTS REGARDING
FORWARD-LOOKING STATEMENTS IN
THIS OFFICIAL STATEMENT

Certain statements included or incorporated by reference in this Official Statement constitute “forward-looking statements.” Such statements generally are identifiable by the terminology used, such as “plan,” “expect,” “estimate,” “budget” or other similar words. Such forward-looking statements include but are not limited to certain statements contained in the information under the captions “PLAN OF FINANCING” and “BONDHOLDERS’ RISKS” in the forepart of this Official Statement and the statements contained under the caption “MANAGEMENT’S DISCUSSION AND ANALYSIS OF OPERATIONS” in APPENDIX A—“INFORMATION CONCERNING ALDERSLY” and APPENDIX H—“BOOK-ENTRY SYSTEM” to this Official Statement.

The achievement of certain results or other expectations contained in such forward-looking statements involve known and unknown risks, uncertainties and other factors that may cause actual results, performance or achievements described to be materially different from any future results, performance or achievements expressed or implied by such forward-looking statements. The Corporation does not plan to issue any updates or revisions to those forward-looking statements if or when its expectations or events, conditions or circumstances on which such statements are based occur or do not occur.

THIS OFFICIAL STATEMENT IS BEING PROVIDED TO PROSPECTIVE PURCHASERS IN EITHER BOUND OR PRINTED FORMAT (*"ORIGINAL BOUND FORMAT"*), OR IN ELECTRONIC FORMAT ON THE FOLLOWING WEBSITE: WWW.MUNIOS.COM. THIS OFFICIAL STATEMENT MAY BE RELIED ON ONLY IF IT IS IN ITS ORIGINAL BOUND FORMAT, OR IF IT IS PRINTED OR SAVED IN FULL DIRECTLY FROM THE AFOREMENTIONED WEBSITE OR WWW.EMMA.MSRB.ORG.

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OFFICIAL STATEMENT

\$61,300,000

**CALIFORNIA MUNICIPAL FINANCE AUTHORITY
INSURED REVENUE AND REFUNDING BONDS
(ALDERSLY PROJECT),
SERIES 2023**

**\$31,010,000
Series 2023A
Tax Exempt
Fixed Rate**

**\$7,125,000
Series 2023B-1
Tax Exempt Mandatory
Paydown Securities
(TEMPS-85SM)**

**\$17,950,000
Series 2023B-2
Tax Exempt Mandatory
Paydown Securities
(TEMPS-65SM)**

**\$5,215,000
Series 2023C
Taxable Mandatory
Paydown Securities
(TMPSSM)**

INTRODUCTORY STATEMENT

The following introductory statement is subject in all respects to the more complete information set forth in this Official Statement. The descriptions and summaries of various documents hereinafter set forth do not purport to be comprehensive or definitive and are qualified in their entirety by reference to each document. All capitalized terms used in this Official Statement and not otherwise defined herein have the same meaning as in the Indenture or the Regulatory Agreement (each as defined herein), as applicable. See APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—DEFINITIONS OF CERTAIN TERMS.” This Official Statement speaks only as of its date, and the information contained herein is subject to change.

PURPOSE OF THIS OFFICIAL STATEMENT

This Official Statement, including the cover page and the appendices hereto, is provided to furnish information in connection with the sale and delivery of (a) \$31,010,000 California Municipal Finance Authority Insured Revenue and Refunding Bonds (Aldersly Project), Series 2023A (the “*Series 2023A Bonds*”), (b) \$7,125,000 California Municipal Finance Authority Insured Revenue and Refunding Bonds (Aldersly Project), Series 2023B-1 Tax Exempt Mandatory Paydown Securities (TEMPS-85SM) (the “*Series 2023B-1 Bonds*”), (c) \$17,950,000 California Municipal Finance Authority Insured Revenue and Refunding Bonds (Aldersly Project), Series 2023B-2 Tax Exempt Mandatory Paydown Securities (TEMPS-65SM) (the “*Series 2023B-2 Bonds*” and, together with the Series 2023B-1 Bonds, the “*Series 2023B Bonds*”) and (d) \$5,215,000 California Municipal Finance Authority Insured Revenue and Refunding Bonds (Aldersly Project), Series 2023C Taxable Mandatory Paydown Securities (TMPSSM) (the “*Series 2023C Bonds*” or the “*Taxable Bonds*” and, together with the Series 2023A Bonds and the Series 2023B Bonds, the “*Bonds*”). The Series 2023A Bonds and the Series 2023B Bonds are referred to herein, collectively, as the “*Tax-Exempt Bonds*.”

SM TEMPS-85, TEMPS-65 and TMPS are service marks of B.C. Ziegler and Company.

PURPOSE OF THE BONDS

The Bonds will be issued under the JPA Act (as defined herein), and pursuant to and secured by an Indenture, dated as of June 1, 2023 (the “*Indenture*”), between the California Municipal Finance Authority (the “*Authority*”) and The Bank of New York Mellon Trust Company, N.A., as trustee (the “*Trustee*”). The Authority will loan the proceeds of the Bonds to Aldersly (the “*Corporation*”), which loan will be evidenced by a Loan Agreement, dated as of June 1, 2023 (the “*Loan Agreement*”), between the Authority and the Corporation.

The Corporation will use the proceeds of the Bonds, together with other available funds, for the purpose of (i) refunding the outstanding principal amount of the California Statewide Communities Development Authority Revenue Refunding Bonds, Series 2015A (Aldersly) (the “*Series 2015A Bonds*”), \$5,255,000 of which are currently outstanding; (ii) financing the construction, improvement, furnishing and equipping of an expansion project and related facilities and amenities (the “*Project*”) at the life plan community owned and operated by the Corporation; (iii) funding Bond Reserve Accounts for the benefit of the Bonds; (iv) paying the insurance premium to the Department (defined herein); (v) paying a portion of the interest on the Bonds during the construction of the Project; and (vi) paying costs of issuance of the Bonds. See “PLAN OF FINANCING” and “ESTIMATED SOURCES AND USES OF FUNDS” herein.

THE AUTHORITY

For a description of the Authority, see “THE AUTHORITY” herein.

THE CORPORATION

The Corporation is a California non-profit public benefit corporation exempt from federal income tax under Section 501(c)(3) of the Internal Revenue Code of 1986, as amended (the “*Code*”), and exempt from State of California franchise tax under the provisions of Section 23701d of the Revenue and Taxation Code of the State of California. The Corporation operates a life plan community, also known as a continuing care retirement community (“*CCRC*”), referred to herein as the “*Community*.” The Community currently consists of 41 licensed residential living apartments, 15 assisted living units, 20 memory care units and 16 extended care beds located in San Rafael, California. The Project includes the construction and equipping of a new 35-unit residential living building in replacement of 14 existing residential living apartments.

The Corporation is the sole member of H.C. Andersen Properties, LLC, a California limited liability company. **H.C. Andersen Properties, LLC is not obligated with respect to the Bonds.** The financial results of H.C. Andersen Properties, LLC are included in the audited financial statements of the Corporation attached hereto as APPENDIX B. As of September 30, 2022, the total assets of H.C. Andersen Properties, LLC were \$1,872,275.

For additional information on the Community and the Project and the operation, governance and financial condition of the Corporation, see APPENDIX A—“INFORMATION CONCERNING ALDERSLY” and APPENDIX B—“AUDITED FINANCIAL STATEMENTS OF ALDERSLY AND SUBSIDIARY AS OF AND FOR THE FISCAL YEARS ENDED SEPTEMBER 30, 2020, 2021 AND 2022.” See also APPENDIX C—“FINANCIAL FEASIBILITY REPORT.”

INSURANCE OF THE BONDS BY THE DEPARTMENT

In accordance with the California Health Facility Construction Loan Insurance Law, Chapter 1 of Part 6 of Division 107 of the California Health and Safety Code, as amended (the “*Insurance Law*”), the Authority and the Department of Health Care Access and Information of the State of California (the “*Department*”) will enter into a Contract of Insurance, dated as of June 1, 2023 (the “*Contract of Insurance*”), with the Corporation, pursuant to which the Department will insure the Corporation’s payment of principal of and interest on the Bonds to the Trustee in the event that amounts received by the Trustee pursuant to the Indenture are not sufficient to pay in full, when due, principal of and interest on the Bonds. If monies are not available to pay principal of and interest on the Bonds when due, the Department will be obligated to continue to make payments on such Bonds or will instruct the Trustee to declare the principal of all such Bonds then outstanding and interest accrued thereon to be due and payable immediately and make payment of such principal and interest and, upon the occurrence of certain events, shall notify the Treasurer (“*Treasurer*”) of the State of California (hereinafter referred to as the “*State*” or “*California*”) and the Treasurer will issue debentures to the holders of the Bonds, fully and unconditionally guaranteed by the State, in an amount equal to the principal of and the accrued interest on the Bonds. In connection with the Contract of Insurance, the Corporation will enter into a Regulatory Agreement, dated as of June 1, 2023 (the “*Regulatory Agreement*”), with the Authority and the Department.

For a more detailed description of the obligation of the Department to insure the Corporation’s payment of the principal of and interest on the Bonds to the Trustee when due, the procedures with respect to an insurance default, the obligations of the Corporation pursuant to the Regulatory Agreement and the financial condition of the California Health Facility Construction Loan Insurance Program (the “*Insurance Program*”) and the State, see “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS—INSURANCE,” “CALIFORNIA HEALTH FACILITY CONSTRUCTION LOAN INSURANCE PROGRAM,” “CERTAIN FINANCIAL INFORMATION REGARDING THE STATE,” “BONDHOLDERS’ RISKS—State Bond Insurance” and “RATING” herein and APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—REGULATORY AGREEMENT” and APPENDIX E—“FORM OF CONTRACT OF INSURANCE” hereto.

SECURITY FOR THE BONDS

General. The Bonds are limited obligations of the Authority, secured under the provisions of the Indenture and the Loan Agreement and will be payable from Revenues consisting primarily of payments made by the Corporation under the Loan Agreement (the “*Loan Repayments*,” and each a “*Loan Repayment*”) and from certain funds held under the Indenture. Pursuant to the Loan Agreement, the Corporation is required to make aggregate payments in an amount sufficient to enable the Authority to pay in full, when due, the principal of and premium, if any, and interest on the Bonds when due.

As security for the payment of the Bonds, the Authority will pledge and assign to the Trustee all right, title and interest of the Authority (but none of its obligations) in the Loan Agreement (other than certain rights of the Authority that are unassigned as described in the Indenture), including the right to receive payments under the Loan Agreement, and will direct the Corporation to make such payments directly to the Trustee. Under the Indenture, all of the Revenues and any other amounts (including the proceeds of the sale of the Bonds) held in any

fund or account established pursuant to the Indenture (excluding the Rebate Fund) are pledged to secure the full payment of the principal of and interest on the Bonds in accordance with their terms and the provisions of the Indenture.

Gross Revenues. Pursuant to the Loan Agreement, the Corporation has pledged its Gross Revenues and the Gross Revenue Fund to the Trustee and the Department, as security for its obligations, on a parity basis, with respect to the Bonds and any other Parity Debt. See “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS—Pledge of Gross Revenues” herein.

Bond Reserve Accounts. Payment of the principal of, and interest on, the Bonds will be additionally secured by moneys deposited to the credit of separate Bond Reserve Accounts established under the Indenture. See “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS—Bond Reserve Accounts” herein.

Deed of Trust. The principal of, and interest on, the Bonds will be further secured by a first mortgage lien on the Facilities and a security interest in the personal property of the Corporation pursuant to a Deed of Trust (described herein). **With the consent of the Department, the Deed of Trust may be amended, subordinated or terminated at any time without the necessity of obtaining the consent of the Trustee, the Authority, or the holders of the Bonds or any other Parity Debt.** See “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS—Deed of Trust” herein.

For a further description of the security of the Bonds, see “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS” herein.

FINANCIAL COVENANTS

The Regulatory Agreement requires the Corporation to meet certain financial covenants, including a Rate covenant, a Current Ratio covenant and a Days Cash on Hand covenant, on an annual basis. See “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS—Rate Covenant, Current Ratio Covenant and Days Cash on Hand Covenant in Regulatory Agreement” herein.

ADDITIONAL INDEBTEDNESS; PARITY DEBT

In addition to its obligations with respect to the Bonds, the Corporation may incur additional indebtedness, including Parity Debt, which would be secured equally and ratably with the Corporation’s obligation to make Loan Repayments (as defined herein) and Additional Payments under the Loan Agreement. See “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS—Parity Debt; Other Indebtedness” and APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—REGULATORY AGREEMENT—Limitation on Indebtedness” hereto.

FEASIBILITY STUDY

Hendrickson Consulting has prepared a Financial Feasibility Report, dated April 21, 2023 (the “*Feasibility Study*”), which is attached hereto as APPENDIX C—“FINANCIAL FEASIBILITY REPORT.” The Feasibility Study includes management’s financial forecast of the Corporation for the fiscal years ending September 30, 2023 through 2028. As stated in the Feasibility Study,

there will usually be differences between the forecasted data and actual results because events and circumstances frequently do not occur as expected, and those differences may be material. THE FEASIBILITY STUDY SHOULD BE READ IN ITS ENTIRETY, INCLUDING THE FINANCIAL STATEMENT ASSUMPTIONS SET FORTH THEREIN.

CONTINUING DISCLOSURE

The Corporation will enter into an undertaking (the “*Continuing Disclosure Agreement*”) for the benefit of the Bondholders to provide certain information and to provide notice of certain events to the Municipal Securities Rulemaking Board (the “*MSRB*”) on its Electronic Municipal Market Access System (“*EMMA*”). For further information, see “CONTINUING DISCLOSURE” herein. The Authority has not made and will not make any provision to provide any annual financial statements or other credit information of the Authority or the Corporation to investors on a periodic basis.

BONDHOLDERS’ RISKS

There are risks associated with the purchase of the Bonds. For a discussion of certain of these risks, see “BONDHOLDERS’ RISKS” herein. A prospective owner is advised to read this Official Statement for a discussion of certain Bondholders’ Risks which should be considered in connection with an investment in the Bonds. Among other things, careful evaluation should be made of the assumptions described in the Feasibility Study and certain factors that may adversely affect the ability of the Corporation to generate sufficient revenues to pay expenses of operation, including the principal of, premium, if any, and interest on the Bonds. Careful consideration should be given to these risks and other risks described elsewhere in this Official Statement.

THE AUTHORITY

Under Title 1, Division 7, Chapter 5 of the California Government Code (the “*JPA Act*”), certain California cities, counties and special districts have entered into a joint exercise of powers agreement (the “*JPA Agreement*”) forming the Authority for the purpose of exercising powers common to the members and exercising the additional powers granted to the Authority by the JPA Act and any other applicable provisions of California law. Under the JPA Agreement, the Authority may issue bonds, notes or any other evidence of indebtedness, for any purpose or activity permitted under the JPA Act or any other applicable law.

The Authority may sell and deliver obligations other than the Bonds. These obligations will be secured by instruments separate and apart from the Indenture, the Loan Agreement, the Regulatory Agreement and the Deed of Trust, and the holders of such other obligations of the Authority will have no claim on the security for the Bonds. Likewise, the Holders of the Bonds will have no claim on the security for such other obligations that may be issued by the Authority.

Neither the Authority nor its independent contractors has furnished, reviewed, investigated or verified the information contained in this Official Statement other than the information contained in this section and the section entitled “ABSENCE OF MATERIAL LITIGATION—The Authority.” The Authority does not and will not in the future monitor the financial condition of the Corporation or otherwise monitor payment of the Bonds or compliance

with the documents relating thereto. Any commitment or obligation for continuing disclosure with respect to the Bonds or the Corporation has been undertaken solely by the Corporation. See “CONTINUING DISCLOSURE” herein.

THE BONDS

The following is a summary of certain provisions of the Bonds. Reference is made to the Bonds for the complete text thereof and to the Indenture for all of the provisions relating to the Bonds. The discussion herein is qualified by such reference. Certain capitalized terms used herein which are taken from the Indenture have the meanings set forth in APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—DEFINITIONS OF CERTAIN TERMS.”

GENERAL

The Bonds are being issued pursuant to the Indenture in the aggregate principal amount set forth on the cover of this Official Statement. The Bonds shall be issued as fully registered Bonds in denominations of \$5,000 or any integral multiple thereof. The Bonds will bear interest from their date of delivery at the rates per annum set forth on the inside cover page hereof (based on a 360-day year comprised of 12 thirty-day months). Interest will be payable semiannually on May 15 and November 15 in each year (each, an “*Interest Payment Date*”), commencing November 15, 2023.

The Bonds will be transferable and exchangeable as set forth in the Indenture and, when issued, will be registered in the name of Cede & Co., as nominee of The Depository Trust Company, New York, New York (“*DTC*”). So long as Cede & Co. is the registered owner of the Bonds, the principal and Redemption Price of and interest on the Bonds are payable by wire transfer by the Trustee to Cede & Co., as nominee for DTC, which, in turn, will remit such amounts to DTC Participants (as defined herein) for subsequent disbursement to the Beneficial Owners. See APPENDIX H—“BOOK-ENTRY SYSTEM.”

If the book-entry only system for the Bonds is discontinued, payment of interest on the Bonds will be made to the person whose name appears on the bond registration books of the Trustee as the registered owner thereof as of the close of business on the Record Date (which will be the 1st day of the calendar month in which the Interest Payment Date occurs, whether or not such day is a Business Day) for each Interest Payment Date (except with respect to interest in default for which a Special Record Date will be established by the Trustee), such interest to be paid by check mailed by first class mail on each Interest Payment Date to the registered owner at such owner’s address as it appears on such registration books or at such address as such owner may have filed with the Trustee for that purpose prior to the Record Date; *provided* that at the written request of any Holder of Bonds in the aggregate principal amount of \$1,000,000 or more received by the Trustee prior to the Record Date, interest shall be paid to such Holder by wire transfer to an account within the United States. If the book-entry only system for the Bonds is discontinued, payment of the principal or Redemption Price of the Bonds will be payable by check upon surrender or presentation thereof at the Corporate Trust Office of the Trustee.

REDEMPTION

Optional Redemption. The Series 2023A Bonds maturing on or before May 15, 2030 are not subject to optional redemption prior to their respective stated maturities. The Series 2023A Bonds maturing on or after May 15, 2031 are subject to redemption prior to their respective stated maturities, at the option of the Authority (which option shall be exercised upon Request of the Corporation), in whole or in part (in such amounts and of such maturities as are designated by the Corporation, or if the Corporation fails to so designate, in inverse order of maturity, and by lot within a maturity, in accordance with the procedures of the Depository, if applicable) on any date on or after May 15, 2030, from any available funds, at the redemption prices (expressed as percentages of principal amount being redeemed) set forth in the following table, plus accrued interest to the date fixed for redemption.

REDEMPTION DATES	REDEMPTION PRICES
May 15, 2030 through May 14, 2031	103%
May 15, 2031 through May 14, 2032	102%
May 15, 2032 through May 14, 2033	101%
May 15, 2033 and thereafter	100%

The Series 2023B-1 Bonds are subject to redemption prior to maturity, at the option of the Authority (which option shall be exercised upon Request of the Corporation), in whole or in part (in such amounts and of such maturities as are designated by the Corporation, or if the Corporation fails to so designate, in inverse order of maturity, and by lot within a maturity, in accordance with the procedures of the Depository, if applicable) on any date on or after November 15, 2024 from any available funds, at a Redemption Price equal to the principal amount of Series 2023B-1 Bonds called for redemption, together with accrued interest thereon to the date fixed for redemption, without premium.

The Series 2023B-2 Bonds are subject to redemption prior to maturity, at the option of the Authority (which option shall be exercised upon Request of the Corporation), in whole or in part (in such amounts and of such maturities as are designated by the Corporation, or if the Corporation fails to so designate, in inverse order of maturity, and by lot within a maturity, in accordance with the procedures of the Depository, if applicable) on any date on or after November 15, 2024, from any available funds, at a Redemption Price equal to the principal amount of Series 2023B-2 Bonds called for redemption, together with accrued interest thereon to the date fixed for redemption, without premium.

The Series 2023C Bonds are subject to redemption prior to maturity, at the option of the Authority (which option shall be exercised upon Request of the Corporation), in whole or in part (in such amounts and of such maturities as are designated by the Corporation, or if the Corporation fails to so designate, in inverse order of maturity, and by lot within a maturity, in accordance with the procedures of the Depository, if applicable) on any date on or after November 15, 2024, from any available funds, at a Redemption Price equal to the principal amount of Series 2023C Bonds called for redemption, together with accrued interest thereon to the date fixed for redemption, without premium.

Extraordinary Entrance Fee Redemption. Entrance Fees deposited in the Entrance Fee Redemption Account from the Entrance Fee Fund are required to be used monthly to redeem: (i) the Series 2023C Bonds until the Series 2023C Bonds are no longer outstanding, then (ii) the Series 2023B-2 Bonds until the Series 2023B-2 Bonds are no longer outstanding, then (iii) the Series 2023B-1 Bonds until the Series 2023B-1 Bonds are no longer outstanding, in each case without further request or approval from the Corporation, at a redemption price equal to the principal amount thereof plus accrued interest to the redemption date, without premium. See “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS – Entrance Fee Fund” below.

Extraordinary Optional Redemption from Unspent Project Proceeds. The Bonds are also subject to redemption, prior to their stated maturity, at the option of the Authority (which option shall be exercised upon Request of the Corporation), in whole or in part (in such amounts and of such maturities as are designated by the Corporation, or if the Corporation fails to so designate, in inverse order of maturity, and by lot within a maturity, in accordance with the procedures of the Depository, if applicable), on any date, from unspent proceeds of the Bonds transferred to the Redemption Fund from the Project Fund in accordance with the Indenture, at a redemption price equal to 100% of the principal of the Bonds called for redemption plus unamortized original issue premium, if any, thereon plus interest accrued thereon to the date fixed for redemption.

Mandatory Sinking Account Redemption. The Series 2023A Bonds maturing on May 15, 2043, with an interest rate of 5.000% per annum, are also subject to redemption prior to their stated maturity in part, by lot (or paid at maturity, as the case may be) by application of Mandatory Sinking Account Payments in the amounts and on the dates set forth below, at the principal amount thereof together with interest accrued thereon to the date fixed for redemption, without premium, as follows:

MANDATORY SINKING ACCOUNT PAYMENT DATES (MAY 15)	MANDATORY SINKING ACCOUNT PAYMENTS
2036	\$680,000
2037	720,000
2038	765,000
2039	815,000
2040	865,000
2041	910,000
2042	965,000
2043†	1,025,000

† Maturity

The Series 2023A Bonds maturing on May 15, 2043, with an interest rate of 4.125% per annum, are also subject to redemption prior to their stated maturity in part, by lot (or paid at maturity, as the case may be) by application of Mandatory Sinking Account Payments in the amounts and on the dates set forth below, at the principal amount thereof together with interest accrued thereon to the date fixed for redemption, without premium, as follows:

REDEMPTION DATE (MAY 15)	SINKING ACCOUNT PAYMENT
2036	\$215,000
2037	215,000
2038	215,000
2039	215,000
2040	215,000
2041	220,000
2042	220,000
2043†	220,000

† Maturity

The Series 2023A Bonds maturing on May 15, 2053, with an interest rate of 5.000% per annum, are also subject to redemption prior to their stated maturity in part, by lot (or paid at maturity, as the case may be) by application of Mandatory Sinking Account Payments in the amounts and on the dates set forth below, at the principal amount thereof together with interest accrued thereon to the date fixed for redemption, without premium, as follows:

REDEMPTION DATE (MAY 15)	SINKING ACCOUNT PAYMENT
2044	\$755,000
2045	815,000
2046	880,000
2047	940,000
2048	1,010,000
2049	1,085,000
2050	1,165,000
2051	1,245,000
2052	1,330,000
2053†	1,420,000

† Maturity

The Series 2023A Bonds maturing on May 15, 2053, with an interest rate of 4.250% per annum, are also subject to redemption prior to their stated maturity in part, by lot (or paid at maturity, as the case may be) by application of Mandatory Sinking Account Payments in the amounts and on the dates set forth below, at the principal amount thereof together with interest accrued thereon to the date fixed for redemption, without premium, as follows:

REDEMPTION DATE (MAY 15)	SINKING ACCOUNT PAYMENT
2044	\$550,000
2045	550,000
2046	550,000
2047	555,000
2048	555,000
2049	555,000
2050	555,000
2051	555,000
2052	555,000
2053†	555,000

† Maturity

The Series 2023B Bonds and the Series 2023C Bonds are not subject to mandatory sinking account redemption prior to their respective stated maturities.

Special Redemption. The Bonds are also subject to redemption prior to their respective stated maturities, at the option of the Authority (which option shall be exercised upon Request of the Corporation), in whole or in part (in such amounts and of such series and maturities as are designated by the Corporation, or if the Corporation fails to designate such maturities, in inverse order of maturity, and by lot within a maturity, in accordance with the procedures of the Depository, if applicable) on any date from certain insurance or condemnation proceeds received with respect to the Facilities, in each case, under the circumstances prescribed and as provided in the Regulatory Agreement, at a Redemption Price equal to the principal amount thereof, together with interest accrued thereon to the date fixed for redemption, without premium. See APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—REGULATORY AGREEMENT—Disposition of Insurance and Condemnation Proceeds.”

Selection of Bonds for Redemption. If the Bonds are registered in book-entry form and so long as the Depository is the sole registered owner of the Bonds, whenever provision is made in the Indenture for the redemption of less than all of the Bonds of a series or any given portion thereof, the Bonds to be redeemed shall be selected by lot in accordance with the operational arrangements of the Depository, if applicable, from all Bonds subject to redemption or such given portion thereof not previously called for redemption, but from the maturities selected by the Corporation (provided such selection by the Corporation shall not apply to mandatory sinking account redemptions). In the event that less than all of the Outstanding Bonds or portions thereof are to be redeemed as provided under the headings “Optional Redemption” or “Special Redemption” above, the Bonds to be redeemed shall be selected first from any

Outstanding Series 2023C Bonds, then from any Outstanding Series 2023B-2 Bonds, then from any Outstanding Series 2021B-1 Bonds and then from any Outstanding Series 2023A Bonds.

Notice of Redemption. Notice of redemption shall be given by first class mail, or if the Bonds are then book-entry Bonds, then by Electronic Means, by the Trustee, not less than 20 days and not more than 60 days prior to the redemption date to the respective Holders of any Bonds designated for redemption at the addresses appearing on the bond registration books of the Trustee. The provisions of the preceding sentence shall not apply to the redemption of Bonds pursuant to Mandatory Sinking Account Payments or pursuant to mandatory entrance fee redemption as summarized above. Each notice of redemption will state the redemption date, the place or places of redemption, the series, the maturities, the date of issue of the Bonds, the CUSIP number (if any) of the maturity or maturities and, in case of Bonds to be redeemed in part only, the respective portions of the principal amount thereof to be redeemed. Each such notice shall also state that, subject to the conditions or prior rescission as provided below, on said date there will become due and payable on each of said Bonds the Redemption Price thereof or of said specified portion of the principal amount thereof in the case of a fully registered Bond to be redeemed in part only, together with interest accrued thereon to the redemption date, and that from and after such redemption date interest thereon shall cease to accrue, and shall require that such Bonds be then surrendered. Neither the Authority nor the Trustee shall have any responsibility for any defect in the CUSIP number that appears on any Bond or in any redemption notice with respect thereto.

Failure of the Trustee to give notice to a Bondholder or any defect in such notice shall not affect the sufficiency of the proceedings for redemption with respect to the Bondholders to whom such notice was mailed.

With respect to any notice of optional redemption of Bonds, unless upon the giving of such notice such Bonds shall be deemed to have been paid pursuant to the provisions of the Indenture, such notice shall state that such redemption shall be conditioned upon the receipt by the Trustee on or prior to the date fixed for such redemption of amounts sufficient to pay the Redemption Price of the Bonds to be redeemed and that, if such amounts shall not have been so received, said notice shall be of no force and effect and the Authority shall not be required to redeem such Bonds. In the event that such notice of redemption contains such a condition and such amounts are not so received, the redemption shall not be made and the Trustee shall within a reasonable time after a Responsible Officer receives notice that such condition or conditions have not been satisfied give notice to the Persons and in the manner in which the notice of redemption was given that such amounts were not so received. Such failure to redeem Bonds shall not constitute an Event of Default or a Loan Default Event. Such notice may also state other conditions to the optional redemption and if any other conditions are so stated, shall state that if such conditions shall not have been satisfied on or prior to the date fixed for redemption, said notice shall be of no force and effect and the Authority shall not be required to redeem such Bonds and such failure to redeem such Bonds shall not constitute an Event of Default or Loan Default Event. In the event that such notice of optional redemption contains any such additional condition or conditions and such condition or conditions shall not have been satisfied on or prior to the date fixed for redemption, the redemption shall not be made and the Trustee shall within a reasonable time after a Responsible Officer receives notice that such condition or conditions have not been satisfied give notice to the Holders to the effect that such condition or conditions were not met and such redemption was not made, such notice to be given by the Trustee in the

same manner and to the same parties, as notice of such redemption was given pursuant to the provisions of the Indenture.

Any notice of optional redemption given pursuant to the provisions of the Indenture, as described herein, may also be rescinded by written notice given to the Trustee by the Corporation no later than two Business Days prior to the date specified for redemption, in which event such optional redemption shall be cancelled. The Trustee shall give notice of such rescission as soon thereafter as practicable in the same manner and to the same Persons as notice of such redemption was given pursuant to the provisions of the Indenture.

Partial Redemption of Bonds. Upon surrender of any Bond for redemption in part only, the Authority shall execute and the Trustee shall authenticate and make available for delivery to the registered owner thereof, at the expense of the Corporation, a new Bond or Bonds of Authorized Denominations, and of the same series and maturity, equal in aggregate principal amount to the unredeemed portion of the Bond surrendered.

Effect of Redemption. Notice of redemption having been given in accordance with the Indenture and moneys for payment of the Redemption Price of, together with interest accrued to the redemption date on, the Bonds (or portions thereof) so called for redemption being held by the Trustee, on the redemption date designated in such notice, the Bonds (or portions thereof) so called for redemption shall become due and payable at the Redemption Price specified in such notice and interest accrued thereon to the redemption date, interest on the Bonds so called for redemption shall cease to accrue, said Bonds (or portions thereof) shall cease to be entitled to any benefit or security under the Indenture, and the Holders of said Bonds shall have no rights in respect thereof except to receive payment of said Redemption Price and accrued interest to the date fixed for redemption.

Mandatory Tender for Purchase in Lieu of Redemption. Each Holder or Beneficial Owner, by purchase and acceptance of any Bond, irrevocably grants to the Corporation the option to purchase such Bond, at any time such Bond is subject to optional redemption as provided in the Indenture and summarized above at a purchase price equal to 100% of the then applicable Redemption Price of such Bond. In order to exercise such option, the Corporation shall secure the written consent of the Department and shall deliver to the Trustee and the Authority such written consent of the Department and a Favorable Opinion of Bond Counsel to the effect that such purchase, will not, in and of itself, adversely affect any exclusion of interest on the Bonds from gross income for purposes of federal income taxation, and the Corporation shall direct the Trustee to provide notice of mandatory tender for purchase, such notice to be provided, as and to the extent applicable, in accordance with the provisions for notice of redemption set forth in the Indenture and described herein. On the date fixed for mandatory purchase of any Bond in lieu of redemption pursuant to the provisions of the Indenture described herein, the Corporation shall pay the purchase price of such Bond to the Trustee in immediately available funds and the Trustee shall pay the same to the Holders of Bonds being purchased against delivery thereof. Following such purchase, the Trustee shall register such Bonds in accordance with the written instructions of the Corporation. No purchase of any Bond pursuant to the provisions of the Indenture described in this paragraph shall operate to extinguish the indebtedness evidenced by such Bond. No Holder or Beneficial Owner may elect to retain a Bond subject to mandatory tender for purchase pursuant to the provisions of the Indenture described in this paragraph. The Corporation may exercise its option to purchase the Bonds, in

whole or in part, in accordance with the provisions of the Indenture, and may rescind any notice of mandatory tender for purchase at any time on or prior to the date of mandatory tender for purchase specified in the notice of mandatory tender for purchase pursuant to the Indenture.

Defeasance. Upon the deposit with the Trustee, in trust, at or before maturity, of money or securities in the necessary amount (as provided in the Indenture) to pay or redeem any Outstanding Bond (whether upon or prior to its maturity or the redemption date of such Bond), *provided* that, if such Bond is to be redeemed prior to maturity, notice of such redemption shall have been given as described above or provision satisfactory to the Trustee shall have been made for the giving of such notice, then all liability of the Authority in respect of such Bond will cease, terminate and be completely discharged, except only that thereafter the Owner thereof will be entitled to payment of the principal of and interest on such Bond by the Authority and the Authority will remain liable for such payment, but only out of such money or securities deposited with the Trustee as aforesaid for their payment.

BOOK-ENTRY SYSTEM

The Bonds will be issued in book-entry form. DTC will act as securities depository for the Bonds. The Bonds will be issued as fully-registered securities registered in the name of Cede & Co. (DTC's partnership nominee). One fully-registered Bond will be issued for each maturity in the total aggregate principal amount due on such maturity date and will be deposited with or held at the direction of DTC. See APPENDIX H—"BOOK-ENTRY SYSTEM."

The Authority, the Trustee and the Corporation cannot and do not give any assurances that DTC will distribute to DTC Participants or that DTC Participants or others will distribute to the Beneficial Owners payments of principal and Redemption Price of and interest on the Bonds or any redemption or other notices or that they will do so on a timely basis or will serve and act in the manner described in this Official Statement. None of the Authority, the Trustee and the Corporation is responsible or liable for the failure of DTC or any DTC Participant or DTC Indirect Participant (as defined herein) to make any payments or give any notice to a Beneficial Owner with respect to the Bonds or any error or delay relating thereto.

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ESTIMATED ANNUAL DEBT SERVICE REQUIREMENTS

The following table sets forth, for each Bond Year ending May 15, the estimated amounts required to be made available for the payment of principal due on the Bonds at maturity or by mandatory sinking fund redemption, for the anticipated payment of principal of the Series 2023B-1 Bonds, Series 2023B-2 Bonds and the Series 2023C Bonds from anticipated entrance fees in compliance with the requirements of the Indenture and for the payment of interest on the Bonds. Pursuant to the relevant provisions of the Indenture, the Corporation anticipates prepaying the Series 2023C Bonds, the Series 2023B-2 Bonds and the Series 2023B-1 Bonds (in that order) from entrance fees prior to their stated maturity. The actual timing of the prepayment of the Series 2023C Bonds, the Series 2023B-2 Bonds and the Series 2023B-1 Bonds may differ from the assumptions below because of timing differences in the actual receipt of entrance fees. All amounts shown below have been rounded to the nearest whole dollar.

BOND YEAR ENDING MAY 15,	SERIES 2023A BONDS		SERIES 2023B-1 BONDS ¹		SERIES 2023B-2 BONDS ¹		SERIES 2023C BONDS ¹		TOTAL DEBT SERVICE
	PRINCIPAL	INTEREST	PRINCIPAL	INTEREST	PRINCIPAL	INTEREST	PRINCIPAL	INTEREST	
2024	-	\$1,398,369	-	\$266,792	-	\$630,120	-	\$268,500	\$2,563,780
2025	-	1,493,806	-	285,000	-	673,125	\$3,890,000	269,590	6,611,521
2026	-	1,493,806	\$5,000,000	263,339	\$17,950,000	291,167	1,325,000	3,239	26,326,551
2027	\$575,000	1,493,806	2,125,000	3,778	-	-	-	-	4,197,584
2028	605,000	1,465,056	-	-	-	-	-	-	2,070,056
2029	635,000	1,434,806	-	-	-	-	-	-	2,069,806
2030	665,000	1,403,056	-	-	-	-	-	-	2,068,056
2031	700,000	1,369,806	-	-	-	-	-	-	2,069,806
2032	735,000	1,334,806	-	-	-	-	-	-	2,069,806
2033	775,000	1,298,056	-	-	-	-	-	-	2,073,056
2034	810,000	1,259,306	-	-	-	-	-	-	2,069,306
2035	850,000	1,218,806	-	-	-	-	-	-	2,068,806
2036	895,000	1,176,306	-	-	-	-	-	-	2,071,306
2037	935,000	1,133,438	-	-	-	-	-	-	2,068,438
2038	980,000	1,088,569	-	-	-	-	-	-	2,068,569
2039	1,030,000	1,041,450	-	-	-	-	-	-	2,071,450
2040	1,080,000	991,831	-	-	-	-	-	-	2,071,831

¹ The Series 2023B-1 Bonds will mature on November 15, 2028, the Series 2023B-2 Bonds will mature on November 15, 2028 and the Series 2023C Bonds will mature on November 15, 2027, and are not subject to mandatory bond sinking fund redemption. The Corporation anticipates redeeming the Series 2023B-1 Bonds, the Series 2023B-2 Bonds and the Series 2023C Bonds in full from entrance fees as shown in the table above. The actual timing of the prepayment of the Series 2023B-1 Bonds, the Series 2023B-2 Bonds and the Series 2023C Bonds may differ from the assumed timing because of timing differences in the receipt of entrance fees. See "THE BONDS – Redemption" and "SECURITY AND SOURCE OF PAYMENT FOR THE BONDS – Entrance Fee Fund" herein.

BOND YEAR ENDING MAY 15,	SERIES 2023A BONDS		SERIES 2023B-1 BONDS ¹		SERIES 2023B-2 BONDS ¹		SERIES 2023C BONDS ¹		TOTAL DEBT SERVICE
	PRINCIPAL	INTEREST	PRINCIPAL	INTEREST	PRINCIPAL	INTEREST	PRINCIPAL	INTEREST	
2041	1,130,000	939,713	-	-	-	-	-	-	2,069,713
2042	1,185,000	885,138	-	-	-	-	-	-	2,070,138
2043	1,245,000	827,813	-	-	-	-	-	-	2,072,813
2044	1,305,000	767,488	-	-	-	-	-	-	2,072,488
2045	1,365,000	706,363	-	-	-	-	-	-	2,071,363
2046	1,430,000	642,238	-	-	-	-	-	-	2,072,238
2047	1,495,000	574,863	-	-	-	-	-	-	2,069,863
2048	1,565,000	504,275	-	-	-	-	-	-	2,069,275
2049	1,640,000	430,188	-	-	-	-	-	-	2,070,188
2050	1,720,000	352,350	-	-	-	-	-	-	2,072,350
2051	1,800,000	270,513	-	-	-	-	-	-	2,070,513
2052	1,885,000	184,675	-	-	-	-	-	-	2,069,675
2053	1,975,000	94,588	-	-	-	-	-	-	2,069,588
	<u>\$31,010,000</u>	<u>\$29,275,281</u>	<u>\$7,125,000</u>	<u>\$818,908</u>	<u>\$17,950,000</u>	<u>\$1,594,411</u>	<u>\$5,215,000</u>	<u>\$541,329</u>	<u>\$93,529,930</u>

¹ The Series 2023B-1 Bonds will mature on November 15, 2028, the Series 2023B-2 Bonds will mature on November 15, 2028 and the Series 2023C Bonds will mature on November 15, 2027, and are not subject to mandatory bond sinking fund redemption. The Corporation anticipates redeeming the Series 2023B-1 Bonds, the Series 2023B-2 Bonds and the Series 2023C Bonds in full from entrance fees as shown in the table above. The actual timing of the prepayment of the Series 2023B-1 Bonds, the Series 2023B-2 Bonds and the Series 2023C Bonds may differ from the assumed timing because of timing differences in the receipt of entrance fees. See "THE BONDS – Redemption" and "SECURITY AND SOURCE OF PAYMENT FOR THE BONDS – Entrance Fee Fund" herein.

SECURITY AND SOURCE OF PAYMENT FOR THE BONDS

GENERAL

The Bonds are limited obligations of the Authority, payable solely from Revenues consisting primarily of Loan Repayments made by the Corporation under the Loan Agreement and from certain funds held under the Indenture. The Corporation will agree in the Loan Agreement to make payments to the Trustee at such times and in such amounts to provide for the payment of the principal of and interest on the Bonds outstanding when due, whether upon a scheduled Interest Payment Date, at maturity or by redemption, acceleration or otherwise, and to make payments for certain fees and expenses (“*Additional Payments*”). The Loan Repayments in the aggregate are required to be in an amount sufficient for the payment in full of the Bonds, including interest, principal and any redemption premium, less any amounts available for such payment as provided in the Indenture.

As security for the payment of the Bonds, the Authority will pledge and assign to the Trustee all of the Revenues and any other amounts (including proceeds of the sale of the Bonds) held in any fund or account established pursuant to the Indenture (other than the Rebate Fund) and all of the right, title and interest of the Authority in and to the Loan Agreement, including the right to receive payments under the Loan Agreement (except certain enumerated retained rights such as the right of the Authority to receive payment of its fees and expenses and to indemnification in certain circumstances), the Deed of Trust, the Contract of Insurance and the Regulatory Agreement, as further described herein.

The Bonds will be secured by the pledge of the Gross Revenue Fund and all of the Gross Revenues of the Corporation and the lien of the Deed of Trust. The Corporation may incur additional indebtedness secured on a parity basis with the Bonds, provided certain conditions are met.

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EXCEPT TO THE EXTENT EXPRESSLY PROVIDED FOR PURSUANT TO THE CONTRACT OF INSURANCE, THE BONDS DO NOT CONSTITUTE A DEBT OR LIABILITY OF THE STATE OF CALIFORNIA OR OF ANY POLITICAL SUBDIVISION THEREOF, OTHER THAN THE AUTHORITY, BUT SHALL BE PAYABLE SOLELY FROM THE FUNDS PROVIDED THEREFOR. THE AUTHORITY SHALL NOT BE OBLIGATED TO PAY THE PRINCIPAL (OR REDEMPTION PRICE) OF THE BONDS, OR INTEREST THEREON, EXCEPT FROM THE FUNDS PROVIDED THEREFOR UNDER THE INDENTURE AND NEITHER THE FAITH AND CREDIT NOR THE TAXING POWER OF THE STATE OF CALIFORNIA OR OF ANY POLITICAL SUBDIVISION THEREOF, INCLUDING THE AUTHORITY, IS PLEDGED TO THE PAYMENT OF THE PRINCIPAL (OR REDEMPTION PRICE) OF OR INTEREST ON THE BONDS EXCEPT, WITH RESPECT TO THE STATE OF CALIFORNIA, TO THE EXTENT EXPRESSLY PROVIDED THROUGH THE CONTRACT OF INSURANCE. THE ISSUANCE OF THE BONDS SHALL NOT DIRECTLY OR INDIRECTLY OR CONTINGENTLY OBLIGATE THE STATE OF CALIFORNIA OR ANY POLITICAL SUBDIVISION THEREOF TO LEVY OR TO PLEDGE ANY FORM OF TAXATION OR TO MAKE ANY APPROPRIATION FOR THEIR PAYMENT EXCEPT, WITH RESPECT TO THE STATE OF CALIFORNIA, TO THE EXTENT EXPRESSLY PROVIDED THROUGH THE CONTRACT OF INSURANCE. THE AUTHORITY HAS NO TAXING POWER. MOREOVER, NEITHER THE AUTHORITY NOR THE PROGRAM PARTICIPANT SHALL BE LIABLE FOR ANY OTHER COSTS, EXPENSES, LOSSES, DAMAGES, CLAIMS OR ACTIONS, IN CONNECTION WITH THE LOAN AGREEMENT, THE BONDS OR THE INDENTURE, EXCEPT ONLY TO THE EXTENT AMOUNTS ARE RECEIVED FOR THE PAYMENT THEREOF FROM THE CORPORATION UNDER THE LOAN AGREEMENT.

PLEDGE OF REVENUES

Subject to and for the purposes and on the terms and conditions set forth in the Indenture, all of the Revenues and any other amounts (including the proceeds of the sale of the Bonds) held in any fund or account established pursuant to the Indenture (except the Rebate Fund) will be pledged under the Indenture to secure the payment of the principal of, Redemption Price and interest on the Bonds. "Revenues" are all amounts received by the Authority or the Trustee pursuant or with respect to the Loan Agreement, including, without limiting the generality of the foregoing, Loan Repayments (including both timely and delinquent payments and any late charges, and regardless of source), prepayments, insurance proceeds, payments received pursuant to the Insurance Law, condemnation proceeds, and all interest, profits or other income derived from the investment of amounts in any fund or account established pursuant to the Indenture (except the Rebate Fund), but not including (1) any Additional Payments or Administrative Fees and Expenses, (2) any amounts paid to the Authority or the Trustee pursuant to rights of indemnification, or (3) any moneys required to be deposited in the Rebate Fund. See APPENDIX D—"SUMMARY OF PRINCIPAL DOCUMENTS—INDENTURE."

INSURANCE

The Corporation's payment of the principal of and interest on the Bonds to the Trustee will be insured by the Department. If moneys are not available for the Trustee to pay the principal of or interest on the Bonds, the Department will be obligated to continue to make payments on the Bonds or shall instruct the Trustee to declare the principal of all Bonds then Outstanding and interest accrued thereon to be due and payable immediately and make payment of such principal and interest. However, payments from the Trustee to the holders of the Bonds are not insured. Upon the occurrence of certain events, the Department shall notify the Treasurer and the Treasurer shall issue debentures to the holders of the Bonds fully and unconditionally guaranteed by the State in an amount equal to the principal of and accrued interest on the Bonds. See "CALIFORNIA HEALTH FACILITY CONSTRUCTION LOAN INSURANCE PROGRAM" herein.

DEPARTMENT DEEMED HOLDER OF BONDS AND DEPARTMENT'S CONTROL OF REMEDIES

For as long as the Contract of Insurance is in effect and the Department is not in default thereunder, the Department is deemed to be the holder of the Bonds for purposes of (i) exercising all remedies and directing the Trustee to take actions or for any other purposes following an Event of Default under the Indenture, and (ii) granting any consent, direction or approval or taking any action permitted by or required under the Indenture or the Loan Agreement, as the case may be, to be granted or taken by the holders of such Bonds (including consenting to amendments to the Indenture or the Loan Agreement that materially adversely affect the interests of the holders of the Bonds). Anything in the Indenture or the Loan Agreement to the contrary notwithstanding, upon the occurrence and during the continuance of an Event of Default, the Department shall be entitled to control and direct the enforcement of all rights and remedies granted to the holders or the Trustee for the benefit of the holders of the Bonds. See APPENDIX D—"SUMMARY OF PRINCIPAL DOCUMENTS—INDENTURE—Events of Default under the Indenture and Remedies—Control Rights of the Department."

SECURITY INTEREST IN GROSS REVENUES AND GROSS REVENUE FUND

The Corporation will pledge and assign to the Trustee and the Department, and grant to the Trustee and the Department a security interest in, all its right, title and interest, owned at that time or thereafter acquired, in and to the Gross Revenues, including, but not limited to, future interest on any and all revenues or income of any nature or kind which accrue to the Corporation or the Facilities, and the Gross Revenue Fund and the proceeds thereof to secure the payment of the Loan Repayments and Additional Payments with respect to the Bonds and the performance by the Corporation of its other obligations under the Loan Agreement and the Regulatory Agreement and with respect to Parity Debt.

"Gross Revenues" is defined in the Regulatory Agreement as all revenues, income, receipts and money received in any period by the Corporation (other than donor-restricted gifts, grants, bequests, donations or contributions, endowment funds and tax revenues), including, but without limiting the generality of the foregoing, the following: (a) gross revenues derived from its operation and possession of and pertaining to its properties, (b) proceeds with respect to, arising from, or relating to its properties and derived from (1) insurance (including business interruption insurance) or condemnation proceeds (except to the extent such proceeds are

required by the terms of the Regulatory Agreement or other agreements with respect to the Indebtedness which the Corporation is permitted to incur pursuant to the terms of the Regulatory Agreement) to be used for purposes inconsistent with their use for the payment of Loan Repayments, Additional Payments or similar payments with respect to Parity Debt, (2) accounts, including but not limited to, accounts receivable, (3) securities and other investments, (4) inventory and intangible property, (5) payment/reimbursement programs and agreements, and (6) contract rights, accounts, instruments, claims for the payment of moneys and other rights and assets now or hereafter owned, held or possessed by or on behalf of the Corporation, and (c) rentals received from the lease of the Corporation's properties or space in facilities; provided, however, that there shall be excluded from Gross Revenues (i) any amounts received by the Corporation as a billing agent for another entity, except for fees received for serving as billing agent, (ii) gifts, grants, bequests, donations and contributions to the Corporation heretofore or hereafter made, and the income and gains derived therefrom, which are specifically restricted by the donor or grantor to a particular purpose, (iii) any moneys received by the Corporation from prospective residents or commercial tenants in order to pay for customized improvements to those residential living units or other areas of the Corporation's facilities to be occupied or leased to such residents or tenants, (iv) payments or deposits under a residency agreement that by its terms or applicable law are required to be held in escrow or trust for the benefit of a resident until the conditions for the release of such payment or deposit have been satisfied, and (v) all deposits and/or advance payments made in connection with any residency of the residential living units or other areas of the Corporation's facilities to be occupied by residents or tenants and received prior to receipt of such certificate and licenses for occupancy of such units.

Pursuant to the Loan Agreement, the Corporation agrees that, so long as any of the Loan Repayments or any Additional Payments remain unpaid, all Gross Revenues shall be deposited as soon as practicable upon receipt with a depository bank or banks (the "*Depository Bank(s)*") in a deposit account or accounts designated as the "Gross Revenue Fund." The Corporation pledges and assigns and grants a security interest (to the extent permitted by law) to the Trustee and to the Department in all its right, title and interest, whether owned at the time the Loan Agreement is executed or thereafter acquired, in and to the Gross Revenues, the Gross Revenue Fund and the proceeds thereof (collectively, the "*Collateral*") of the Corporation to secure the payment of the Loan Repayments, Additional Payments (consisting generally of fees and charges of the Trustee, taxes, accountants' fees and any fees and expenses of the Authority associated with the Bonds) and the performance by the Corporation of the other obligations under the Loan Agreement, the Contract of Insurance and the Regulatory Agreement and with respect to any Parity Debt.

Gross Revenues and amounts in the Gross Revenue Fund may be used and withdrawn by the Corporation at any time for any lawful purpose, except as provided in the Loan Agreement. If the Corporation is delinquent for more than one Business Day in the payment of any Loan Repayment, Additional Payment or payment with respect to any Parity Debt, the Authority or the Trustee shall notify the Corporation, the Department and the Depository Bank(s) of such delinquency in writing, and, unless such Loan Repayment, Additional Payment or any payment required with respect to any Parity Debt is paid within 10 days after receipt of such notice, exclusive control over the Gross Revenue Fund shall be exercised by the Department (provided the Contract of Insurance is in effect and the Department is not in default thereunder), for itself and as collateral agent for the Trustee, as provided in a deposit account control agreement to be entered into among the Depository Bank(s), the Corporation, the Department and the Trustee.

All Gross Revenues of the Corporation shall continue to be deposited in the Gross Revenue Fund and the Department or the Trustee, as applicable, shall continue to exercise exclusive control over the Gross Revenue Fund until the amounts on deposit in said fund are sufficient to pay in full, or have been used to pay in full, all Loan Repayments, Additional Payments and payments with respect to any Parity Debt then in default and all other then-existing Loan Default Events and events of default with respect to any Parity Debt actually known to the Department or the Trustee, as applicable, shall have been made good or cured to the satisfaction of the Department or the Trustee, as applicable, or provision deemed by the Department or the Trustee, as applicable, to be adequate shall have been made therefor, pursuant to the terms of the Indenture and the Loan Agreement.

During any period that the Gross Revenue Fund is subject to the exclusive control of the Department or the Trustee, as applicable, the Trustee will use the withdrawn amounts in such fund from time to time to make Loan Repayments, Additional Payments, and other payments required of the Corporation by the Loan Agreement or with respect to any Parity Debt when due (whether by maturity, redemption, acceleration or otherwise), and, if such amounts shall not be sufficient to pay in full all such payments when due, then to the payment of Loan Repayments, Additional Payments and debt service on any Parity Debt ratably, without any discrimination or preference, and to such other payments in the order that the Department or the Trustee, as applicable, in its discretion, determines to be in the best interests of the holders of the Bonds and any Parity Debt, without discrimination or preference. During any period that the Gross Revenue Fund is subject to the exclusive control of the Department or the Trustee, as applicable, the Corporation shall not be entitled to use or withdraw any of the Gross Revenues unless and to the extent that the Department or the Trustee, as applicable, in its sole discretion so directs for the payment of current or past due operating expenses of the Corporation; *provided, however*, that the Corporation may submit requests to the Department or the Trustee, as applicable, as to which expenses to pay and in which order. See APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—LOAN AGREEMENT” and “—REGULATORY AGREEMENT.”

The Corporation will execute a Deposit Account Control Agreement and cause to be executed and delivered such other documents as may be necessary or reasonably requested by the Authority, the Trustee or the Department to perfect or maintain the perfection of such security interest to the extent permitted by law. The Corporation hereby irrevocably authorizes the Trustee and the Department to execute any documents as may be required to perfect or to continue the perfection of the security interest in the Collateral to the extent permitted by law, including, without limitation, financing statements that describe the collateral as being of an equal, greater or lesser scope, or with greater or lesser detail, than as set forth in the definition of Collateral. See “BONDHOLDERS’ RISKS—Certain Matters Relating to Enforceability.”

DEED OF TRUST

Pursuant to the Deed of Trust, the Corporation will grant to the trustee thereunder, for the benefit of the Department and the Trustee, as trustee for the Holders of the Bonds and other Parity Debt, a lien on and security interest in the real property, rents and leases, personal property and fixtures relating to the Community (collectively, the “*Collateral Property*”), subject to Permitted Encumbrances and subject to the right of the Corporation (with the prior consent of the Department) to remove property from the lien of the Deed of Trust, as security for the performance of the Corporation’s obligations under the Regulatory Agreement, the Loan

Agreement and the Contract of Insurance. The total book value of the Collateral Property constituted approximately 100% of the book value of all property, plant and equipment of the Corporation as of September 30, 2022.

However, as long as the Contract of Insurance is in effect, all rights and remedies under the Deed of Trust shall be exercised solely by the Department. Furthermore, with the consent of the Department and the Corporation, the Deed of Trust may be amended, subordinated or terminated at any time without the necessity of obtaining the consent of the Trustee, the Bondholders, holders of Parity Debt or the Authority. See APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—DEED OF TRUST.”

For a further description of the provisions of the Deed of Trust, see APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS” hereto.

TITLE INSURANCE

An ALTA insurance policy on the real property subject to the Deed of Trust, in an aggregate amount not less than the aggregate principal amount of the Bonds, will be delivered at the time of the issuance of the Bonds.

BOND RESERVE ACCOUNTS

A separate Bond Reserve Account for each series and subseries of the Bonds (each, a “*Bond Reserve Account*” and, collectively, the “*Bond Reserve Accounts*”) will be established and funded under the terms of the Indenture. Amounts on deposit in a Bond Reserve Account shall be used and withdrawn by the Trustee solely for the purpose of making up a deficiency in the Interest Account or Principal Account for the Bonds of a particular series or subseries (but, in each case, only with the consent of the Department, provided the Department is not in default of its obligations under the Contract of Insurance) or (together with any other moneys available therefor) for the payment or redemption of all Bonds of such series then Outstanding. Each Bond Reserve Account shall be valued semi-annually (or more frequently if requested in writing by the Corporation, but not more frequently than quarterly) by the Trustee. In the event the balance in a Bond Reserve Account shall be less than the applicable Bond Reserve Account Requirement, the Corporation shall replenish such account, within 30 days of receiving notice of such deficiency, with the amount necessary to increase the balance in such Bond Reserve Account to an amount at least equal to the applicable Bond Reserve Account Requirement. See APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—INDENTURE—Investment of Moneys in Funds and Accounts” and “—Allocation of Revenues.”

On the date of delivery of the Bonds, an amount equal to the applicable Bond Reserve Account Requirement will be deposited in each Bond Reserve Account. The “Bond Reserve Account Requirement” for the Series 2023A Bonds is defined in the Indenture to be, as of any date of calculation, an amount equal to the lesser of (i) 50% of Maximum Annual Debt Service on all Series 2023A Bonds then Outstanding, (ii) 125% of average annual debt service on the Series 2023A Bonds then Outstanding, or (iii) 10% of the Outstanding principal amount of the Series 2023A Bonds. On the date of issuance of the Series 2023A Bonds, the Bond Reserve Account Requirement shall be \$1,027,465.63 for the Series 2023A Bonds. The “Bond Reserve Account Requirement” for the Series 2023B-1 Bonds is defined in the Indenture to be, as of any

date of calculation, an amount equal to \$285,000.00. The “Bond Reserve Account Requirement” for the Series 2023B-2 Bonds is defined in the Indenture to be, as of any date of calculation, an amount equal to \$673,125.00. The “Bond Reserve Account Requirement” for the Series 2023C Bonds is defined in the Indenture to be, as of any date of calculation, an amount equal to \$286,825.00.

See APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—INDENTURE—Allocation of Revenues” and “—Establishment of Funds and Accounts—Bond Reserve Accounts.”

NO FINANCIAL COVENANTS IN LOAN AGREEMENT

Due to the Contract of Insurance entered into by the Authority and the Department, the Loan Agreement does not contain financial or operational covenants relating to the operations of the Corporation, such as limitations on the ability of the Corporation to incur indebtedness, to dispose of property, or to create liens on property. Additionally, the Loan Agreement does not require the Corporation to maintain revenues at levels sufficient to provide coverage of debt service on the Bonds or any other indebtedness. The Regulatory Agreement contains such covenants, but such covenants may be waived or amended by the Department without the necessity of obtaining the consent of the Holders of the Bonds or any other party (other than the Authority with respect to certain covenants). See “Rate Covenant, Current Ratio Covenant and Days Cash on Hand Covenant in Regulatory Agreement” below. See also APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—LOAN AGREEMENT” and “—REGULATORY AGREEMENT.”

RATE COVENANT, CURRENT RATIO COVENANT AND DAYS CASH ON HAND COVENANT IN REGULATORY AGREEMENT

Under the Regulatory Agreement, the Corporation is required to fix, charge and collect, or cause to be fixed, charged and collected, rates, fees and charges that, together with all other receipts and revenues of the Corporation and any other funds available therefor, are reasonably projected to be sufficient in each Fiscal Year, commencing in the Fiscal Year ending September 30, 2023, to produce a Debt Service Coverage Ratio equal to at least 1.25:1.0 for each Fiscal Year. For purposes of this requirement, “*Debt Service Coverage Ratio*” means, (i) for any period of time that begins prior to Stable Occupancy, the ratio determined by dividing Net Income Available for Debt Service by Aggregate Debt Service scheduled to become due during such period; and (ii) for any period of time that begins on or after achieving Stable Occupancy, the ratio determined by dividing Net Income Available for Debt Service by Maximum Aggregate Annual Debt Service. “*Maximum Aggregate Annual Debt Service*” means, as of any date of calculation, the Aggregate Debt Service as computed for the then current or any future Fiscal Year in which such sum shall be largest; provided that for any calculation, actual Debt Service paid on the Series 2023B Bonds and Series 2023C Bonds during the calculation period shall be used instead of Maximum Aggregate Annual Debt Service on such Series 2023B Bonds and Series 2023C Bonds.

The Regulatory Agreement also requires the Corporation to maintain, as of the end of each Fiscal Year, commencing with the Fiscal Year ending September 30, 2023, a Current Ratio of at least 1.50:1.0 for such fiscal year. For purposes of this requirement, “*Current Ratio*” shall

mean a ratio of current assets to current liabilities, as determined in accordance with generally accepted accounting principles and as shown on the Corporation's audited financial statements.

In addition, the Regulatory Agreement requires the Corporation to maintain, as of the end of each Fiscal Year, commencing with the Fiscal Year ending September 30, 2023, not less than 150 Days Cash on Hand, as shown on the Corporation's audited financial statements for such Fiscal Year. For purposes of this requirement, "*Days Cash on Hand*" shall mean, for any Fiscal Year, the quotient obtained by dividing (1) the Corporation's cash and cash equivalents, including board designated funds and funded depreciation, but excluding donor-restricted funds and proceeds of short-term indebtedness and the Corporation's beneficial interest in unrestricted cash and cash equivalents held by the Corporation for the purpose of investment management, as of the end of such Fiscal Year by (2) the quotient of dividing (a) the Corporation's operating expenses including interest expense (excluding depreciation, amortization, allowance for bad debts, and any other noncash expenses) for such Fiscal Year by (b) the number of days in such Fiscal Year.

The Corporation covenants and agrees under the Regulatory Agreement that within one hundred twenty (120) days after the end of each Fiscal Year the Corporation shall compute the Debt Service Coverage Ratio, the Current Ratio and the Days Cash on Hand for such Fiscal Year and promptly furnish to the Authority, the Trustee and the Department a Statement setting forth the results of such computation.

The Corporation further covenants and agrees under the Regulatory Agreement that if, at the end of such Fiscal Year, (i) the Debt Service Coverage Ratio shall have been less than as required by the provisions of the Regulatory Agreement described above in the first paragraph under this sub-heading, (ii) the Current Ratio shall have been less than as required by the provisions of the Regulatory Agreement described above in the second paragraph under this sub-heading, or (iii) the Days Cash on Hand shall have been less than as required by the provisions of the Regulatory Agreement described in the third paragraph under this sub-heading, they will promptly employ a Management Consultant to make recommendations as to a revision of the rates, fees and charges of the Corporation or the methods of operation of the Corporation which will result in producing (x) a Debt Service Coverage Ratio as required by the provisions of the Regulatory Agreement described above in the first paragraph under this sub-heading, (y) a Current Ratio as required by the provisions of the Regulatory Agreement described above in the second paragraph under this sub-heading in the current Fiscal Year and (z) Days Cash on Hand as required by the provisions of the Regulatory Agreement described in the third paragraph under this sub-heading in the current Fiscal Year; *provided, however*, the Corporation need not so employ a Management Consultant if the Department consents, in writing, to a waiver of said covenant to employ a Management Consultant. The Corporation shall, to the extent feasible, promptly upon its receipt of such recommendations, subject to applicable requirements or restrictions imposed by law, revise its rates, fees and charges or its methods of operation or collections and shall take such other action as shall be in conformity with such recommendations; *provided, however*, the Corporation need not make such revisions or take such actions in conformity with such recommendations if (1) the Board of Directors of the Corporation makes a good faith determination that such recommendations, in whole or in part, are not in the best interests of the Corporation, and (2) the Department gives its written consent to the effect that the Corporation need not comply, in whole or in part, with such recommendations. In the event that the Corporation fails to comply with the recommendations

of the Management Consultant, the Department may replace existing management with new management, which shall be chosen unilaterally by the Department.

If the Corporation complies in all material respects with the reasonable recommendations of the Management Consultant in respect to said rates, fees, charges and methods of operation or collection, the Corporation will be deemed to have complied with the foregoing covenants for such Fiscal Year, notwithstanding that the Debt Service Coverage Ratio, the Current Ratio or the Days Cash on Hand shall be less than the amount required by the provisions of the Regulatory Agreement described in the foregoing paragraphs; *provided*, that (1) this sentence shall not be construed as in any way excusing the Corporation from taking any action or performing any duty required under the Regulatory Agreement or be construed as constituting a waiver of any other event of default under the Regulatory Agreement and (2) the Debt Service Coverage Ratio shall be at least equal to 1.0 for such Fiscal Year.

The above-described covenants contained in the Regulatory Agreement may be waived or amended by the Department without the necessity of obtaining the consent of the owners of the Bonds, the Authority or any other party. For a further description of the Debt Service Coverage Ratio covenant, the Current Ratio covenant and the Days Cash on Hand covenant, see APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—REGULATORY AGREEMENT—Rates and Charges; Debt Coverage; Current Ratio; Days Cash on Hand.”

ENTRANCE FEE FUND

Pursuant to the Indenture, the Trustee shall establish, maintain and hold in trust a separate fund to be known as the “Entrance Fee Fund” (the “*Entrance Fee Fund*”). All moneys received by the Trustee and held in the Entrance Fee Fund shall be trust funds under the terms of the Indenture and shall not be subject to lien or attachment of any creditor of the Corporation. Such moneys shall be held in trust and applied in accordance with the provisions of the Indenture but are not bond proceeds (within the meaning of the Code), and are not, except as specifically described below, pledged to payment of principal and interest on the Bonds.

The Corporation agrees in the Loan Agreement that, for so long as any of the Series 2023B Bonds or Series 2023C Bonds remain Outstanding, all Initial Entrance Fees (as defined in APPENDIX D) received by the Corporation shall be transferred to the Trustee within five Business Days of the receipt thereof for deposit into the Entrance Fee Fund.

Moneys deposited into the Entrance Fee Fund are pledged and shall be applied by the Trustee within two Business Days of receipt, solely to the following, in order of priority:

FIRST: To the Corporation to pay refunds of Entrance Fees, in accordance with the requirements of any Residency Agreement relating to the Project and certified by the Corporation to the Trustee.

SECOND: On the first Business Day of each month, provided the amount on deposit in the Entrance Fee Fund (after making provision for the payments of refunds in accordance with the paragraph “First” above (the “*Entrance Fee Refund Holdback*”)) is equal to \$100,000 or more for transfer to the Trustee, deposit to the Entrance Fee Redemption Account, and

application to the payment and redemption of the Series 2023C Bonds then Outstanding, as soon as practicable following such deposit.

THIRD: On the first Business Day of each month, provided all of the Series 2023C Bonds have been redeemed and the amount in the Entrance Fee Fund exceeds the Entrance Fee Refund Holdback by \$100,000 or more for transfer to the Trustee, deposit to the Entrance Fee Redemption Account, and application to the payment and redemption of the Series 2023B-2 Bonds then Outstanding, as soon as practicable following such deposit.

FOURTH: On the first Business Day of each month, provided all of the Series 2023C Bonds and Series 2023B-2 Bonds have been redeemed and the amount in the Entrance Fee Fund exceeds the Entrance Fee Refund Holdback by \$100,000 or more for transfer to the Trustee, deposit to the Entrance Fee Redemption Account, and application to the payment and redemption of the Series 2023B-1 Bonds then Outstanding, as soon as practicable following such deposit.

FIFTH: Upon the final redemption and payment of all the Series 2023C Bonds, Series 2023B-2 Bonds and Series 2023B-1 Bonds, for remittance to the Corporation of all funds then remaining in the Entrance Fee Fund.

If the amount remaining in the Entrance Fee Fund on the first Business Day of any month (after taking into account Entrance Fee refunds expected to become due in the next 15 days) is less than \$100,000, the Trustee shall retain such amounts in the Entrance Fee Fund until the next month.

If the Trustee has received a written certification from the Corporation that no further Entrance Fees are expected to be received, the Trustee shall transfer such remaining amounts in the Entrance Fee Fund to the Entrance Fee Redemption Account to redeem any Outstanding Series 2023C Bonds, as described herein, or, if no Series 2023C Bonds remain Outstanding, to redeem any Outstanding Series 2023B-2 Bonds, as described herein, or, if no Series 2023B-2 Bonds remain Outstanding, to redeem any Outstanding Series 2023B-1 Bonds, as described herein, or, if no Series 2023B-1 Bonds remain Outstanding, to the Corporation.

Upon remittance of the remaining balance on deposit in the Entrance Fee Fund to the Corporation the Entrance Fee Fund shall be closed.

Also *see* APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—INDENTURE—Establishment of Funds and Accounts—Entrance Fee Fund.”

PARITY DEBT

In addition to its obligations with respect to the Bonds, the Corporation may incur Parity Debt, which is other indebtedness secured by a security interest in the Gross Revenues and the Gross Revenue Fund (and the proceeds thereof) and the lien of the Deed of Trust equally and ratably with the Corporation’s obligations to make Loan Repayments under the Loan Agreement, if issued for the purposes and subject to the conditions provided in the Regulatory Agreement. Parity Debt may not be incurred unless it is insured by the Department or unless it is issued with the consent of the Department. See APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—REGULATORY AGREEMENT—Limitation on Indebtedness” hereto.

LIMITED LIABILITY OF THE AUTHORITY

NONE OF THE AUTHORITY, ANY AUTHORITY MEMBER OR ANY PERSON EXECUTING THE BONDS IS LIABLE PERSONALLY ON THE BONDS OR SUBJECT TO ANY PERSONAL LIABILITY OR ACCOUNTABILITY BY REASON OF THEIR ISSUANCE. THE BONDS ARE LIMITED OBLIGATIONS OF THE AUTHORITY, PAYABLE SOLELY FROM AND SECURED BY THE PLEDGE OF CERTAIN REVENUES UNDER THE INDENTURE. NEITHER THE AUTHORITY, ITS MEMBERS, THE STATE OF CALIFORNIA, NOR ANY OF ITS POLITICAL SUBDIVISIONS SHALL BE DIRECTLY, INDIRECTLY, CONTINGENTLY OR MORALLY OBLIGATED TO USE ANY OTHER MONEYS OR ASSETS TO PAY ALL OR ANY PORTION OF THE DEBT SERVICE DUE ON THE BONDS, TO LEVY OR TO PLEDGE ANY FORM OF TAXATION WHATEVER THEREFOR OR TO MAKE ANY APPROPRIATION FOR THEIR PAYMENT (EXCEPT TO THE EXTENT EXPRESSLY PROVIDED THROUGH THE INSURANCE PROGRAM DESCRIBED HEREIN). THE BONDS ARE NOT A PLEDGE OF THE FAITH AND CREDIT OF THE AUTHORITY, ITS MEMBERS, THE STATE OF CALIFORNIA OR ANY OF ITS POLITICAL SUBDIVISIONS, NOR DO THEY CONSTITUTE INDEBTEDNESS WITHIN THE MEANING OF ANY CONSTITUTIONAL OR STATUTORY DEBT LIMITATION. THE AUTHORITY HAS NO TAXING POWER.

CALIFORNIA HEALTH FACILITY CONSTRUCTION LOAN INSURANCE PROGRAM

DESCRIPTION OF THE INSURANCE POLICY

General. The Corporation has received a conditional commitment from the Department for insurance of the Corporation's payment of the principal and interest with respect to the Bonds. Insurance of the full amount of the principal and interest with respect to the Bonds (but not any premium) is evidenced by the Contract of Insurance and the Regulatory Agreement, both of which will be entered into by the Department, the Authority and the Corporation, concurrently with the execution and delivery of the Bonds. However, payments from the Trustee to the holders of the Bonds are not insured. See APPENDIX E—"FORM OF CONTRACT OF INSURANCE" for the form and terms of the insurance provided by the Department. The insurance will reinstate in the event that any payment by the Corporation to the Trustee is recaptured as a result of the Corporation's bankruptcy or insolvency. The Regulatory Agreement sets out many of the financial covenants of the Corporation relating to, among other things, the maintenance of specified debt service coverage levels and the limitations on incurrence of additional indebtedness or disposition of assets by the Corporation. Prospective holders of the Bonds should note that the provisions of the Regulatory Agreement may be waived or amended with the consent of the Department without the necessity of obtaining the consent of the owners of the Bonds or the holders of any Parity Debt. See "CALIFORNIA HEALTH FACILITY CONSTRUCTION LOAN INSURANCE PROGRAM—Description of the Insurance Policy—Rights of the Department under the Regulatory Agreement" herein and APPENDIX D—"SUMMARY OF PRINCIPAL DOCUMENTS—REGULATORY AGREEMENT."

Insurance Law Section 129050, subsection (a) requires that a loan must be secured by a first mortgage, first deed of trust or first priority lien on an interest of the borrower in real property and any other security agreement as the Department may require. For this purpose, the Corporation will grant a security interest in the Gross Revenue Fund and all of the Gross Revenues under the Loan Agreement, and the Corporation will enter into the Deed of Trust. Prospective holders of the Bonds should note that the provisions of the Deed of Trust may be

amended, subordinated or terminated at any time with the consent of the Department without the necessity of obtaining the consent of the holders of the Bonds or the holders of Parity Debt.

Incontestability and Non-Cancellability. Under Insurance Law Section 129110, the Contract of Insurance is incontestable from the date of execution thereof, except in case of fraud or misrepresentation on the part of the lender. The Insurance Law and the Contract of Insurance impose certain continuing obligations on the Corporation as a condition of insuring the Bonds but specify that the remedies for breach of these obligations shall not include withdrawal or cancellation of the insurance. The insurance provided by the Contract of Insurance will terminate under certain circumstances, including payment in full by the Department of the insurance with respect to the Bonds or defeasance of the Bonds pursuant to the Indenture, as more fully described in APPENDIX E—“FORM OF CONTRACT OF INSURANCE.”

Procedures upon Default. If there is an event of default as specified under the Indenture (an “*Event of Default*”), the Trustee must notify the Department. The Trustee also must notify the Department if 30 days prior to an Interest Payment Date or Principal Payment Date there are not sufficient available moneys held by the Trustee in the Revenue Fund (other than in the related Bond Reserve Account) to make the next payment of principal or interest with respect to a series of the Bonds.

Pursuant to the Regulatory Agreement, if there is an Event of Default under the Indenture and the Trustee has notified the Department that available moneys in the Principal and Interest Accounts will be insufficient to pay in full the next succeeding payment of interest and/or principal on a series of the Bonds when due, the Department shall cause a sufficient amount to be deposited in the Principal Account and/or Interest Account at least three Business Days prior to the date on which such payment is due. The money will come from the related Bond Reserve Account held under the Indenture or from the Health Facility Construction Loan Insurance Fund (the “*HFCLIF*”) that is established by the Insurance Law (Sections 129010, subsection (g) and 129200). The obligation of the Corporation to repay any money advanced from the HFCLIF is secured by the Deed of Trust.

Following an Event of Default, the Department may (i) continue to approve such transfers or make such payments described in the preceding paragraph as are necessary to provide for the timely payment of the principal of and interest with respect to the Bonds, (ii) accept title to the Community from the Trustee upon foreclosure pursuant to the Deed of Trust or otherwise, (iii) accept an assignment of the security interest created under the Deed of Trust and of all claims under the Indenture, or (iv) instruct the Trustee to declare the principal of the Bonds then Outstanding and the interest with respect thereto to be immediately due and payable and make such payment from the HFCLIF. If funds in the HFCLIF are not sufficient to make the required payments described above, the Department shall notify the Treasurer who is required to issue debentures in place of such Bonds. See “THE DEPARTMENT, THE INSURANCE PROGRAM AND THE INSURANCE FUND—State Debentures” below.

Rights of the Department under the Regulatory Agreement. The Regulatory Agreement grants the Department extensive rights, including the right to attend and participate in all meetings of the Corporation’s Board of Directors. Additionally, the Regulatory Agreement prohibits the Corporation from taking certain actions without first obtaining the consent of the Department or meeting certain requirements in the Regulatory Agreement, including affiliating

with, merging into, or consolidating with any entity; transferring cash or cash equivalents to any entity, including but not limited to a subsidiary or an affiliate of the Corporation; disposing of or acquiring property; and incurring indebtedness. Additionally, upon the occurrence of an event of default under the Regulatory Agreement, the Deed of Trust or the Indenture, the Department shall have the remedies provided in Insurance Law Section 129173. See APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—REGULATORY AGREEMENT.”

Rate Covenant and Other Financial Covenants. Under the Regulatory Agreement, the Corporation is required to fix, charge and collect, or cause to be fixed, charged and collected, subject to applicable requirements or restrictions imposed by law, such rates, fees and charges which, together with all other receipts and revenues of the Corporation and any other funds available therefor, are reasonably projected to be sufficient in each Fiscal Year, commencing in the Fiscal Year ending September 30, 2023, to produce a Debt Service Coverage Ratio equal to at least 1.25:1.0 for each Fiscal Year. The Regulatory Agreement also requires the Corporation to maintain, as of the end of each Fiscal Year, commencing in the Fiscal Year ending September 30, 2023, a Current Ratio of at least 1.50:1.0 for such Fiscal Year and at least 150 Days Cash on Hand. The measurement of Days Cash on Hand is taken at the end of each particular fiscal year. For more specific information relating to these covenants, see APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—REGULATORY AGREEMENT.”

Covenants contained in the Regulatory Agreement may be waived or amended by the Department without the necessity of obtaining the consent of the holders of the Bonds, the Authority or any other party. For a further description of the rate covenant, the current ratio covenant and the Days Cash on Hand covenant, see APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—REGULATORY AGREEMENT—Rates and Charges; Debt Coverage; Current Ratio; Days Cash on Hand.” The Bonds will continue to be insured by the Department in the manner described above even if an Event of Default were to occur under financial or other covenants made by the Corporation.

THE DEPARTMENT, THE INSURANCE PROGRAM AND THE INSURANCE FUND

General. The California Health Facility Construction Loan Insurance Program (the “Insurance Program”) is authorized by Article XVI, Section 4 of the California Constitution and is provided for in the Insurance Law. The Insurance Program is operated by the Department, which has adopted regulations implementing the Insurance Program. Under the Insurance Law, the Department is currently authorized to insure health facility construction, improvement and expansion loans, as specified in the Insurance Law. Entities which may obtain insurance for their facilities include both public agencies and nonprofit corporations, and authorized health facilities include a wide range from acute care facilities to local clinics, dependency centers and community mental health centers. The Insurance Law authorizes the Insurance Program to insure not more than \$3,000,000,000 principal amount of loans at any time. As of February 28, 2023 the principal amount of loans insured under the Insurance Program was approximately \$1,309,726,444 comprised of 57 loans.

Finances of the Insurance Program; Financial Reports. The Insurance Program is financed by an application fee of 0.5% of the loan applied for, but not to exceed \$500 (Insurance Law section 129090), an inspection fee not in excess of 0.4% of the loan that is insured (Insurance Law section 129035), and an insurance premium due in full at closing not in excess of

3.0% of the total amount of principal and interest payable over the term of the loan (Insurance Law section 129040). The fees and premiums charged are deposited in the HFCLIF and are used to defray administrative expenses of the Insurance Program, to cure defaults on loans and to pay principal of and interest on insured bonds and certificates of participation prior to issuance of debentures by the Treasurer.

Under the Insurance Law, payments of principal and interest with respect to the Bonds or payments on the debentures would be made by the Department from the HFCLIF. As of February 28, 2023, the cash balance of the HFCLIF was \$123,258,491. The monies in the HFCLIF are continuously appropriated to pay obligations insured by the Department under the Insurance Law. Insurance Law section 129215 states: “The Health Facility Construction Loan Insurance Fund, established pursuant to Section 129200, shall be a trust fund and neither the fund nor the interest or other earnings generated by the fund shall be used for any purpose other than those purposes authorized by this chapter.” The moneys in the HFCLIF are invested in the State’s Pooled Money Investment Account.

The Department is required by law to submit certain reports to the Legislature, consisting of two Annual Reports, and a State Plan. The State Plan is prepared every two years, as of January 1 of each odd-numbered year. The 2017, 2019 and 2021 State Plans were consolidated into one report and is available at the website of the Department at <https://hcai.ca.gov/construction-finance/construction-financing/>. The 2023 State Plan has been started and is expected to be complete by the end of calendar year 2023. The Consolidated Annual Reports to the Legislature, consisting of the Annual Reports to the Legislature for the fiscal years ended June 30, 2015 through June 30, 2020 (the “2015-2020 Annual Reports”) are available at the website of the Department. The Annual Reports to the Legislature for the fiscal year ended June 30, 2021 are available at the website of the Department.

The Department also prepares monthly reports containing the insured loans balance, the HFCLIF balance, total debt service reserves of all loans, and anticipated recoveries. The most recent monthly report available from the Department is available at the website of the Department.

The following table provides certain statistics for the Insurance Program as of the end of the last five fiscal years ended June 30 for which reports are available from the Department:

	FISCAL YEAR ENDED JUNE 30				
	2018	2019	2020	2021	2022
Number of Loans Insured	80	83	78	66	63
Principal Amount of Loans Insured	\$1,679,591,385	\$1,816,496,274	\$1,780,317,746	\$1,661,201,598	\$1,548,180,135
Cash Balance of HFCLIF	\$169,757,738	\$168,625,786	\$163,825,305	\$153,567,319	\$145,943,846

Insurance Program Loans; Status of Borrowers. The future financial status of the Insurance Program is directly affected by the financial performance of the borrowers in the Insurance Program and their current and projected ability to repay their loans. The Department has established a rating system to implement objective criteria and continues to monitor each borrower for compliance with loan covenants assigning a risk rating (A to F) to that borrower and all its loans.

The risk ratings have a corresponding relationship to the financial status of the borrower and risk to the HFCLIF:

A Rating—no material problems;

B Rating—minor problems such as one or more of the following: for more than one fiscal year, some of the borrower's covenant requirements have not been met; the borrower's financial trends indicate potential problems; the borrower is more than 6 months late in providing its financial and other reports as required by its Regulatory Agreement;

C Rating—serious problems, such as one or more of the following: the borrower's last insured loan payment was not paid within 30 days of the delinquency date defined in the borrower's Regulatory Agreement; the borrower's days cash on hand is low; the last calculation of the insured debt service coverage ratio was below 1.0 and the project does not have a substantial cash cushion either in days cash on hand or in relation to amount of insured debt; payables and receivables indicate inappropriate lag time; economic indicators locally, regionally or statewide are impacting the borrower; management turnover and/or board oversight is in question; the borrower has filed for bankruptcy protection but is making full payments on insured debt;

D Rating—very serious problems such as one or more of the following: the debt service reserve fund has been invaded and the borrower is not making substantial progress in fully replenishing its debt service reserve fund, pursuant to the loan documents; financial trends have been escalating downward with no action plan in place to correct the problem; the borrower's days cash on hand is exceedingly low, such that it does not appear that the borrower will be able to make its next payroll; payment(s) are not being made and HFCLIF may be used within the next 12 months;

E Rating— payments have been or are being made from the HFCLIF, but full recovery is expected. The Department has a work out plan with the borrower; and

F Rating—payments have been or are being made from the HFCLIF and loss of some magnitude is expected.

As of February 28, 2023, there were no borrowers with loans in the portfolio with D, E, or F Ratings. Since the start of the Insurance Program in 1972, through February 28, 2023, 21 borrowers (with 30 loans) have defaulted with all required payments coming from the HFCLIF (without cost to the State General Fund).

California-Nevada Methodist Homes ("*CNMH*") discontinued making debt service payments in February 2020. On March 16, 2021, CNMH filed a voluntary petition for Chapter 11 bankruptcy. At that time, the Department insured a bond issue with a principal balance of \$30,225,000 (the "*CNMH Bonds*") and a bank line of credit with a principal balance of \$2,999,120. Between May 2021 and December 2022, the Department made five advances from the HFCLIF totaling \$6,583,306 to pay-off the line of credit and fully fund debt service due on the CNMH Bonds. Under an Amendment to Purchase and Sale Agreement dated as of November 7, 2022, which amended a Purchase and Sale Agreement dated as of December 17, 2021,

Pacifica Senior Living, dba Lake Merritt Senior Living LLC (“*Pacifica*”), agreed to purchase the assets of CNMH. As part of the purchase, Pacifica executed a carry back note (“*Note*”) in favor of CNMH in the amount of \$15,000,000 secured by a deed of trust on the Lake Park senior living facilities in Oakland (“*Lake Park Deed of Trust*”). In conjunction with the execution of the Note and Lake Park Deed of Trust, Pacifica Hosts, Inc. executed a guaranty (“*Guaranty*”) in favor of CNMH. The Note, the Lake Park Deed of Trust, and the Guaranty were assigned to the Department by CNMH upon closing of the sale pursuant to the Assignment of Carry Back Note and Security dated as of November 7, 2022. The sale of CNMH to Pacifica closed on December 6, 2022. Pacifica is making monthly principal and interest payments to the Department pursuant to the Note. The Department anticipates that the remaining assets of CNMH, including any additional sums to be paid to the Department, will be distributed subject to a plan of liquidation.

Upon the sale of CNMH, the insured bond issue, with an outstanding principal balance of \$28,930,000, became an obligation of the Department. The Department instructed Wilmington Trust, National Association to accelerate the maturities of all the CNMH Bonds for full redemption on or before March 3, 2023. On February 22, 2023, the HFCLIF advanced \$29,179,119 to pay all of the outstanding principal of plus accrued interest on the CNMH Bonds to March 3, 2023.

State Debentures. In the event the obligations of the HFCLIF to pay on an issue of defaulted bonds or certificates of participation exceeds the available balances in the HFCLIF, and upon receipt by the Department of title to the subject facilities or assignment of the security interest in a deed of trust and upon surrender of the defaulted bonds or certificates of participation to the Department, the Department shall notify the Treasurer and request the Treasurer to issue debentures to the holders of the defaulted bonds or certificates of participation, as applicable, so surrendered. Pursuant to Insurance Law section 129160, subsection (a), (1) the debentures shall bear interest at a rate equal to the stated interest rate(s) on the insured loan or bonds, and shall be payable on a payment schedule identical to payments on the insured loan or bond; (2) the debentures are fully and unconditionally guaranteed as to principal and interest by the State; and (3) the amounts to be paid on the debentures will be continuously appropriated from the General Fund of the State Treasury. Insurance Law section 129160, subsection (b) provides, “Any debenture issued under this article shall be paid on par with general obligation bonds issued by the state.” See “CERTAIN FINANCIAL INFORMATION REGARDING THE STATE” and “RATING” herein.

While the Department has not requested the issuance of and the Treasurer has not issued any such debentures since the inception of the Insurance Program, the Department, the Treasurer and the State Department of Finance have entered into a memorandum of understanding in December 2016 establishing procedures for the issuance of debentures (the “*Memorandum of Understanding*”). A copy of the Memorandum of Understanding is available upon request to: Department of Health Care Access and Information, Cal-Mortgage Loan Insurance Division, 2020 West El Camino Avenue, Suite 1231, Sacramento, CA 95833, Telephone: (916) 319-8800; e-mail: cminsure@hcai.ca.gov. It is expected that, to the same extent as interest on the Bonds is not includable in the gross income of the holders thereof for purposes of federal income taxation, interest on the debentures would not be includable in the gross income of the holders, and that interest on debentures would be exempt under the law as in effect on the date hereof from State personal income taxes. Upon the occurrence of certain Events of Default under the Indenture, there is the possibility that the interest on the Bonds could become subject to federal income

taxation. The Indenture provides that there shall be no acceleration of the principal of and interest on the Bonds upon the occurrence of an Event of Default under the Indenture without the consent of the Department. If the Bonds were declared taxable by the Internal Revenue Service (“IRS”) or another appropriate authority, thereby resulting in an Event of Default under the Indenture, and if the Department did not consent to an acceleration, the holders of the Bonds (and holders of any debentures exchanged for such Bonds) would continue to receive interest payments, but those interest payments would not be excludable from gross income for federal income tax purposes. See APPENDIX D —“SUMMARY OF PRINCIPAL DOCUMENTS—INDENTURE—Events of Default under the Indenture and Remedies—Events of Default” and “—Acceleration of Maturities.”

Actuarial Study. The Department obtains an independent actuarial review of the HFCLIF every two years. At the request of the Department, Oliver Wyman Actuarial Consulting, Inc. (“*Oliver Wyman*”) completed a study in March 2022 (the “*2020 Actuarial Study*”) to evaluate, among other matters, (1) the reserve sufficiency of the HFCLIF as of June 30, 2020; and (2) the risk to the State’s General Fund from the Insurance Program. Oliver Wyman compared the HFCLIF cash balance as of June 30, 2020 of \$163.83 million against the reserve and capital requirements standards set by the California Department of Insurance for private financial guaranty insurers; the 2020 Actuarial Study indicated that the Insurance Program’s assets were at least \$15.27 million below the level which would be required by the California Department of Insurance standards for private insurers (including reserves for projects which were anticipated to default in fiscal year 2020/21). As to the second subject, the 2020 Actuarial Study indicated that the HFCLIF as of June 30, 2020 under the “expected scenario” (which scenario assumed, among other things, a 6.30% default rate) would maintain a positive balance until at least the forecast period of 2049/50. Even under the “most pessimistic scenario” in which a 10% probability of catastrophic loss was used, the 2020 Actuarial Study indicated that there was a 70% likelihood that HFCLIF reserves as of June 30, 2020 would protect against any General Fund losses until at least 2031/32, and a 90% likelihood that HFCLIF reserves as of June 30, 2020 would protect against any General Fund losses until at least 2025/26.

The 2020 Actuarial Study is based on stated assumptions and estimates including, but not limited to, default rates, investment yields, termination rates, claim severities, catastrophic losses and payment patterns. Variation from such estimates or assumptions may cause actual results to vary from the analysis in the 2020 Actuarial Study and such variations could be material. The 2020 Actuarial Study is available on the Department’s website.

See “BONDHOLDERS’ RISKS—State Bond Insurance” for a discussion of the risks related to the Insurance. See “RATING” in this Official Statement for a discussion of the rating the Bonds are expected to receive due to the insurance by the Department of the Bonds.

For a further description of the Regulatory Agreement and the Contract of Insurance, see APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS” and APPENDIX E—“FORM OF CONTRACT OF INSURANCE.”

CERTAIN FINANCIAL INFORMATION REGARDING THE STATE

Information about the financial condition of the State, including the State budget and State spending, is available at various State-maintained websites. Information concerning the

current fiscal year State budget, the Governor's Proposed Budget for Fiscal Year 2023-24 (the "*Governor's Budget*") and the May Revision of the Governor's Budget, released May 12, 2023 (the "*May Revision*") may be found at the website of the Department of Finance, www.dof.ca.gov, under the heading "California Budget." Analyses of the current year budget and future budget proposals are posted from time to time by the independent Office of the Legislative Analyst at www.lao.ca.gov. Reference is made to the most recent preliminary official statement or official statement issued by the State in connection with general obligation bonds or lease revenue obligations, which can be accessed from the State Treasurer's investor relations website at www.buycaliforniabonds.com (for preliminary official statements) or through EMMA, a facility of the MSRB, at <http://emma.msrb.org> (for final official statements). All of such websites and other sources are provided for general informational purposes only and the material on such sites and from such resources is in no way incorporated into this Official Statement. Readers are cautioned that such information is not necessarily fully current and that the reported financial condition of the State may have changed since the date such information was published or posted. The next action on the State's budget will be enactment of the budget bill for Fiscal Year 2023-24, which the State Legislature is required to pass by June 15, 2023. The Governor can sign the Legislative budget and associated implementation bills up to June 30, 2023 (collectively, the "*2023-24 Budget Act*"). There can be no assurances that the final version of the 2023-24 Budget Act will meet the stated timelines or how closely it will follow the May Revision. Prospective investors may view the Department of Finance website for information about the final 2023-24 Budget Act.

PLAN OF FINANCING

The Corporation will use the proceeds of the Bonds, together with other available funds, to (i) refund the Series 2015A Bonds; (ii) finance and refinance the costs of expansion, renovation, improvement, furnishing and equipping of the Project; (iii) pay a portion of the interest on the Bonds during the construction of the Project; (iv) fund Bond Reserve Accounts for the benefit of the Bonds; (v) pay the premium to the Department in connection with the Contract of Insurance; and (vi) pay certain of the costs of issuance of the Bonds. See "ESTIMATED SOURCES AND USES OF FUNDS" herein.

The Project includes the construction of a 35-unit residential living building. See "THE PROJECT" in APPENDIX A hereto for additional information. See also APPENDIX C—"FINANCIAL FEASIBILITY REPORT."

The California Statewide Communities Development Authority previously issued the Series 2015A Bonds in the aggregate principal amount of \$6,360,000, of which \$5,255,000 is currently outstanding. A portion of the proceeds of the Bonds will be irrevocably deposited in an escrow fund. The funds deposited in such escrow fund will be sufficient to pay the principal of and interest on the Series 2015A Bonds coming due on and prior to their date of redemption and to redeem the Series 2015A Bonds on May 15, 2025 at a redemption price of 100% of the principal amount thereof. Upon such irrevocable deposit, the Series 2015A Bonds will be deemed paid and no longer outstanding. The funds deposited in the escrow fund will not be available to make payments on the Bonds. The deposit of moneys into the escrow fund will constitute an irrevocable deposit for the benefit of the holders of the Series 2015A Bonds. See "VERIFICATION OF MATHEMATICAL COMPUTATIONS" herein.

ESTIMATED SOURCES AND USES OF FUNDS

The following table sets forth the estimated sources and uses of funds related to the Bonds (with all amounts rounded to the nearest dollar).

	Series 2023A Bonds	Series 2023B-1 Bonds	Series 2023B-2 Bonds	Series 2023C Bonds	Total
Sources of Funds:					
Par Amount of Bonds	\$31,010,000	\$7,125,000	\$17,950,000	\$5,215,000	\$61,300,000
Original Issue Premium	1,531,701	-	-	-	1,531,701
Funds on Deposit for Series 2015 Bonds	-	-	-	521,565	521,565
Corporation's Equity	4,552,855	1,046,085	2,635,400	765,661	9,000,000
Total Sources of Funds	<u>\$37,094,556</u>	<u>\$8,171,085</u>	<u>\$20,585,400</u>	<u>\$6,502,226</u>	<u>\$72,353,266</u>
Uses of Funds:					
Project Costs	\$31,943,909	\$7,046,352	\$17,906,177	-	\$56,896,438
Capitalized Interest ⁽¹⁾	1,899,230	329,581	720,872	\$ 496,260	3,445,942
Series 2015 Escrow Account	-	-	-	5,345,251	5,345,251
Bond Reserve Accounts ⁽²⁾	1,027,466	285,000	673,125	286,825	2,272,416
Costs of Issuance ⁽³⁾	2,223,951	510,152	1,285,225	373,890	4,393,219
Total Uses of Funds	<u>\$37,094,556</u>	<u>\$8,171,085</u>	<u>\$20,585,400</u>	<u>\$6,502,226</u>	<u>\$72,353,266</u>

⁽¹⁾ A portion of the proceeds of the Bonds will be used to pay capitalized interest on the Bonds for approximately 26 months from the date of issuance thereof.

⁽²⁾ See "SECURITY AND SOURCE OF PAYMENT FOR THE BONDS – Bond Reserve Accounts" herein.

⁽³⁾ Includes legal, printing, rating agency and Authority's fees and expenses, Underwriter's discount, the premium paid to the Department for insurance under the Insurance Program and other miscellaneous issuance costs.

CONTINUING DISCLOSURE

THE AUTHORITY

Because the Bonds are limited obligations of the Authority, payable solely from amounts received from the Corporation, financial or operating data concerning the Authority is not material to an evaluation of the offering of the Bonds or to any decision to purchase, hold or sell the Bonds. Accordingly, the Authority is not providing any such information. The Corporation has undertaken all responsibilities for any continuing disclosure to holders of the Bonds, as described below, and the Authority shall have no liability to the holders of the Bonds or any other person with respect to Rule 15c2-12 promulgated by the Securities and Exchange Commission (the "Rule").

THE CORPORATION

In connection with the issuance of the Bonds, the Corporation will enter into a continuing disclosure agreement (the "*Continuing Disclosure Agreement*"), in which it will covenant for the benefit of the Holders and Beneficial Owners of the Bonds, to disseminate each of the following: (i) certain financial information and operating data relating to the Corporation (each, an "*Annual Report*") by not later than 120 days following the end of the Corporation's fiscal year (which currently is September 30), commencing with the report for the Corporation's fiscal year ending September 30, 2023, (ii) certain unaudited financial information and operating data relating to

the Corporation by not later than 45 days following the end of each fiscal quarter (each, a “*Quarterly Report*”), commencing with the Quarterly Report for the quarter ending June 30, 2023, (iii) the Corporation’s annual budget by not later than 30 days following the end of each fiscal year, and (iv) notices of the occurrence of certain enumerated events. The Annual Report, the Quarterly Report, the annual budget and notices of certain enumerated events will be filed by the Corporation (or by a dissemination agent on its behalf) with the MSRB through EMMA. These covenants have been made in order to assist the Underwriter in complying with the Rule. See APPENDIX F—“FORM OF CONTINUING DISCLOSURE AGREEMENT.”

The Corporation executed a continuing disclosure agreement similar to the Continuing Disclosure Agreement in connection with the issuance of the Series 2015A Bonds. During the past five years, the Corporation (a) failed to provide the required written statement of accountants calculating the Corporation’s debt service coverage ratio and days cash on hand for the fiscal year ended September 30, 2019, (b) filed its audited financial statements for the fiscal year ended September 30, 2022 60 days late, and (c) filed certain of its annual financial and operating information for the fiscal year ended September 30, 2022 four days late and failed to file other such information for the fiscal year ended September 30, 2022. The Corporation has instituted procedures to ensure compliance with the Continuing Disclosure Agreement following the issuance of the Bonds.

BONDHOLDERS’ RISKS

Set forth below are certain risk factors that should be considered before any investment in the Bonds is made. Certain risks are inherent in the successful operation of the Corporation’s facilities. This section discusses some of these risks but is not intended to be, and should not be considered, a comprehensive listing of all risks associated with the operation of the Community or the payment of the Bonds. These risks should be read together with the rest of the Official Statement.

GENERAL

As described herein under the caption “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS,” the principal of and interest on the Bonds, except to the extent that the Bonds will be payable, under certain circumstances, from proceeds of the Bonds, investment earnings thereon, proceeds of insurance, sale or condemnation awards or net amounts by recourse to the Deed of Trust, are payable solely from amounts payable by the Corporation under the Loan Agreement. No representation or assurance is given or can be made that revenues will be realized by the Corporation in amounts sufficient to pay debt service on the Bonds when due and other payments necessary to meet the obligations of the Corporation. The risk factors discussed below should be considered in evaluating the ability of the Corporation to make payments in amounts sufficient to provide for the payment of the principal of, the premium, if any, and interest on the Bonds.

The receipt of future revenues by the Corporation will be subject to, among other factors, (a) maintaining high occupancy levels by residents who are able to pay the residency costs and fees; (b) the capabilities of management of the Corporation (“*Management*”); (c) the effects of future government regulation of senior living, assisted living, memory care and extended care

facilities; (d) the policies of any material third-party payors; (e) the duration, scope, and aftereffects of the COVID-19 pandemic or other public health emergency and governmental and private responses to such emergency; (f) future economic and other conditions; and (g) increased competition from other senior living providers; all of which are unpredictable. The extent of the ability of the Corporation to generate future revenues has a direct effect upon the payment of principal of, premium and purchase price, if any, and interest on the Bonds. Neither the Underwriter nor the Authority has made any independent investigation of the extent to which any such factors may have an adverse effect on the revenues of the Corporation.

Payment of the principal of and interest on the Bonds will be insured by the Department. The Authority has no control, financial or otherwise, over the Department. If the Corporation defaults in making Loan Repayments and the Department defaults on its insurance obligations under the Contract of Insurance, there could be delay in payment to the Holders of the Bonds.

LIMITED OBLIGATIONS

NONE OF THE AUTHORITY, ANY AUTHORITY MEMBER OR ANY PERSON EXECUTING THE BONDS IS LIABLE PERSONALLY ON THE BONDS OR SUBJECT TO ANY PERSONAL LIABILITY OR ACCOUNTABILITY BY REASON OF THEIR ISSUANCE. THE BONDS ARE LIMITED OBLIGATIONS OF THE AUTHORITY, PAYABLE SOLELY FROM AND SECURED BY THE PLEDGE OF CERTAIN REVENUES UNDER THE INDENTURE. NEITHER THE AUTHORITY, ITS MEMBERS, THE STATE OF CALIFORNIA, NOR ANY OF ITS POLITICAL SUBDIVISIONS SHALL BE DIRECTLY, INDIRECTLY, CONTINGENTLY OR MORALLY OBLIGATED TO USE ANY OTHER MONEYS OR ASSETS TO PAY ALL OR ANY PORTION OF THE DEBT SERVICE DUE ON THE BONDS, TO LEVY OR TO PLEDGE ANY FORM OF TAXATION WHATEVER THEREFOR OR TO MAKE ANY APPROPRIATION FOR THEIR PAYMENT (EXCEPT TO THE EXTENT EXPRESSLY PROVIDED THROUGH THE INSURANCE PROGRAM DESCRIBED HEREIN). THE BONDS ARE NOT A PLEDGE OF THE FAITH AND CREDIT OF THE AUTHORITY, ITS MEMBERS, THE STATE OF CALIFORNIA OR ANY OF ITS POLITICAL SUBDIVISIONS, NOR DO THEY CONSTITUTE INDEBTEDNESS WITHIN THE MEANING OF ANY CONSTITUTIONAL OR STATUTORY DEBT LIMITATION. THE AUTHORITY HAS NO TAXING POWER.

MANAGEMENT'S FORECAST

Management's financial forecast contained in the Financial Feasibility Study included in APPENDIX C hereto is based upon assumptions made by the management of the Corporation. As stated in such financial forecast, there will usually be differences between the forecasted and actual results because events and circumstances frequently do not occur as expected, and those differences may be material. In addition, the financial forecast is only for the six years ending September 30, 2028, and consequently does not cover the whole period during which the Bonds may be outstanding. **The Financial Feasibility Study should be read in its entirety, including management's notes and assumptions set forth therein.** See APPENDIX C hereto.

BECAUSE THERE IS NO ASSURANCE THAT ACTUAL EVENTS WILL CORRESPOND WITH THE ASSUMPTIONS MADE, NO GUARANTEE CAN BE MADE THAT MANAGEMENT'S FINANCIAL FORECAST IN THE FINANCIAL FEASIBILITY STUDY WILL CORRESPOND WITH THE RESULTS ACTUALLY ACHIEVED IN THE FUTURE. ACTUAL OPERATING RESULTS MAY BE AFFECTED BY MANY UNCONTROLLABLE FACTORS, INCLUDING BUT NOT LIMITED TO INCREASED COSTS, LOWER THAN ANTICIPATED REVENUES, EMPLOYEE RELATIONS, TAXES, GOVERNMENTAL CONTROLS, CHANGES IN

APPLICABLE GOVERNMENTAL REGULATION, CHANGES IN DEMOGRAPHIC TRENDS, CHANGES IN THE SENIOR CARE AND HOUSING AND HEALTH CARE INDUSTRIES, AND GENERAL ECONOMIC CONDITIONS.

DELAY IN PAYMENT OF TEMPORARY DEBT

Management's financial forecast contained in the Financial Feasibility Study included in APPENDIX C hereto currently anticipates that the Series 2023C Bonds, the Series 2023B-2 Bonds and the Series 2023B-1 Bonds will be subject to mandatory redemption from funds held in the Redemption Fund upon achieving occupancy of 15%, 65% and 85%, respectively, of the Project. There can be no guarantee, however, that there will be sufficient funds in the Redemption Fund in order to so redeem such Bonds. See "SECURITY AND SOURCE OF PAYMENT FOR THE BONDS—Entrance Fee Fund." The Entrance Fee Redemption Account will be funded from Entrance Fees in accordance with the Indenture as described herein.

STATE BOND INSURANCE

Because the principal and interest payments on the Bonds to the Trustee (but not payments from the Trustee to the holders of the Bonds) will be insured by the Department, if the principal and interest payments on the Bonds are not made when due by the Corporation, such payments would be made by the Department from the HFCLIF. The last actuarial study of HFCLIF obtained by the Department was as of June 30, 2020, and indicated that the HFCLIF could be depleted prior to the final maturity date of the Bonds in the event a 10% probability of catastrophic loss was assumed. The 2020 Actuarial Study is available at the website of the Department. See "CALIFORNIA HEALTH FACILITY CONSTRUCTION LOAN INSURANCE PROGRAM—The Department, the Insurance Program and the Insurance Fund."

To the extent the HFCLIF reserves are depleted and subject to the requirements of the Insurance Law, the Department shall request the Treasurer to issue debentures which are fully and unconditionally guaranteed as to principal and interest by the State in an amount equal to the then outstanding principal amount of the Bonds. Accordingly, any decline in the State's fiscal condition could adversely affect the State's ability to make payment on debentures in the event of a claim on such insurance. See "CERTAIN FINANCIAL INFORMATION REGARDING THE STATE."

In addition, over certain time periods, deterioration in the State's budget and cash situation may cause the nationally recognized rating services to reduce the State's credit ratings. S&P Global Ratings, the rating agency for the Bonds, has indicated that it rates the Department's insured bonds on par with the rating of the State's general obligation bonds and that any rating action affecting the State will directly affect the rating on the Insurance Program. Therefore, any decline in the State's fiscal condition could adversely affect the rating on the Bonds. See "CALIFORNIA HEALTH FACILITY CONSTRUCTION LOAN INSURANCE PROGRAM—The Department, the Insurance Program and the Insurance Fund." See also "CERTAIN FINANCIAL INFORMATION REGARDING THE STATE" and "RATING."

COVID-19 OR OTHER PUBLIC HEALTH EMERGENCY

General. The occurrence of a public health emergency, including a pandemic similar to the COVID-19 pandemic discussed below, and governmental and public responses to such

emergency, may directly or indirectly affect the operations and financial condition of senior living facility operations in a multitude of ways. There can be no assurance that a future pandemic or other public health emergency will not result in material adverse consequences to the operations or financial condition of the Corporation. The extent to which business interruption insurance would be available in connection with a pandemic or other public health emergency is fact-dependent and there can be no assurance that any available coverage would be sufficient to cover losses.

COVID-19 Pandemic. A public health emergency (“PHE”) with respect to the COVID-19 outbreak was declared in January of 2020 and a national emergency (“NE”) was declared in March of 2020. The Biden administration has announced its plan to extend both the NE and PHE to May 11, 2023, and then end both emergency declarations on that date.

The COVID-19 pandemic had significant negative effects on the economy generally as well as direct health care related consequences. The pandemic resulted in volatility in equity markets and the public markets for the issuance and trading of all securities. The pandemic caused business failures and cutbacks attributable to “social distancing” practices and changes in market behavior, the complete effects of which are still unclear. National, state, and local governmental actions taken during the pandemic, including the passage of laws and regulations, caused substantial changes to the way health care is provided and how society in general functions and may have long-term consequences for the way health care services are provided generally. Although the full effect of the COVID-19 pandemic cannot be ascertained or predicted at this time, it materially and adversely affected the Corporation’s operations and finances, and some negative effects are likely to continue. For additional information about the effect of the COVID-19 outbreak on the Corporation’s operations and financial condition, see APPENDIX A—“INFORMATION CONCERNING ALDERSLY—COVID-19 UPDATE.”

COVID-19 Relief Funds. The federal Coronavirus Aid, Relief, and Economic Security Act (“CARES Act”) created a Public Health and Social Services Emergency Fund, commonly known as the Provider Relief Fund, with a direction to the U.S. Department of Health and Human Services (“DHHS”) to distribute funds through grants or other mechanisms to eligible providers for healthcare related expenses or lost revenues that are attributable to coronavirus. DHHS distributed funding from the Provider Relief Fund as grants, not as loans, and did so automatically without requiring an application. However, all Provider Relief Fund recipients must attest to the program’s “Terms and Conditions,” which among other things, require the submission and maintenance of documentation to substantiate that funds were used for allowable expenses. To be an allowable expense under the program, the funds must have been used to prevent, prepare for and respond to COVID-19. All allowable expenses must be supported by adequate documentation in accordance with the Terms and Conditions.

DHHS is expected to maintain a robust audit program to ensure compliance with the terms and conditions of the CARES Act. Violations may be pursued as false claims under the Federal False Claims Act and may occur as a result of an audit by DHHS or by the filing of a whistleblower complaint under the Federal False Claims Act. There can be no assurance that the Corporation will not be the subject of an audit, what the penalties for even minor and inadvertent violations might be, or that the Corporation will not be the subject of false claims actions, whether arising as a result of DHHS oversight activities or in response to whistleblower filings.

For more information, see APPENDIX A—“INFORMATION CONCERNING ALDERSLY—FINANCIAL INFORMATION.”

GENERAL ECONOMIC CONDITIONS AND FINANCIAL MARKET DISRUPTION

The U.S. economy is unpredictable. Economic downturns and other unfavorable economic conditions have previously impacted the health care and senior care industries and health care and senior care providers’ business and financial condition. Also, as described above, the COVID-19 pandemic has had, and continues to have, an adverse impact on the U.S. economy. If general economic conditions worsen, the Corporation may not be able to sustain future revenue levels, and its liquidity and ability to repay outstanding debt, including debt service on the Bonds, may be adversely affected. Broad economic factors—such as inflation, unemployment, instabilities in consumer spending, or instabilities in the housing market—could adversely affect the Corporation’s business and its ability to collect outstanding receivables. Other economic conditions that from time to time may adversely affect the Corporation’s revenues and expenses, and, consequently, its ability to make all scheduled payments under the Loan Agreement (and corresponding payments on the Bonds), include but are not limited to: (1) an inability to access financial markets on acceptable terms at a desired time or increased borrowing costs, (2) significant investment portfolio losses, (3) increased business failures and consumer and business bankruptcies, (4) federal and state budget challenges resulting in reduced or delayed federal health care program reimbursement or pension benefit cuts, (5) a reduction in the demand for senior living and care services, (6) increases in lawsuits or increased insurance expenses, (7) a shortage of professional and non-professional personnel or medical supplies, (8) inflation and increased operating costs, (9) a reduction in the receipt of grants and charitable contributions, or (10) increased competition from other senior care communities. Future financial market disruptions cannot be predicted and there can be no assurance that future financial disruptions will not materially or adversely affect the operations and financial condition of the Corporation. **The Financial Feasibility Study should be read in its entirety, including management’s notes and assumptions set forth therein.** See APPENDIX C hereto.

Like the rest of the country, the senior living sector has recently experienced significant increases in costs of food and energy, in addition to associated wage and salary pressures. Many of these cost increases do not appear to be COVID-19 related. The Corporation anticipates that inflation, particularly in wages, food, and energy prices, will continue for the foreseeable future. The inability of the Corporation to increase fees and charges to keep pace with inflation could adversely affect the financial condition and results of operations of the Corporation.

UNCERTAINTY OF REVENUES

Although the Corporation expects that revenues will be adequate to make all scheduled payments under the Loan Agreement (and corresponding payments on the Bonds), a number of factors could decrease revenues. Future economic and other conditions, including those summarized above under “GENERAL ECONOMIC CONDITIONS AND FINANCIAL MARKET DISRUPTION”, may adversely affect revenues and, consequently, the Corporation’s ability to make payments under the Loan Agreement.

The principal and interest payments on the Bonds will be insured by the Department. The Authority has no control, financial or otherwise, over the Department. If the Corporation

were to default in making Loan Repayments under the Loan Agreement and the Department were to default on its insurance obligations under the Contract of Insurance, there could be insufficient funds available to pay the Holders of the Bonds. See “CALIFORNIA HEALTH FACILITY CONSTRUCTION LOAN INSURANCE PROGRAM,” “CERTAIN FINANCIAL INFORMATION REGARDING THE STATE,” and “BONDHOLDERS’ RISKS—State Bond Insurance.”

FAILURE TO ACHIEVE AND MAINTAIN OCCUPANCY AND TURNOVER

The ability of the Corporation to generate sufficient revenues depends in large part on the Corporation’s ability to attract sufficient numbers of residents to the Community in order to maintain substantial occupancy and turnover of occupancy throughout the term of the Bonds. Because occupancy and turnover at the Community depends upon factors outside the Corporation’s control, such as residents’ rights to terminate their contracts with the Corporation or residents’ financial condition, the Corporation must rely on various assumptions about the Corporation’s residents and the market for its services. Where such assumptions prove to be wrong, the Corporation’s revenue will be affected. For example, the Corporation’s receipt of additional entrance fees could be impaired by fewer permanent transfers to higher levels of care at the Community than anticipated, or a market-induced reduction in the amount of or deferral of the entrance fees payable by new residents. Revenues would also be impaired if the Corporation is unable to remarket units as they become available. If the Corporation fails to maintain occupancy levels and remarket residential living units as they become available, or if there is a reduction in the amount of entrance fees received, the Corporation may lack sufficient funds to pay debt service on the Bonds. **The Financial Feasibility Study should be read in its entirety, including management’s notes and assumptions set forth therein.** See APPENDIX C hereto.

COMPETITION

Increased competition from a wide variety of potential sources, including but not limited to other life plan communities (or CCRCs), multi-level retirement communities, assisted living communities, retirement communities, memory care communities, residential living communities, life care communities, skilled nursing facilities, nursing homes, inpatient and outpatient health care facilities, independent living communities, home health agencies and other providers could adversely affect the utilization and/or revenue of the Corporation. Existing and potential competitors may not be subject to various restrictions applicable to the Corporation, and competition may, in the future, arise from new sources not currently anticipated or prevalent. Such competition could inhibit the extent to which the Corporation will be able to raise charges and maintain or increase admissions. There can be no assurance that additional competing facilities will not be built in the future or that medical and technological advances will not reduce demand for the Corporation’s programs and services. **The Financial Feasibility Study should be read in its entirety, including management’s notes and assumptions set forth therein.** See APPENDIX C hereto.

CHANGES IN CAPABILITIES OF HOME HEALTH CARE TECHNOLOGY

New and changing methods of care delivery, such as web-based home monitoring, telemedicine, mobile health, and smartphone technology, will continue to rapidly change the way in which providers of health services to seniors deliver home health, home care, hospice and other community-based services. These developments will further the ability of the home health,

personal care, and hospice industries to care for patients in their homes. The availability of technological advances is expected to increase the ability of seniors to remain in their homes longer than has historically been feasible, which could result in significantly reduced demand for senior living and care facilities. Efforts to reduce hospital readmissions and costs in the overall care continuum will further the use of these new and changing technologies. These changes may allow other companies, including hospitals and other health care organizations that are not currently providing home health, personal care, and hospice care, to expand their services to include home health care, home care, personal care, hospice care, telehealth, or similar services.

REAL ESTATE MARKETS/SALE OF PERSONAL RESIDENCES

During the term of the Bonds, prospective residents of the Community may have difficulty selling their current homes due to national and local economic conditions impairing the sale of residential real estate and, as a consequence, may not have sufficient assets to pay entrance fees and monthly service fees. This could cause a delay in scheduled occupancy of the Community or the remarketing of vacated units, or a reduction in the amount or deferral of the entrance fees payable, all of which would have an adverse effect on the revenue of the Corporation.

FIXED INCOME OF THE ELDERLY

A large percentage of the monthly income of residents and prospective residents of the Community is fixed income derived from pensions and Social Security. If, due to inflation or otherwise, substantial increases in fees are required to cover increases in operating costs, wages, benefits and other expenses, many residents may have difficulty paying or may be unable to pay such increased fees. Alternatively, any decrease in the amounts paid by a resident's fixed income sources could affect such resident's ability to meet financial obligations. The Corporation's inability to collect the full amount of residents' payment obligations may adversely affect the ability of the Corporation to make payments with respect to the Bonds.

REDUCED DEMAND

Several factors could, if present, affect demand for services of the Corporation, including: (i) efforts by insurers and governmental agencies to reduce utilization of assisted living and long-term care facilities by means such as preventive medicine and home health programs; (ii) increased consumer demand for services at home; (iii) advances in scientific and medical technology; (iv) a decline in the population or a change in the age composition of the population; (v) a decline in the economic conditions of the service area of the Community; (vi) an increase in premiums or other disruption in the long-term care insurance market, causing fewer prospective residents to consider the Community as a retirement option; (vii) governmental, commercial and individual responses to the COVID-19 pandemic or other infectious disease outbreak; and (viii) general disruptions in the health care, long-term care or insurance markets resulting from health care reform efforts or otherwise. **The Financial Feasibility Study should be read in its entirety, including management's notes and assumptions set forth therein.** See APPENDIX C hereto.

FINANCIAL ASSISTANCE AND OBLIGATION TO RESIDENTS

The Corporation only enters into residency agreements with residents whom it judges to be creditworthy. The Corporation may provide, but does not guarantee, financial assistance to residents unable to pay the required fees by reason of circumstances beyond their control and through no fault of their own. Additionally, the Corporation may elect, in its sole discretion, to provide the resident with a credit against all or a portion of the fees due. Established criteria will determine an individual's eligibility for the subsidy or credit, and the application and review process will be administered by the Corporation. The Corporation is required by applicable law relating to its status as an organization described under Section 501(c)(3) of the Code to maintain a policy of generally not requiring residents to leave its facilities because of the inability to pay, provided they did not transfer their assets for less than fair market value or otherwise compromise their own financial condition, and to the extent that the Corporation can subsidize residents without jeopardizing its own financially sound operations. The Corporation has stated that it expects to maintain such a policy. Such requirement and policy may require the Corporation in the future to provide increased financial assistance or absorb greater operating losses. There may be circumstances, however, under which the requirements for greater financial assistance may have a material adverse effect on the financial condition of the Corporation.

DISCOUNTING OR REFUNDING OF ENTRANCE FEES

The Corporation may feel compelled to offer discounts to entrance fees in the future to achieve desired levels of occupancy of the Community. Certain assumptions regarding the operations of the Community will be directly affected by the discounting of initial entrance fees. Discounting of entrance fees could significantly affect the cash flow of the Corporation and the Corporation's ability to redeem the Bonds. Additionally, under certain circumstances, the Corporation is obligated to refund a resident's entrance fee. The payment of such refunds could adversely affect the Corporation's ability to make payments required by the Loan Agreement.

LONG TERM CARE INSURANCE

Some Community residents may use long-term care insurance to help cover their costs of care. If long-term care insurance premiums rise, or residents otherwise lose their long-term care insurance coverage due to insurance market disruptions or reforms, such residents may have difficulty meeting their financial obligations. The Corporation's inability to collect the full amount of residents' payment obligations may adversely affect the ability of the Corporation to make payments with respect to the Bonds.

CONSTRUCTION RISKS

There can be no assurances given that the Project will be completed or that it can be completed for the cost and within the time as set forth in this Official Statement. Failure to complete the Project or to complete it in a timely fashion at the estimated cost could adversely affect the ability of the Corporation to generate sufficient revenues to continue its planned operations and to make payments with respect to the Bonds. For example, the plan of finance assumes that entrance fees payable on or before initial occupancy of the Project by individual

residents will be used to refund the Series 2023B Bonds and the Series 2023C Bonds. See “THE BONDS — Redemption — Extraordinary Entrance Fee Redemption.” If the completion of the Project is delayed, the receipt of entrance fees necessary for such purpose, as well as the receipt of monthly service fees necessary to fund operations, may be adversely impacted. If the receipt of entrance fees is delayed to an extent that the Series 2023B Bonds and the Series 2023C Bonds are not refunded with entrance fees as set forth herein, the Series 2023B-1 Bonds will mature and be payable in full on November 15, 2028, the Series 2023B-2 Bonds will mature and be payable in full on November 15, 2028 and the Series 2023C Bonds will mature and be payable in full on November 15, 2027.

Whether or not the Project will be completed on schedule depends upon a large number of factors, many of which may be beyond the control of the Corporation. These include, but are not limited to, adverse weather, strikes, delays in the delivery of or shortages of materials, tariffs on materials, supply chain disruptions, delays in the issuance of required building permits, environmental restrictions or similar unknown or unforeseeable contingencies. Further, there can be no assurance that the Project will conform to construction specifications or state or local regulations. The occurrence of any of the foregoing could result in increases in construction costs or considerable delays in, or complete impossibility of, completion of the Project, resulting in a failure to achieve anticipated operating results. Construction costs could exceed the amounts originally forecast due to a number of factors, including change orders, delays in construction schedules, scarcity of building materials and labor and inflation.

LICENSING DELAY

The timeline to achieve any required regulatory approval for the Project may be longer than expected and negatively impact occupancy levels and revenues of the Corporation. Any delay in the licensing and full operation of the Project could result in losses in excess of those projected in the Financial Feasibility Report in APPENDIX C to this Official Statement. **The Financial Feasibility Study should be read in its entirety, including management’s notes and assumptions set forth therein.** See APPENDIX C hereto.

UNCERTAINTY OF INVESTMENT INCOME

The investment earnings of, and accumulations in, certain funds established pursuant to the Indenture have been estimated and are based on assumed interest rates. While these assumptions are believed to be reasonable in view of the rates of return presently and previously available on the types of securities in which the Trustee is permitted to invest under the Indenture, there can be no assurance that similar interest rates will be available on such securities in the future, nor can there be any assurance that the estimated earnings will actually be realized.

The Corporation has significant holdings in a diversified portfolio of investments. Market fluctuations have affected and will continue to affect the value of those investments and those fluctuations may be material.

PHILANTHROPY

The Corporation derives income from unrestricted gifts and donations to supplement operating revenues to finance operations and capital needs. See APPENDIX B—“AUDITED FINANCIAL STATEMENTS OF ALDERSLY AND SUBSIDIARY AS OF AND FOR THE FISCAL YEARS ENDED SEPTEMBER 30, 2020, 2021 AND 2022.” Although Management expects gifts and donations to remain at least at current levels, there can be no assurance that this revenue will not decrease, adversely affecting the financial condition of the Corporation.

INCREASES IN COSTS OF CARE AND SERVICES

Because the Corporation is obligated to provide its continuing care contract residents with the right to move to a higher level of care, a deviation from the anticipated mortality rate or care requirements of the resident population or substantial unanticipated increases in the cost of such care could have a negative impact on the operations of the Community. The undertaking to provide such care is a contractual obligation of the Corporation, and no assurance can be given that the Corporation will have sufficient funds to meet its anticipated obligations. In addition, the cost of providing personal care and health care services, as well as activities and programs, may increase due to increases in salaries paid to nurses and other personnel and due to shortages in personnel which may require use of registries or employment agencies. Increases in third party therapy services and other ancillary costs such as drugs and medical supplies may also increase costs.

ADDITIONAL CAPITAL REQUIREMENTS

The Corporation’s operations are capital intensive. Economic conditions such as credit market dysfunction and increased regulation of the financial industry could make it more difficult for the Corporation to access the capital markets or to otherwise fund capital expenses through borrowings on favorable terms and conditions. Any such limitation could result in delayed or deferred capital expenditures that could be integral to the operations of the Corporation.

LABOR COSTS AND RELATIONS

The Corporation cannot control the prevailing or required minimum wage rates in its service area and any increase in such rates will directly affect the costs of its operations. Effective January 1, 2023, California’s minimum wage is \$15.50 per hour for employers with 26 or more employees, among the highest in the country. Management has examined the effect of California’s minimum wage law and does not anticipate that such minimum wage increases will have a material adverse effect on the financial condition of the Corporation.

The Corporation’s workforce includes professional, quasi-professional, technical, clerical, housekeeping, maintenance, dietary and other types of workers. As with all employers, the Corporation bears a wide variety of risks in connection with these employees. These risks include strikes and other related work actions, contract disputes, difficulties in recruitment or retention, discrimination claims, personal tort actions, work-related injuries, exposure to hazardous materials, interpersonal torts, risks related to benefit plans, and other risks that may

flow from the relationships between employer and employee or between residents and employees. Certain of these risks are not covered by insurance, and certain of them cannot be anticipated or prevented in advance. Such risks, alone or in combination, could have material adverse consequences to the financial condition or operations of the Corporation.

Employees subject to collective bargaining agreements may include nurses and technical personnel, as well as food service, maintenance, and other personnel. Renegotiation of collective bargaining agreements upon expiration may result in significant cost increases. Employee strikes or other adverse labor actions may have an adverse impact on operations, revenue, and facility reputation. Presently, none of the Corporation's employees are represented by labor unions, and Management is not aware of any efforts to organize employees into any collective bargaining groups.

NATIONWIDE STAFFING SHORTAGE IN SENIOR LIVING FACILITIES

The health care and senior care industries have historically experienced regular turnover in certain health care and dietary personnel, particularly, nurses, nurses' aides, dietary staff and certain housekeeping positions. Staffing shortages may result in increased costs and lost revenues from time to time due to the need to hire temporary nurses or other personnel at higher rates and increased compensation levels, and the inability to operate at full capacity. Currently, a nationwide staffing shortage at both the professional and non-professional level is affecting the senior living sector and is forcing many such facilities to reduce admissions, rely on overtime shifts, increase wages, and hire staff through outside staffing agencies at increased hourly rates. Such increased costs and lost revenues could adversely affect the operations or financial condition of the Corporation. There can be no assurance that the Corporation will be able to attract enough full- and part-time employees to meet its staffing needs. The ability to maintain adequate staffing has been complicated by a pandemic and related vaccination mandates.

The Biden administration has indicated that it intends to impose federal minimum staffing requirements on skilled nursing facilities ("SNFs"). CMS has stated that it expects to issue the related proposed rule in the spring of 2023. Although the Community does not currently include a SNF, a federal or state minimum staffing mandate would exacerbate the staffing shortage on a national level, which may adversely affect the operations and financial condition of the Corporation.

SENIOR MANAGEMENT TURNOVER AND SUCCESSION PLANNING

Nonprofit senior living providers nationwide are expecting senior management turnover in the next three to ten years which may make it more difficult to retain members of the Corporation's senior management team or to recruit replacements should any members of the Corporation's management team retire or otherwise cease employment with the Corporation. While the Corporation has been able to retain the services of qualified professionals for its senior management team in the past, there can be no guarantee that the Corporation will continue to be able to do so. A lack of qualified professionals for its senior management team could adversely affect the operating results of the Corporation.

GENERAL RISKS OF SENIOR LIVING FACILITIES

There are many diverse factors not within the Corporation's control that have a substantial bearing on the risks generally incident to the operation of the Community. These factors include generally imposed fiscal policies, adverse use of adjacent or neighboring real estate, the ability to maintain the Community, community acceptance of the Community, changes in demand for long-term care services, changes in the number of competing facilities, changes in the costs of operation of the Community, changes in the laws of the State affecting long term care programs, the limited income of the elderly, changes in the long term care and health care industries, difficulties in or restrictions on the Corporation's ability to raise rates charged, general economic conditions and the availability of working capital. In recent years, a significant number of senior living facilities throughout the United States have defaulted on various financing obligations or otherwise have failed to perform as originally expected. There can be no assurance that the Corporation will not experience one or more of the adverse factors that caused other senior living facilities to fail. Many other factors may adversely affect the operation of facilities like the Facilities and cannot be determined at this time.

PROFESSIONAL LIABILITY CLAIMS AND LIABILITY INSURANCE

In recent years, the number of professional and general liability suits and the dollar amounts of damage recoveries has increased nationwide in the health care and senior care industries, resulting in substantial increases in malpractice insurance premiums, higher deductibles and generally less coverage. Professional liability and other actions alleging wrongful conduct and seeking punitive damages are often filed against health care providers. Insurance does not provide coverage for judgments for punitive damages. Insurers are mandating lower amounts of coverage, requiring greater deductibles, and charging more in premiums. Policies issued may not be renewed or renewable. It is not possible at this time to determine either the extent to which malpractice coverage will continue to be available to the Corporation or the premiums at which such coverage can be obtained. Although the Corporation currently carries excess professional liability and general liability insurance, as well as an umbrella policy, that Management considers adequate, the Corporation is unable to predict the availability, cost or adequacy of such insurance in the future.

FEDERAL AND STATE BUDGETARY PRESSURES

The federal government and many states, including California, face financial challenges that may cause a shortfall between revenue and spending demands. Federal and state budget deficits may negatively affect the senior care sector and long-term care residents in a number of ways, including, but not limited to, reductions or delays in public benefits or pension benefit cuts. Additionally, the federal government is subject to a debt "ceiling" established by Congress. In the past, political disputes concerning authorization of a federal debt ceiling increase have led to shutdowns of substantial portions of the federal government. Federal budget delays and federal government shutdowns are unpredictable and may occur in the future. Management is unable to determine what impact, if any, future federal or state budget challenges may have on the operations and financial condition of the Corporation. See also "FEDERAL AND STATE REGULATION — *Federal and State Health Care Program Reimbursement Cuts or Delays*" below.

The Community is currently a private-pay life plan community (also known as a CCRC). Management currently has no plans for the Community to accept Medicare or Medicaid reimbursement or bill for services under either program. However, Medicare or Medicaid may be billed by third-party providers of home care or other services to Community residents, and in the future Management may choose to accept Medicaid reimbursement if the assisted living waiver program becomes available in Marin County, California in the future.

FEDERAL AND STATE REGULATIONS

Changes in Law and Policies. The operations of senior living providers are subject to federal, state and local laws and regulations, and sanctions imposed under or changes to such laws or regulations could adversely affect the operations or financial results of the Corporation. Licensing and certification requirements are subject to change, and there can be no assurance that the Corporation will be able to maintain all necessary licenses or certifications, or that it will not incur substantial costs in doing so. Both federal and state regulation relating to senior living providers have been subject to change in the past, and future change can be expected. The effect of such changes may materially adversely affect the operations and financial condition of the Corporation.

Federal and State Health Care Program Reimbursement Cuts or Delays. Medicare and Medicaid are the commonly used names for reimbursement or payment programs governed by certain provisions of the federal Social Security Act. Medicare is an exclusively federal program and Medicaid is a combined federal and state program. Medicare provides certain health care benefits to beneficiaries who are 65 years of age or older, are disabled, or qualify for the End Stage Renal Disease Program. Medicare Part A covers inpatient hospital services, up to 100 days of certain post-hospital skilled nursing and rehabilitative services, and certain other services, and Medicare Part B covers outpatient services, physician services, medical supplies and durable medical equipment. Medicare Part D provides a prescription drug benefit. Medicaid is designed to pay providers for care given to the medically indigent and others who receive federal aid. Medicaid is funded by federal and state appropriations and administered by the applicable state. CMS administers the Medicare program and works with the states to administer the Medicaid program, as well as other health care programs. Under such programs, participating providers are subject to various regulatory requirements relating thereto, including without limitation limits on reimbursement, anti-fraud and abuse provisions, restrictions on referrals, and various reporting requirements. The participation in any such programs in the future could affect the Corporation's operations.

The federal and state governments have in the past, and may in the future, reduce federal health care program spending, either pursuant to budget reductions or in accordance with health care reform laws or efforts. The reduction of Medicare or Medicaid spending may have a material adverse effect upon communities where residents receive services (such as hospital care) funded by Medicare and Medicaid payments.

The Corporation was previously both a Medicare and Medicaid (known as Medi-Cal in California) provider in its skilled nursing facility. For the fiscal years ended September 30, 2020 and 2021, Medicare reimbursement represented approximately 10.5% and 5.6%, respectively, of the Corporation's total operating revenues. The Corporation did not derive any operating

revenues from Medi-Cal for such periods. The Corporation voluntarily terminated its Medicare enrollment and its Medi-Cal enrollment effective February, 2022.

Although the Community is now a private pay life plan community that does not bill Medicare or Medicaid for services, to the extent Managed decides to accept Medicare or Medicaid in the future, reductions in federal and state funding for those health care programs could impact the financial condition of the Corporation. Management currently has no plans to accept Medicare or Medicaid but may change this plan in the future.

Health Care Reform. The Patient Protection and Affordable Care Act of 2010 and the Health Care and Education Affordability Reconciliation Act of 2010 (collectively referred to as the “ACA”) have significantly changed the United States health care delivery system, addressing almost all aspects of health facility and provider operations, including the delivery of health care services, the financing of health care costs, health care provider reimbursement and the legal obligations of health care providers, insurers, employers and consumers. Due to the controversial nature of health care reform generally, implementation of the ACA has been, and remains, politically controversial. Since its enactment, the ACA has faced a stream of opposition from Republican lawmakers calling for its repeal and/or replacement, along with a string of lawsuits challenging various aspects of the law. To date, the ACA has survived several major Supreme Court challenges and no bills wholly repealing the ACA have passed both chambers of Congress. However, the Tax Cuts and Jobs Act of 2017 effectively eliminated a key provision of the ACA – a tax penalty associated with failing to maintain health coverage by reducing the penalty to zero dollars effective 2019. New legal or legislative challenges to the ACA may occur in the future. In addition to actual and possible legislative changes or legal challenges, executive branch actions and policies could impact the viability of the ACA. President Biden has taken, and is expected to continue to undertake, executive actions that will strengthen and build on the ACA and may reverse certain policies of the prior administration that are seen as undermining the ACA.

Although the Community is currently a private-pay life plan community that does not accept Medicare or Medicaid reimbursement for services, a repeal or replacement of the Affordable Care Act could directly affect the Community in various ways, including affecting (1) the health insurance coverage and costs provided by the Corporation to its employees, (2) the costs to residents of services provided by the Corporation, and (3) the willingness of prospective residents to consider the Community as a retirement option. Additionally, any legal, legislative or executive action that significantly changes or disrupts the health care, senior care, or health insurance industries, generally, could have a material adverse effect on the Corporation’s business or financial condition.

Federal and State Fraud and Abuse Laws. Certain federal laws, including the laws commonly known as the Anti-Kickback Statute, the Stark Law and the False Claims Act, seek to protect the federal health care programs from fraud and abuse (collectively, the “*Federal Healthcare Fraud Laws*”). The Federal Healthcare Fraud Laws are complex, heavily enforced and subject to frequent amendment. In addition, *qui tam* or “whistleblower” provisions of the False Claims Act allow private individuals to bring actions on behalf of the government. Violation of the Federal Healthcare Fraud Laws may result in significant financial penalties, fines, exclusion from the federal health care programs and/or criminal liability. Although the Community is currently a private-pay life plan community that does not bill the federal health

care programs for services, any past non-compliance, or future non-compliance (to the extent the Corporation re-enrolls in such programs), with the Federal Healthcare Fraud Laws could have a material adverse effect on the financial condition of the Obligated Group. Management currently has no plans to accept Medicare or Medicaid reimbursement but may change this plan in the future.

A number of states, including California, have passed health care fraud and abuse laws similar to the Federal Healthcare Fraud Laws, but have expanded the scope of the prohibitions to apply to entities which bill private insurers. To the extent the Community accepts payment from private insurers, violation of state fraud and abuse laws could have a material adverse effect on the financial condition of the Corporation. Management currently has no plans to accept private insurance directly but may change this plan in the future.

Although the Corporation has a compliance program designed to help ensure material compliance with laws, rules and regulations affecting the senior living sector, these policies and procedures may not be wholly effective. If the Corporation is alleged or found to have violated such laws, rules or regulations, the Corporation's operations and financial condition could be materially adversely affected. At the present time, Management is not aware of any pending or threatened claims, investigations or enforcement actions regarding any applicable federal or state statutes which, if determined adversely to the Corporation, would have a material adverse effect on the financial condition of the Corporation.

Federal and State Privacy Laws. Specific state and federal laws govern the use and disclosure of confidential patient health information, as well as patients' rights to access and amend their own health information. The Administrative Simplification Requirements of the Health Insurance Portability and Accountability Act of 1996 ("*HIPAA*") established national standards to facilitate the electronic exchange of Protected Health Information ("*PHI*") and to maintain the privacy and security of the PHI. These standards have a major effect on health care providers which transmit PHI in electronic form in connection with HIPAA standard transactions (e.g., health care claims). In particular, HIPAA established standards governing: (1) electronic transactions and code sets; (2) privacy; (3) security; and (4) national identifiers.

In 2009, HIPAA was amended by the Health Information Technology for Economic and Clinical Health ("*HITECH*") Act to impose certain of the HIPAA privacy and security requirements directly upon business associates of covered entities and significantly increase the monetary penalties for violations of HIPAA. Regulations that took effect in late 2009 also require business associates to notify covered entities, who in turn must notify affected individuals and government authorities, of data security breaches involving unsecured PHI. Since the passage of the HITECH Act, enforcement of HIPAA violations has increased.

Two state medical information privacy laws expand California's health care privacy standards and provided new oversight mechanisms and enforcement penalties. These state privacy laws, among other things, penalize unlawful access, use or disclosure of a patient's health care information. State consumer privacy laws may also provide the basis for legal action for privacy and security breaches and, unlike HIPAA, authorize a private right of action. The state privacy laws provide additional sources of potential legal liability for the Corporation and compliance with such laws may require the Corporation to incur additional costs.

The Corporation has developed policies, procedures and practices that Management believes address applicable federal and state privacy and security laws and regulations, but if it was determined that the Corporation was not in compliance with such law and regulations, criminal and civil penalties could be imposed.

STATE LICENSURE AND REGULATION OF SENIOR LIVING PROVIDERS

The operations of the Corporation are subject to numerous licensing, certification and other governmental requirements that are administered by a variety of federal and state governmental agencies as well as by self-regulatory associations and commercial medical insurance reimbursement programs. These include, but are not limited to, requirements relating to state licensing agencies and private payors. Renewal and continuance of certain of these licenses, certifications and approvals are based upon inspections, surveys, audits, investigations or other review, some of which may require or include affirmative action or response by the Corporation. An adverse determination could result in a loss, fine or reduction in the Corporation's scope of licensure or certification, could adversely affect the Corporation's ability to undertake certain expenditures, or could reduce the payment received or require the repayment of the amounts previously remitted. The Corporation currently anticipates no difficulty in renewing or continuing currently-held licenses and certifications. It is impossible, however, to predict the effect of future regulation on the operations or financial condition of the Corporation.

Senior living providers have been subject to increased state inspection and survey activity due to the COVID-19 pandemic.

State Licensure of the Community. The Corporation operates the Community as a life plan community offering four levels of care, all of which together are licensed as a Residential Care Facility for the Elderly ("RCFE") by the California Department of Social Services ("DSS"). If the Corporation fails to meet any of the below described state statutory or regulatory requirements with respect to life plan communities (CCRCs) or RCFEs, the Community could become unable to operate as described herein and, consequently, the Corporation could be unable to meet debt service requirements on the Bonds.

Per the California Health and Safety Code ("*Health and Safety Code*"), an agreement to provide one or more elements of care to an elderly resident for the duration of his or her life or for a term in excess of one year in exchange for the payment of periodic charges is regarded as a "continuing care contract" subject to rules and regulations under the Health and Safety Code. Any facility entering into such continuing care contracts in the state of California are considered CCRCs which must obtain: (i) a license to operate a RCFE from the DSS, (ii) where there is a SNF on the premises, a license to operate a SNF from the California Department of Public Health, and (iii) a certificate of authority ("*Certificate of Authority*") from DSS to enter into continuing care contracts with residents. The Community does not currently include a SNF. The Corporation previously operated a SNF, but voluntarily closed its SNF and surrendered its SNF license effective February 10, 2023.

If the Corporation fails to meet any of the below described state statutory or regulatory requirements with respect to RCFEs and CCRCs, it could become unable to operate as described herein and, consequently, be unable to meet debt service requirements on the Bonds. State laws and regulations governing the RCFEs and CCRCs are occasionally amended or reformed by the

California legislature or DSS, as applicable. There is no assurance that future legislation or regulation in California will not have an adverse impact on the ability of the Corporation to operate the Community as expected.

RCFE Licensure. RCFE licenses renew annually upon payment of renewal fees; however, the license is subject to suspension or revocation on any ground specified in Health and Safety Code Section 1569.50 (violation by the licensee of the RCFE law; aiding, abetting, or permitting violation of the RCFE law; conduct inimical to the health, morals, welfare, or safety of either an individual in or receiving services from the facility or the people of the State of California; the conviction of a licensee, or other person for whom criminal record clearance is required, any time before or during licensure, of a crime as defined in the RCFE law; and engaging in acts of financial malfeasance concerning operation of a facility, including, but not limited to, improper use or embezzlement of client monies and property or fraudulent appropriation for personal gain of facility monies and property, or willful or negligent failure to provide services for the care of clients).

DSS may deny licensing if it is not satisfied with the Corporation's compliance with requirements to operate as an RCFE in the state. In addition, DSS has broad remedial powers to intervene in the operation of a provider who fails to comply with applicable regulatory requirements once the provider is licensed and in operation.

CCRC Certificate of Authority. In addition to the license described above, continuing care providers are required to obtain a Certificate of Authority from DSS prior to entering into continuing care contracts with residents. A Certificate of Authority may be suspended, conditioned or revoked by DSS if it finds that the continuing care provider has done any of the following: (i) violated the statutes, or the rules and regulations of the Health and Safety Code governing continuing care contracts (Health and Safety Code Sections 1770 et. seq) (the "*Continuing Care Law*"); (ii) aided, abetted, or permitted the violation of the Continuing Care Law; (iii) had a license suspended or revoked; (iv) made a material misstatement, misrepresentation, or fraud in obtaining its licenses, permits or Certificate of Authority; (v) demonstrated a lack of fitness or trustworthiness; (vi) engaged in any fraudulent or dishonest practices or management in the conduct of business; (vii) misappropriated, converted, or withheld moneys; (viii) after request by DSS for an examination, access to records, or information, refused to be examined or otherwise to cooperate; (ix) manifested an unsound financial condition; (x) used methods and practices in the conduct of business so as to render further transactions by the provider hazardous or injurious to the public; (xi) failed to maintain at least the minimum statutory reserves required by the Continuing Care Law; (xii) failed to comply with the requirements of the Continuing Care Law for maintaining escrow accounts for funds; (xiii) failed to file its annual report; (xiv) violated a condition of its permit to accept deposits or Certificate of Authority; (xv) failed to comply with its approved financial and marketing plan or to secure approval of a modified plan; (xvi) materially changed or deviated from an approved plan of operation without the prior consent of DSS; (xvii) failed to fulfill its obligations under continuing care contracts; (xviii) made material misrepresentations to depositors, prospective residents or residents of a continuing care retirement community; (xix) failed to submit proposed changes to continuing care contracts prior to use, or is using a continuing care contract that has not been previously approved by DSS; or (xx) failed to diligently submit materials requested by DSS or required by the Continuing Care Law.

The suspension or revocation of a Certificate of Authority by DSS, or the voluntary return of the Certificate of Authority by a continuing care provider, does not release such provider from the obligations assumed at the time continuing care contracts were executed. In the case of any violation or threatened violation of the Continuing Care Law, DSS may institute a proceeding or may request the Attorney General of the State to institute a proceeding to obtain injunctive or other equitable relief in the superior court in and for the county in which the violation has occurred or will occur, or in which the principal place of business of the continuing care provider is located. If at any time DSS determines that further efforts to rehabilitate the continuing care provider would not be in the best interest of the CCRC residents or prospective residents, or would not be economically feasible, DSS may apply to the court for an order of liquidation and dissolution or may apply for other appropriate relief for dissolving the property and bringing to conclusion its business affairs. Upon issuance of an order directing the liquidation or dissolution of the provider, DSS shall revoke the continuing care provider's Certificate of Authority.

As a provider offering a continuing care contract, the Corporation is required by the Continuing Care Law to maintain at all times qualifying assets ("*Qualifying Assets*") as a liquid reserve in an amount at least equal to the sum of (a) the amount the provider is required to hold as a debt service reserve under Section 1792.3 of the Health and Safety Code (the "*Debt Service Reserve Amount*") and (b) the amount the continuing care provider is required to hold as an operating expense reserve under Section 1792.4 of the Health and Safety Code (the "*Operating Expense Reserve Amount*"). The Debt Service Reserve Amount is the amount equal to the sum of (i) all regular principal and interest payments, and credit enhancement premiums, paid by the Corporation during the immediately preceding fiscal year on account of any fully amortizing long-term debt owed by the Corporation; (ii) facility rental or leasehold payments, and any related payments, paid by the Corporation during the immediately preceding fiscal year; and (iii) all payments paid by the Corporation during the immediately preceding fiscal year on account of any debt that provides for a balloon payment. The Operating Expense Reserve Amount is an amount that equals or exceeds 75 days' net operating expenses, which includes all expenses of the Corporation except (1) interest and credit enhancement expenses factored into the Debt Service Reserve Amount described above, (2) depreciation or amortization expenses, (3) an amount equal to the reimbursement paid to the Corporation during the past 12 months for services to residents other than residents holding continuing care contracts, and (4) extraordinary expenses that DSS determines may be excluded by the Corporation. Qualifying Assets are: (1) cash; (2) certificates of deposit and United States Treasury securities with a maturity of five years or less; (3) certain investment securities (as defined in Section 1771(i)(2) of the Health and Safety Code); (4) certain equity securities, including mutual funds (as defined in Section 1771(e)(7) of the Health and Safety Code); and (5) certain lines of credit and letters of credit meeting the requirements of Section 1792.2(a)(5) of the Health and Safety Code. The Corporation is not required to set aside, deposit into escrow, or otherwise restrict the assets it holds as its liquid reserve, unless DSS expressly requires it to do so because DSS has reason to believe the Corporation is insolvent, in imminent danger of becoming insolvent, in a financially unsound or unsafe condition, or in a condition such that it may otherwise be unable fully to perform its obligations pursuant to continuing care contracts. As of September 30, 2022, the Corporation was in compliance with the financial reserve requirements described above.

The Continuing Care Contracts Bureau of DSS reviews each CCRC in the state at least once every three years to augment the Bureau's assessment of the CCRC's financial soundness.

The Bureau considers the condition of the CCRC, whether the CCRC is operating in compliance with applicable state law, and whether the CCRC is performing the services specified in its continuing care contracts. Failure to maintain any required financial reserves or to comply with regulatory requirements may result in civil penalties or the suspension or revocation of a CCRC's Certificate of Authority. Additionally, upon certain failures to comply with regulatory requirements, including the CCRC becoming insolvent or unable to perform its contractual obligations, DSS is authorized to petition for the appointment of a court-appointed administrator to rehabilitate the CCRC. In this capacity, the administrator's powers include taking possession of the CCRC's assets and property, dealing with the property in the administrator's name, depositing and investing any of the CCRC's funds, and paying all expenses of the rehabilitation. In the event of a permanent relocation of residents from the Community is required due to termination or forfeiture of the Corporation's Certificate of Authority or licenses, certain procedures are required to be followed. These procedures include the establishment of a reserve, trust fund or performance bond in an amount sufficient to cover the cost and ensure the fulfillment the Corporation's statutory obligations, which include the cost of moving residents to other communities and may include additional monetary compensation to the affected residents in certain circumstances.

The Community is subject to a statutory limitation on transfer. Pursuant to Sections 1773 and 1789.4 of the Health and Safety Code, a provider may not sell or transfer ownership of a CCRC without the approval of DSS, including the granting of any interest in the facility, such as a mortgage or deed of trust. Pursuant to Health and Safety Code Section 1779.4, as a condition to the receipt of a Certificate of Authority to operate as a CCRC, a provider must also record a "Notice of Statutory Limitation of Transfer" with respect to the real property on which the facility is located, indicating that use and transfer of the property is subject to the conditions and limitations imposed by the Health and Safety Code, which Notice is required to be recorded prior to encumbering the CCRC property with a proposed encumbrance securing financing. The limitations on transfer imposed by the Health and Safety Code Section 1789.4 include approval by DSS following review of an application that identifies the purchaser, the terms of the sale, a plan for ensuring performance of the existing continuing care contract obligations and notice to and acknowledgment by the residents. Further, unless a new provider assumes all of the continuing care obligations of the selling provider at the close of the sale or transfer, the selling provider must set up a trust fund or secure a performance bond to ensure the fulfillment of all of its continuing care contract obligations. The purchaser must also make application for and obtain the appropriate licenses and certificate of authority before executing any continuing care contracts or assuming the selling provider's continuing care contracts.

In 2016, then Governor Brown signed a bill (the "*Monning Bill*") which aims to protect CCRC residents and their estates against significant delays in the repayment of residents' entrance fees when contracts condition the repayment on the resale of CCRC units ("*Repayable Contracts*"). The Monning Bill amended the Continuing Care Law to require that unpaid entrance fee repayment amounts that remain outstanding after certain periods of time will accrue interest as provided in Section 1788.4 of the Continuing Care Law. Specifically, (i) any entrance fee repayment balance that has not been paid to the resident or the resident's estate within 180-239 days after termination of the Repayable Contract will accrue simple interest at an annual rate of 4%, (ii) any entrance fee repayment balance still outstanding at 240 days after termination of the Repayable Contract will accrue simple interest at an annual rate of 6% until repayment is made, and (iii) any entrance fee repayment not made within one year after the 240-day period

will accrue interest at an annual rate of 6%, compounded annually. By its terms, the Monning Bill applies only to Repayable Contracts entered into on or after January 1, 2017. The Corporation offers a Repayable Contract option. The Monning Bill also requires CCRCs to disclose the average and longest length of time for entrance fee repayment over the preceding 5 years. Any future state action to further regulate the conditions and timing of entrance fee refunds could negatively affect the operations and financial condition of the Borrowers. See also APPENDIX A—“INFORMATION CONCERNING ALDERSLY—RESIDENCY AGREEMENTS.”

The Corporation has obtained the necessary RCFE license and Certificate of Authority to enter into continuing care contracts from DSS in order to operate the Community. In the opinion of Management, the Corporation operates the Community in a manner consistent with the Health and Safety Code. To Management’s knowledge, the Corporation’s existing RCFE license and CCRC Certificate of Authority have never been suspended, conditioned, or revoked. There is no guarantee that the Corporation’s licenses to operate the licensed portions of the Community will not be suspended, conditioned or revoked in the future.

For more information regarding the types of services offered by the Corporation at the Community, see APPENDIX A—“INFORMATION CONCERNING ALDERSLY—THE COMMUNITY.”

CYBERSECURITY RISKS

Cybersecurity refers to the combination of technologies, processes and procedures established to protect information technology systems and data from unauthorized access, attack, or damage. The Corporation relies on its information systems for its business operations and to provide security for processing, transmission and storage of confidential resident and other information, including information relating to health protected by HIPAA. Although the Corporation has taken steps to protect the security of its information systems and the data maintained in those systems, it is possible that these security measures will not prevent improper access or disclosure of personally identifiable information. Security breaches, including electronic break-ins, computer viruses, attacks by hackers and similar breaches can create system disruptions or shutdowns or the unauthorized disclosure of confidential information. Cyber-attacks (such as ransomware or malware attacks) targeting health care providers have been occurring more frequently, and in some cases, have resulted in the interruption or temporary cessation of services. If protected personal or health information of residents or others is improperly accessed, tampered with or distributed, the Corporation may incur significant costs to remediate possible injury to the affected residents or other persons, and the Corporation may be subject to sanctions and civil penalties if it is found to be in violation of the privacy or security rules under HIPAA or other similar federal or state laws protecting confidential patient health information. Any failure to maintain proper functionality and security of information systems could interrupt the Corporation’s operations, damage its reputation, subject it to liability claims or regulatory penalties and could have a material adverse effect on its operations, financial condition and results of operations. Although the Corporation has insurance against some cyber risks and attacks, it may not be sufficient to offset the impact of a material loss event.

AMENDMENTS TO THE DOCUMENTS

Certain amendments to the Indenture and the Loan Agreement may be made without the consent of the owners of the outstanding Bonds under the Indenture and certain amendments may be made with the consent of the owners of a majority of the outstanding Bonds. Certain amendments to the Deed of Trust may be made with the consent of the Department and the Corporation, but without the consent of the Trustee, the Bondholders, holders of Parity Debt or the Authority. Such amendments may adversely affect the security of the Bondholders. See APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—INDENTURE—Amendment of Indenture.”

ADDITIONAL INDEBTEDNESS

In addition to its obligations with respect to the Bonds, the Corporation may incur other indebtedness that may be secured by a security interest in Gross Revenues and the lien of the Deed of Trust on a parity with the Corporation’s obligation to make Loan Repayments under the Loan Agreement, if issued for the purposes and subject to the conditions provided in the Regulatory Agreement. Parity Debt may not be incurred unless it is insured by the Department or, if the Parity Debt can be issued as such without being insured under the Insurance Law, it is issued with the consent of the Department. See APPENDIX D—“SUMMARY OF PRINCIPAL DOCUMENTS—REGULATORY AGREEMENT—Parity Debt.”

BANKRUPTCY

In the event of bankruptcy of the Corporation, the rights and remedies of the holders of the Bonds are subject to various provisions of the federal Bankruptcy Code. If the Corporation was to file a petition in bankruptcy, payments made by the Corporation during the 90-day (or perhaps one-year) period immediately preceding the filing of such petition may be voidable as preferential transfers to the extent such payments allow the recipients thereof to receive more than they would have received in the event of the Corporation’s liquidation. Security interests and other liens granted to the Trustee and perfected during such preference period also may be voided as preferential transfers to the extent such security interest or other lien secures obligations that arose prior to the date of such perfection. Such a bankruptcy filing would operate as an automatic stay of the commencement or continuation of any judicial or other proceeding against the Corporation and its property and as an automatic stay of any act or proceeding to enforce a lien upon or to otherwise exercise control over its property as well as various other actions to enforce, maintain or enhance the rights of the Trustee. If the bankruptcy court so ordered, the property of the Corporation, including accounts receivable and proceeds thereof, could be used for the financial rehabilitation of the Corporation despite any security interest of the Trustee therein. The rights of the Trustee to enforce its security interests and other liens it may have could be delayed during the pendency of the rehabilitation proceeding.

The Corporation could file a plan for the adjustment of its debts in any such proceeding, which plan could include provisions modifying or altering the rights of creditors generally or any class of creditors, secured or unsecured. The plan, when confirmed by a court, binds all creditors who had notice or knowledge of the plan and, with certain exceptions, discharges all claims against the debtor to the extent provided for in the plan. No plan may be confirmed unless certain conditions are met, among which conditions are that the plan be feasible and that it shall have been accepted by each class of claims impaired thereunder. Each class of claims has

accepted the plan if at least two thirds in dollar amount and more than one-half in number of the class cast votes in its favor. Even if the plan is not so accepted, it may be confirmed if the court finds that the plan is fair and equitable with respect to each class of non-accepting creditors impaired thereunder and does not discriminate unfairly.

Pursuant to the Indenture, the Department will have the right to vote in the place and stead of all owners of Bonds with respect to any plan of reorganization on any agreement for composition of creditors and on any assignment for the benefit of creditors.

RISKS RELATED TO TAX-EXEMPT STATUS

Tax-Exempt Status of the Tax-Exempt Bonds. The Code imposes a number of requirements that must be satisfied for interest on state and local obligations, such as the Tax-Exempt Bonds, to be excludable from gross income for federal income tax purposes. These requirements include, among other things, limitations on the use of bond proceeds and facilities financed with bond proceeds, limitations on the investment earnings of bond proceeds prior to expenditure, a requirement that certain investment earnings on bond proceeds be paid periodically to the United States, and a requirement that the Authority file an information report with the IRS. The Authority, the Corporation and the Trustee have covenanted to comply with these requirements to the extent applicable. Failure to comply with the requirements stated in the Code and related regulations, rulings and policies may result in the treatment of the interest on the Tax-Exempt Bonds as taxable. Such adverse treatment may be retroactive to the date of issuance. See also, "TAX MATTERS."

IRS officials have recently indicated that more resources will be invested in audits of tax-exempt bonds in the charitable organization sector. The Tax-Exempt Bonds may be, from time to time, subject to audits by the IRS. Bond Counsel will render an opinion with respect to the tax-exempt status of the Tax-Exempt Bonds, as described under the caption "TAX MATTERS" below. The opinion of Bond Counsel is not binding on the IRS. There is no assurance that an IRS examination on the Tax-Exempt Bonds will not adversely affect the market value of the Tax-Exempt Bonds. See "TAX MATTERS" below.

Proposed Legislation Regarding Limitations or Elimination of Tax-exempt Status of Bonds. Tax legislation, administrative actions taken by tax authorities, or court decisions, whether at the Federal or state level, may adversely affect the tax-exempt status of interest on the Bonds under Federal or state law or otherwise prevent beneficial owners of the Tax-Exempt Bonds from realizing the full current benefit of the tax status of such interest. In addition, such legislation or actions (whether currently proposed, proposed in the future, or enacted) and such decisions could affect the market price or marketability of the Tax-Exempt Bonds.

Prospective investors should consult with their tax advisors on the foregoing matters as they consider an investment in the Tax-Exempt Bonds.

Tax-Exempt Status of the Corporation. The tax-exempt status of the Tax-Exempt Bonds depends, among other things, upon maintenance by the Corporation of its status as an organization described in Section 501(c)(3) of the Code. The maintenance of such status is contingent on compliance with general rules promulgated in the Code and related regulations regarding the organization and operation of tax-exempt entities, including its operation for

charitable and other permissible purposes and its avoidance of transactions that may cause its earnings or assets to inure to the benefit of private individuals. As these general principles were developed primarily for charities that do not conduct large-scale technical operations and business activities, they often do not adequately address the myriad operations and transactions entered into by a modern senior living organization. Although traditional activities of senior living providers have been the subject of interpretations by the IRS in the form of Private Letter Rulings, many activities or categories of activities have not been fully addressed in any official opinion, interpretation or policy of the IRS.

The IRS has issued Revenue Rulings dealing specifically with the manner in which a facility providing residential services to the elderly must operate in order to maintain its exemption under Section 501(c)(3) of the Code. Revenue Ruling 72-124 states that an otherwise qualified organization will qualify for charitable status for purposes of the Code if it operates in a manner designed to satisfy the needs of elderly persons for housing, health care and financial security. The need for housing is generally met if the organization provides residential facilities specifically designed to meet some combination of the physical, emotional, recreational, social, religious and similar needs of elderly persons. The need for health care is generally met if the organization directly provides some form of health care or, in the alternative, makes such care available through continuing arrangements with other organizations, facilities or health personnel. The need for financial security is generally met if two conditions are satisfied: (1) the organization must be committed to an established policy of maintaining in residence any persons who become unable to pay their regular charges, and (2) the organization operates so as to provide its services to the elderly at the lowest feasible cost, taking into account such expenses as the payment of indebtedness, maintenance of adequate reserves, and reserves for physical expansion. Revenue Ruling 79-18 states that a charitable organization providing residential services to the elderly may admit only those tenants who are able to pay full rental charges, *provided* that those charges are set at a level that is within the financial reach of a significant segment of the community's elderly persons and that the organization maintains in residence those tenants who become unable to pay monthly charges. Later rulings clarify that the need to subsidize residents is limited to the extent the provider can provide such subsidies without jeopardizing its own sound financial operations.

If the IRS were to find that the Corporation has participated in activities in violation of certain regulations or rulings, the Corporation's tax-exempt status could be in jeopardy. Although the IRS has not frequently revoked the Section 501(c)(3) tax-exempt status of nonprofit senior living corporations, it could do so in the future. Loss of tax-exempt status by the Corporation potentially could result in loss of tax exemption of all or a portion of the Tax-Exempt Bonds, and defaults in covenants regarding the Tax-Exempt Bonds and other outstanding tax-exempt debt and obligations likely would be triggered. Loss of the Corporation's tax-exempt status also could result in substantial tax liabilities on the income of the Corporation.

In lieu of revocation of exempt status, the IRS may impose penalty excise taxes on certain "excess benefit transactions" involving Section 501(c)(3) organizations and "disqualified persons." An excess benefit transaction is one in which a disqualified person receives more than fair market value from the exempt organization or pays the exempt organization less than fair market value for property or services, or shares the net revenues of the tax-exempt entity. A disqualified person is a person (or a certain kind of entity) who is in a position to exercise

substantial influence over the affairs of the exempt organization during the five years preceding an excess benefit transaction. The statute imposes excise taxes on the disqualified person and any “organization manager” who knowingly participates in an excess benefit transaction. These rules do not penalize the exempt organization itself, so there would be no direct impact on the Corporation or the tax status of the Tax-Exempt Bonds if an excess benefit transaction were subject to IRS enforcement.

It is not possible to predict the scope or effect of future legislative or regulatory actions with respect to taxation of nonprofit corporations. There can be, however, no assurance that future changes in the laws and regulations of the federal, state or local governments, or the interpretation of existing or future laws and regulations will not materially and adversely affect the operations and revenues of the Corporation by requiring them to pay income taxes.

Property Taxes. The Community (other than one small parcel) is exempt from property taxation except for minor assessments and payments in lieu of taxes (PILOTs). However, budgetary pressures on state and local government may lead to increasing pressures for state legislation to amend the property tax statutes to subject to taxation various properties owned by nonprofit organizations or to condition exemption from taxation upon the performance of specific types or level of charitable activity.

In recent years, state, county, and local taxing authorities have been undertaking audits and reviews of the operations of tax-exempt organizations with respect to their property tax exemption for both real and personal property. In some states, including California, these authorities have interpreted the criteria for exemption more narrowly than in the past, resulting in revocation, denial, or limitation of exemption. The Corporation expects the majority of its real and personal property to be exempt from ad valorem property taxes. Investigations or audits could lead to challenges of the property tax exemption that, if successful, could adversely and materially affect the property tax exemption of the Community.

Intermediate Sanctions. In 1996, the Taxpayers Bill of Rights 2 (the “*Taxpayers Act*”) was signed into law. The Taxpayers Act provides the IRS with an “intermediate” tax enforcement tool to combat violations by tax-exempt organizations of the private inurement prohibition of the Code. Prior to the “intermediate sanctions law,” the IRS could punish such violations only through revocation of an entity’s tax-exempt status.

Intermediate sanctions may be imposed where there is an “Excess Benefit Transaction,” defined to include a disqualified person (*i.e.*, an insider) (1) engaging in a non-fair market value transaction with the tax-exempt organization; (2) receiving unreasonable compensation from the tax-exempt organization; or (3) receiving payment in an arrangement that violates the private inurement proscription.

A disqualified person who benefits from an excess benefit transaction will be subject to a “*first tier*” penalty excise tax equal to 25% of the amount of the excess benefit. Organizational managers who participate in an excess benefit transaction knowing it to be improper are subject to a first-tier penalty excise tax of 10% of the amount of the excess benefit, subject to a maximum penalty of \$20,000. A “*second tier*” penalty excise tax of 200% of the amount of the excess benefit may be imposed on the disqualified person (but not the organizational manager) if the excess benefit transaction is not corrected in a specified time period.

CERTAIN MATTERS RELATING TO ENFORCEABILITY

The effectiveness of the security interests in the Corporation's Gross Revenues granted in the Loan Agreement and the Regulatory Agreement may be limited by a number of factors, including: (i) the absence of an express provision permitting assignment of receivables owed to the Corporation under its contracts, and present or future prohibitions against assignment contained in any applicable statutes or regulations; (ii) commingling of the proceeds of Gross Revenues with other moneys not subject to the security interest in the Gross Revenues; (iii) statutory liens; (iv) rights arising in favor of the United States of America or any agency thereof; (v) constructive trusts, equitable or other rights impressed or conferred by a federal or state court in the exercise of its equitable jurisdiction; (vi) federal bankruptcy laws or state insolvency laws which may affect the enforceability of the Deed of Trust or the security interest in the Gross Revenues of the Corporation which are earned by the Corporation within 90 days preceding or, in certain circumstances with respect to related corporations, within one year preceding and after any effectual institution of bankruptcy proceedings by or against the Corporation; (vii) rights of third parties in Gross Revenues converted to cash and not in the possession of the Trustee; and (viii) claims that might arise if appropriate financing or continuation statements are not filed or other documents are not executed in accordance with the California Uniform Commercial Code as from time to time in effect. The security interests described above will be perfected, to the extent such interests can be perfected, by the filing of financing statements and the delivery by the Corporation of deposit account control agreements governing bank depository accounts of the Corporation. Under the Uniform Commercial Code, such security interest ceases to attach to proceeds of Gross Revenues, *e.g.*, collections of accounts receivable which cannot be traced to a specific account of the Corporation other than the Gross Revenue Fund created under the Loan Agreement and the Regulatory Agreement or otherwise have ceased to be "identifiable cash proceeds."

There exists, in addition to the foregoing, common law authority and authority under California statutes pursuant to which the California courts may terminate the existence of a nonprofit corporation or undertake supervision of its affairs on various grounds, including a finding that such corporation has insufficient assets to carry out its stated charitable purposes or has taken some action which renders it unable to carry out such purposes. Such court action may arise on the court's own motion pursuant to a petition of the California Attorney General or such other persons who have interests different from those of the general public, pursuant to the common law and statutory power to enforce charitable trusts and to see to the application of their funds to their intended charitable uses.

CERTAIN RISKS ASSOCIATED WITH THE DEED OF TRUST

Valuation. The Community is located in a region that has experienced real property market volatility throughout the past few years. There can be no assurance that, if the Corporation were to default in making the payments under the Loan Agreement, (i) any part or all of the Community could be foreclosed upon and sold for an amount sufficient to fully pay the outstanding principal of and interest on the Bonds or (ii) any bid would be received for the Community and, if received, that such bid would be sufficient to fully pay the outstanding principal of and interest on the Bonds.

Priority of the Liens. The lien created under the Deed of Trust delivered by the Corporation constitutes a first lien on and security interest in the Collateral Property. The liens are subordinate to and independent of liens for general property taxes, special taxes and assessments. Additional special taxes or assessments may be imposed on the Community by other public agencies that have jurisdiction over the Collateral Property. Such future special taxes or assessments would have priority over the liens created under the Deed of Trust. Additionally, the Corporation may create Permitted Encumbrances which have priority over the liens created under the Deed of Trust.

Hazardous Substances. While governmental taxes, assessments and charges are common claims against the value of property, other less common claims may be relevant. One of the most serious in terms of the potential reduction in the value that may be realized is a claim with regard to hazardous substances. In general, the Corporation may be required by law to remedy conditions of the Community relating to release of hazardous substances. The federal Comprehensive Environmental Response, Compensation and Liability Act of 1980, sometimes referred to as "CERCLA" or the "Superfund Act," is the most well-known and widely applicable of these laws. California laws with regard to hazardous substances are stringent and similar to the federal acts. Under many of these laws, the owner (or operator) is obligated to remedy a hazardous substance condition on property, whether or not the owner (or operator) had or has anything to do with the creation or handling of the hazardous substance. Consequently, if any part of the Community is affected by a hazardous substance, the marketability and value of the parcel may be reduced by the cost of remedying the condition. Further, such liabilities may arise not simply from the existence of a hazardous substance but from the method of handling the hazardous substance. Any of these circumstances could significantly affect the value of the Collateral Property that would be realized upon a delinquency and foreclosure.

Foreclosure. There are two methods of foreclosing on a deed of trust under California law: by nonjudicial sale and by judicial sale. Foreclosure under a deed of trust may be accomplished by a nonjudicial trustee's sale under the power of sale provision in the deed of trust. Prior to such sale, the trustee must record a notice of default and election to sell and must send a copy to the trustor, any person who has recorded a request for a copy of the notice of default and notice of sale, any successor in interest of the trustor and the beneficiary of any junior deed of trust. Following the lapse of three months after recording the notice of default and election to sell, the trustee may give notice of sale. The notice of sale must be posted in a public place and published once each week throughout a 20-day period prior to the trustee's sale. Such notice of sale must be posted on the property and must be sent to the trustor, to each person who has requested a copy, to any successor in interest of the trustor and to the beneficiary of any junior deed of trust at least 20 days prior to the sale. The trustor, any successor in interest of the trustor, or any person having a junior lien or encumbrance of record may cure the default during the statutory reinstatement period by paying the entire amount of the debt then due under the terms of the deed of trust and the obligations secured thereby (exclusive of principal due by virtue of acceleration upon default) plus costs and expenses actually incurred in enforcing the obligation and certain statutorily limited attorneys' and trustee's fees. In addition, the notice of sale must be recorded with the county recorder at least 14 days prior to the date of sale. Following the sale, neither the trustor nor any junior lien holder has any right of redemption, and the beneficiary may not ordinarily obtain a deficiency judgment against the trustor.

If foreclosure under a deed of trust is sought in the form of a judicial foreclosure, it generally is subject to most of the delays and expenses that occur with other lawsuits. Judicial foreclosure sometimes requires up to several years to complete. The primary advantage of a judicial foreclosure is that the beneficiary is entitled, subject to other limitations, to obtain a deficiency judgment against the trustor to the extent that the amount of the debt is in excess of the fair market value of the property. Following a judicial foreclosure sale, the trustor or its successors in interest may redeem the property for a period of one year (or a period of three months if the entire amount of the debt is bid at the foreclosure sale).

Antideficiency Legislation and Other Limitations on Lenders. The State of California has four principal statutory prohibitions limiting the remedies of a beneficiary under a deed of trust. Two of these prohibitions limit the beneficiary's right to obtain a deficiency judgment, one being based on the method of foreclosure and the other on the type of debt secured. Under the former, a deficiency judgment ordinarily is barred when the foreclosure is accomplished by means of a nonjudicial trustee's sale, except where the deed of trust is given to secure the payment of bonds authorized or permitted to be issued by the California Commissioner of Corporations. Under the latter (not intended to be applicable in this situation), a deficiency judgment is barred where a foreclosed deed of trust secures certain purchase money obligations.

Another California statute, commonly known as the "one form of action" rule, requires the beneficiary to exhaust the security under a deed of trust by foreclosure before bringing a personal action against the trustor on the indebtedness. If a court were to hold that this rule was applicable to the Deed of Trust and the Authority or the Trustee were to file suit to collect the debt under the Loan Agreement without seeking first to enforce their remedies under the Deed of Trust, they might be precluded from thereafter proceeding under the Deed of Trust to foreclose on the Collateral Property.

Another statutory provision limits any deficiency judgment obtained by a beneficiary following a judicial sale to the excess of the outstanding debt above the fair market value of the property at the time of sale. This prevents a beneficiary from obtaining a large deficiency judgment against the debtor as the result of low bids at a judicial sale.

Other statutory provisions (such as the federal bankruptcy laws) may have the effect of delaying enforcement of the lien of the Deed of Trust in the event of a default by the Corporation.

RIGHTS OF RESIDENTS

The Corporation enters into residency agreements with Community residents. Although these agreements give to each resident a contractual right to use space and do not grant any ownership rights in the Community, in the event that either the Trustee or the holders of the Bonds seek to enforce any of the remedies provided by the Indenture upon the occurrence of a default, Management is unable to predict how a court might resolve competing claims between the Trustee, the Authority or the holders of the Bonds, on the one hand, and the residents of the Community who have fully complied with all the terms and conditions of their residency agreements, on the other.

The Corporation may, from time to time, be subject to pressure from organized groups of residents seeking, among other things, to raise the level of services or to maintain the level of facility service fees or other charges without increase. Moreover, the Corporation may be subject to conflicting pressures from different groups of residents, some of whom may seek an increase in the level of services while others wish to hold down monthly service fees and other charges. No assurance can be given that the Corporation will be able to satisfy such resident groups.

ENVIRONMENTAL, OCCUPATIONAL, AND OTHER HEALTH AND SAFETY MATTERS

Senior care and housing communities are subject to a wide variety of federal, state and local environmental, occupational, and other health and safety laws and regulations. Among the types of environmental and occupational safety regulatory requirements faced by such facilities, and by their owners and operators, are: air and water quality control requirements; waste management requirements; specific regulatory requirements applicable to asbestos, medical waste and polychlorinated biphenyls; requirements for providing notice to employees and members of the public about hazardous materials handled by or located at such facilities; requirements for training employees in the proper handling and management of hazardous materials and wastes; and other requirements. Owners and operators of such facilities may be subject to liability for investigating and remediating any hazardous substances that have come to be located on the property, including any such substances that may have migrated off of the property. Practical, financial, and legal risks associated with compliance with environmental and occupational health and safety laws and regulations may result in (1) damage to individuals, property or the environment, (2) the interruption of operations, (3) increased operating costs, (4) legal liability, damages, injunctions, citations or fines, and (5) investigations, administrative proceedings, civil litigation, criminal prosecution, penalties or other governmental agency actions. Such actions may not be covered by insurance. There is no assurance that the Corporation will not encounter such problems in the future and such problems may result in material adverse consequences to the Corporation's business or financial condition.

In addition to the environmental, health and safety laws and regulations that typically apply to the Corporation, compliance with COVID-19-related occupational health and safety laws, may increase operating costs or affect the Corporation's ability to recruit and retain employees.

Under the federal Comprehensive Environmental Response, Compensation and Liability Act and under comparable California State law, a secured party which takes a deed in lieu of foreclosure, purchases a mortgaged property at a foreclosure sale or operates a mortgaged property may become liable in certain circumstances for the cost of remedial action if hazardous waste or hazardous substances have been released or disposed of on the property. Such remedial action costs could subject the Collateral Property to a lien and reduce or eliminate the amounts otherwise available to pay the owners of the Bonds if such remedial action costs were incurred.

NATURAL DISASTERS

The Community is situated in or near a region that has experienced significant wildfires and floods in recent years. The occurrence of a significant wildfire or flood in the area, or the occurrence of other natural disasters in the area such as droughts and earthquakes, may damage

part or all of the Community, interrupt utility service to part or all of the Community or otherwise impair the operation of part or all of the Community or the generation of revenues from part or all of the Community beyond existing insurance coverage. No assurance is given as to the continuation of such insurance coverage, which, among other things, may not be available at a reasonable cost in the future. Climate change may increase the frequency or severity of wildfires, significant weather events, or other natural disasters. See also, “SEISMIC RISK” below.

SEISMIC RISK

The Community is situated in an active earthquake zone. A significant earthquake in the region could have a material adverse effect on the Corporation and could result in material damage and temporary or permanent cessation of operations at the Community. Under the Regulatory Agreement, the Corporation will agree to keep the Community and all of its operations adequately insured at all times including through earthquake insurance (unless waived by the Department).

POSSIBLE FUTURE CHANGES TO ACCOUNTING POLICIES AND PROCEDURES

From time to time, accounting policies and procedures change as accounting principles that are generally accepted in the United States change. Such changes may cause a variation in the presentation of the financial information of the Corporation. There can be no assurance that any such changes would not have a material adverse impact on the Corporation’s compliance with certain covenants contained in the Regulatory Agreement.

MARKETABILITY OF THE BONDS

Although the Underwriter intends, but is not obligated, to make a market for the Bonds, there can be no assurance that there will be a secondary market for the Bonds, and the absence of such a market for the Bonds could result in investors not being able to resell the Bonds should they need to or wish to do so.

OTHER POSSIBLE RISK FACTORS

Potential purchasers should also consider the following factors prior to purchasing the Bonds. This list is not, and is not intended to be, all inclusive.

Energy. Changes to the cost and availability of energy could, among other things, affect the cost of utilities of the Corporation’s facilities and thereby adversely affect the operations of the Corporation.

Changes to Federal, State or Local Laws or Regulations. Changes to the laws and regulations affecting the Corporation’s operations such as reinstatement or establishment of mandatory governmental wage, rent or price controls, or changes in tax, pension, social security or other laws and regulations affecting the provisions of health care, retirement benefits and other services to seniors, could have an adverse effect on the future operating or financial performance of the Corporation.

Early Redemption. Purchasers of Bonds, including those who purchase Bonds at prices in excess of their principal amount or who hold Bonds trading at prices in excess of their principal amount, should consider that the Bonds are subject to redemption prior to maturity at a redemption price that may be less than the prices at which such Bonds were purchased or are trading. See “THE BONDS—Redemption.”

Forward-Looking Statements. Certain statements contained in this Official Statement do not reflect historical facts but instead are forecasts and “Forward-Looking Statements.” No assurance can be given that the future results discussed herein will be achieved, and actual results may differ materially from the forecasts described herein. In this respect, the words “estimate,” “forecast,” “project,” “anticipate,” “expect,” “intend,” “believe” and other similar expressions are intended to identify forward-looking statements. All projections, forecasts, assumptions and other forward-looking statements are expressly qualified in their entirety by the cautionary statements set forth in this Official Statement.

The information and expressions of opinions herein are subject to change without notice, and neither the delivery of this Official Statement nor any sale made hereunder shall, under any circumstances, create any implication that there has been no change in the affairs of the Corporation or any other person described herein since the date thereof.

ABSENCE OF MATERIAL LITIGATION

THE CORPORATION

There is no controversy or litigation of any nature now pending against the Corporation or, to the knowledge of its officers, threatened, restraining or enjoining the issuance of the Bonds or in any way contesting or affecting (i) the validity of the Bonds, or (ii) any proceedings of the Corporation taken concerning the issuance or sale thereof or the collection of Revenues pledged under the Indenture.

As with most senior care providers, the Corporation is subject to certain legal actions that, in whole or in part, are not or may not be covered by insurance because of the type of action or amount or types of damages requested (*e.g.*, punitive damages), because of a reservation of rights by an insurance carrier, or because the action has not proceeded to a stage that permits full evaluation. The Corporation is currently subject to a pending wrongful death lawsuit relating to the death of a resident from COVID-19. The Corporation intends to vigorously defend itself against this lawsuit. At this time, the Corporation expects that, in the event of an adverse determination of the litigation, any damages owed by the Corporation will be covered by insurance; however, there can be no assurance that the Corporation’s insurance will cover the full amount of any damages. There is no other litigation of any nature now pending against the Corporation or, to the knowledge of the Corporation’s officers, threatened, which, if successful, would materially adversely affect the operations or financial condition of the Corporation.

THE AUTHORITY

To the knowledge of the Authority, there is no material litigation pending or threatened against the Authority concerning the validity of the Bonds or any proceedings of the Authority taken with respect to the issuance thereof.

TAX MATTERS

TAX-EXEMPT BONDS

In the opinion of Orrick, Herrington & Sutcliffe LLP, Bond Counsel (*"Bond Counsel"*), based upon an analysis of existing laws, regulations, rulings and court decisions, and assuming, among other matters, the accuracy of certain representations and compliance with certain covenants, interest on the Tax-Exempt Bonds is excluded from gross income for federal income tax purposes under Section 103 of the Code and is exempt from California personal income taxes. Bond Counsel is of the further opinion that interest on the Tax-Exempt Bonds is not a specific preference item for purposes of the federal individual alternative minimum tax. Bond Counsel observes that, for tax years beginning after December 31, 2022, interest on the Tax-Exempt Bonds included in adjusted financial statement income of certain corporations is not excluded from the federal corporate alternative minimum tax. Bond Counsel expresses no opinion regarding any other tax consequences related to the ownership or disposition of, or the amount, accrual or receipt of interest on, the Tax-Exempt Bonds. A complete copy of the proposed form of opinion of Bond Counsel is set forth in APPENDIX G hereto.

To the extent the issue price of any maturity of the Tax-Exempt Bonds is less than the amount to be paid at maturity of such Tax-Exempt Bonds (excluding amounts stated to be interest and payable at least annually over the term of such Tax-Exempt Bonds), the difference constitutes "original issue discount," the accrual of which, to the extent properly allocable to each Beneficial Owner thereof, is treated as interest on the Tax-Exempt Bonds which is excluded from gross income for federal income tax purposes. For this purpose, the issue price of a particular maturity of the Tax-Exempt Bonds is the first price at which a substantial amount of such maturity of the Tax-Exempt Bonds is sold to the public (excluding bond houses, brokers, or similar persons or organizations acting in the capacity of underwriters, placement agents or wholesalers). The original issue discount with respect to any maturity of the Tax-Exempt Bonds accrues daily over the term to maturity of such Tax-Exempt Bonds on the basis of a constant interest rate compounded semiannually (with straight-line interpolations between compounding dates). The accruing original issue discount is added to the adjusted basis of such Tax-Exempt Bonds to determine taxable gain or loss upon disposition (including sale, redemption, or payment on maturity) of such Tax-Exempt Bonds. Beneficial Owners of the Tax-Exempt Bonds should consult their own tax advisors with respect to the tax consequences of ownership of Bonds with original issue discount, including the treatment of Beneficial Owners who do not purchase such Tax-Exempt Bonds in the original offering to the public at the first price at which a substantial amount of such Tax-Exempt Bonds is sold to the public.

Tax-Exempt Bonds purchased, whether at original issuance or otherwise, for an amount higher than their principal amount payable at maturity (or, in some cases, at their earlier call date) (*"Premium Bonds"*) will be treated as having amortizable bond premium. No deduction is

allowable for the amortizable bond premium in the case of bonds, like the Premium Bonds, the interest on which is excluded from gross income for federal income tax purposes. However, the amount of tax-exempt interest received, and a Beneficial Owner's basis in a Premium Bond, will be reduced by the amount of amortizable bond premium properly allocable to such Beneficial Owner. Beneficial Owners of Premium Bonds should consult their own tax advisors with respect to the proper treatment of amortizable bond premium in their particular circumstances.

The Code imposes various restrictions, conditions and requirements relating to the exclusion from gross income for federal income tax purposes of interest on obligations such as the Tax-Exempt Bonds. The Authority and the Corporation have made certain representations and covenanted to comply with certain restrictions, conditions and requirements designed to ensure that interest on the Tax-Exempt Bonds will not be included in federal gross income. Inaccuracy of these representations or failure to comply with these covenants may result in interest on the Tax-Exempt Bonds being included in gross income for federal income tax purposes, possibly from the date of original issuance of the Tax-Exempt Bonds. The opinion of Bond Counsel assumes the accuracy of these representations and compliance with these covenants. Bond Counsel has not undertaken to determine (or to inform any person) whether any actions taken (or not taken), or events occurring (or not occurring), or any other matters coming to Bond Counsel's attention after the date of issuance of the Tax-Exempt Bonds may adversely affect the value of, or the tax status of interest on, the Tax-Exempt Bonds. Accordingly, the opinion of Bond Counsel is not intended to, and may not, be relied upon in connection with any such actions, events or matters.

In addition, Bond Counsel has relied, among other things, on the opinion of Hanson Bridgett LLP, counsel to the Corporation, regarding the current qualification of the Corporation as an organization described in Section 501(c)(3) of the Code. Such opinion is subject to a number of qualifications and limitations. Bond Counsel has also relied upon representations of the Corporation concerning the Corporation's "unrelated trade or business" activities as defined in Section 513(a) of the Code. Neither Bond Counsel nor Counsel to the Corporation has given any opinion or assurance concerning Section 513(a) of the Code and neither Bond Counsel nor Counsel to the Corporation can give or has given any opinion or assurance about the future activities of the Corporation, or about the effect of future changes in the Code, the applicable regulations, the interpretation thereof or the resulting changes in enforcement thereof by the IRS. Failure of the Corporation to be organized and operated in accordance with the IRS's requirements for the maintenance of its status as an organization described in Section 501(c)(3) of the Code, or to operate the facilities financed by the Tax-Exempt Bonds in a manner that is substantially related to the Corporation's charitable purpose under Section 513(a) of the Code, may result in interest payable with respect to the Tax-Exempt Bonds being included in federal gross income, possibly from the date of the original issuance of the Tax-Exempt Bonds.

Although Bond Counsel is of the opinion that interest on the Tax-Exempt Bonds is excluded from gross income for federal income tax purposes, the ownership or disposition of, or the accrual or receipt of amounts treated as interest on, the Tax-Exempt Bonds may otherwise affect a Beneficial Owner's federal, state or local tax liability. The nature and extent of these other tax consequences depends upon the particular tax status of the Beneficial Owner or the Beneficial Owner's other items of income or deduction. Bond Counsel expresses no opinion regarding any such other tax consequences.

Current and future legislative proposals, if enacted into law, clarification of the Code or court decisions may cause interest on the Tax-Exempt Bonds to be subject, directly or indirectly, in whole or in part, to federal income taxation or to be subject to or exempted from state income taxation, or otherwise prevent Beneficial Owners from realizing the full current benefit of the tax status of such interest. For example, presidential budget proposals in previous years have proposed legislation that would limit the exclusion from gross income of interest on the Tax-Exempt Bonds to some extent for high-income individuals. The introduction or enactment of any such legislative proposals or clarification of the Code or court decisions may also affect, perhaps significantly, the market price for, or marketability of, the Tax-Exempt Bonds. Prospective purchasers of the Tax-Exempt Bonds should consult their own tax advisors regarding the potential impact of any pending or proposed federal or state tax legislation, regulations or litigation, as to which Bond Counsel expresses no opinion.

The opinion of Bond Counsel is based on current legal authority, covers certain matters not directly addressed by such authorities, and represents Bond Counsel's judgment as to the proper treatment of the Tax-Exempt Bonds for federal income tax purposes. It is not binding on the Internal Revenue Service ("*IRS*") or the courts. Furthermore, Bond Counsel cannot give and has not given any opinion or assurance about the future activities of the Authority or the Corporation, or about the effect of future changes in the Code, the applicable regulations, the interpretation thereof or the enforcement thereof by the IRS. The Authority and the Corporation have covenanted, however, to comply with the requirements of the Code.

Bond Counsel's engagement with respect to the Tax-Exempt Bonds ends with the issuance of the Tax-Exempt Bonds, and, unless separately engaged, Bond Counsel is not obligated to defend the Authority, the Corporation or the Beneficial Owners regarding the tax-exempt status of the Tax-Exempt Bonds in the event of an audit examination by the IRS. Under current procedures, Beneficial Owners would have little, if any, right to participate in the audit examination process. Moreover, because achieving judicial review in connection with an audit examination of tax-exempt bonds is difficult, obtaining an independent review of IRS positions with which the Authority or the Corporation legitimately disagree, may not be practicable. Any action of the IRS, including but not limited to selection of the Tax-Exempt Bonds for audit, or the course or result of such audit, or an audit of bonds presenting similar tax issues may affect the market price for, or the marketability of, the Tax-Exempt Bonds, and may cause the Authority, the Corporation or the Beneficial Owners to incur significant expense.

Payments on the Tax-Exempt Bonds generally will be subject to U.S. information reporting and possibly to "backup withholding." Under Section 3406 of the Code and applicable U.S. Treasury Regulations issued thereunder, a non-corporate Beneficial Owner of Tax-Exempt Bonds may be subject to backup withholding with respect to "reportable payments," which include interest paid on the Tax-Exempt Bonds and the gross proceeds of a sale, exchange, redemption, retirement or other disposition of the Tax-Exempt Bonds. The payor will be required to deduct and withhold the prescribed amounts if (i) the payee fails to furnish a U.S. taxpayer identification number ("*TIN*") to the payor in the manner required, (ii) the IRS notifies the payor that the TIN furnished by the payee is incorrect, (iii) there has been a "notified payee underreporting" described in Section 3406(c) of the Code or (iv) the payee fails to certify under penalty of perjury that the payee is not subject to withholding under Section 3406(a)(1)(C) of the Code. Amounts withheld under the backup withholding rules may be refunded or credited against a Beneficial Owner's federal income tax liability, if any, provided that the required

information is timely furnished to the IRS. Certain Beneficial Owners (including among others, corporations and certain tax-exempt organizations) are not subject to backup withholding. The failure to comply with the backup withholding rules may result in the imposition of penalties by the IRS.

TAXABLE BONDS

The following discussion summarizes certain U.S. federal income tax considerations generally applicable to holders of the Taxable Bonds that acquire their Taxable Bonds in the initial offering. The discussion below is based upon laws, regulations, rulings, and decisions in effect and available on the date hereof, all of which are subject to change, possibly with retroactive effect. Prospective investors should note that no rulings have been or are expected to be sought from the U.S. Internal Revenue Service (the “IRS”) with respect to any of the U.S. federal tax consequences discussed below, and no assurance can be given that the IRS will not take contrary positions. Further, the following discussion does not deal with U.S. tax consequences applicable to any given investor, nor does it address the U.S. tax considerations applicable to all categories of investors, some of which may be subject to special taxing rules (regardless of whether or not such investors constitute U.S. Holders), such as certain U.S. expatriates, banks, REITs, RICs, insurance companies, tax-exempt organizations, dealers or traders in securities or currencies, partnerships, S corporations, estates and trusts, investors that hold their Taxable Bonds as part of a hedge, straddle or an integrated or conversion transaction, investors whose “functional currency” is not the U.S. dollar, or certain taxpayers that are required to prepare certified financial statements or file financial statements with certain regulatory or governmental agencies. Furthermore, it does not address (i) alternative minimum tax consequences, (ii) the net investment income tax imposed under Section 1411 of the Code, or (iii) the indirect effects on persons who hold equity interests in a holder. This summary also does not consider the taxation of the Taxable Bonds under state, local or non-U.S. tax laws. In addition, this summary generally is limited to U.S. tax considerations applicable to investors that acquire their Taxable Bonds pursuant to this offering for the issue price that is applicable to such Taxable Bonds (*i.e.*, the price at which a substantial amount of the Taxable Bonds are sold to the public) and who will hold their Taxable Bonds as “capital assets” within the meaning of Section 1221 of the Code.

As used herein, “U.S. Holder” means a beneficial owner of a Taxable Bond that for U.S. federal income tax purposes is an individual citizen or resident of the United States, a corporation or other entity taxable as a corporation created or organized in or under the laws of the United States or any state thereof (including the District of Columbia), an estate the income of which is subject to U.S. federal income taxation regardless of its source or a trust where a court within the United States is able to exercise primary supervision over the administration of the trust and one or more United States persons (as defined in the Code) have the authority to control all substantial decisions of the trust (or a trust that has made a valid election under U.S. Treasury Regulations to be treated as a domestic trust). As used herein, “Non-U.S. Holder” generally means a beneficial owner of a Taxable Bond (other than a partnership) that is not a U.S. Holder. If a partnership holds Taxable Bonds, the tax treatment of such partnership or a partner in such partnership generally will depend upon the status of the partner and upon the activities of the partnership. Partnerships holding Taxable Bonds, and partners in such partnerships, should consult their own tax advisors regarding the tax consequences of an investment in the Taxable Bonds (including their status as U.S. Holders or Non-U.S. Holders).

Prospective investors should consult their own tax advisors in determining the U.S. federal, state, local or non-U.S. tax consequences to them from the purchase, ownership and disposition of the Taxable Bonds in light of their particular circumstances.

U.S. Holders

Interest. Interest on the Taxable Bonds generally will be taxable to a U.S. Holder as ordinary interest income at the time such amounts are accrued or received, in accordance with the U.S. Holder's method of accounting for U.S. federal income tax purposes.

To the extent that the issue price of any maturity of the Taxable Bonds is less than the amount to be paid at maturity of such Taxable Bonds (excluding amounts stated to be interest and payable at least annually over the term of such Taxable Bonds) by more than a de minimis amount, the difference may constitute original issue discount ("*OID*"). U.S. Holders of Taxable Bonds will be required to include *OID* in income for U.S. federal income tax purposes as it accrues, in accordance with a constant yield method based on a compounding of interest (which may be before the receipt of cash payments attributable to such income). Under this method, U.S. Holders generally will be required to include in income increasingly greater amounts of *OID* in successive accrual periods.

Taxable Bonds purchased for an amount in excess of the principal amount payable at maturity (or, in some cases, at their earlier call date) will be treated as issued at a premium. A U.S. Holder of a Taxable Bond issued at a premium may make an election, applicable to all debt securities purchased at a premium by such U.S. Holder, to amortize such premium, using a constant yield method over the term of such Taxable Bond.

Sale or Other Taxable Disposition of the Taxable Bonds. Unless a nonrecognition provision of the Code applies, the sale, exchange, redemption, retirement (including pursuant to an offer by the Authority) or other disposition of a Taxable Bond will be a taxable event for U.S. federal income tax purposes. In such event, in general, a U.S. Holder of a Taxable Bond will recognize gain or loss equal to the difference between (i) the amount of cash plus the fair market value of property received (except to the extent attributable to accrued but unpaid interest on the Taxable Bond, which will be taxed in the manner described above) and (ii) the U.S. Holder's adjusted U.S. federal income tax basis in the Taxable Bond (generally, the purchase price paid by the U.S. Holder for the Taxable Bond, decreased by any amortized premium, and increased by the amount of any *OID* previously included in income by such U.S. Holder with respect to such Taxable Bond). Any such gain or loss generally will be capital gain or loss. In the case of a non-corporate U.S. Holder of the Taxable Bonds, the maximum marginal U.S. federal income tax rate applicable to any such gain will be lower than the maximum marginal U.S. federal income tax rate applicable to ordinary income if such U.S. holder's holding period for the Taxable Bonds exceeds one year. The deductibility of capital losses is subject to limitations.

Defeasance of the Taxable Bonds. If the Authority defeases any Taxable Bond, the Taxable Bond may be deemed to be retired for U.S. federal income tax purposes as a result of the defeasance. In that event, in general, a holder will recognize taxable gain or loss equal to the difference between (i) the amount realized from the deemed sale, exchange or retirement (less any accrued qualified stated interest which will be taxable as such) and (ii) the holder's adjusted U.S. federal income tax basis in the Taxable Bond.

Information Reporting and Backup Withholding. Payments on the Taxable Bonds generally will be subject to U.S. information reporting and possibly to “backup withholding.” Under Section 3406 of the Code and applicable U.S. Treasury Regulations issued thereunder, a non-corporate U.S. Holder of the Taxable Bonds may be subject to backup withholding at the current rate of 24% with respect to “reportable payments,” which include interest paid on the Taxable Bonds and the gross proceeds of a sale, exchange, redemption, retirement or other disposition of the Taxable Bonds. The payor will be required to deduct and withhold the prescribed amounts if (i) the payee fails to furnish a U.S. taxpayer identification number (“*TIN*”) to the payor in the manner required, (ii) the IRS notifies the payor that the *TIN* furnished by the payee is incorrect, (iii) there has been a “notified payee underreporting” described in Section 3406(c) of the Code or (iv) the payee fails to certify under penalty of perjury that the payee is not subject to withholding under Section 3406(a)(1)(C) of the Code. Amounts withheld under the backup withholding rules may be refunded or credited against the U.S. Holder’s federal income tax liability, if any, provided that the required information is timely furnished to the IRS. Certain U.S. holders (including among others, corporations and certain tax-exempt organizations) are not subject to backup withholding. A holder’s failure to comply with the backup withholding rules may result in the imposition of penalties by the IRS.

APPROVAL OF LEGALITY

The validity of the Bonds and certain other legal matters are subject to the approving opinion of Orrick, Herrington & Sutcliffe LLP, Bond Counsel to the Authority, substantially in the form set forth as APPENDIX G. Certain legal matters will be passed upon for the Corporation by its counsel, Hanson Bridgett LLP, San Francisco, California, and for the Authority by its counsel, Jones Hall, a Professional Law Corporation. Certain legal matters will be passed upon for the Underwriter by Chapman and Cutler LLP. None of the counsel mentioned above undertakes any responsibility for the accuracy, completeness or fairness of this Official Statement.

VERIFICATION OF MATHEMATICAL COMPUTATIONS

Concurrently with the issuance of the Bonds, Berens-Tate Consulting will deliver a report with respect to the mathematical accuracy of certain computations, contained in schedules provided to them, which were prepared by the Underwriter, relative to the sufficiency of moneys and securities deposited into the escrow fund established pursuant to an escrow agreement to pay, when due, the principal and interest requirements and the redemption price of the Series 2015A Bonds. The report of Berens-Tate Consulting will include the statement that the scope of its engagement is limited to verifying the mathematical accuracy of the aforesaid computations and that it has no obligation to update its report because of events occurring, or data or information coming to its attention, subsequent to the date of the report.

FEASIBILITY STUDY

As part of the Corporation’s application to the Department for insurance, the Feasibility Study dated April 21, 2023 was prepared for the Corporation by Hendrickson Consulting. The conclusions of the Feasibility Study were based on certain assumptions, as outlined in the Feasibility Study.

The Authority has not reviewed the Feasibility Study or financial information provided by the Corporation. There can be no assurance that as a result of the Feasibility Study or issuance of insurance by the Department that the Corporation will be able to meet its obligation to make Loan Repayments.

A copy of the Feasibility Study is included herein as APPENDIX C—“FINANCIAL FEASIBILITY REPORT.” PROSPECTIVE INVESTORS SHOULD REVIEW THE FEASIBILITY STUDY IN ITS ENTIRETY FOR A FULL UNDERSTANDING OF THE ASSUMPTIONS AND RATIONALE UNDERLYING THE FORECASTS AND CONCLUSIONS CONTAINED THEREIN PRIOR TO PURCHASING THE BONDS.

UNDERWRITING

Pursuant to a Bond Purchase Contract among the Underwriter, the Authority and the Corporation (the “*Purchase Contract*”), the Underwriter has agreed to purchase the Bonds at an aggregate purchase price of \$62,218,701.05 (representing the aggregate principal amount of the Bonds, plus net original issue premium of \$1,531,701.05 and less an Underwriter’s discount of \$613,000.00). Pursuant to the Purchase Contract, the Corporation has agreed to indemnify the Underwriter and the Authority against certain liabilities. The Underwriter reserves the right to join with dealers and other underwriters in offering the Bonds to the public. The obligation of the Underwriter to accept delivery of the Bonds is subject to the various conditions of the Purchase Contract.

FINANCIAL STATEMENTS

The financial statements of the Corporation and its wholly-owned subsidiary, H.C. Andersen Properties, LLC, as of and for the fiscal years ended September 30, 2020, 2021 and 2022 included in APPENDIX B to this Official Statement have been audited by Baker Tilly US, LLP, independent auditors, as stated in their reports appearing herein. Baker Tilly US, LLP has not been engaged to perform, and has not performed, since the date of its most recent report included in APPENDIX B, any procedures on the financial statements addressed in that report.

Certain unaudited summarized financial information of the Corporation as of and for the six-month periods ended March 31, 2022 and 2023 is included in APPENDIX A hereto. Such unaudited summarized financial information for the six-month period ended March 31, 2023 is not necessarily indicative of the financial results of the Corporation for the fiscal year ending September 30, 2023.

RATING

Standard & Poor’s Ratings Services, a division of The McGraw-Hill Companies, Inc., has assigned its municipal bond rating of “AA-” to the Bonds with the understanding that, upon delivery of the Bonds, payment of the principal of and interest on the Bonds will be insured by the Department. The rating reflects the rating agency’s current assessment of the creditworthiness of the Department and its ability to pay claims under the Insurance Program.

The rating and an explanation of its significance may be obtained from the rating agency furnishing such rating. Such rating reflects only the view of the rating agency. The Corporation

has furnished the rating agency with certain information and materials relating to the Bonds that have not been included in this Official Statement. Generally, rating agencies base their ratings on the information and materials so furnished and on investigations, studies, and assumptions by the rating agencies. There is no assurance that a particular rating will be maintained for any given period of time or that it will not be lowered or withdrawn entirely if, in the judgment of the agency originally establishing the rating, circumstances so warrant. Any such change in or withdrawal of such rating could have an adverse effect on the market price of the Bonds.

MISCELLANEOUS

The foregoing and subsequent summaries or descriptions of provisions of the Bonds, the Contract of Insurance, the Indenture, the Loan Agreement, the Regulatory Agreement and the Deed of Trust and all references to other materials not purporting to be quoted in full are only brief outlines of some of the provisions thereof and do not purport to summarize or describe all of the provisions thereof. Reference is made to said documents for full and complete statements of the provisions of such documents. The appendices attached hereto are a part of this Official Statement. Copies, in reasonable quantity, of the Indenture, the Loan Agreement, the Contract of Insurance, the Regulatory Agreement and the Deed of Trust may be obtained during the offering period upon request to the Underwriter and thereafter upon request to the principal corporate trust office of the Trustee.

So far as any statements made in this Official Statement involve matters of opinion or estimates, whether or not expressly stated, they are set forth as such and not as representations of fact, and no representation is made that any of such statements will be realized. Neither this Official Statement nor any statement which may have been made orally or in writing is to be construed as a contract with the owners of the Bonds.

It is anticipated that CUSIP identification numbers will be printed on the Bonds, but neither the failure to print such numbers nor any error in the printing of such numbers shall constitute grounds for a failure or refusal by any purchaser thereof to accept delivery of and payment for any Bonds.

The attached Appendices are integral parts of this Official Statement and must be read together with all of the foregoing statements.

The Corporation has reviewed the information contained herein which relates to it and its property and operations and has approved all such information for use within this Official Statement.

The Authority furnished only the information in this Official Statement contained under the captions "THE AUTHORITY" and "ABSENCE OF MATERIAL LITIGATION—The Authority" and, except for such information, makes no representation or warranty as to the adequacy, completeness or accuracy of this Official Statement.

This Official Statement has been delivered by the Corporation. This Official Statement is not to be construed as a contract or agreement among any of the Authority, the Corporation or the purchasers or holders of any of the Bonds.

ALDERSLY, a California nonprofit public benefit
corporation

By: /s/ Peter Schakow
President

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APPENDIX A
INFORMATION CONCERNING ALDERSLY

The information contained in this APPENDIX A was provided by the Corporation (described herein) and other identified sources of information believed to be reliable.

Certain of the discussions included in this APPENDIX A may include forward-looking statements. Such statements are generally identifiable by the terminology used, such as “believes,” “anticipates,” “intends,” “scheduled,” “plans,” “expects,” “estimates,” “budget” or other similar words. These statements reflect the current views of management with respect to future events based on certain assumptions and are subject to risks and uncertainties. The Corporation has no obligation to publicly update or review any forward-looking statement as a result of new information or future events.

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INTRODUCTION

Aldersly, a California nonprofit public benefit corporation and an organization described in Section 501(c)(3) of the Internal Revenue Code (the “*Corporation*”), owns a life plan community called Aldersly Garden Retirement Community (the “*Community*” or “*Aldersly*”). Originally founded and incorporated in 1921 by Danish organizations as a retirement home serving the Danish-American communities in California and Nevada, the Community has for many years welcomed anyone who meets its financial and other admission criteria. The Corporation is dedicated to serving the needs of its senior residents in the Danish tradition and spirit of respecting and caring for the elderly. The name Aldersly means “shelter for the aging.”

As a life plan community, Aldersly offers a continuum of care in residential living, assisted living, memory care and extended care. The Community is situated on an approximately 3.5 acre campus of landscaped gardens in the City of San Rafael, County of Marin, California. The Community is a licensed residential care facility for the elderly. As of the date of this Official Statement, the Community consists of the following:

Residential (Independent) Living Units	41
Assisted Living Units	15
Memory Care Units	20
Extended Care Beds	16
Total	<u>92</u>

For more information on the Community’s location, levels of care, amenities and services, *see* “THE COMMUNITY” below.

Since 2004, the Corporation has engaged Life Care Services LLC (and its predecessor Life Care Services Corporation) (“*Life Care Services*,” “*LCS*” or the “*Manager*”) to provide management and marketing services to the Corporation and for the Community. For more information on LCS, *see* and “THE MANAGER” below.

In addition to refinancing of the Series 2015 Bonds as described under the heading “PLAN OF FINANCE” in the front part of this Official Statement, proceeds of the Bonds will be applied to pay the costs of constructing and equipping a new 35-unit residential living building (the “*Project*”). The Corporation has engaged Greenbrier Development LLC (“*Greenbrier*” or the “*Development Consultant*”), as development consultant for the Project. See “THE PROJECT” in this APPENDIX A.

THE COMMUNITY

General

The Community is a life plan community (also known as a continuing care retirement community) located on an approximately 3.5-acre campus at 326 Mission Avenue in San Rafael, California, approximately 30 miles northwest of San Francisco. The Community is located near a variety of shopping areas, professional offices, places of worship and other community amenities. Regularly scheduled

excursions provide convenient access to the San Francisco Bay Area’s world-class culinary, cultural and recreational venues.

Recent Developments, SNF Closure

In February 2022, the Corporation delicensed its skilled nursing facility (“SNF”) and converted the 18 skilled nursing beds to 16 high-acuity assisted living or “Extended Care” beds as further described herein. In connection with the closure, its skilled nursing license from the California Department of Public Health and its provider agreement with the United States Centers for Medicare & Medicaid Services were terminated. The SNF closure was motivated by several factors, including the high cost of operating a SNF (particularly a small one), extensive regulatory oversight and high costs of compliance, the fact that many residents in the SNF could be properly cared for at the assisted living level of care, provided nursing staff was present, and residents’ stated preference to reside in the residential portion of the Community. Aldersly is still able to offer a continuum of care to residents including onsite therapy, hospice and end of life care, and nursing care supported by certified nursing assistants. Additionally, Aldersly continues to provide assistance with activities of daily living for those residents in need and has nurses who are able to provide additional support. For the limited cases that require skilled care such as blood transfusions, serious wound care, feeding tubes, tracheotomies, ostomies, or more intensive rehabilitation, Aldersly has transfer agreements with licensed providers in the area to admit its residents. The Corporation has not been required to transfer any residents to other providers since the SNF was delicensed.

In connection with the SNF delicensing and extended care conversion, Aldersly also converted 15 assisted living suites into 20 memory care suites. The Project will replace 14 existing Residential Living apartments with a new 35-unit apartment building with new amenities. See “THE PROJECT” in this APPENDIX A. See “THE PROJECT – Overview” in this APPENDIX A.

As a result of delicensing the SNF, the Corporation no longer receives payments from Medicare for any of the care provided to residents.

The chart below shows the unit mix of the Community prior to the SNF delicensing and the memory care and extended care conversions, the unit mix after the closure and conversions, and the anticipated unit mix upon the completion of the Project.

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Aldersly Unit Mix

<u>Level of Care</u>	<u>Prior to Unit Conversions</u>	<u>After SNF Closure and Unit Conversions (2022)</u>	<u>Upon Project Completion (Projected 2024)</u>	<u>Net Change</u>
Residential Living	55	41	76	21
Assisted Living	30	15	15	(15)
Memory Care Assisted Living	-	20	20	20
Extended Care Beds	-	16	16	16
Skilling Nursing Beds	18	-	-	(18)
Total Units	103	92	127	24

Every resident of the Community enters into an admission agreement with the Corporation corresponding to a payment/repayment plan or level of care at the Community. The Community's admission agreements, entrance and monthly fees, history of pricing increases and re-occupancy benefit provisions are described under the captions "RESIDENCY AGREEMENTS – Types of Residency Agreement" and "– Fee Structure" below.

Levels of Care

Residential Living. Residential living, also known as independent living, and referred to herein as "*Residential Living*," is designed for residents who maintain a high level of independence and whose care needs are suited to apartment living. The 41 Residential Living apartments are contained in one-, two- and three-story buildings. Residents live in garden apartments offered in a range of floor plans, many suitable for couples. Most apartments feature a patio or balcony with garden views or sweeping panoramas. Although residents living in Residential Living units are largely independent, Aldersly staff monitors all residents' health status and maintains a 24-hour emergency response system, linked to every room, that allows licensed nurses to respond immediately if medical attention become necessary.

Services and amenities provided to Residential Living residents include three daily meals, daily snacks, utilities (telephone and cable service are extra), drapes, floor coverings, towels, bed linens, weekly laundry service for linens, laundry facilities for personal use, semi-weekly housekeeping, social and recreational activities, building and grounds maintenance, and scheduled transportation services. Assistance with medications, dietary consulting, observation of health status, 24 hour emergency call system, and smoke and fire alarms are also provided to residents. Other optional services are provided to residents upon request.

Assisted Living. The Rosenborg Assisted Living Center (the "*Assisted Living Center*") is designed to provide personalized assistance to residents who need greater assistance with activities of daily living ("*ADLs*"), such as bathing, grooming, dressing, toileting, and ambulation. The Assisted Living Center has 15 private apartments with studio or one-bedroom floor plans. Spacious common areas provide panoramic

views and are infused with natural light. Assisted Living Center residents receive health-related services such as regular observation of residents' general health, coverage by certified personnel seven days per week, on-site presence of a licensed professional nurse 24 hours per day, rehabilitation, physical, occupational and speech therapies, and medication management. Assisted Living Center residents also receive daily meals and snacks, assistance with ADLs, weekly linen and housekeeping services, apartment maintenance, utilities, activities and social programs, and free scheduled van transportation to medical appointments and activities within a 10-mile radius. Assisted living care at the Community is not currently eligible for Medi-Cal or Medicare reimbursement.

Memory Care. The 20-suite memory care center (the “*Memory Care Center*”) is designed to care for residents who, due to dementia or another memory decline, need extra assistance with ADLs and require a safe environment due to their propensity to wander. Special features in the Memory Care Center include safety precautions such as delayed egress mechanisms and locked perimeters, staff trained to address the needs of residents with memory care issues, and programming intended to enhance the quality of life of residents with memory deficits. The Memory Care Center at Aldersly is licensed as a residential care facility for the elderly and provides all the services provided in the Assisted Living Center.

Extended Care. The 16-suite extended care center (the “*Extended Care Center*”) consists of four private suites and six semi-private suites for a total of 16 beds. The Extended Care Center is also licensed as a residential care facility for the elderly and provides the services offered in the Assisted Living Center. However, it is designed for residents with more frequent and higher acuity care needs than residents in the Assisted Living Center and is staffed with nurses to meet those needs. There are limits on the services that can be provided in Extended Care Center, which is licensed under the residential care facility for the elderly law. For example, tracheotomy and gastrostomy care and care of stage 3 or 4 dermal ulcers must be provided in a skilled nursing facility. The Corporation has agreements with two nearby skilled nursing providers to accommodate temporarily residents requiring skilled nursing care.

Licenses and Memberships

The Community is licensed as a residential care facility for the elderly (“*RCFE*”) by the California Department of Social Services (“*DSS*”). The RCFE license covers all of the Community’s existing Residential Living apartments, the Assisted Living Center, the Memory Care Center and Extended Care Center. The Corporation also has a certificate of authority (“*COA*”) from DSS to enter into continuing care contracts with residents. Continuing care contracts are defined by the State of California as agreements between a person 60 years of age or older and the provider where, in exchange for an entrance fee payment, monthly fees, or both, the provider agrees to provide one or more elements of care at a community for the duration of the resident’s life or a period longer than one year. The Corporation must submit audited financial statements and reports annually to the State. For more information on Certificates of Authority, see “BONDHOLDERS’ RISKS – STATE LICENSURE AND REGULATIONS OF SENIOR LIVING PROVIDERS CCRC REQUIREMENTS OF THE STATE” in this Official Statement.

GOVERNANCE AND MANAGEMENT

Members and Board of Directors

Eligible persons, organizations or families who pay dues to the Corporation and are approved by the Board may become Members of the Corporation. Members vote in the annual election of directors of the Board of Directors (the “*Board*”) of the Corporation. Honorary Members, who are unanimously elected by the Board, do not pay dues and do not have such voting rights. The Corporation currently has approximately 25 Members.

The Bylaws of the Corporation provide that the Corporation shall be governed by its Board, which shall consist of not less than 9 but not to exceed 15 persons as shall be fixed by the Board at its annual meeting. The Board currently consists of 11 directors. Under California law, the board must accept at least one resident director nominated by the residents. The resident director serves a two-year term. Approximately one-third of the directors are elected at the annual meeting of the members each year. Board members initially are elected to a three-year term and may serve up to two additional consecutive three-year terms for a total of nine consecutive years. A director who has served three consecutive three-year terms can become eligible for re-election after one year has elapsed from the end of the third consecutive three-year term. The directors of the Board, their professional affiliations and the expiration of their terms as directors are set forth in the following table.

Aldersly Board of Directors

Name	Board Position	Professional Affiliation	Term Ends December,
Peter Schakow	President	Hope Or Cope, LLC, President and Co-Founder	2025
Paul Castro	Senior Vice President	CEO Jewish Family Service of Los Angeles (retired)	2024
Susan Petersen	Director	Healthier Kids Foundation, Accountant	2025
Per Caroe	Vice President	Self-employed, Professional Sales Consultant ¹	2024
Ruth Ann Vosmek	Secretary	Kaiser Permanente, Coordination of Care Director	2024
Ed Lewis	Director	President, Keegan and Coppin Co., Inc, property management	2024
Jeppe Larson	Director	Pannu Larsen McCarthy, engineers	2025
Michael Bo Hansen	Director	Certified Financial Planner	2023
Niels Kvaavik	Director	MarqVision, Head of Global Sales	2025
Lizette Burtis	Director (Auxiliary representative)	Pacific Gas & Electric	2025
Robert Wilhelm	Resident Director	Former Managing Director of the St. Francis Hotel San Francisco	2024

Source: Aldersly

Responsibilities and Committees of the Board

The Board is responsible for setting general policy and governing the Corporation's financial matters, including approving budgets and terms governing debt of the Corporation. The Bylaws of the Corporation establish various standing committees to assist in carrying out the work of the Board. The Executive Committee, which governs, sets policy and oversees the financial status of the Community, has the authority of the Board between meetings of the Board and meets monthly. The Budget Committee, which meets annually, presents an annual budget to the Board for approval and works to ensure optimal budgeting and budget compliance. The Board is in the process of restructuring the Budget Committee as a Finance Committee which will continue to conduct the annual budget process but will also have ongoing oversight responsibility for the Corporation's financial matters. The Audit Committee, which meets annually, holds initial meetings with the Corporation's auditors and reviews the final audit. The Endowment Fund and Investment Committee, which meets quarterly, reviews the portfolio of investments, makes financial decisions based on the recommendations of the Corporation's financial advisor, and administers the Corporation's endowment fund. The Nominating Committee recommends candidate nominees for directors and officers of the Corporation to the Corporation's Members. In addition, the Board has established certain advisory committees, including a Fund Raising Committee, which meets bi-monthly to develop a fund to support residents who have outlived their assets, and a Maintenance Committee, which meets monthly to ensure plant operations are maintained and to oversee new projects, including the Project.

Manager: Life Care Services LLC

The Corporation and Life Care Services entered into a new Management Agreement (the "*Management Agreement*") effective as of November 1, 2019, for a term of five years, subject to termination without cause upon six months' prior written notice. Under the Management Agreement, Life Care Services provides the services of a full-time Executive Director (Shannon Brown, Executive Director of Aldersly), who is an employee of Life Care Services. The Corporation's Board has delegated authority for the management and daily operation of the Community to Life Care Services. For additional information regarding Life Care Services and the Management Agreement, see "THE MANAGER" in this APPENDIX A.

Executive Management of the Corporation

Information regarding the executive management team of the Corporation is set forth below.

Peter Schakow, Board President (age 75). Mr. Schakow has served on the Aldersly Board since 2008, as President since 2013. Mr. Schakow is also a Co-founder and Managing Partner of Hope Or Cope, LLC., a company working on solutions to the global financial and climate crises. Mr. Schakow began his professional career in Denmark with Rank Xerox A/S and settled in Silicon Valley after completing his graduate studies in California. He has played leading roles in the technology industry for over 25 years and contributed to the success of several leading tech companies during their hyper-growth period, including more than 16 years in leading roles within Sun Microsystems, Inc. Mr. Schakow has led diverse international teams including engineering, business development, new media functions, and he established a center of excellence where he directed the professional development of over 3,500 managers and executives worldwide. Mr. Schakow currently volunteers his leadership in several nonprofit organizations.

He holds an Master's of Business Administration degree in Marketing and Finance from the University of California, Berkeley.

Paul Castro, Sr. Vice President (age 71). Mr. Castro serves as Senior Consultant with Applied Strategy Associates, specializing in executive coaching, organizational development and interim executive services. In 2018, Mr. Castro retired as President and Chief Executive Officer of Jewish Family Service of Los Angeles, a multi-faceted, multi-service social service organization serving more than 100,000 individuals and families annually throughout greater Los Angeles. As an active member of the national and local non-profit community, Mr. Castro currently serves as Interim Executive Director at the Center for Story based Strategy and has served as Interim Vice-President for the National Network to End Domestic Violence and as Interim Executive Director for the California Partnership to End Domestic Violence. Mr. Castro also serves on the boards of Evident Change, the Marin Jewish Community Center and Vivalon (formerly Whistlestop). In addition, Mr. Castro has served on the boards of Families International, the Association of Jewish Family and Children's Agencies and the California Jewish Public Affairs Committee. He has served as adjunct faculty at the American Jewish University and Hebrew Union College graduate programs in nonprofit management, teaching and mentoring future nonprofit leaders in the areas of governance, advocacy, civic engagement and ethics. Mr. Castro graduated from California State University at Fullerton with a B.A. in ethnic studies and holds a Juris Doctorate from Loyola Law School.

Ruth Vosmek, MSW, LCSW Board Secretary (Age 57). Ms. Vosmek has served on the Board since 2021. She is Licensed clinical social worker and has worked in a variety of healthcare settings over thirty years including hospitals, home health and hospice, psychiatry, rehabilitation, and as a research assistant at UC Berkeley's Family Welfare Research Group. Ms. Vosmek is currently employed as the Coordination of Care Service Director for Kaiser San Rafael where she oversees Resource Management for the hospital including ensuring safe transitions for patients leaving the hospital. Ms. Vosmek has certifications in Disaster Mental Health through the Red Cross, and has served on a number of boards including River Valley Chapter of ARC in Arkansas, and Marin Center for Independent Living. Ms. Vosmek graduated with her B.S. in Sociology from the University of Wisconsin-Madison, received her MSW from UC Berkeley School of Social Welfare, is currently affiliated with University of Southern California's Suzanne Dworak School of Social Work where she is working on her doctoral thesis and capstone project with an emphasis on social justice issues related to health and pay equity for healthcare workers.

Shannon Brown, Executive Director (age 47). Ms. Brown joined Aldersly as Executive Director in 2022. She was hired by Life Care Services in 2014 as Regional Director of Operations and has also been the Executive Director of Sierra Winds, a life care community managed by Life Care Services in Peoria, Arizona. Ms. Brown was also the Executive Director of Elmcroft Senior Living in Tempe, Arizona, the Regional Manager of Resident Services for Watermark Retirement Communities in Tucson, Arizona, and the Executive Director of Assisted Living Concepts in Peoria, Arizona. Ms. Brown has a Master's of Business Administration degree from the University of Phoenix, a Bachelor of Science Degree in Health Care Administration from American Intercontinental University and an Associate Degree of Science, Nursing, from the University of Southern South Dakota.

Affiliated Entity

The Corporation is the sole member of a California limited liability company known as H.C. Andersen Properties LLC (the “*H.C. Andersen*”). The Corporation established H.C. Anderson in 2014 to acquire real property, as it becomes available, for the ultimate benefit of the Corporation. H.C. Andersen currently owns two residential properties near the Aldersly campus. Both properties are currently leased to third parties. The audited financial information in APPENDIX B – “AUDITED FINANCIAL STATEMENTS OF ALDERSLY” to this Official Statement includes financial information of H.C. Andersen on a consolidated basis with the Corporation. See “FINANCIAL INFORMATION” herein. H.C. Andersen is not a party to the Loan Agreement and is not obligated to make any debt service payments on the Bonds.

RESIDENCY AGREEMENTS

Types of Residency Agreements

Every Aldersly resident enters into a residency agreement with the Corporation. Residential Living residents have three “Continuing Care Contract” options: Traditional, 50% Return-of-Capital or, for apartments included in the Project, a 90% Return-of-Capital contract. Residents of the Memory Care Center and Extended Care Center execute sign a Residence and Service Agreement. The services, fee arrangements, and transfer and termination provisions differ under each of these agreements. In addition, the Corporation has two legacy rental contracts with Residential Living residents. The Corporation no longer offers rental contracts.

The chart below shows the number of continuing care contracts of each type as of March 31, 2023.

<u>Type of Continuing Care Contract</u>	<u>Number of Contracts</u>
Traditional	34
50% Return-of-Capital (“RoC”)	14
Total	48

Continuing Care Contract. Under the Continuing Care Contract, residents pay an entrance fee and monthly fee to receive a continuum of care and services. Residents sign this agreement upon entry into a Residential Living unit. Aldersly residents who have signed a continuing care contract have priority access to the Assisted Living Center, Memory Care Center, and Extended Care Center.

The Traditional Continuing Care Contract provides for a declining balance entrance fee refund over a period of 57.14 months (at the rate of 1 3/4 percent per month). The Return-of-Capital Continuing Care Contracts provide for an entrance fee repayment that declines until it plateaus at either 50% or 90% after four years depending on which Return-of-Capital agreement the resident signed. Under both contract types, the entrance fee refund or repayment is subject to deduction of unpaid fees, interest, and costs of restoration, if applicable. The Traditional Continuing Care Contract is offered at a lower entrance fee for a given residential unit than the 50% Return-of-Capital Continuing Care Contract, and the 50% Return-of-Capital

Continuing Care Contract is offered at a lower entrance fee for a given residential unit than the 90% Return-of-Capital Continuing Care Contract. As of the date of this Official Statement 90% Return of Capital Contracts are only offered for Residential Living units in the Project.

Residence and Service Agreement. Those residents who move directly into the Assisted Living Center or a higher level of care enter into a Residence and Service Agreement with the Corporation. The Agreement entitles the resident to receive up to three daily meals, linen service, housekeeping, assistance with ADLs, medication management, observation, assistance with access to outside services, transportation, and planned social and recreational activities, in exchange for the payment of a monthly care fee. The agreement does not entitle the resident to receive continuing care or priority access to higher levels of care at the Community. However, on a space-available basis, and assuming the level of care is appropriate, the resident may move into Assisted Living Center, Memory Care Center, or Extended Care Center. The Residence and Service Agreement requires payment of an upfront admission fee of \$7,500.

Fee Structure

Continuing Care Contracts

Entrance Fee. The Continuing Care Contracts provide for the payment of an entrance fee, which is repaid in full (minus the reasonable value of services received and a reasonable processing fee) if the contract is cancelled during the first 90 days of residency at the Community (the “*Cancellation Period*”). Thereafter, the refund or repayment is dictated by the type of Continuing Care Contract the resident signed. The Traditional Continuing Care Contract provides for a declining balance entrance fee refund over a period of 57.14 months at the rate of 1 3/4 percent per month. The 50% and 90% Return-of-Capital Continuing Care Contracts provide for an entrance fee repayment that declines by 10 percent per year until it plateaus at 50% or 90% after four years. As required by California law, the entrance fee repayment is due upon resale or reoccupancy of the unit in question. In both circumstances, the refund or repayment is subject to a deduction for unpaid fees, interest, and costs of restoration, if applicable. Entrance Fees are established based on the size of the residential unit, the appeal of the unit in the marketplace, and the type of Continuing Care Contract the resident signs. Entrance fees are adjusted periodically to reflect such factors as the market environment and the anticipated costs of continuing care.

Monthly Fee. Continuing care residents must also pay a monthly fee to the Corporation for residency, care and services including up to three daily meals, daily snacks, utilities (excluding telephone and cable service), drapes, floor coverings, towels, bed linens, weekly laundry service for linens, laundry facilities for personal use, semi-weekly housekeeping, social and recreational activities, building and grounds maintenance, scheduled transportation services, assistance with medications, dietary consulting, observation of health status, a 24-hour emergency call system, and smoke and fire alarms. Monthly fees are set based on the size of the residential unit, number of people occupying the unit, and location of the unit. They may be adjusted on thirty (30) days’ notice to residents after meeting with residents to discuss the budget and fee increases. Monthly fees are generally adjusted annually based on projected costs, prior year capital costs, and economic indicators. The monthly fee is due fourteen (14) days after the invoice is sent. Late fees may be levied if the monthly fee is not received timely.

Optional Services Fee. Continuing care residents must also pay a fee for any optional services they request, such as guest meals, beauty salon services, parking, certain medical supplies, and tray service not authorized by the Corporation's nursing staff.

Residence and Service Agreements

Community Fee. Residents who are directly admitted to assisting living, memory care or extended care sign a Residence and Service Agreement (called "*Associate Residents*") must pay the Corporation a "Community Fee" of \$7,500 to cover the direct and indirect costs of processing their application, performing preadmission assessments, assisting the resident with his or her admission, and developing a care plan. Residents who have signed a Continuing Care Contract do not pay a Community Fee.

Monthly Fee. Residents who enter into a Residence and Service Agreement with the Corporation must also pay a monthly fee to the Corporation for up to three daily meals, linen service, housekeeping, assistance with ADLs, medication management, observation, assistance with access to outside services, transportation, and planned social and recreational activities. Monthly fees are generally adjusted annually based on projected costs. They may be adjusted on sixty (60) days' notice to residents. The monthly fee is due by the fifth day of each month. Late fees may be levied if the monthly fee is not received timely.

Optional Services Fee. Residents who enter into a Residence and Service Agreement with the Corporation must also pay a fee for any optional services they request, such as guest meals, beauty salon services, dry cleaning, replacement keys and tray service not authorized by the Corporation's nursing staff.

The table that follows indicates the unadjusted (full price) range of 2023 entrance fees, Community Fees, monthly fees, and daily fees, as applicable, for the Community under the various residency agreements. Assisted living, memory care and extended care rates are for direct admit residents; continuing care contract residents receive a 15% discount off the outside rate.

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Entrance Fees and Monthly Service Fees for Calendar Year 2023

Continuing Care Contract	Available Units	Approximate Sq. Feet	Entrance Fees (Traditional) ⁽¹⁾	Entrance Fee 50% RoC	Monthly Fees
Residential Living					
Alcove	7	370	\$143,560	\$189,400	\$4,760
Studio	6	390	\$155,290	\$204,760	\$4,760
Standard One-Bedroom	6	450	\$206,450	\$270,920	\$5,010
Medium One-Bedroom	4	630	\$259,180	\$339,340	\$5,510
Large One-Bedroom	11	680	\$266,920	\$349,480	\$6,830
Deluxe One-Bedroom Suite	5	720	\$281,490	\$368,550	\$6,830
Penthouse One-Bedroom	2	600	\$295,930	\$387,460	\$6,830
Total/Average	41	547	\$223,110	\$292,700	\$5,870
Second Person Fee					\$1,300

	Available Units	Approximate Sq. Feet	Residential Living Resident Monthly Fee	Direct Admit Resident Monthly Fees ³
Assisted Living				
Studio	9	350	\$6,790	7,990
One Bedroom	6	500	\$7,810 ²	9,190 ²
Total	15			
Memory Care				
Studio Shared	10	150	\$6,260	\$7,370
Studio Private	10	350	\$7,920	\$9,310
Total	20			
Extended Care				
Semi-Private	12		\$360 per day	\$420 per day
Private	4		\$400 per day	\$470 per day
Total	16			

Source: Aldersly

⁽¹⁾ Entrance fee pricing for Continuing Care Contract. There is no entrance fee for a second person.

⁽²⁾ Second person fee for one bedroom assisted living is \$2,340 for Residential Living residents and \$2,750 for direct admit Associate Residents.

⁽³⁾ Direct admit Associate Residents pay a one-time admission and community fee of \$7,500 to pay the costs of processing admission and developing a care plan.

Termination of Residency Agreements

Continuing Care Contract. Either party to the Continuing Care Contract may terminate the contract with or without cause during the first 90 days of occupancy (the “*Cancellation Period*”). In such event, the resident is entitled to a full refund of all fees paid, minus the reasonable costs of caring for the resident and a reasonable processing fee. In the case of couples, termination of the contract means termination of both residents’ residency. After the Cancellation Period, the resident may terminate the Continuing Care Contract with or without cause and the Corporation may terminate it for cause, including, without limitation, the resident’s failure to pay fees, failure to comply with the Corporation’s rules and regulations, engagement in activities that create a disturbance at the Community, a permanent transfer to an outside facility, material omissions or misstatements in the resident’s application or other documents filed with the Corporation, and material transfer of funds for less than fair market value. After the end of the Cancellation Period, the termination notice period is ninety (90) days.

Residence and Service Agreement. The Resident may terminate the Residence and Service Agreement at any time, without cause, upon thirty (30) days’ written notice to the Corporation. The

Corporation may terminate the Agreement upon thirty (30) days' written notice to the resident for nonpayment of fees within ten (10) days of the due date, failure to comply with State or local law, failure to comply with the facility's policies, a determination after reappraisal that the resident's needs cannot be met at the facility, or a change in the use of the facility. In very limited circumstances involving a threat to the health or safety of the residents or others at the Community, the Corporation can terminate the Agreement for cause on three (3) days' notice.

Admission Criteria

The Corporation operates the Community on a nondiscriminatory basis and affords equal treatment and access to services to all eligible persons regardless of race, religion, national origin, ancestry, or other protected category. Eligibility for residency is based on the Corporation's requirements, which include being at least 60 years old upon occupancy; having sufficient financial resources to meet the resident's anticipated fee obligations; and having care needs that are consistent with the laws pertaining to RCFEs and that do not present an unacceptable risk of early, frequent, or chronic long-term care. Applicants are required to provide information that establish these facts, including providing medical records and submitting to a medical exam by a physician prior to admission.

THE PROJECT

Overview

The Project is part of a multi-phase master facilities plan adopted by the Corporation to address market demand for larger Residential Living units with more amenities, memory care and extended care.

Aldersly and its Board completed a master planning process with the overarching goal to complete the continuum of care and improve Residential Living offerings to meet market expectations. The first phase of the plan was completed in 2022 and consisted of three components: (1) converting a floor of the 15 assisted living suites into 20 memory care assisted living suites (10 private suites and five semi-private suites), (2) converting its 18 skilled nursing beds into 16 extended care beds, and (3) refreshing existing facilities. The cost of the initial phase of the master plan was paid with Corporation equity. See "THE COMMUNITY – Recent Developments; SNF Closure" in this APPENDIX A.

The second phase of the master plan involves replacement of a Residential Living apartment building with larger, more marketable apartments, additional common areas, and more parking (collectively referred to as the "*Project*"). The Project includes the elimination of 14 existing Residential Living units that will be replaced by a new 35-unit Residential Living building. Total new building will be four stories high, will have approximately 57,000 square feet of conditioned space and will have a concrete structural system. New amenities will include a café, activity room and rooftop terrace. The average size of the 35 new apartments will be approximately 1,013 square feet (double the size of the existing Residential Living apartments). The new Residential Living building is required to be licensed as an RCFE. See "THE COMMUNITY – General" in this APPENDIX A for a chart depicting the unit mix before after of the Project.

The Corporation estimates the total Project costs to be approximately \$56.9 million. An amount equal to approximately \$47.9 million of the Project costs will be paid from the proceeds of the Bonds and approximately \$9.0 million will be paid from funds of the Corporation. The Corporation has executed a guaranteed maximum price construction contract with Cahill Construction (the “*Contractor*”). The project budget includes an approximately eight percent (8%) contingency (including owner’s, contractors’ and design contingencies) on all construction and soft costs as well as a payment and performance bond and liquidated damages. See “The General Contractor and the Construction Contract” herein.

Demolition of the existing building on the Project site is scheduled to being in June 2023. The Corporation expects to commence construction of the Project in July 2023 and expects substantial completion in January 2025. The estimated timeline for the Project is summarized below.

PROJECT TIMELINE

	ESTIMATED START	ESTIMATED COMPLETION
Demolition	June 2023	July 2023
Construction	July 2023	January 2025
Move-ins/95% Occupancy of apartments	February 2025	July 2026

For additional information concerning the Project, see APPENDIX C — “FINANCIAL FEASIBILITY STUDY.”

Project Pricing

The following table shows the expected (as of the date hereof) configuration and expected average pricing of the Residential Living apartments to be built as part of the Project, based on pricing for Charter residents, described below. Charter Residents receive an approximately 5% discount off the standard pricing of entrance fees. The Corporation expects to discontinue Charter Resident pricing when construction of the Project begins.

Apartment Type	# of Units	Square Feet	Average Entrance Fee 50% RoC	Average Entrance Fee 90% RoC	Average Monthly Service Fee
One-Bedroom – Christian	6	800	\$682,000	\$852,000	\$6,300
One-Bedroom/Den – I/J/A/F	8	990	\$993,000	\$1,241,000	\$6,800
One-Bedroom/Den – V/M/H	11	1,060	\$1,007,000	\$1,259,000	\$6,800
One-Bedroom/Den – M+/V+	4	1,060	\$1,083,000	\$1,354,000	\$7,200
Two-Bedroom – Crown	6	1,140	\$1,102,000	\$1,378,000	\$7,200
Total / Weighted Average	35	1,013	\$973,100	\$1,216,400	\$6,830
Second Person Fee			\$19,200	\$24,000	\$1,900

Regulatory Permits and Approvals

As with all major construction projects, the Corporation must obtain numerous licenses, permits, or approvals from various governmental agencies, both for construction work and to operate various portions of the Project after completion. Applications for certain approvals may not be made until certain

site work and detailed plans have been prepared or construction is completed. In some cases, approvals may only involve an administrative review to ensure compliance with approvals already obtained or payment of a fee. In other cases, approvals involve the exercise of discretion by government authorities. See “RISK FACTORS – Construction Risks” in the forepart of this Official Statement.

The various approvals and permits necessary for the Corporation to begin construction and commence operations are outlined below.

Zoning. The Corporation has obtained the necessary zoning approvals for the Project.

Building Permits. The Corporation submitted its building permit application and supporting materials to the City of San Rafael (the “City”). The City has provided comments to the Corporation and the Corporation anticipates that the building permit for the Project will be approved and issued promptly after the issuance of the Series 2023 Bonds. Nothing has come to the attention of management of the Corporation that would lead it to believe that such permits will not be granted in a timely manner in accordance with the current construction schedule.

Department of Social Services. The Project must be approved by the California Department of Social Services (“DSS”) and the State Fire Marshall. DSS has approved the deposit agreement to enable the Corporation to collect 10% deposits on new Residential Living units. The COA will be modified to include the Project after construction is complete and all local approvals have been obtained. The Corporation will submit an application and supporting materials to increase its licensed capacity to the Community Care Licensing Division of DSS when construction is nearly complete. If the license application is timely submitted, the Corporation anticipates approval will be received shortly after a certificate of occupancy is issued and the State Fire Marshall approves the building.

Environmental Studies. As with all major construction projects, the Corporation must comply with applicable laws and obtain numerous permits, approvals, and authorizations from various governmental agencies prior to, during, and after completion of the construction work.

A Phase I environmental site assessment of the Project site was conducted by Haley & Aldrich, Inc., Walnut Creek, California for the Corporation in March 2023. The objective of the Phase I review is to determine whether known and suspected recognized environmental conditions (“RECs”), controlled RECs or historical RECs, are associated with the site. The Phase I review revealed no evidence of RECs associated with the Project site.

Although there are currently no known environmental impacts at the property, there can be no assurance that unknown environmental conditions (including the presence of underground storage tanks, the presence of contaminants associated with the use of fire suppressants, or other soil, groundwater, or vapor conditions) will not be discovered in the future. Environmental conditions discovered at the Project site as the result of past uses or occurrences may result in increased construction costs or other material adverse consequences to the operations or financial condition of the Corporation.

Marketing of the Project.

The Corporation has engaged Greenbrier to assist with marketing of the Residential Living apartments included in the Project. Marketing of the Project is divided into two distinct components: the priority reservation phase and the deposit phase. The priority reservation phase began in March 2022, when information about the Project was first presented to current residents. During this phase, interested parties were required to execute a Reservation Agreement and a make a refundable deposit equaling \$1,000. The priority members were assigned a number based on the date their priority deposit was received. Selection of units is based on the order in which the signed agreement and reservation deposit were received. Priority depositors, also known as “Charter Residents,” are eligible for an entrance fee discount of approximately 5% off standard entrance fee pricing for the Residential Living Units included in the Project. Management of the Corporation expects that the Charter Resident discount program will end when construction of the Project begins.

The deposit process commenced in January 2023. Depositors were required to provide: (i) payment of a deposit equal to 10% of the entrance fee for the home chosen, (ii) a complete financial application, including backup documentation, and (iii) a signed Deposit Agreement to confirm the style and entrance fee for residence reserved. Deposit agreements can be cancelled without penalty at any time, but after the official start of construction, the refund is delayed until a new depositor reserves the same unit, or certain other events occur. A total of 23 residences, out of 35 available, were reserved with deposits through May 12, 2023. Marketing of the residences to individuals not on the priority reservation list began in March, 2023. A complete summary of the marketing efforts for the 35 residences is provided below.

Month	No. of Units Reserved	No. of Cancellations	Net Reservations	Cumulative Units Reserved	No. of Units Available	Cumulative Percentage of Units Reserved
January 2023	22	-	22	22	13	63%
February 2023	2	-	2	24	11	69%
March 2023	0	1	(1)	23	11	66%
April 2023	1	1	(0)	23	11	66%
May 2023	0	0	0	23	11	66%

The Development Consultant

The Corporation engaged the Greenbrier Development LLC (the “*Greenbrier*” or “*Development Consultant*”) as the development consultant for the Project. The Corporation and the Development Consultant executed a Development Consulting Services Agreement dated February 7, 2019, a first amendment to the Agreement on May 27, 2020, and a second amendment to the Agreement on July 1, 2021 (the “*Development Consulting Agreement*”). See “Development Consulting Agreement” below. Pursuant to the Development Consulting Agreement, the Development Consultant’s role is to provide certain professional and consulting services related to the planning and construction of the Project.

Development Consultant’s Experience

The Development Consultant is a privately-owned limited liability company organized and existing under the laws of the State of Delaware. The Development Consultant specializes in providing planning, development, marketing and strategic consulting services related to all areas critical to the senior housing

and services business. The Development Consultant currently has a staff of approximately 42 persons, and senior leadership has more than 150 years of combined experience in senior housing development.

The Development Consultant is currently responsible for the development and/or marketing of approximately 25 senior living community development and expansion projects around the country. The Development Consultant has provided strategic consulting services to more than 100 senior living communities and providers since 2006.

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A representative list of retirement communities for which the Development Consultant has recently provided development consulting services includes the following:

Greenbrier Development, LLC – Senior Living Experience

Community	Location	Status
Kendal at Ventura d/b/a Enso Verde	Simi Valley, CA	2025 Estimated Construction Start
The Ormsby	Fort Mitchell, KY	2024 Estimated Construction Start
Mozaic Concierge Living	Stamford, CT	2024 Estimated Construction Start
Green Cay Life Plan Village	Boynton Beach, FL	2024 Estimated Construction Start
The Waterford – Phase 2	Juno Beach, FL	2023 Estimated Construction Start
The Ballantyne at Longhorn Village	Austin, TX	2023 Estimated Construction Start
Uptown Oaks at the Hallmark	Houston, TX	2023 Estimated Construction Start
Aldersly Retirement Community	San Rafael, CA	2023 Estimated Construction Start
The Waterford – Phase 1	Juno Beach, FL	Expected to Open 2024
Oak Trace - Phase 2	Downers Grove, IL	Expected to Open 2023
Enso Village	Healdsburg, CA	Expected to Open 2023
The Highview at Searstone	Cary, NC	Expected to Open 2023
Revel Creek at Heritage Community	Kalamazoo, MI	Opened 2022
Kingsboro at Lenbrook	Atlanta, GA	Opened 2021
The Vistas at Beacon Hill	Grand Rapids, MI	Opened 2021
Grand Expansion at Roland Park Place	Baltimore, MD	Opened 2021
The Fairfax at First Community Village	Columbus, OH	Opened 2021
Viamonte at Walnut Creek	Walnut Creek, CA	Opened 2020
The Forum at Rancho San Antonio	Cupertino, CA	Opened 2020
The Spires at Berry College	Rome, GA	Opened 2020
Ingleside at King Farm	Rockville, MD	Opened 2020
Ingleside at Rock Creek	Washington D.C.	Opened 2020
Seabury	Bloomfield, CT	Opened 2019
The Culpeper	Culpepper, VA	Opened 2019
Lakewood	Richmond, VA	Opened 2019
Wake Robin	Shelburne, VT	Opened 2019
Ventana by Buckner	Dallas, TX	Opened 2019

The key personnel of the Development Consultant actively involved in the development of the Community includes the following persons:

Mike Gilliam, President and Chief Executive Officer. Mr. Gilliam is responsible for providing strategic direction to the Development Consultant's clients in the areas of planning, development, financing and marketing. Mr. Gilliam has been in the senior housing industry since 1990 and has worked with more than 400 clients over this time. Mr. Gilliam founded Greenbrier in 2006, along with Mr. Tom Navin, with the goal of providing excellent client service and objective advice. Prior to forming the Development Consultant, Mr. Gilliam was a Senior Vice President at another national senior housing company since 1990 and served various roles in the planning and development of approximately 30 senior living communities. He also led the new business development efforts. Prior to 1990, Mr. Gilliam was a consultant at Deloitte and Touche. He earned an MBA from the University of Texas at Austin.

Tom Navin, Chief Operating Officer and Executive Vice President. Mr. Navin is responsible for coordination of all aspects of the Development Consultant's development team, including entitlements, site

logistics, design, and construction related activities. Mr. Navin co-founded Greenbrier in 2006 with Mr. Gilliam after working for another national senior housing development firm for six years, where he was responsible for coordination of the full range of development services for its clients. Prior to 2000, Mr. Navin was a Development Project Manager where he was responsible for the planning and development of 20 senior living communities and two prototype designs. He also has 22 years of architectural, construction, and development experience. Mr. Navin received a bachelor's degree in Architecture from the University of Illinois.

Cole Gray, Executive Vice President. Mr. Gray leads the Development Consultant's Planning and Finance group and is responsible for the coordination of planning and consulting services for clients, as well as the coordination of financing activities. He has worked with more than 200 senior living clients and has been involved in more than \$3 billion of senior living financings since beginning his career in senior housing development and consulting in 1999. Prior to his work in senior housing, Mr. Gray was a management consultant for Navigant Consulting and Gibson and Associates. Mr. Gray received a bachelor's degree in Finance from the University of Illinois.

Barry Johnson, Executive Vice President. Mr. Johnson joined the Development Consultant in May 2006 and is responsible for leading the marketing and sales organization at the Development Consultant. Mr. Johnson has more than 25 years of experience in senior housing, having previously worked for Vi (formerly Classic Residences by Hyatt) and Erickson. He received a bachelor's degree in Finance from the University of Maryland and an MBA from Michigan State University.

Stephen Young, Chief Financial Officer and Chief Administrative Officer. Mr. Young joined the Development Consultant as part of the initial management team, and was responsible for implementing and managing all financial reporting, treasury, human resources, information technology and administrative functions for the Development Consultant as well as all cost reporting for client accounting. Prior to joining the Development Consultant, Mr. Young was Chief Financial Officer for Home Corporation International, responsible for establishing and directing all financial and administrative functions for a start-up encompassing five entities. Mr. Young was also an independent financial and management consultant for small businesses in the Houston area and previously gained 10 years' experience in the senior housing industry as Director of Finance with Marriott and as Controller for National Guest Homes, Inc. Mr. Young received a bachelor's degree in Finance from Southern Methodist University and an Executive MBA from the University of Houston.

Peter Lin, First Vice President of Development. Mr. Lin joined the Development Consultant in April 2013 and provides project management support to clients. With 19 years of experience, Mr. Lin brings knowledge of the architectural design and construction process to his experience in real estate development. Prior to joining the Development Consultant, he spent six years with Gables Residential and UDR managing the development process of projects such as luxury high-rise multi-family and mixed-use communities in California and Texas. Mr. Lin earned a Bachelor of Architecture from Texas Tech University and an Executive MBA from University of Texas at Dallas.

Ames Allen, First Vice President of Marketing. Ms. Allen has spent 26 years working exclusively in the senior living industry. Ms. Allen joined Greenbrier Development in July 2018 and is responsible for the pre-sales and occupancy growth of start-up communities and expansions. After 10 years with Carlton Senior Living, a San Francisco Bay Area rental organization, Ames joined the regional team at Life Care

Services, providing oversight of both rental and life plan communities in the West/Midwest division, including new development and expansions, and eventually becoming the VP/Senior Director of Marketing and Sales for LCS, where she remained for almost 10 years prior to joining Greenbrier. Ames supported Aldersly for 5 years in a regional capacity while with Life Care Services. Ms. Allen has spent the majority of her time assisting and leading teams through pre-sales, lease-up developments, expansions, and successful occupancy turnarounds for both life plan and rental projects. She graduated from California State University, Chico in 1997 with a B.A. in psychology and English, and a minor in gerontology. She completed her graduate work in gerontological marketing at California State University, Sacramento.

Development Consulting Agreement

The Corporation engaged the Development Consultant to provide development consulting services for the Corporation. Pursuant to the Development Consulting Agreement, the Development Consultant is required to provide (a) all necessary planning to implement the plan for development of the Project approved by the Corporation, including any revisions thereto, (b) detailed budgets for each phase of development activity, which are to be submitted for the Corporation's approval, (c) assistance in obtaining all necessary governmental approvals required for development of the Project, (d) coordination, preparation and review of all design and construction plans and specifications by the Corporation's architect and other design consultants, (e) development and supervision of a marketing program, (f) assistance in securing financing for the Project, (g) assistance in negotiating and awarding a construction contract for the Project and thereafter monitoring the progress of construction, (h) preparation of monthly Project cost reports, and (i) providing the Corporation with all information and records to comply with filing and disclosure requirements.

The Development Consulting Agreement provides for the payment of a Development Fee of \$1,000,000 based on approximately 2.85% of the estimated project budget of the two-phased master plan adopted by the Corporation in 2019, a marketing fee of approximately \$450,000 based on 1.50% of gross entrance fees collected up to and including 90% occupancy of the Residential Living units ("*Marketing Fee*"), and an incentive fee (the "*Incentive Occupancy Fee*") if certain occupancy milestones are met up to a maximum of \$200,000 if 90% occupancy is achieved within nine months of the issuance of a certificate of occupancy for the Project. Approximately \$750,000 of the Development Fee will have been earned prior to issuance of the Series 2023 Bonds.

The table below shows the payments of the Development Fee and Marketing Fee as of the date hereof and the anticipated timing of future payments:

Date	Amount	Cumulative Fee
Prior to Issuance of the Series 2023 Bonds	\$750,000	\$750,000
Upon Achieving 70% of Project Units Reserved and Issuance of the Series 2023 Bonds	\$150,000	\$900,000
During Construction	\$15,000	\$1,200,000
	per month	
Upon Achieving 50% Occupancy of Project Units	\$25,000	\$1,225,000
Upon Achieving 90% Occupancy of Project Units	\$225,000	\$1,450,000

Owner's Construction Representative

Harris and Associates (the “*Owner's Construction Representative*”) is an employee-owned corporation founded in 1974 specializing in project and construction management on behalf of owners. Over the years, they have recruited a team of construction managers, engineers, public finance, and environmental specialists to serve a diverse roster of public-sector, institutional, and private clients. The Owner's Construction Representative offers a staff of more than 195 professional and support personnel.

The Architect and the Architect Services Agreement

The Corporation entered into an agreement with Perkins Eastman Architects, DPC of San Francisco, California (“*PE*”) to provide architectural services for the Project. PE is the design architect, managing architect, and architect of record for the Project. Founded in 1981, PE is a leading architecture, urban design, and interior design firm offering programming, planning, design, and strategic planning services, with a global network of more than 1,000 professionals across 15 offices. With more than 600 completed senior living design projects, and 20 principals focused on senior living, PE has led the effort on master planning, building design conceptualization, development, and execution, interior design, consultant coordination, and specifications.

PE and the Corporation executed a contract with PE for a stipulated sum of approximately \$2,800,000. Services beyond the scope of the architect's contract will be billed hourly billing rates unless otherwise agreed upon in writing prior to performance of such additional services.

The General Contractor and the Construction Contract

The Corporation has engaged Cahill Contractors LLC (“*Cahill*” or the “*General Contractor*”) to provide general contractor services for the Project. Cahill has been family owned and managed for over 100 years, providing preconstruction, general contracting, and design-build services in many market segments including continuing care facilities. Cahill is a Bay Area company, with offices in San Francisco and Oakland.

The following projects are a representative list of Cahill's ongoing and completed projects:

Sponsor	Project	Status	Project Cost
Episcopal Senior Communities	Spring Lake Village	Complete December 2014	\$63.5M
Sequoia Living	Viamonte	Complete April 2020	\$127.6M
Jewish Homes of San Francisco	SF Campus Expansion & Renovation	Complete March 2020	\$112M
Bethany Center Senior Housing	Bethany Center Senior Housing	Complete August 2018	\$18M
Rosa Parks Rad	Tenderloin Neighborhood Dev. Corp.	Complete September 2018	\$45.6M
Sequoia Living	Wester Park Apartments	Complete December 2014	\$18.8M
Chinatown Community Development Center	Mary Helen Rogers Senior Community	Complete April 2013	\$29.4M
Masonic Homes of California	Acacia Creek	Completed February 2010	\$72.5M

The Corporation has executed a guaranteed maximum price construction contract with respect to the Project (the “*Construction Contract*”). The Contractor’s guaranteed maximum price is approximately \$44,000,000 (the “*GMP*”). The Construction Contract will include a contractor’s contingency of approximately \$800,000 (approximately 2% of GMP). The Project budget also includes an owner’s construction and project contingency of approximately \$3,712,000 (approximately 8.4% of GMP), which will not be included in the Construction Contract. The Construction Contract may be adjusted for changes in the scope of the Project and will be subject to a number of exclusions. The Construction Contract requires that the Contractor provide the Corporation with payment and performance bonds in the full amount of the guaranteed maximum price.

In the event the General Contractor does not substantially complete each construction component within the periods specified in the Construction Contract, the General Contractor will be liable for liquidated damages for each day of delay in excess of 30 days past the required date of substantial completion for each stage of the Project. Liquidated Damages (“*LD*”) are outlined in the chart below based on a percentage assumed of daily debt service on the Bonds and the length of the delay. Assumed daily debt service on the Bonds is \$9,293.

Days Delayed	0-30	31-60	61-90	91-120	121+
LD Distribution	0%	25%	50%	75%	100%
Damages	\$0	\$2,323	\$4,645	\$6,968	\$9,290

Future Plans

As part of its master plan, the Corporation is considering a number of options for future expansion and modernization of the Community. Such future projects may include, but are not limited to, the renovation and/or replacement of existing Residential Living apartments not included in the initial phases of the master plan, improvements to dining and other common areas as well as additional amenities. Future developments would not occur until the Project is completed and no additional projects have been approved by the Board. Any decision to undertake future projects will depend on factors such as the ability of the Corporation to meet the additional indebtedness tests in the Regulatory Agreement and other financial covenants, interest rates, construction costs, market demand for Residential Living, assisted living, memory care, or extended care units, other market conditions, and the overall financial feasibility of any such project. Management of the Corporation expects that the cost of any future projects will be paid from a combination of Corporation equity and additional indebtedness. Due to the uncertain scope and timing of any future projects, management of the Corporation is unable to accurately estimate the cost of any potential projects as of the date hereof.

MARKET AREA AND COMPETITION

Primary Market Area, Marketing and Competing Facilities

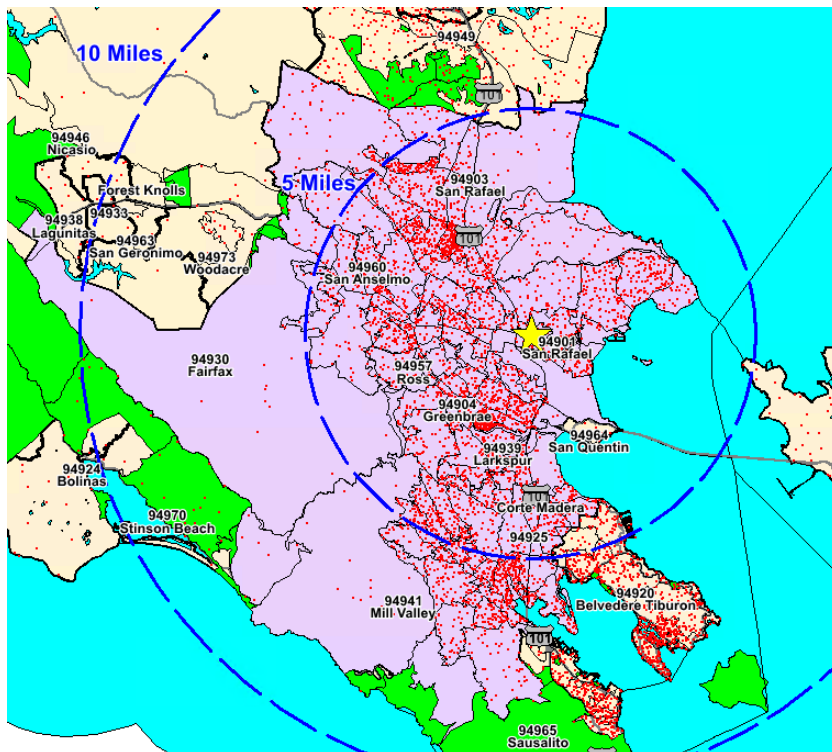
The Corporation faces competition from similar communities operating in its primary market area. Competition may increase in the future with the construction of new communities or the expansion of existing communities. Management of the Corporation has prepared the following description of the primary competition for the Community.

Primary Market Area. The Community’s primary market area (“PMA”) is defined as the area from which a substantial portion (typically 70-80%) of Aldersly residents are expected to originate. As of February 28, 2023, 79% of current Aldersly depositors originate from the PMA listed below. For purposes of the Market Analysis, the defined PMA includes the following 9 zip codes:

Primary Market Area	
Zip Code	City
94901	San Rafael
94903	San Rafael
94904	Kentfield
94925	Corte Madera
94930	Fairfax
94939	Larkspur
94941	Mill Valley
94957	Ross
94960	San Anselmo

Source: Aldersly

The PMA is represented graphically below and includes a dot density analysis demonstrating the dispersion of approximately 5,300 households located in the PMA that are age 75 and older with an annual income of more than \$75,000.



Marketing. Marketing is performed by the on-site Marketing Director and the Marketing and Public Relations Committee of the Board with assistance from third-party consultants. Advertising, direct mail, various Community functions and public relations efforts are utilized in marketing the Community. Referrals by current residents also are a source of new residents. For a description of marketing for the Project, see “THE PROJECT – Marketing of the Project” in this APPENDIX A.

Competition. The PMA includes several senior communities. As such, senior housing is a well-established lifestyle choice in the Bay Area and prospects are well educated about the market. Key competitors for Aldersly inside of the PMA include Drake Terrace at San Rafael, The Redwoods, The Tamalpais, and the Villa Marin. Approximately 6,383 Residential Living units exist within the PMA, although not all can be considered direct competition given the differences between communities. Additionally, many of these Residential Living units provide assisted living services and are more comparable with that level of care.

This description of the competitive environment considered existing and planned Residential Living. Each community described herein met the following criteria:

- Located within Aldersly’s PMA;
- Has more than 20 Residential Living units (applicable only to communities that offer this level of care);
- Primarily serves those age 75 and older and offers some or all of the following substantive supportive services to their residents:
 - Meals
 - Transportation
 - Housekeeping
 - Activities
 - Assistance with activities of daily living such as bathing and dressing
 - Serves primarily private pay residents, and serves the general elderly population

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COMPETITIVE RESIDENTIAL LIVING COMMUNITIES IN THE PRIMARY MARKET AREA

	Aldersly	The Tamalpais	Drake Terrace	The Redwoods	Villa Marin
Address	326 Mission St. San Rafael, 94901	501 Via Casitas Greenbrae, 94904	275 Los Ranchitos San Rafael, 94903	40 Camino Alto, Mill Valley, 94941	100 Thorndale Dr., San Rafael, 94903
Proximity to Aldersly	n/a	Less than 5 miles	4 miles	10 miles	4 miles
Ownership/ Sponsorship	Local Nonprofit, Started by Danish Community	Sequoia Senior Living	Kisco For-profit	Nonprofit; Offers subsidized rates	Nonprofit
Year Opened	1921	1960	1985	1970	1985
Contract Type	Entrance Fee	Entrance Fee	Residence and Service (No Entrance Fee)	Residence and Service (No Entrance Fee)	Condo Purchase
Number of Residential Living Units	41	240	24	150	224
Size Range (Sq. Feet)	370-720	415-1,280	500-990	857-1,473	2,254
Entrance Fees/ Purchase Prices	\$144,000-\$296,000 Traditional \$190,000- \$1,378,000 ROC	\$121,200- \$1,556,000	N/A	Community Fee- \$750	\$255,000- \$1,100,000
Monthly Fees	\$4,760-\$6,830 2 nd person-\$1,300	\$3,974-\$9,678 2 nd person- \$1,155-\$2,763	\$5,925-\$8,300 2 nd person-\$1000	\$4,390-\$7,720 2 nd person - \$550	N/A

Source: Greenbrier, Aldersly

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HISTORICAL UTILIZATION

The following table sets forth the occupancy of the Community's Residential Living units, assisted living units and skilled nursing beds as of the end of the Corporation's fiscal years 2020, 2021 and 2022.

Historical Utilization

Level of Care	Occupancy in Fiscal Year Ended							
	Sept. 30, 2020		Sept. 30, 2021		Sept. 30, 2022		March 31, 2023	
	Occupied Units	Percentage Occupied	Occupied Units	Percentage Occupied	Occupied Units	Percentage Occupied	Occupied Units	Percentage Occupied
Residential Living	47.5	86.4%	46.2	84.0%	42.4	78.5%	39.0	93.0%
Assisted Living	29.4	97.9%	22.0	73.3%	15.0	100.0%	15.0	100.0%
Memory Care	N/A	N/A	N/A	N/A	8.5	42.5%	12.0	60.0%
Skilled Nursing	15.0	83.5%	11.0	61.3%	N/A	N/A	N/A	N/A
Extended Care	N/A	N/A	N/A	N/A	12.0	75.0%	8.0	50.0%

Source: Aldersly

FINANCIAL INFORMATION

The following summary financial information for the Corporation provided for each of the three fiscal years ended September 30, 2020, 2021 and 2022 has been derived by management of the Corporation from the Corporation's consolidated audited financial statements for the same periods. The financial statements as of September 30, 2020, 2021 and 2022, and for the years then ended and the related notes, included in this Official Statement have been audited by Baker Tilly US, LLP, independent auditors, as stated in the reports appearing in APPENDIX B hereto.

The following summary also includes financial information for the as of and for the six-month ended March 31, 2022 and March 31, 2023, derived from the unaudited financial statements prepared by management of the Corporation for the same periods. The unaudited financial information set forth in this APPENDIX A is not necessarily indicative of the results of the Corporation for the fiscal years ending September 30, 2022 or September 30, 2023.

The audited financial information in APPENDIX B to this Official Statement and the summary financial information set forth below includes financial information of H.C. Andersen on a consolidated basis with the Corporation. As of September 30, 2022, the total assets of H.C. Andersen were \$1,872,275.

The following information should be read in conjunction with the financial statements and related notes that are included in APPENDIX B to this Official Statement.

Summary Statement of Financial Position of the Corporation

The following summary statement of financial position sets forth the Corporation's financial position as of September 30, 2020, 2021 and 2022 and as of March 31, 2022 and 2023.

Statement of Financial Position
(in dollars)

	As of			As of	
	Sept. 30, 2020	Sept. 30, 2021	Sept. 30, 2022	March 31, 2022	March 31, 2023
Assets					
Current assets					
Cash and cash equivalents	\$1,466,118	\$1,158,200	\$1,121,640	\$2,991,628	\$2,715,028
Investments in marketable securities	14,593,671	8,759,081	5,429,829	8,237,489	10,599,973
Accounts receivable - residents - net	294,271	919,566	361,721	241,732	229,101
Accounts receivable - other	50	-	-	-	-
Pledges receivable	-	-	7,769,542	-	136,799
Interest and dividends receivable	2,313	2,997	3,104	3,049	2,758
Prepaid expenses	301,987	705,736	787,529	450,797	443,563
Total current assets	16,658,410	11,545,580	15,473,365	11,924,695	14,127,222
Property, buildings and equipment	10,170,045	15,197,373	20,038,030	19,074,410	21,543,661
Assets whose use is limited or restricted					
Restricted cash equivalents	290,785	251,459	265,538	338,731	324,761
Fixed income securities	505,862	509,279	496,474	494,840	504,839
	796,647	760,738	762,012	833,571	829,600
Other noncurrent assets					
Long-term investments held for endowment	8,837,093	10,890,136	7,051,020	6,689,204	8,607,434
Investments in residential real estate - net	1,742,957	1,715,309	-	-	-
	10,580,050	12,605,445	7,051,020	6,689,204	8,607,434
Total Assets	\$38,205,152	\$40,109,136	\$43,324,427	\$38,521,880	\$45,107,917
Current liabilities					
Accounts payable and accrued expenses	\$663,548	\$1,352,325	\$465,439	\$786,538	\$423,478
Accrued salaries and wages	493,345	452,536	314,576	466,816	406,652
Refunds payable	543,674	97,480	287,240	276,485	516,424
Deposit liability	44,287	20,934	634,638	501,033	2,440,301
Guaranteed refunds	393,000	494,070	612,300	482,025	482,025
Current maturities of long-term debt	180,000	190,000	195,000	190,000	195,000
Accrued settlement	400,000	-	-	-	-
Total current liabilities	2,717,854	2,607,345	2,509,193	2,702,897	4,463,880
Long-term liabilities					
Unearned entrance fees	4,989,262	5,084,396	4,960,361	3,987,904	4,475,466
Guaranteed refunds	2,333,833	1,681,219	1,556,518	1,533,219	1,429,983
Long-term debt - net of unamortized financing costs and net bond premium	5,891,657	5,688,640	5,480,623	5,644,502	5,474,116
	13,214,752	12,454,255	11,997,502	11,165,625	11,379,565
Total liabilities	15,932,606	15,061,600	14,506,695	13,868,522	15,843,445
Net assets					
Without donor restrictions - operating					
Undesignated	12,406,367	13,127,689	12,967,459	16,934,443	19,490,528
Board designated	9,790,569	11,843,612	8,004,496	7,642,680	9,560,910
	22,196,936	24,971,301	20,971,955	24,577,123	29,051,438
With donor restrictions	75,610	76,235	7,845,777	76,235	213,034
Total Net Assets	22,272,546	25,047,536	28,817,732	24,653,358	29,264,472
Total liabilities and net assets	\$38,205,152	\$40,109,136	\$43,324,427	\$38,521,880	\$45,107,917

Summary Unrestricted Statement of Activities of the Corporation

The following table is a summary of the unrestricted statement of activities of the Corporation for the fiscal years ended September 30, 2020, 2021 and 2022 and for the six-months ended March 31, 2022 and 2023.

Unrestricted Statement of Activities
(in dollars)

	Fiscal Year Ended			Six Months Ended	
	Sept. 30, 2020	Sept. 30, 2021	Sept. 30, 2022	March 31, 2022	March 31, 2023
Service Revenues and Support					
Service Revenue					
Residential living fees	\$2,960,821	\$2,948,594	\$3,089,865	\$1,566,546	\$1,531,920
Memory care fees	-	-	656,167	172,115	487,565
Skilled nursing fees - net	2,459,206	2,118,148	1,800,586	1,002,900	634,039
Assisted living fees	2,420,924	1,901,544	1,493,770	805,586	650,922
Entrance fees amortization	894,598	1,286,110	889,014	539,629	716,113
Total Service Revenues	\$8,735,549	\$8,254,396	\$7,929,402	\$4,086,776	\$4,020,559
Support					
Government grant - Paycheck Protection Program	\$931,200	-	-	-	-
Donations, gifts and bequests	136,750	\$108,526	\$59,218	\$50,789	\$109,541
Net assets released from restrictions	164,933	-	-	-	7,632,743
Total Revenue and Support	\$9,968,432	\$8,362,922	\$7,988,620	\$4,137,565	\$11,762,843
Operating Expenses					
Program services	\$8,894,541	\$8,330,677	\$8,336,500	\$3,814,099	\$4,557,781
Management and general	1,469,939	1,504,550	1,025,704	687,183	563,144
Fundraising	185,632	242,329	264,338	110,687	142,102
Total Expenses	\$10,550,112	\$10,077,556	\$9,626,542	\$4,611,969	\$5,263,027
Change in net assets before other revenues (expenses)	\$(581,680)	\$(1,714,634)	\$(1,637,922)	\$(474,404)	\$6,499,816
Other revenues (expenses)					
Rental and other income	\$9,480	\$51,134	\$29,390	\$14,855	\$10,985
Investment income - net	1,622,495	4,419,917	(2,390,814)	65,371	1,568,682
Net income from Investment in residential real estate	7,990	17,948	-	-	-
Provider relief funds	293,180	-	-	-	-
Loss on disposal of assets	(1,621)	-	-	-	-
Settlement expense	(400,000)	-	-	-	-
	\$1,531,524	\$4,488,999	\$(2,361,424)	\$80,226	\$1,579,667
Change in net assets	949,844	2,774,365	\$(3,999,346)	\$(394,178)	\$8,079,483
Net assets - beginning of year	21,247,092	22,196,936	24,971,301	24,971,301	20,971,955
Net assets - end of year	\$22,196,936	\$24,971,301	\$20,971,955	\$24,577,123	\$29,051,438

Debt Service Coverage Ratio

The following table presents the Corporation's actual historical coverage of annual debt service (calculated in accordance with requirements of the Regulatory Agreement) for the fiscal years ended September 30, 2020, 2021 and 2022 and for the six months ended March 31, 2022 and 2023.

Historical Coverage of Annual Debt Service (in dollars)

	Fiscal Year Ended			Six Month Periods Ended	
	Sept. 30, 2020	Sept. 30, 2021	Sept. 30, 2022	March 31, 2022	March 31, 2023
Change in net assets before other revenues and expenses	\$(581,680)	\$(1,714,634)	\$(1,637,922)	\$(394,178)	\$8,079,483
Plus/(Less):					
Depreciation	767,733	740,256	800,001	357,743	338,547
Interest expense	280,620	270,705	253,333	143,094	76,360
Entrance fee amortization	(894,598)	(1,286,110)	(889,014)	(539,629)	(716,113)
Interest and dividend income – net of fees	403,434	318,778	218,845	121,045	187,794
Realized investment income	403,202	2,996,348	1,469,249	1,445,827	48,635
Provider relief funds	293,180	-	-	-	-
Rental and other income	9,480	51,134	29,390	14,855	10,985
Entrance fee received	1,815,241	1,736,695	1,456,732	558,549	510,066
Entrance fee refunded	(691,184)	(355,451)	(691,753)	(379,565)	(310,474)
(A) Income available for debt service	\$1,805,428	\$2,757,721	\$1,008,861	\$1,327,741	\$8,225,283
(B) Actual Annual Debt Service	\$463,636	\$463,038	\$453,542	\$233,988	\$232,212
(C) Actual Annual Debt Service Coverage (A)-(B)	3.89x	5.96x	2.22x	5.67x	35.42x

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Liquidity

The following table presents Days Cash on Hand of the Corporation, calculated in accordance with requirements of the Regulatory Agreement, as of September 30, 2020, 2021 and 2022 and as of March 31, 2022 and 2023.

	Days Cash on Hand (in dollars)				
	Fiscal Year Ended			Six Month Periods Ended	
	Sept. 30, 2020	Sept. 30, 2021	Sept. 30, 2022	March 31, 2022	March 31, 2023
Cash and liquid investments					
Cash and cash equivalents	\$1,466,118	\$1,158,200	\$1,121,640	\$2,991,628	\$2,715,028
Investments	23,430,764	19,649,217	12,480,849	14,926,693	19,207,407
(A) Cash and liquid investments	<u>\$24,896,882</u>	<u>\$20,807,417</u>	<u>\$13,602,489</u>	<u>\$17,918,321</u>	<u>\$21,922,435</u>
Cash operating expenses					
Total expenses	\$10,550,112	\$10,077,556	\$9,626,542	\$4,611,969	\$5,263,027
Less depreciation	(767,733)	(740,256)	(800,001)	(357,743)	(338,547)
(B) Total cash operating expenses	<u>\$9,782,379</u>	<u>\$9,337,300</u>	<u>\$8,826,541</u>	<u>\$4,254,226</u>	<u>\$4,924,480</u>
(C) Number of days in year	366	365	365	183	183
Daily cash expenses	\$26,728	\$25,582	\$24,182	\$23,247	\$26,910
Days Cash on Hand	931	813	563	771	815

MANAGEMENT'S DISCUSSION AND ANALYSIS OF OPERATIONS

Results of Operations for the Six Months ended March 31, 2023 compared to the Six Months ended March 31, 2022

Total services revenue through six-months ended March 31, 2023 decreased by \$66,217 compared to the same period ending March 31, 2022. The main reason for the decrease was a decrease in skilled nursing/extended care revenues of \$368,861, from \$1,002,900 as of March 31, 2022 to \$634,039 as of March 31, 2023. This decrease was due to the Phase 1 project described herein, and specifically the conversion from skilled nursing beds to extended care beds. The decrease was partially offset by an increase in memory care revenue of \$315,450 over this same period.

Operating expenses for the six months ended March 31, 2023 increased by \$651,058 compared to the six months ended March 31, 2022. The increase in operating expenses was largely attributable to increased salaries and wages.

As of March 31, 2023, the Corporation's cash and liquid investments increased by \$4,004,114, from \$17,918,321 as of March 31, 2022 to \$21,922,435 as of March 31, 2023. The increase was primarily due to the receipt of several pledges described below, however; these pledges received were partially offset by pre-development expenditures related to Project in addition to unrealized losses on investments due to

current market conditions. The Corporation's Days Cash on Hand increased from 771 days as of March 31, 2022 to 815 days as of March 31, 2023. The nominal increase in Days Cash on Hand relates to the increase in daily operating expense from \$23,247 as of March 31, 2022 to \$26,910 as of March 31, 2023.

Results of Operations for the Twelve Months ended September 30, 2022 compared to the Twelve Months ended September 30, 2021

During the fiscal year ended September 30, 2022 ("Fiscal Year 2022"), Aldersly completed the first phase of a master plan, which consisted of a conversion of 15 assisted living suites into 20 memory care suites, a renovation of the existing 15 assisted living suites, and delicensing the 18-bed SNF and converting those SNF beds into high acuity assisted living, also known as extended care. The Project being financed with the proceeds of the Bonds is the second phase of the master plan. The master plan and the project are described under "THE COMMUNITY – Recent Developments; SNF Closure" and "THE PROJECT – Overview" in this APPENDIX A. In preparation for the second phase which requires the demolition of 14 Residential Living apartments, Aldersly began taking those 14 Residential Living units offline during Fiscal Year 2022. As a result of phase 1 and taking units offline, occupancy in Residential Living decreased 5.5% to 78.5%, Memory Care Center occupancy was 42.5% and Extended Care Center was 75.0%.

Total services revenue in Fiscal Year 2022 decreased by \$324,994 compared to Fiscal Year 2021. The main reason for the decrease was a decrease in non-cash amortization of entrance fees from \$1,286,110 in Fiscal Year 2021 to \$889,014 in Fiscal Year 2022. Actual cash revenues remained relatively flat between Fiscal Years 2021 and 2022 at \$6,968,286 and \$7,040,388, respectively.

Net entrance fee turnover decreased by \$616,265, from \$1,381,244 in Fiscal Year 2021 to \$764,979 in Fiscal Year 2022. This drop in entrance fee receipts is primarily due to taking the 14 Residential Living units offline in preparation for the Project.

Operating expenses in Fiscal Year 2022 decreased by \$451,014 compared to Fiscal Year 2021. The decrease in operating expenses was largely driven by the reduction in management and general expenses of \$478,846 from Fiscal Year 2021 to Fiscal Year 2022. Much of this reduction was due to the delicensing of the SNF which eliminated a portion of the professional services fees and management service expense due to staffing adjustments.

In Fiscal Year 2022, the Corporation's cash and liquid investments decreased by \$7,204,928, from \$20,807,417 in Fiscal Year 2021 to \$13,602,489 in Fiscal Year 2022. The majority of the decrease relates to unrealized losses of \$4,078,908. In addition, costs related to phase 1 of the master plan were paid from corporate reserves further reducing cash and liquid investments. The unrealized losses and planned capital expenditure in Fiscal Year 2022 were the primary reason that the Corporation's Days Cash on Hand as of September 30, 2022 were reduced to 563 days from 813 days as of September 30, 2021. Management of the Corporation expects those reductions to be at least partially offset in 2023 by the receipt of several pledges in Fiscal Year 2022 that total \$7,769,542. These donations are expected to be received in Fiscal Year 2023, and are included as pledges receivable in Fiscal Year 2022.

Results of Operations for the Twelve Months ended September 30, 2021 compared to the Twelve Months ended September 30, 2020

During the fiscal year ended September 30, 2021 (*"Fiscal Year 2021"*), occupancy in Residential Living decreased 2.4% compared to the fiscal year ended September 30, 2020 (*"Fiscal Year 2020"*) to 84.0% while Assisted Living Center occupancy decreased 24.6% to 73.3%, and SNF occupancy decreased 22.2% to 61.3%. The reason for the large decrease in Assisted Living Center and SNF occupancy compared to Fiscal Year 2020 was that Aldersly was winding down census in preparation for phase 1 of the master plan referenced above.

Total service revenue in Fiscal Year 2021 decreased by \$481,153 compared to Fiscal Year 2020. The decrease in revenues was directly related to the decrease in Assisted Living Center and SNF occupancy noted above. The revenues related to these two segments decreased by \$860,438, from \$4,880,130 in Fiscal Year 2020 to \$4,019,692 in Fiscal Year 2021. Revenues for Residential Living remained steady from \$2,960,821 in Fiscal Year 2020 to \$2,948,594 in Fiscal Year 2021, representing a modest decrease of \$12,227.

Net entrance fee turnover increased \$257,187, from \$1,124,057 to \$1,381,244 in Fiscal Year 2021. This increase in entrance fee receipts is primarily due to fewer refunds being due in Fiscal Year 2021 than in the prior fiscal year.

Operating expenses in Fiscal Year 2021 decreased by \$472,556 compared to Fiscal Year 2020. The decrease in operating expenses was largely driven by the reduction in personnel costs of \$570,732 from Fiscal Year 2020 to Fiscal Year 2021. The decrease in total personnel costs such as salaries, benefits and payroll taxes, was somewhat offset by an increase in management service expense, professional services and non-operating professional services as the Corporation shifted some services and support to LCS through its management agreement.

Cash and liquid investments decreased by \$4,089,465, from \$24,896,882 in Fiscal Year 2020 to \$20,807,417 in Fiscal Year 2021. The decrease is mostly due to the funding of phase 1 of the master plan, with capital expenditures increasing to \$5,739,935 in Fiscal Year 2021 from \$1,328,291 in Fiscal Year 2020. The capital expenditures for phase 1 reduced Days Cash on Hand from 931 in Fiscal Year 2020 to 813 in Fiscal Year 2021.

THE MANAGER

Life Care Services LLC

The Corporation contracts with Life Care Services LLC, doing business as Life Care Services, an Iowa limited liability company (the *"Manager"*) for management of the operations of the Community. The Corporation decided to contract with an outside professional management company following the financial challenges the Corporation faced in 2009.

The Manager currently manages retirement communities in 30 states. The Manager provides management services from its home office in Des Moines, Iowa and regional offices in Charlotte, North

Carolina; Old Saybrook, Connecticut; Indianapolis, Indiana; Delray Beach, Florida; San Diego, California; and St. Louis, Missouri.

The Manager serves as the property manager of the Community and, in connection therewith, recommends and regularly evaluates policies and goals of the Corporation, implements the policies, budgets, directives and goals for the Community established by the Corporation, markets the Community, manages the day-to-day operations of the Community in accordance with the Corporation policies, directives and goals, provides the Corporation with relevant information as to past operations, and makes recommendations as to the future operation of the Community.

The Manager hires, trains and supervises the Executive Director of the Community, who is an employee of the Manager. The Manager recommends personnel policies and procedures for the Corporation's employees, recommends appropriate employee compensation and benefit plans, as necessary or appropriate, recruits employees to be employed by the Corporation, and utilizing personnel policies, procedures and guidelines adopted by the Corporation, implements the recruitment, hiring, training, retention and termination of the Community staff members.

The Manager maintains a system of financial controls for the Community and provides the Corporation with monthly financial statements and annual budgets for operating revenue and expense, capital expenditures and cash flow projections for the Community, and recommends a schedule of resident Entrance Fees, monthly services fees and other charges.

The Board of the Corporation retains ultimate control over the retention of the Manager. The Board also evaluates the performance and monitors the operating costs, wages, salaries, expenses and overall fiscal viability of the Community.

Executive Management of the Manager

Joel Nelson, President and Chief Executive Officer of Life Care Services. Joel Nelson is responsible for executing the business strategy across all business lines in the LCS Family of Companies. He provides leadership and direction for business growth, service excellence, and enhancing the company's stability and value among financial partners, property owners, and other stakeholders in the senior living field. Joel joined LCS in 1986 and has held several executive roles. He is responsible for the oversight of serving nearly 40,000+ seniors and 27,000 employees. Joel serves as Chairman of the Board of Directors of LCS Holding Company, LLC, is a member of the compensation committee and is a trustee of the company's 401(k) benefits program. Outside LCS, Joel serves on various industry and community boards. Within the industry, Joel is the current chairman of the Argentum Board of Directors, and a member of the National Investment Center operator advisory board and an executive member of the American Senior Housing Association. Joel is active in the Des Moines community and serves as a trustee for ChildServe. As a past board member, he remains active with the Alzheimer's Association and the Central Iowa United Way Board of Directors.

Chris Bird, President and Chief Operating Officer. Chris Bird oversees Life Care Services' asset management, procurement, and onboarding operations. He is a member of the Board of Directors of LCS Holding Company, LLC. Chris is a member of the Argentum Advisory Council and the Argentum Chief

Operating Officer Roundtable. He holds a bachelor's degree in history from the University of Memphis, Tennessee.

Diane Bridgewater, Executive Vice President/Chief Financial and Administrative Officer. Diane is responsible for directing all financial and business operations in addition to overseeing the company's insurance business line, information technology, compliance, regulatory and legal matters. Diane serves on the Board of Directors of LCS Holding Company, LLC and its related audit committee, compensation committee, retirement fiduciary committee, investment committee, and enterprise risk management committee. Outside the organization, she is a member of Argentum. In addition, Diane sits on the Casey's General Stores board and audit committee. She is also a member of the board and chair of the audit committee at Guide One Insurance. Diane holds bachelor's degrees in accounting and French from the University of Northern Iowa.

Jason Victor, Senior Vice President, Controller and Treasurer of Life Care Services. Jason Victor provides oversight and direction for the organization's financial matters. Jason has responsibility for the organization's corporate accounting, corporate payroll, community payroll, treasury and tax departments. He oversees all aspects of general accounting, cash management, billing and receivables, accounts payable, payroll, consolidations, and financial reporting. In addition, Jason provides oversight and guidance related to audits, internal controls, technical accounting, tax and financial management systems. Jason serves on the insurance captive, Hexagon, board of directors. Jason holds a bachelor's degree in accounting from the University of Northern Iowa. He is a certified public accountant with an active license in the state of Iowa.

Jill Sorenson, Senior Vice President Life Care Services. Jill Sorenson leads the regional team serving a portfolio of 13 life plan communities. Prior to her current position, Jill provided leadership to 22 life plan communities which achieved 4- and 5-star ratings from the Centers for Medicare and Medicaid Services. Jill initiated client satisfaction surveys with client boards and owners to build stronger and more strategic relationships. Outside LCS, Jill has served on the San Diego Region for Aging Services of California board and the Aging Services of California Board. She is a frequent presenter at national and state industry conferences on topics affecting the senior living industry. Jill holds a bachelor's in business administration from Simpson College and an MBA from the University of Phoenix.

Manager Experience

The Manager manages 127 senior living communities in 30 states. Of those communities, 83 are life plan communities in 28 states, 18 of which were developed by the Manager, LCS Development or a related entity. In addition, the Manager provides management services to 38 rental communities in 13 states.

Management Agreement

The Manager was engaged by the Corporation to provide management services for the Corporation. The current Management Agreement commenced on November 1, 2019 and terminates on November 1, 2024. The compensation consists of a Monthly Management Fee initially set at \$24,495 per month, which increases each January 1 starting January 2021 by the same percentage increase as the percentage increase in the index figure for "all items" as shown in the United States Consumer Price Index for all Urban

Consumers (“CPI-U”) published by the U.S. Bureau of Labor Statistics for the immediately preceding December as compared to the CPI-U for the prior year provided that the increase shall not exceed 1.5% per year (“Monthly Management Fee”). Additional fixed fees are paid for use of certain technology provided by the Manager. The Manager is also reimbursed for expenses.

The Management Agreement may be terminated without cause by the Manager or by the Corporation at any time upon prior written notice with termination effective at the end of the sixth month following notice of termination. The Management Agreement may be terminated by either party sooner in the event of the other party’s breach of the Management Agreement or the insolvency of either party, if such event is not cured within 60 days of notice of termination with cause. Upon termination, the Corporation must pay the Manager all earned but unpaid compensation and outstanding costs.

MISCELLANEOUS

Insurance

The Corporation maintains a full array of property (including business interruption), liability, auto, cyber risks, and directors and officer’s liability insurance. Additionally, coverages are in place for employee benefits liability and worker’s compensation as required by law to protect their employees. Its commercial general liability insurance has an aggregate limit of \$1,000,000 per claim/\$3,000,000 aggregate per policy year. The Corporation also maintains umbrella liability coverage of \$10,000,000 per occurrence and \$50,000,000 aggregate.

The Corporation has evaluated the cost of earthquake insurance and has decided to self-insure those risks.

Employees

The Corporation employs approximately 74 employees, of which 54 are full-time. None of the employees are unionized. Management believes the Corporation’s workforce has remained stable for many years due to its practice of paying fair and competitive wages, hiring procedures that lend to a multi-cultural workforce, providing high-quality health insurance, and offering a strong 401(k) program, which is matched.

Investment Policies

The Corporation maintains a Statement of Investment Policy and Guidelines (the “Policy”) that provides guidance and oversight for the prudent investment of the Corporation’s unrestricted investment portfolios, which include the Aldersly Asset Fund and the Endowment Fund. The policy is reviewed annually by the Endowment and Investment Committee of the Corporation’s Board and revised from time to time as needed. Under to the Policy, the Aldersly Asset Fund is managed with allocations of 55-65% equities, 35-45% fixed income and up to 5% cash. Pursuant to the Policy, the Endowment Fund is managed with allocations of 60-70% equities, 30-40% fixed income and up to 5% cash. Additionally, the portfolios are diversified with respect to maturities and security types to minimize interest rate sensitivity and default risk.

APPENDIX B

**AUDITED FINANCIAL STATEMENTS OF ALDERSLY AND SUBSIDIARY AS OF
AND FOR THE FISCAL YEARS ENDED SEPTEMBER 30, 2020, 2021 AND 2022**

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ALDERSLY AND SUBSIDIARY

Consolidated Financial Statements

September 30, 2022

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INDEPENDENT AUDITORS' REPORT

To the Board of Directors of
Aldersly and Subsidiary

Opinion

We have audited the accompanying consolidated financial statements of Aldersly (a California not-for-profit organization) and Subsidiary (collectively the "Organization"), which comprise the consolidated statement of financial position as of September 30, 2022, and the related consolidated statements of activities, functional expenses and cash flows for the year then ended, and the related notes to the consolidated financial statements.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the financial position of the Organization as of September 30, 2022, and the changes in its net assets and its cash flows for the year ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audits in accordance with auditing standards generally accepted in the United States of America (GAAS). Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are required to be independent of the Organization and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Organization's ability to continue as a going concern within one year after the date the consolidated financial statements are available to be issued.

Auditors' Responsibilities for the audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations or the override of internal control. Misstatements are considered material if there is a substantial likelihood that individually or in the aggregate, they would influence the judgement made by a substantial likelihood that, individually or in the aggregate, they would influence the judgement made by a reasonable user based on the consolidated financial statements.

In performing an audit in accordance with GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the consolidated financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Organization's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the consolidated financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Organization's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings and certain internal control-related matters that we identified during the audit.

Supplementary Information

Our audits were conducted for the purpose of forming an opinion on the consolidated financial statements as a whole. The accompanying supplementary information is presented for purposes of additional analysis and is not a required part of the consolidated financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the consolidated financial statements. The information has been subjected to the auditing procedures applied in the audit of the consolidated financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the consolidated financial statements or to the consolidated financial statements themselves, and other additional procedures in accordance with GAAS. In our opinion, the information is fairly stated in all material respects in relation to the consolidated financial statements as a whole.

Baker Tilly US, LLP

San Francisco, California
April 26, 2023

ALDERSLY AND SUBSIDIARY
CONSOLIDATED STATEMENT OF FINANCIAL POSITION
September 30, 2022

ASSETS

Current Assets

Cash and cash equivalents	\$ 1,121,640
Investments in marketable securities (Note 3)	5,429,829
Accounts receivable - residents - net (Note 4)	361,721
Pledges receivable	7,769,542
Interest and dividends receivable	3,104
Prepaid expenses	787,529
Total current assets	<u>15,473,365</u>

Property and Equipment - net (Note 5)

20,038,030

Assets Whose Use is Limited or Restricted (Note 6)

Restricted cash equivalents	265,538
Fixed income securities	496,474
	<u>762,012</u>

Other Noncurrent Assets

Long-term investments held for endowment (Note 3)	<u>7,051,020</u>
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Total assets

\$ 43,324,427

LIABILITIES AND NET ASSETS

Current Liabilities

Accounts payable and accrued expenses	\$ 465,439
Accrued salaries and wages	314,576
Refunds payable	287,240
Deposit liability	634,638
Guaranteed refunds (Note 7)	612,300
Current maturities of long-term debt (Note 8)	195,000
Total current liabilities	<u>2,509,193</u>

Long-Term Liabilities

Unearned entrance fees (Note 7)	4,960,361
Guaranteed refunds (Note 7)	1,556,518
Long-term debt - net of unamortized financing costs and net bond premium (Note 8)	5,480,623
	<u>11,997,502</u>
Total liabilities	<u>14,506,695</u>

Net Assets

Without donor restrictions	
Undesignated	12,967,459
Board designated (Note 9)	8,004,496
	<u>20,971,955</u>
With donor restrictions (Note 10)	7,845,777
Total net assets	<u>28,817,732</u>

Total liabilities and net assets

\$ 43,324,427

ALDERSLY AND SUBSIDIARY
CONSOLIDATED STATEMENT OF ACTIVITIES
Year Ended September 30, 2022

	Without Donor Restrictions	With Donor Restrictions	Total
SERVICE REVENUE AND SUPPORT			
Service Revenue			
Independent living fees	\$ 3,089,865	\$ -	\$ 3,089,865
Memory care living fees	656,167	-	656,167
Skilled nursing fees - net	1,800,586	-	1,800,586
Assisted living fees	1,493,770	-	1,493,770
Entrance fees amortization	889,014	-	889,014
	<u>7,929,402</u>	<u>-</u>	<u>7,929,402</u>
Total service revenue	7,929,402	-	7,929,402
Support			
Donations, gifts and bequests	59,218	7,769,542	7,828,760
Net assets released from restrictions (Note 10)	-	-	-
	<u>59,218</u>	<u>7,769,542</u>	<u>7,828,760</u>
Total revenue and support	7,988,620	7,769,542	15,758,162
OPERATING EXPENSES			
Program services	8,336,500	-	8,336,500
Management and general	1,025,704	-	1,025,704
Fundraising	264,338	-	264,338
	<u>9,626,542</u>	<u>-</u>	<u>9,626,542</u>
Total expenses	9,626,542	-	9,626,542
Change in net assets before other revenues (expenses)	<u>(1,637,922)</u>	<u>7,769,542</u>	<u>6,131,620</u>
OTHER REVENUES (EXPENSES)			
Rental and other income - net	29,390	-	29,390
Investment loss - net (Note 3)	(2,390,814)	-	(2,390,814)
	<u>(2,361,424)</u>	<u>-</u>	<u>(2,361,424)</u>
CHANGE IN NET ASSETS	(3,999,346)	7,769,542	3,770,196
NET ASSETS - beginning of year	<u>24,971,301</u>	<u>76,235</u>	<u>25,047,536</u>
NET ASSETS - end of year	<u>\$ 20,971,955</u>	<u>\$ 7,845,777</u>	<u>\$ 28,817,732</u>

ALDERSLY AND SUBSIDIARY
CONSOLIDATED STATEMENT OF FUNCTIONAL EXPENSES
Year Ended September 30, 2022

	Program Services	Management and General	Fundraising	Total
Salaries	\$ 3,343,809	\$ 336,086	\$ 37,669	\$ 3,717,564
Payroll taxes and benefits	935,602	93,597	13,007	1,042,206
Total personnel costs	4,279,411	429,683	50,676	4,759,770
Consultants	35,590	5,250	-	40,840
Depreciation and amortization	733,857	66,144	-	800,001
Food	449,978	-	-	449,978
Health care ancillaries	64,902	-	-	64,902
Insurance	216,252	13,803	-	230,055
Interest	238,968	14,365	-	253,333
IT, connection and phone	218,112	12,242	-	230,354
Laundry services	102,134	-	-	102,134
Maintenance and repairs	230,392	13,848	-	244,240
Management service expense	628,805	-	-	628,805
Marketing	-	121,733	160,519	282,252
Medical director fees	7,368	-	-	7,368
Outside labor and Professional services	79,315	219,901	53,143	352,359
Property taxes	103,424	6,217	-	109,641
Recruiting	28,015	4,944	-	32,959
Rental property expenses	-	35,632	-	35,632
Resident activities	45,493	-	-	45,493
Supplies expense	228,842	12,044	-	240,886
Training	-	552	-	552
Travel	-	35,121	-	35,121
Utilities	217,273	13,060	-	230,333
Other operating expenses	428,369	84,446	-	512,815
	8,336,500	1,088,985	264,338	9,689,823
Less expenses included with other revenues on the consolidated statement of activities:				
Expenses related to net rental income	-	(63,281)	-	(63,281)
Total expenses by function	\$ 8,336,500	\$ 1,025,704	\$ 264,338	\$ 9,626,542

ALDERSLY AND SUBSIDIARY
CONSOLIDATED STATEMENT OF CASH FLOWS
Year Ended September 30, 2022

CASH FLOWS FROM OPERATING ACTIVITIES

Cash received from residents	\$ 9,908,207
Interest and dividends received net of management fees	247,687
Cash received from donors	59,218
Cash paid to suppliers and employees	(7,901,649)
Cash paid for interest	(296,605)
Cash paid for entrance fee refunds to residents	(778,894)

Net cash provided by operating activities	1,237,964
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CASH FLOWS FROM INVESTING ACTIVITIES

Net proceeds from sales of investments	4,558,706
Net purchases of assets held in trust	(16,141)
Capital expenditures	(5,613,010)

Net cash used in investing activities	(1,070,445)
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CASH FLOWS FROM FINANCING ACTIVITIES

Bond principal payments	(190,000)
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Net cash used in financing activities	(190,000)
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**NET DECREASE IN CASH, CASH EQUIVALENTS, AND
RESTRICTED CASH EQUIVALENTS**

(22,481)

**CASH, CASH EQUIVALENTS, AND RESTRICTED
CASH EQUIVALENTS - beginning of year**

1,409,659

**CASH, CASH EQUIVALENTS, AND RESTRICTED
CASH EQUIVALENTS - end of year**

\$ 1,387,178

**Reconciliation of end of year totals in the consolidated
statement of cash flows related to captions in the
consolidated statement of financial position**

Cash and cash equivalents	\$ 1,121,640
Assets whose use is limited or restricted - restricted cash equivalents	265,538

\$ 1,387,178

ALDERSLY AND SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
September 30, 2022

1. DESCRIPTION OF OPERATIONS AND SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Founded in 1921 by Danish immigrants as a not-for-profit retirement community located in San Rafael, California, Aldersly today is a diverse and vibrant mix of residents from many cultural backgrounds. Aldersly is a continuing care retirement community that offers three lifestyle options - Independent Living, Assisted Living, and the Health and Rehabilitation Center. Residents are able to seamlessly transition between care levels, as necessary.

In August 2014, Aldersly formed H.C. Andersen Properties, LLC, a wholly owned subsidiary, for the purpose of acquiring property.

A summary of significant accounting policies applied in the preparation of the accompanying consolidated financial statements follows:

Principles of Consolidation

The accompanying consolidated financial statements include the accounts of Aldersly and its wholly owned subsidiary (collectively the "Organization"). Intercompany transactions and balances have been eliminated in consolidation.

Basis of Presentation

The accompanying consolidated financial statements have been prepared on the accrual basis of accounting in accordance with generally accepted accounting principles promulgated in the United States of America for Not-for-Profit Organizations ("U.S. GAAP").

Net Assets

The net assets of the Organization are reported as follows:

Without Donor Restrictions

Net assets that are not subject to donor-imposed stipulations. Donations received and spent in accordance with donor-imposed stipulations in the same reporting period are also included in this classification. A portion of these net assets may be designated by the Board of Directors for specific purposes (refer to Note 10).

With Donor Restrictions

Net assets subject to donor-imposed stipulations that may or will be met either by actions of the Organization or the passage of time as well as net assets subject to donor-imposed stipulations that they be maintained in perpetuity by the Organization. At September 30, 2022, the Organization did not have net assets with donor restrictions to be maintained in perpetuity.

ALDERSLY AND SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
September 30, 2022

1. DESCRIPTION OF OPERATIONS AND SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES
(continued)

Income Taxes

The Organization is exempt from federal and state income taxes under Internal Revenue Code Section 501(c)(3) and California Revenue and Taxation Code, Section 23701d except as noted for the LLC. Accordingly, it has not provided for income taxes in these consolidated financial statements.

The LLC's net earnings (losses) are reported on the federal exempt organization tax return of its parent company. The LLC files a separate state tax return in California and is subject to an annual minimum franchise tax of \$800.

Each year, management considers whether any material tax position the Organization has taken is more likely than not to be sustained upon examination by the applicable taxing authority. Management believes that any positions the Organization has taken are supported by substantial authority and, hence, do not need to be measured or disclosed in these consolidated financial statements.

Cash, Cash Equivalents, and Restricted Cash

The Organization considers all unrestricted, highly liquid investments with an initial maturity of three months or less to be cash equivalents. Restricted cash includes amounts held relating to assets whose use is limited or restricted. The Organization classifies cash held in money market funds by investment custodians as short-term investments.

Concentrations of Credit Risk

Financial instruments that potentially subject the Organization to concentrations of credit risk consist principally of cash, cash equivalents and restricted cash. Risks associated with cash and cash equivalents are mitigated by banking with creditworthy institutions. Such balances with any one institution may, at times, be in excess of federally insured amounts (currently \$250,000 per depositor). The Organization has not experienced any losses in such accounts and believes it is not exposed to any significant credit risk.

The Organization grants credit without collateral to its residents, some of whom are insured under third-party payor arrangements, primarily with Medicare and various commercial insurance companies.

Investments, in general, are exposed to various risks, such as interest rate, credit, and overall market volatility. Investments are insured up to the limit set by the Securities Investor Protection Corporation ("SIPC").

ALDERSLY AND SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
September 30, 2022

1. DESCRIPTION OF OPERATIONS AND SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES
(continued)

Accounts Receivable - Residents

The Organization assesses collectability on all resident accounts prior to providing services. An allowance for uncollectible accounts is recognized to reduce accounts receivable to its net realizable value for impairment of revenues for changes in resident credit worthiness. The allowance is estimated by management based on factors such as aging of the accounts receivable and anticipated collection of the consideration. Accounts are written off when the Organization has exhausted all collection efforts and accounts are deemed uncollectible.

Pledges Receivable

Pledges receivable consisting of unconditional promises to give are recorded at net realizable value. Pledges receivable that are expected to be received in future years are discounted to the anticipated present value of future cash flows using a discount rate. The Organization provides an allowance for estimated uncollectible contributions.

Investments

Investments in marketable equity and debt securities are presented in the consolidated financial statements at their fair values based on quoted market prices. Investment income, which consists of dividend and interest income and unrealized and realized gains (losses) on investments, is shown in the consolidated statement of activities net of investment management fees.

Fair Value Measurements

The Organization considers the use of market-based information over entity specific information in valuing its marketable investment securities using a three-level hierarchy for fair value measurements based on the nature of inputs used in the valuation of an asset or liability as of the measurement date.

The three-level hierarchy for fair value measurements is defined as follows:

- *Level 1* inputs to the valuation methodology - quoted prices (unadjusted) for identical assets or liabilities in active markets.
- *Level 2* inputs to the valuation methodology - quoted prices for similar assets and liabilities in active markets, and inputs that are observable for the asset or liability, either directly or indirectly, for substantially the full term of the investment.
- *Level 3* inputs to the valuation methodology - unobservable and significant to the fair value measurement.

Fair value is defined as the price that would be received to sell an asset or paid to transfer a liability (i.e., exit price) in an orderly transaction between market participants at the measurement date. An investment's categorization within the valuation hierarchy is based upon the lowest level of input that is significant to the fair value measurement.

ALDERSLY AND SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
September 30, 2022

1. DESCRIPTION OF OPERATIONS AND SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES
(continued)

Property and Equipment

Property and equipment are carried at cost less accumulated depreciation. Donated assets are recorded at fair market value at the date of donation. Depreciation is provided on the straight-line method over the estimated useful lives of the assets, which range from five to forty years. Maintenance, repairs, and renewals which neither materially add to the value of the property nor appreciably prolong its life are charged to expense as incurred. The Organization capitalizes assets with a cost or donated value of \$1,000 or more and an estimated useful life greater than one year. Gains or losses on dispositions of property and equipment are included in the consolidated statement of activities.

Impairment of Long-Lived Assets

The Organization reviews long-lived assets, including property and equipment, for impairment whenever events or changes in circumstances indicate that the carrying amount of an asset may not be fully recoverable. An impairment loss would be recognized when the estimated future cash flows from the use of the asset are less than the carrying amount of that asset. To date, there have been no such losses.

Assets Whose Use is Limited or Restricted

Assets whose use is limited or restricted represent assets held by trustees under an indenture agreement. These assets are presented in the consolidated financial statements at their fair value. The underlying investments are held in interest bearing and fixed income accounts.

Financing Costs

Deferred financing costs are amortized over the term of the related financing.

Deferred financing costs are presented in the consolidated statement of financial position as a direct deduction from the carrying amount of long-term debt (refer to Note 9). The amortization of deferred financing costs is included in interest expense on the consolidated statement of functional expenses. For the year ended September 30, 2022, the amortization of deferred financing costs amounted to \$13,879.

Bond Premium

Bond premium, net of bond discounts, is amortized over the term of the related financing.

Net bond premium is presented in the consolidated statement of financial position as a direct increase to the carrying amount of long-term debt (refer to Note 9). The amortization of net bond premium is included in interest expense on the consolidated statement of functional expenses. For the year ended September 30, 2022, the amortization of net bond premium amounted to \$26,896.

ALDERSLY AND SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
September 30, 2022

1. DESCRIPTION OF OPERATIONS AND SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES
(continued)

Leases

The Organization leases various equipment and storage space used in the normal course of operations. The Organization accounts for these leases under Accounting Standards Codification ("ASC") 842, *Leases*. For any leases for which the Organization is the lessee, the Organization recognizes the assets and liabilities that arise from lease on the consolidated statement of financial position by recognizing a lease liability equal to net present value of future minimum lease payments and a right-of-use asset representing the Organization's right to use the underlying asset for the lease term. At lease inception, leases are classified as either a finance lease or operating lease with the associated lease liability and right-of-use asset recorded at the estimated present value of future lease payments. Finance lease right-of-use assets are expensed as depreciation expense over term of the lease. Operating lease right-of-use assets are expensed as lease expense over term of the lease. Finance lease liability, adjusted for interest expense over the term of the lease, is amortized in accordance with lease payments over the term of the lease. Operating lease liability is amortized in accordance with lease payments over the term of the lease. At September 30, 2022, the Organization's operating lease liabilities and right-of-use assets were immaterial to the consolidated financial statements.

Right-of-use assets represent the Organization's right to use an underlying asset for the lease term, while lease liabilities represent the Organization's obligation to make lease payments arising from the lease. Right-of-use assets and lease liabilities are recognized at the commencement date of a lease based on the net present value of lease payments over the lease term.

Certain of the Organization's leases include options to renew or terminate the lease. The exercise of lease renewal or early termination options is at the Organization's sole discretion. The Organization regularly evaluates the renewal and early termination options and when they are reasonably certain of exercise, the Organization includes such options in the lease term. In determining the discount rate used to measure the right-of-use assets and lease liabilities, the Organization uses the rate implicit in the lease, or if not readily available, the Organization uses the Organization's incremental borrowing rate. The Organization's incremental borrowing rate is based on an estimated secured rate comprised of a risk-free rate plus a credit spread as secured by the Organization's assets. Certain required adjustments, some of which required significant judgement, were then made to this base debt rate to arrive at an estimated incremental borrowing rate.

ALDERSLY AND SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
September 30, 2022

1. DESCRIPTION OF OPERATIONS AND SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES
(continued)

Leases (continued)

The Organization made significant assumptions and judgements in applying the requirements of Topic 842. In particular, the Organization:

- Evaluated whether a contract contains a lease, by considering factors such as whether the Organization obtained substantially all rights to control an identifiable underlying asset and whether the lessor has substantive substitution rights;
- Determined whether contractors contain embedded leases;
- Evaluated leases with similar commencement dates, lengths of terms, renewal options or other contract terms, which therefore meet the definition of a portfolio of leases, whether to apply the portfolio approach to such leases;
- Allocated consideration in the contract between lease and non-lease components;
- Determined the discount rate used to measure the lease liability.

The Organization does not have any material leasing transactions with related parties.

Revenue Recognition

Resident Services

Revenues primarily result from fees charged to customers under continuing care retirement community (“CCRC”) resident contracts, non-CCRC resident contracts and Health Care Center patient contracts. Revenue recognition is evaluated under ASC 606 through the following five steps: (i) identification of the contract or contracts with a customer; (ii) identification of the performance obligations in the contract; (iii) determination of the transaction price; (iv) allocation of the transaction price in the contract; and (v) recognition of revenue when or as a performance obligation is satisfied.

Net resident service revenues are reported at the amount that reflects the consideration the Organization expects to receive in exchange for the services provided. These amounts are due from residents, patients or third-party payors and include variable consideration for retroactive adjustments, if any, under reimbursement programs. Performance obligations are determined based on the nature of the services provided. The performance obligation for resident contracts is to stand ready to provide a residence, resident services, and resident care based on the needed level of care. The performance obligation for patient contracts is to stand ready to provide routine nursing care as well as emergency care that may be required.

ALDERSLY AND SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
September 30, 2022

1. DESCRIPTION OF OPERATIONS AND SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES
(continued)

Revenue Recognition (continued)

Resident Services (continued)

Net resident service revenues are primarily comprised of skilled nursing, assisted living, memory care, and independent living revenue streams, which are primarily derived from providing housing, skilled nursing, assisted living, and independent living services to residents or patients at a stated daily or monthly fee, net of any explicit or implicit price concessions. The Organization has determined that the services included in the stated daily or monthly fee for each level of care represents a series of distinct services that have the same timing and pattern of transfer. Therefore, the Organization considers the services provided to residents in each level of care to be one performance obligation which is satisfied over time as services are provided. As such, skilled nursing, assisted living, and independent living revenues are recognized on a daily or month-to-month basis as services are rendered.

The two types of CCRC contracts that the Organization provides include Traditional and 50% Return of Capital ("ROC"). Both CCRC contracts allow the resident a ratable right of refund, as defined in the contracts, when a resident either passes away or moves out prior to 57 months of residency for Traditional contracts and 4 years for ROC contracts. 50% of an ROC resident's entrance fee is always guaranteed to be refunded upon death or move out. As CCRC residents typically do reside at the Organization's community for a period that exceeds these limits, the Organization considers 100% of a Traditional CCRC resident's entrance fee and 50% of an ROC resident's entrance fee to be non-refundable.

The guaranteed refund component of entrance fees is not amortized to income and is classified as guaranteed refunds liability in the accompanying consolidated statement of financial position.

Revenue from nonrefundable entrance fees received are recognized through amortization of the nonrefundable entrance fee using the straight-line method over the estimated remaining life expectancies of the residents which approximates the period of time the goods and services under the agreements are expected to be transferred to residents. The unamortized portion of entrance fees are classified as deferred revenues from unearned entrance fees, a contract liability, in the accompanying consolidated statement of financial position until the performance obligations are satisfied.

The Organization receives revenue for services under third-party payor programs, including Medicare, Medi-Cal, and other third-party payors. Settlements with third-party payors for retroactive adjustments due to audits, reviews, or investigations are included in the determination of the estimated transaction price for providing services. The Organization estimates the transaction price based on the terms of the contract and correspondence with the third-party payor and historical payment trends, and retroactive adjustments are recognized in future periods as final settlements are determined.

ALDERSLY AND SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
September 30, 2022

1. DESCRIPTION OF OPERATIONS AND SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES
(continued)

Revenue Recognition (continued)

Resident Services (continued)

Payment terms and conditions for the Organization's contracts vary by contract type and payor source. Entrance fees for CCRC residents are generally due on or before the contract date of move in. Net resident service fee revenues for recurring and routine monthly services are generally billed monthly on the first of the month. Resident service revenues for ancillary services are generally billed monthly in arrears. Payment of monthly service fees by CCRC residents are to be made within 15 days from the first of the month. Payment of monthly service fees by non-CCRC residents are to be made within 5 days from the first of the month. Payment of daily service fees by Health Care Center patients are to be made within 10 days from the first of the month.

Contract costs include incremental costs of obtaining contracts that would not have been incurred if the contracts were not obtained and are recorded at cost. For the Organization, contract costs consist of sales commissions paid to sales personnel for obtaining new contracts. Contract costs are amortized over the estimate life expectancy of the residents using the straight-line method, which approximates the period of time that goods and services are expected to be transferred to residents. During the year ended September 30, 2022, contract costs were immaterial to the consolidated financial statements and therefore were not capitalized.

The Organization disaggregates revenue from contracts with customers by type of service and payor source as this depicts the nature, amount, timing and uncertainty of its revenue and cash flows as affected by economic factors.

Resident service revenues consist of the following for the year ended September 30, 2022:

	<u>Skilled Nursing</u>	<u>Assisted Living</u>	<u>Memory Care</u>	<u>Independent Living</u>	<u>Total</u>
Self-pay	\$ 1,538,576	\$ 1,493,770	\$ 656,167	\$ 3,089,865	\$ 6,778,378
Medicare and other	62,557	-	-	-	62,557
Medi-Cal assistance	199,453	-	-	-	199,453
	<u>\$ 1,800,586</u>	<u>\$ 1,493,770</u>	<u>\$ 656,167</u>	<u>\$ 3,089,865</u>	<u>7,040,388</u>
Amortization of nonrefundable entrance fees					889,014
					<u>\$ 7,929,402</u>

ALDERSLY AND SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
September 30, 2022

1. DESCRIPTION OF OPERATIONS AND SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES
(continued)

Revenue Recognition (continued)

Contributions and Grants

Revenues from contribution and grant income are accounted for as nonreciprocal transactions. Unconditional contributions and grants received are recorded as revenue when promised. Conditional contributions and grants received are recorded as revenue when the underlying conditions have been satisfied by the Organization. Contributions and grants that are not restricted by the donor are reported as an increase in net assets without donor restrictions. Donor restricted contributions and grants are reported as an increase in net assets with donor restrictions. When a donor restriction expires (that is when a stipulated time restriction ends or purpose restriction is accomplished), net assets with donor restrictions are reclassified to net assets without donor restrictions.

Donated Services

The Organization receives various types of volunteer services. Contributed services are not recognized unless the services received (a) create or enhance long-lived assets or (b) require specialized skills, are provided by individuals possessing those skills, and would be purchased. Donated services received do not meet the two recognition criteria described above. Accordingly, the value is not reflected in the consolidated financial statements.

Functional Allocation of Expenses

Directly identifiable expenses are charged to programs and supporting services benefited. Payroll and employee benefits expense are allocated based on a percentage of time spent. All other expenses related to more than one function are charged to programs and supporting services pro rata on the basis of square footage or other appropriate usage factors.

Use of Estimates

The preparation of consolidated financial statements in conformity with U.S. GAAP requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the consolidated financial statements and the reported amounts of revenues and expenses during the reporting period. Significant accounting estimates in the Organization's consolidated financial statements include entrance fee amortization, functional allocation of expenses, depreciation expense, and fair value of investments. Actual results could differ from those estimates.

Performance Indicator

The Organization measure of operations is its changes in net assets from operating activities excluding revenues rental income, other income, and investment income. The statements of activities include changes in net assets without donor restrictions as the performance indicator.

ALDERSLY AND SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
September 30, 2022

1. DESCRIPTION OF OPERATIONS AND SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES
(continued)

Obligation to Provide Future Services

The Organization periodically calculates the present value of the net cost of future service and use of facilities to be provided to current residents and compares that amount with the balance of deferred revenue from entrance fees. If the present value of the net obligation to provide future service and use of facilities (discounted at 3.05%) exceeds the deferred revenue from entrance fees, a liability is recorded with the corresponding charge to income. Deferred revenue from entrance fees exceeded the calculation of the present value of the net cost of future services for each organization. Therefore, an additional liability for an obligation to provide future services and use of facilities is not required as of December 31, 2022.

Subsequent Events

Management has evaluated events and transactions for potential recognition or disclosure through the date the consolidated financial statements were available to be issued, April 26, 2023.

2. LIQUIDITY AND AVAILABILITY OF FINANCIAL ASSETS

The Organization's primary source of revenue is revenue received from residents. The Organization considers contributions without donor restrictions to be available to meet cash needs for general expenditures. General operating expenditures include programmatic expenses, management and general expenses, and fundraising expenses that are expected to be paid in the subsequent year. In the event that a need arises to utilize board-designated net assets for liquidity purposes, the funds could be drawn upon through a board resolution.

The table below presents financial assets available to fund general operating expenditures within one year at September 30, 2022:

Cash and cash equivalents	\$ 1,121,640
Investments in marketable securities	5,429,829
Accounts receivable - residents - net	361,721
Pledges receivable	7,769,542
Interest and dividends receivable	<u>3,104</u>
	14,685,836
Less amounts not available to be used within one year:	
Net assets with donor restrictions	<u>(7,845,777)</u>
Financial assets available to meet general operating expenditures within one year	<u>\$ 6,840,059</u>

ALDERSLY AND SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
September 30, 2022

3. INVESTMENTS AND FAIR VALUE DISCLOSURES

The following are the major categories of assets measured at fair value on a recurring basis at September 30, 2022, using quoted prices in active markets for identical assets (Level 1), significant other observable inputs (Level 2), and significant unobservable inputs (Level 3):

	Fair Value	Level 1	Level 2	Level 3
Investments				
Cash and cash equivalents*	\$ 514,031	\$ -	\$ -	\$ -
U.S. Corporate stocks	6,348,144	6,348,144	-	-
Equity funds	1,860,777	1,860,777	-	-
Fixed income funds	1,280,978	1,280,978	-	-
U.S. government obligations	1,662,529	-	1,662,529	-
Corporate bonds	685,530	-	685,530	-
Foreign corporate stocks	62,412	62,412	-	-
Foreign obligations	66,448	-	66,448	-
	<u>12,480,849</u>	<u>9,552,311</u>	<u>2,414,507</u>	<u>-</u>
Assets whose use is limited (refer to Note 7)				
Restricted cash equivalents*	265,538	-	-	-
Fixed income securities	496,474	-	496,474	-
	<u>762,012</u>	<u>-</u>	<u>496,474</u>	<u>-</u>
Total investments and restricted assets	<u>\$ 13,242,861</u>	<u>\$ 9,552,311</u>	<u>\$ 2,910,981</u>	<u>\$ -</u>

* Cash, cash equivalents, and restricted cash equivalents are not included in Level 1, 2, or 3 of the fair value hierarchy

At September 30, 2022, investments are reflected in the consolidated statement of financial position as follows:

Current	\$ 5,429,829
Long-term - held for endowment	<u>7,051,020</u>
	<u>\$ 12,480,849</u>

The investment income for the year ended September 30, 2022 includes \$3,512,412 in losses from the Board Designated Endowment Fund (refer to Note 9).

ALDERSLY AND SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
September 30, 2022

4. ACCOUNTS RECEIVABLE - RESIDENTS

At September 30, 2022, accounts receivable - residents consisted of the following:

Private	\$ 392,637
Medicare/MediCal	23,443
Other insurance	<u>63,341</u>
	479,421
Less: allowance for doubtful accounts	<u>(117,700)</u>
	<u><u>\$ 361,721</u></u>

5. PROPERTY AND EQUIPMENT

At September 30, 2022, property and equipment consisted of the following:

Land	\$ 232,822
Buildings and improvements	27,087,237
Land improvements	256,334
Equipment	1,001,036
Furniture	413,158
Assisted living furniture	149,212
Vehicles	61,457
Residential real estate	
Land	990,000
Buildings and improvements	<u>862,381</u>
	31,053,637
Less: accumulated depreciation	<u>(14,167,836)</u>
	<u>16,885,801</u>
Construction in progress:	
Mission Avenue independent living project	2,897,482
Unit remodels	<u>254,747</u>
Total construction in progress	<u>3,152,229</u>
	<u><u>\$ 20,038,030</u></u>

ALDERSLY AND SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
September 30, 2022

6. ASSETS WHOSE USE IS LIMITED OR RESTRICTED

At September 30, 2022, assets with limited or restricted use consisted of the following:

Series 2015A bond funds	
Debt service reserve	\$ 504,200
Principal fund	120,709
Interest fund	84,877
Project fund	52,226
	<u>\$ 762,012</u>

7. UNEARNED ENTRANCE FEES AND GUARANTEED REFUNDS

Changes in unearned entrance fees and guaranteed refunds for the year ended September 30, 2022, were as follows:

	Unearned Entrance Fees	Guaranteed Refunds	Total
Balance at September 30, 2021	\$ 5,084,396	\$ 2,175,289	\$ 7,259,685
Entrance fees received	1,456,732	270,430	1,727,162
	6,541,128	2,445,719	8,986,847
Less: entrance fees amortization	(889,014)	-	(889,014)
Less: entrance fees refunds	(691,753)	(276,901)	(968,654)
Balance at September 30, 2022	4,960,361	2,168,818	7,129,179
Less: current portion	-	(612,300)	(612,300)
	<u>\$ 4,960,361</u>	<u>\$ 1,556,518</u>	<u>\$ 6,516,879</u>

Continuing care retirement communities are required to report a liability recognizing an obligation to provide future services and the use of the facilities to current residents in excess of related anticipated revenues, when the present value of future net cash outflows plus depreciation to be charged related to the contracts exceeds unearned entrance fees.

ALDERSLY AND SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
September 30, 2022

8. LONG-TERM DEBT

At September 30, 2022, long-term debt consisted of the following:

In February 2015, the California Statewide Communities Development Authority (CSCDA) issued Revenue Refunding Bonds series 2015A and 2015B on behalf of the Organization at an aggregate purchase price of \$7,307,398. The purchase amount reflects \$6,635,000 of aggregate par amounts plus an original issue premium of the series 2015A bonds of \$765,288 and less an aggregate purchase discount of \$92,890 (of which \$29,458 relates to the series 2015A bonds and \$63,432 relates to the series 2015B bonds). The bond proceeds were used to pay off existing bond debt from the California Health Facilities Financing Authority (CHFFA), pay off a note to a financial institution, establish funding for future capital projects, and a debt service reserve fund. The bonds bear interest rates ranging from 2.5% to 5% with effective interest rates ranging from 2.6% to 4.6% and mature at various dates through May 15, 2040. The bonds are collateralized by a deed of trust on the real property, certain personal property, and a security interest in the gross revenues of the Organization. The series 2015B bonds matured and were repaid in 2017. The Organization is required to comply with certain debt covenants, including the maintenance of certain financial ratios.

	\$ 5,450,000
Less: unamortized financing costs	(240,572)
Add: unamortized bond premium - net of unamortized bond discount	<u>466,195</u>
	5,675,623
Less: current maturities	<u>(195,000)</u>
	<u><u>\$ 5,480,623</u></u>

At September 30, 2022, future maturities of long-term debt were as follows:

<u>Year ending September 30,</u>	
2023	\$ 195,000
2024	205,000
2025	215,000
2026	225,000
2027	235,000
Thereafter	<u>4,375,000</u>
	<u><u>\$ 5,450,000</u></u>

ALDERSLY AND SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
September 30, 2022

9. NET ASSETS WITHOUT DONOR RESTRICTIONS - BOARD DESIGNATED

Board Designated for Endowment

Certain gifts and realized and unrealized gains or losses on these gifts have been internally designated by the Board of Directors to be maintained similar to an endowment fund. Dissolution of this designation requires three quarters vote of the full Board. The Organization does not have any donor restricted endowment funds.

The Board of Directors adopted a spending policy for the board designated endowment fund with an objective of allocating 3% of the fund balance annually (based on the rolling average of the 12 preceding quarters' balances) to fund various projects at the discretion of management.

The investment objective is to provide liquidity for debt service, operations, projects, and capital needs as required. The asset allocations are set up to maintain approximately 35% of the assets in fixed income investments with the remaining assets in equities with large market capitalization and a high level of liquidity.

Board Designated for Care Fund

The Board designated Care Fund was established to provide assistance to residents who have developed a financial need due to unforeseen or uncontrollable circumstances. The Board of Directors has established a set of guidelines to be used in considering applications for hardship assistance each year.

Board Designated for Master Plan

The Board designated Master Plan Fund was established to provide partial funding for various facilities renovations at Aldersly. The Master Plan is part of the Organization's strategic planning for long-term success of the Organization. The Board of Directors has not yet determined the full cost of the project and will be designating additional funds as necessary in the future to cover anticipated costs.

For the year ended September 30, 2022, changes in Board designated net assets were as follows:

	<u>Endowment</u>	<u>Care Fund</u>	<u>Master Plan</u>	<u>Total</u>
Balances at September 30, 2021	\$ 10,890,136	\$ 188,174	\$ 765,302	\$ 11,843,612
Designated investment loss - net	(3,512,412)	-	-	(3,512,412)
Appropriations	(326,704)	-	-	(326,704)
Balances at September 30, 2022	<u>\$ 7,051,020</u>	<u>\$ 188,174</u>	<u>\$ 765,302</u>	<u>\$ 8,004,496</u>

ALDERSLY AND SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
September 30, 2022

10. NET ASSETS WITH DONOR RESTRICTIONS

At September 30, 2022, net assets with donor restrictions were held for the following purposes:

Time Restricted	\$ 7,769,542
Care Fund	65,531
Music Memory Fund	10,079
Staff Appreciation Fund	625
	\$ 7,845,777

11. RETIREMENT PLAN

The Organization has an Internal Revenue Code section 401(k) retirement plan (the "Plan"). Plan participants may elect to defer a portion of their compensation (up to the maximum allowed by law) and have such salary deferrals contributed to their plan accounts. The Organization matches up to 4% of the employee's salary. For the year ended September 30, 2022, employer matching contributions to the Plan were \$60,662. The Plan also provides for discretionary employer profit sharing contributions to the Plan. There were no discretionary contributions made for the year ended September 30, 2022.

12. CONTINGENCIES AND COMMITMENTS

Contingencies

The Organization is a party to certain claims in the normal course of business. While the result of these proceedings cannot be predicted with certainty, management believes that the final outcome of these matters will not have a material adverse effect on the consolidated financial statements.

The senior living services industry is subject to numerous laws, regulations and administrative directives of federal, state and local governments and agencies. Compliance with these laws, regulations and administrative directives is subject to future government review and interpretation as well as regulatory actions unknown or unasserted at this time. Government activity continues to increase with respect to investigations and allegations concerning possible violations by healthcare providers of fraud and abuse statutes and regulations, which could result in the imposition of significant fines and penalties as well as significant repayments for resident services previously billed. Management is not aware of any material incidents of noncompliance; however, the possible future financial effects of this matter, if any, cannot be known with certainty.

Commitments

At September 30, 2022, the Organization has approximately \$765,000 in net assets designated by the Board (refer to Note 9) and approximately \$52,000 of assets with limited or restricted use (refer to Note 6) set aside for future capital projects.

ALDERSLY AND SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
September 30, 2022

13. CONSULTING SERVICES

Life Care Services (LCS), an unrelated consulting company, provides consulting services to the community in accordance with the terms of a five-year contract effective November 1, 2019. The monthly consulting fee is calculated based upon specific terms per the agreement. There is also an annual bonus incentive calculated based upon any excess of actual annual operating revenue over budgeted operating revenue. The agreement is cancelable by either party upon six months' written notice (60 days' notice with cause). The Organization at times may utilize LCS for services outside the scope of the agreement and is billed extra for these services. During the year ended September 30, 2022, LCS charged the Organization approximately \$314,000 for consulting fees.

14. SUBSEQUENT EVENTS

As of the date the consolidated financial statements were available to be issued, the Organization was in the process of financing construction, improvement, furnishing, and equipping of an expansion project through a bond issuance. The estimated sources and uses of funds have not been finalized as of April 26, 2023.

SUPPLEMENTARY INFORMATION

ALDERSLY AND SUBSIDIARY
CONSOLIDATING STATEMENT OF FINANCIAL POSITION
September 30, 2022

	Aldersly	H.C. Andersen Properties LLC	Eliminations	Consolidated
ASSETS				
Current Assets				
Cash and cash equivalents	\$ 958,540	\$ 163,100	\$ -	\$ 1,121,640
Investments in marketable securities (Note 3)	5,429,829	-	-	5,429,829
Accounts receivable - residents - net (Note 4)	359,653	2,068	-	361,721
Pledges receivable	7,769,542	-	-	7,769,542
Interest and dividends receivable	3,104	-	-	3,104
Prepaid expenses	768,082	19,447	-	787,529
Total current assets	<u>15,288,750</u>	<u>184,615</u>	<u>-</u>	<u>15,473,365</u>
Property and Equipment - net (Note 5)	<u>18,350,370</u>	<u>1,687,660</u>	<u>-</u>	<u>20,038,030</u>
Assets Whose Use is Limited or Restricted (Note 6)				
Restricted cash equivalents	265,538	-	-	265,538
Fixed income securities	496,474	-	-	496,474
	<u>762,012</u>	<u>-</u>	<u>-</u>	<u>762,012</u>
Other Noncurrent Assets				
Investment in subsidiary	1,846,346	-	(1,846,346)	-
Long-term investments held for endowment (Note 3)	7,051,020	-	-	7,051,020
	<u>8,897,366</u>	<u>-</u>	<u>(1,846,346)</u>	<u>7,051,020</u>
Total assets	<u>\$ 43,298,498</u>	<u>\$ 1,872,275</u>	<u>\$ (1,846,346)</u>	<u>\$ 43,324,427</u>
LIABILITIES AND NET ASSETS				
Current Liabilities				
Accounts payable and accrued expenses	\$ 439,510	\$ 25,929	\$ -	\$ 465,439
Accrued salaries and wages	314,576	-	-	314,576
Refunds payable	287,240	-	-	287,240
Deposit liability	634,638	-	-	634,638
Guaranteed refunds (Note 7)	612,300	-	-	612,300
Current maturities of long-term debt (Note 8)	195,000	-	-	195,000
Total current liabilities	<u>2,483,264</u>	<u>25,929</u>	<u>-</u>	<u>2,509,193</u>
Long-Term Liabilities				
Unearned entrance fees (Note 7)	4,960,361	-	-	4,960,361
Guaranteed refunds (Note 7)	1,556,518	-	-	1,556,518
Long-term debt - net of unamortized financing costs and net bond premium (Note 8)	5,480,623	-	-	5,480,623
	<u>11,997,502</u>	<u>-</u>	<u>-</u>	<u>11,997,502</u>
Total liabilities	<u>14,480,766</u>	<u>25,929</u>	<u>-</u>	<u>14,506,695</u>
Net Assets				
Without donor restrictions				
Undesignated	12,967,459	1,846,346	(1,846,346)	12,967,459
Board designated (Note 9)	8,004,496	-	-	8,004,496
	<u>20,971,955</u>	<u>1,846,346</u>	<u>(1,846,346)</u>	<u>20,971,955</u>
With donor restrictions (Note 10)	7,845,777	-	-	7,845,777
Total net assets	<u>28,817,732</u>	<u>1,846,346</u>	<u>(1,846,346)</u>	<u>28,817,732</u>
Total liabilities and net assets	<u>\$ 43,298,498</u>	<u>\$ 1,872,275</u>	<u>\$ (1,846,346)</u>	<u>\$ 43,324,427</u>

ALDERSLY AND SUBSIDIARY
CONSOLIDATING STATEMENT OF ACTIVITIES
Year Ended September 30, 2022

	Aldersly	H.C. Andersen Properties LLC	Eliminations	Consolidated
SERVICE REVENUE AND SUPPORT				
Service Revenue				
Independent living fees	\$ 3,089,865	\$ -	\$ -	\$ 3,089,865
Memory care living fees	656,167	-	-	656,167
Skilled nursing fees - net	1,800,586	-	-	1,800,586
Assisted living fees	1,493,770	-	-	1,493,770
Entrance fees amortization	889,014	-	-	889,014
Total service revenue	7,929,402	-	-	7,929,402
Support				
Donations, gifts and bequests	7,828,760	-	-	7,828,760
Total revenue and support	15,758,162	-	-	15,758,162
OPERATING EXPENSES				
Program services	8,336,500	-	-	8,336,500
Management and general	1,025,704	-	-	1,025,704
Fundraising	264,338	-	-	264,338
Total expenses	9,626,542	-	-	9,626,542
Change in net assets before other revenues (expenses)	6,131,620	-	-	6,131,620
OTHER REVENUES (EXPENSES)				
Rental and other income - net	8,671	20,719	-	29,390
Equity in earnings	20,719	-	(20,719)	-
Investment loss - net (Note 3)	(2,390,814)	-	-	(2,390,814)
	(2,361,424)	20,719	(20,719)	(2,361,424)
CHANGE IN NET ASSETS	3,770,196	20,719	(20,719)	3,770,196
NET ASSETS - beginning of year	25,047,536	1,825,627	(1,825,627)	25,047,536
NET ASSETS - end of year	\$ 28,817,732	\$ 1,846,346	\$ (1,846,346)	\$ 28,817,732



ALDERSLY AND SUBSIDIARY

Consolidated Financial Statements

September 30, 2021 with summarized
comparative totals for September 30, 2020

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INDEPENDENT AUDITORS' REPORT

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Board of Directors
Aldersly and Subsidiary

Report on the Financial Statements

We have audited the accompanying consolidated financial statements of Aldersly (a California not-for-profit organization) and Subsidiary (collectively the "Organization"), which comprise the consolidated statement of financial position as of September 30, 2021, and the related consolidated statements of activities, functional expenses and cash flows for the year then ended, and the related notes to the consolidated financial statements (collectively, the "financial statements").

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditors' judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of Aldersly and Subsidiary as of September 30, 2021, and the changes in their net assets and their cash flows for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Report on Summarized Comparative Information

We have previously audited the Organization's September 30, 2020 financial statements, and we expressed an unmodified audit opinion on those audited financial statements in our report dated January 28, 2021. In our opinion, the summarized comparative information presented herein as of and for the year ended September 30, 2020, is consistent, in all material respects, with the audited financial statements from which it has been derived.

BAKER TILLY US, LLP

San Francisco, California
January 26, 2022

ALDERSLY AND SUBSIDIARY
CONSOLIDATED STATEMENT OF FINANCIAL POSITION
September 30, 2021
(with comparative totals for the year ended September 30, 2020)

	2021	2020
ASSETS		
Current Assets		
Cash and cash equivalents	\$ 1,158,200	\$ 1,466,118
Investments in marketable securities (Note 4)	8,759,081	14,593,671
Accounts receivable - residents - net (Note 5)	919,566	294,271
Accounts receivable - other	-	50
Interest and dividends receivable	2,997	2,313
Prepaid expenses	705,736	301,987
Total current assets	<u>11,545,580</u>	<u>16,658,410</u>
Property and Equipment - net (Note 6)	<u>15,197,373</u>	<u>10,170,045</u>
Assets Whose Use is Limited or Restricted (Note 7)		
Restricted cash equivalents	251,459	290,785
Fixed income securities	509,279	505,862
	<u>760,738</u>	<u>796,647</u>
Other Noncurrent Assets		
Long-term investments held for endowment (Note 4)	10,890,136	8,837,093
Investments in residential real estate - net (Note 8)	1,715,309	1,742,957
	<u>12,605,445</u>	<u>10,580,050</u>
Total assets	<u><u>\$ 40,109,136</u></u>	<u><u>\$ 38,205,152</u></u>
LIABILITIES AND NET ASSETS		
Current Liabilities		
Accounts payable and accrued expenses	\$ 1,352,325	\$ 663,548
Accrued salaries and wages	452,536	493,345
Refunds payable	97,480	543,674
Deposit liability	20,934	44,287
Guaranteed refunds (Note 9)	494,070	393,000
Current maturities of long-term debt (Note 10)	190,000	180,000
Accrued settlement	-	400,000
Total current liabilities	<u>2,607,345</u>	<u>2,717,854</u>
Long-Term Liabilities		
Unearned entrance fees (Note 9)	5,084,396	4,989,262
Guaranteed refunds (Note 9)	1,681,219	2,333,833
Long-term debt - net of unamortized financing costs and net bond premium (Note 10)	5,688,640	5,891,657
	<u>12,454,255</u>	<u>13,214,752</u>
Total liabilities	<u>15,061,600</u>	<u>15,932,606</u>
Net Assets		
Without donor restrictions		
Undesignated	13,127,689	12,406,367
Board designated (Note 11)	11,843,612	9,790,569
	<u>24,971,301</u>	<u>22,196,936</u>
With donor restrictions (Note 12)	76,235	75,610
Total net assets	<u>25,047,536</u>	<u>22,272,546</u>
Total liabilities and net assets	<u><u>\$ 40,109,136</u></u>	<u><u>\$ 38,205,152</u></u>

ALDERSLY AND SUBSIDIARY
CONSOLIDATED STATEMENT OF ACTIVITIES
Year Ended September 30, 2021
(with comparative totals for the year ended September 30, 2020)

	2021			2020
	Without Donor Restrictions	With Donor Restrictions	Total	Total
SERVICE REVENUE AND SUPPORT				
Service Revenue				
Independent living fees	\$ 2,948,594	\$ -	\$ 2,948,594	\$ 2,960,821
Skilled nursing fees - net	2,118,148	-	2,118,148	2,459,206
Assisted living fees	1,901,544	-	1,901,544	2,420,924
Entrance fees amortization	1,286,110	-	1,286,110	894,598
Total service revenue	8,254,396	-	8,254,396	8,735,549
Support				
Government grant - Paycheck Protection Program	-	-	-	931,200
Donations, gifts and bequests	108,526	625	109,151	138,550
Total revenue and support	8,362,922	625	8,363,547	9,805,299
OPERATING EXPENSES				
Program services	8,330,677	-	8,330,677	8,894,541
Management and general	1,504,550	-	1,504,550	1,469,939
Fundraising	242,329	-	242,329	185,632
Total expenses	10,077,556	-	10,077,556	10,550,112
Change in net assets before other revenues (expenses)	(1,714,634)	625	(1,714,009)	(744,813)
OTHER REVENUES (EXPENSES)				
Rental and other income	51,134	-	51,134	9,480
Investment income - net (Note 4)	4,419,917	-	4,419,917	1,622,495
Net income from investments in residential real estate (Note 8)	17,948	-	17,948	7,990
Provider relief funds	-	-	-	293,180
Loss on disposal of assets	-	-	-	(1,621)
Settlement expense	-	-	-	(400,000)
	4,488,999	-	4,488,999	1,531,524
CHANGE IN NET ASSETS	2,774,365	625	2,774,990	786,711
NET ASSETS - beginning of year	22,196,936	75,610	22,272,546	21,485,835
NET ASSETS - end of year	\$ 24,971,301	\$ 76,235	\$ 25,047,536	\$ 22,272,546

ALDERSLY AND SUBSIDIARY
CONSOLIDATED STATEMENT OF FUNCTIONAL EXPENSES
Year Ended September 30, 2021
(with comparative totals for the year ended September 30, 2020)

	2021				2020
	Program Services	Management and General	Fundraising	Total	Total
Salaries	\$ 3,342,422	\$ 390,585	\$ 117,117	\$ 3,850,124	\$ 4,293,543
Payroll taxes and benefits	905,382	105,741	31,083	1,042,206	1,169,519
Total personnel costs	4,247,804	496,326	148,200	4,892,330	5,463,062
Consultants	78,166	7,328	-	85,494	124,118
Depreciation and amortization	672,200	68,056	-	740,256	767,733
Food	442,518	-	-	442,518	439,417
Health care ancillaries	101,430	-	-	101,430	230,593
Insurance	188,522	11,333	-	199,855	180,676
Interest	255,355	15,350	-	270,705	280,620
IT, connection and phone	232,598	12,242	-	244,840	234,542
Laundry services	83,235	-	-	83,235	84,924
Maintenance and repairs	228,129	13,713	-	241,842	278,549
Management service expense	656,316	115,721	-	772,037	717,058
Marketing	-	215,429	45,751	261,180	250,867
Medical director fees	50,208	-	-	50,208	49,958
Outside labor	72,591	125,907	48,378	246,876	227,881
Professional services	-	182,969	-	182,969	117,609
Professional services non-operating	-	148,127	-	148,127	23,447
Property taxes	102,422	6,157	-	108,579	118,229
Recruiting	40,202	7,094	-	47,296	23,207
Rental property expenses	-	35,864	-	35,864	41,924
Resident activities	9,392	-	-	9,392	85,474
Supplies expense	253,426	13,338	-	266,764	290,791
Training	6,610	1,167	-	7,777	13,035
Travel	-	14,378	-	14,378	9,381
Utilities	266,067	15,994	-	282,061	268,416
Other operating expenses	343,486	61,569	-	405,055	298,174
	8,330,677	1,568,062	242,329	10,141,068	10,619,685
Less expenses included with other revenues on the consolidated statement of activities:					
Expenses related to investments in residential real estate	-	(63,512)	-	(63,512)	(69,573)
	<u>\$ 8,330,677</u>	<u>\$ 1,504,550</u>	<u>\$ 242,329</u>	<u>\$ 10,077,556</u>	<u>\$ 10,550,112</u>

ALDERSLY AND SUBSIDIARY
CONSOLIDATED STATEMENT OF CASH FLOWS
Year Ended September 30, 2021
(with comparative totals for the year ended September 30, 2020)

	<u>2021</u>	<u>2020</u>
CASH FLOWS FROM OPERATING ACTIVITIES		
Cash received from residents	\$ 8,601,905	\$ 9,790,607
Cash received from investments in residential real estate	81,460	77,563
Interest and dividends received net of management fees	318,100	400,997
Cash received from donors	109,151	138,550
Cash received from Paycheck Protection Program	-	931,200
Cash received from provider relief funds	-	293,180
Cash paid to suppliers and employees	(8,933,406)	(9,208,543)
Cash paid for interest	(286,759)	(295,487)
Cash paid for entrance fee refunds to residents	(1,797,023)	(634,810)
Cash paid for settlement	(400,000)	-
Net cash (used in) provided by operating activities	<u>(2,306,572)</u>	<u>1,493,257</u>
CASH FLOWS FROM INVESTING ACTIVITIES		
Proceeds from sales of investments	8,200,000	-
Purchase of investments	(309,660)	(386,717)
Proceeds from sales of assets held in trust	466,075	464,095
Purchase of assets held in trust	(477,152)	(464,553)
Capital expenditures	(5,739,935)	(1,328,391)
Net cash provided by (used in) investing activities	<u>2,139,328</u>	<u>(1,715,566)</u>
CASH FLOWS FROM FINANCING ACTIVITIES		
Bond principal payments	(180,000)	(170,000)
Net cash used in financing activities	<u>(180,000)</u>	<u>(170,000)</u>
NET DECREASE IN CASH, CASH EQUIVALENTS, AND RESTRICTED CASH EQUIVALENTS	<u>(347,244)</u>	<u>(392,309)</u>
CASH, CASH EQUIVALENTS, AND RESTRICTED CASH EQUIVALENTS - beginning of year	<u>1,756,903</u>	<u>2,149,212</u>
CASH, CASH EQUIVALENTS, AND RESTRICTED CASH EQUIVALENTS - end of year	<u><u>\$ 1,409,659</u></u>	<u><u>\$ 1,756,903</u></u>
Reconciliation of end of year totals in the consolidated statement of cash flows related to captions in the consolidated statement of financial position		
Cash and cash equivalents	\$ 1,158,200	\$ 1,466,118
Assets whose use is limited or restricted - restricted cash equivalents	<u>251,459</u>	<u>290,785</u>
	<u><u>\$ 1,409,659</u></u>	<u><u>\$ 1,756,903</u></u>

ALDERSLY AND SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
September 30, 2021

1. DESCRIPTION OF OPERATIONS AND SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Founded in 1921 by Danish immigrants as a not-for-profit retirement community located in San Rafael, California, Aldersly today is a diverse and vibrant mix of residents from many cultural backgrounds. Aldersly is a continuing care retirement community that offers three lifestyle options - Independent Living, Assisted Living, and the Health and Rehabilitation Center. Residents are able to seamlessly transition between care levels, as necessary.

In August 2014, Aldersly formed a wholly owned subsidiary, an LLC, for the purpose of acquiring property.

A summary of significant accounting policies applied in the preparation of the accompanying consolidated financial statements follows:

Principles of Consolidation

The accompanying consolidated financial statements include the accounts of Aldersly and its wholly owned subsidiary (collectively the "Organization"). Intercompany transactions and balances have been eliminated in consolidation.

Basis of Presentation

The accompanying consolidated financial statements have been prepared on the accrual basis of accounting in accordance with generally accepted accounting principles promulgated in the United States of America for Not-for-Profit Organizations ("U.S. GAAP").

Net Assets

The net assets of the Organization are reported as follows:

Without Donor Restrictions

Net assets that are not subject to donor-imposed stipulations. Donations received and spent in accordance with donor-imposed stipulations in the same reporting period are also included in this classification. A portion of these net assets may be designated by the Board of Directors for specific purposes (refer to Note 11).

With Donor Restrictions

Net assets subject to donor-imposed stipulations that may or will be met either by actions of the Organization or the passage of time as well as net assets subject to donor-imposed stipulations that they be maintained in perpetuity by the Organization. At September 30, 2021, the Organization did not have net assets with donor restrictions to be maintained in perpetuity.

ALDERSLY AND SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
September 30, 2021

1. DESCRIPTION OF OPERATIONS AND SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES
(continued)

Income Taxes

The Organization is exempt from federal and state income taxes under Internal Revenue Code Section 501(c)(3) and California Revenue and Taxation Code, Section 23701d except as noted for the LLC. Accordingly, it has not provided for income taxes in these consolidated financial statements.

The LLC's net earnings (losses) are reported on the federal exempt organization tax return of its parent company. The LLC files a separate state tax return in California and is subject to an annual minimum franchise tax of \$800.

Each year, management considers whether any material tax position the Organization has taken is more likely than not to be sustained upon examination by the applicable taxing authority. Management believes that any positions the Organization has taken are supported by substantial authority and, hence, do not need to be measured or disclosed in these consolidated financial statements.

Cash, Cash Equivalents, and Restricted Cash

The Organization considers all unrestricted, highly liquid investments with an initial maturity of three months or less to be cash equivalents. Restricted cash includes amounts held relating to assets whose use is limited or restricted. The Organization classifies cash held in money market funds by investment custodians as short-term investments.

Concentrations of Credit Risk

Financial instruments that potentially subject the Organization to concentrations of credit risk consist principally of cash, cash equivalents and restricted cash. Risks associated with cash and cash equivalents are mitigated by banking with creditworthy institutions. Such balances with any one institution may, at times, be in excess of federally insured amounts (currently \$250,000 per depositor). The Organization has not experienced any losses in such accounts and believes it is not exposed to any significant credit risk.

Investments, in general, are exposed to various risks, such as interest rate, credit, and overall market volatility. Investments are insured up to the limit set by the Securities Investor Protection Corporation ("SIPC").

Accounts Receivable - Residents

The Organization assesses collectability on all resident accounts prior to providing services. An allowance for uncollectible accounts is recognized to reduce accounts receivable to its net realizable value for impairment of revenues for changes in resident credit worthiness. The allowance is estimated by management based on factors such as aging of the accounts receivable and anticipated collection of the consideration. Accounts are written off when the Organization has exhausted all collection efforts and accounts are deemed uncollectible.

ALDERSLY AND SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
September 30, 2021

1. DESCRIPTION OF OPERATIONS AND SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES
(continued)

Investments

Investments in marketable equity and debt securities are presented in the consolidated financial statements at their fair values based on quoted market prices. Investment income, which consists of dividend and interest income and unrealized and realized gains (losses) on investments, is shown in the consolidated statement of activities net of investment management fees.

Rental real estate held for investment is recorded at cost, less accumulated depreciation.

Fair Value Measurements

The Organization considers the use of market-based information over entity specific information in valuing its marketable investment securities using a three-level hierarchy for fair value measurements based on the nature of inputs used in the valuation of an asset or liability as of the measurement date.

The three-level hierarchy for fair value measurements is defined as follows:

- *Level 1* inputs to the valuation methodology - quoted prices (unadjusted) for identical assets or liabilities in active markets.
- *Level 2* inputs to the valuation methodology - quoted prices for similar assets and liabilities in active markets, and inputs that are observable for the asset or liability, either directly or indirectly, for substantially the full term of the investment.
- *Level 3* inputs to the valuation methodology - unobservable and significant to the fair value measurement.

Fair value is defined as the price that would be received to sell an asset or paid to transfer a liability (i.e., exit price) in an orderly transaction between market participants at the measurement date. An investment's categorization within the valuation hierarchy is based upon the lowest level of input that is significant to the fair value measurement.

Property and Equipment

Property and equipment are carried at cost less accumulated depreciation. Donated assets are recorded at fair market value at the date of donation. Depreciation is provided on the straight-line method over the estimated useful lives of the assets, which range from five to forty years. Maintenance, repairs, and renewals which neither materially add to the value of the property nor appreciably prolong its life are charged to expense as incurred. The Organization capitalizes assets with a cost or donated value of \$1,000 or more and an estimated useful life greater than one year. Gains or losses on dispositions of property and equipment are included in the consolidated statement of activities.

ALDERSLY AND SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
September 30, 2021

1. DESCRIPTION OF OPERATIONS AND SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES
(continued)

Assets Whose Use is Limited or Restricted

Assets whose use is limited or restricted represent assets held by trustees under an indenture agreement. These assets are presented in the consolidated financial statements at their fair value. The underlying investments are held in interest bearing and fixed income accounts.

Financing Costs

Deferred financing costs are amortized over the term of the related financing.

Deferred financing costs are presented in the consolidated statement of financial position as a direct deduction from the carrying amount of long-term debt (refer to Note 10). The amortization of deferred financing costs is included in interest expense on the consolidated statement of functional expenses. For the year ended September 30, 2021, the amortization of deferred financing costs amounted to \$13,879.

Bond Premium

Bond premium, net of bond discounts, is amortized over the term of the related financing.

Net bond premium is presented in the consolidated statement of financial position as a direct increase to the carrying amount of long-term debt (refer to Note 10). The amortization of net bond premium is included in interest expense on the consolidated statement of functional expenses. For the year ended September 30, 2021, the amortization of net bond premium amounted to \$26,896.

Leases

The Organization leases various equipment and storage space used in the normal course of operations. The Organization accounts for these leases under Accounting Standards Codification ("ASC") 842, *Leases*. For any leases for which the Organization is the lessee, the Organization recognizes the assets and liabilities that arise from lease on the consolidated statement of financial position by recognizing a lease liability equal to net present value of future minimum lease payments and a right-of-use asset representing the Organization's right to use the underlying asset for the lease term. At lease inception, leases are classified as either a finance lease or operating lease with the associated lease liability and right-of-use asset recorded at the estimated present value of future lease payments. Finance lease right-of-use assets are expensed as depreciation expense over term of the lease. Operating lease right-of-use assets are expensed as lease expense over term of the lease. Finance lease liability, adjusted for interest expense over the term of the lease, is amortized in accordance with lease payments over the term of the lease. Operating lease liability is amortized in accordance with lease payments over the term of the lease. At September 30, 2021, the Organization's operating lease liabilities and right-of-use assets were immaterial to the consolidated financial statements.

ALDERSLY AND SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
September 30, 2021

1. DESCRIPTION OF OPERATIONS AND SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES
(continued)

Leases (continued)

ASC 842 provides for several optional practical expedients. The Organization has elected the package of practical expedients permitted under the transition guidance within ASC 842, which does not require the Organization to reassess prior conclusions regarding whether contracts are or contain a lease, lease classification, and initial direct lease costs. The Organization has also elected the practical expedient to use hindsight in determining the lease term (that is, when considering lessee options to extend or terminate the lease or to purchase the underlying asset). The Organization has also elected the practical expedient to use a risk-free discount rate for the initial and subsequent measurement of lease liabilities instead of using the rate implicit in the lease. The Organization has also elected the practical expedient to account for its leases at a portfolio level for leases that have similar characteristics and for which the resulting accounting at this level would not differ materially from the accounting at the individual lease level. Lastly, the Organization has also elected the practical expedient to exclude accounting for leases on the consolidated statement of financial position which are immaterial on an individual and aggregate basis to its consolidated financial statements.

Revenue Recognition

Resident Services

Revenues primarily result from fees charged to customers under continuing care retirement community ("CCRC") resident contracts, non-CCRC resident contracts and Health Care Center patient contracts. Revenue recognition is evaluated under ASC 606 through the following five steps: (i) identification of the contract or contracts with a customer; (ii) identification of the performance obligations in the contract; (iii) determination of the transaction price; (iv) allocation of the transaction price in the contract; and (v) recognition of revenue when or as a performance obligation is satisfied.

Net resident service revenues are reported at the amount that reflects the consideration the Organization expects to receive in exchange for the services provided. These amounts are due from residents, patients or third-party payors and include variable consideration for retroactive adjustments, if any, under reimbursement programs. Performance obligations are determined based on the nature of the services provided. The performance obligation for resident contracts is to stand ready to provide a residence, resident services, and resident care based on the needed level of care. The performance obligation for patient contracts is to stand ready to provide routine nursing care as well as emergency care that may be required.

ALDERSLY AND SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
September 30, 2021

1. DESCRIPTION OF OPERATIONS AND SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES
(continued)

Revenue Recognition (continued)

Resident Services (continued)

Net resident service revenues are primarily comprised of skilled nursing, assisted living, and independent living revenue streams, which are primarily derived from providing housing, skilled nursing, assisted living, and independent living services to residents or patients at a stated daily or monthly fee, net of any explicit or implicit price concessions. The Organization has determined that the services included in the stated daily or monthly fee for each level of care represents a series of distinct services that have the same timing and pattern of transfer. Therefore, the Organization considers the services provided to residents in each level of care to be one performance obligation which is satisfied over time as services are provided. As such, skilled nursing, assisted living, and independent living revenues are recognized on a daily or month-to-month basis as services are rendered.

The two types of CCRC contracts that the Organization provides include Traditional and 50% Return of Capital ("ROC"). Both CCRC contracts allow the resident a ratable right of refund, as defined in the contracts, when a resident either passes away or moves out prior to 57 months of residency for Traditional contracts and 4 years for ROC contracts. 50% of an ROC resident's entrance fee is always guaranteed to be refunded upon death or move out. As CCRC residents typically do reside at the Organization's community for a period that exceeds these limits, the Organization considers 100% of a Traditional CCRC resident's entrance fee and 50% of an ROC resident's entrance fee to be non-refundable.

The guaranteed refund component of entrance fees is not amortized to income and is classified as guaranteed refunds liability in the accompanying consolidated statement of financial position.

Revenue from nonrefundable entrance fees received are recognized through amortization of the nonrefundable entrance fee using the straight-line method over the estimated remaining life expectancies of the residents which approximates the period of time the goods and services under the agreements are expected to be transferred to residents. The unamortized portion of entrance fees are classified as deferred revenues from unearned entrance fees, a contract liability, in the accompanying consolidated statement of financial position until the performance obligations are satisfied.

The Organization receives revenue for services under third-party payor programs, including Medicare, Medi-Cal, and other third-party payors. Settlements with third-party payors for retroactive adjustments due to audits, reviews, or investigations are included in the determination of the estimated transaction price for providing services. The Organization estimates the transaction price based on the terms of the contract and correspondence with the third-party payor and historical payment trends, and retroactive adjustments are recognized in future periods as final settlements are determined.

ALDERSLY AND SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
September 30, 2021

1. DESCRIPTION OF OPERATIONS AND SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES
(continued)

Revenue Recognition (continued)

Resident Services (continued)

Payment terms and conditions for the Organization's contracts vary by contract type and payor source. Entrance fees for CCRC residents are generally due on or before the contract date of move in. Net resident service fee revenues for recurring and routine monthly services are generally billed monthly on the first of the month. Resident service revenues for ancillary services are generally billed monthly in arrears. Payment of monthly service fees by CCRC residents are to be made within 15 days from the first of the month. Payment of monthly service fees by non-CCRC residents are to be made within 5 days from the first of the month. Payment of daily service fees by Health Care Center patients are to be made within 10 days from the first of the month.

Contract costs include incremental costs of obtaining contracts that would not have been incurred if the contracts were not obtained and are recorded at cost. For the Organization, contract costs consist of sales commissions paid to sales personnel for obtaining new contracts. Contract costs are amortized over the estimate life expectancy of the residents using the straight-line method, which approximates the period of time that goods and services are expected to be transferred to residents. During the year ended September 30, 2021, contract costs were immaterial to the consolidated financial statements and therefore were not capitalized.

The Organization disaggregates revenue from contracts with customers by type of service and payor source as this depicts the nature, amount, timing and uncertainty of its revenue and cash flows as affected by economic factors.

Resident service revenues consist of the following for the year ended September 30, 2021:

	<u>Skilled Nursing</u>	<u>Assisted Living</u>	<u>Independent Living</u>	<u>Total</u>
Self-pay	\$ 1,539,746	\$ 1,901,544	\$ 2,948,594	\$ 6,389,884
Medicare and other	347,600	-	-	347,600
Medi-Cal assistance	230,802	-	-	230,802
Amortization of nonrefundable entrance fees	<u>197,258</u>	<u>388,807</u>	<u>700,045</u>	<u>1,286,110</u>
	<u><u>\$ 2,315,406</u></u>	<u><u>\$ 2,290,351</u></u>	<u><u>\$ 3,648,639</u></u>	<u><u>\$ 8,254,396</u></u>

At September 30, 2021 and 2020, contract assets consisted of resident accounts receivable and contract liabilities consisted of unearned entrance fees.

ALDERSLY AND SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
September 30, 2021

1. DESCRIPTION OF OPERATIONS AND SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES
(continued)

Revenue Recognition (continued)

Contributions and Grants

Revenues from contribution and grant income are accounted for as nonreciprocal transactions. Unconditional contributions and grants received are recorded as revenue when promised. Conditional contributions and grants received are recorded as revenue when the underlying conditions have been satisfied by the Organization. Contributions and grants that are not restricted by the donor are reported as an increase in net assets without donor restrictions. Donor restricted contributions and grants are reported as an increase in net assets with donor restrictions. When a donor restriction expires (that is when a stipulated time restriction ends or purpose restriction is accomplished), net assets with donor restrictions are reclassified to net assets without donor restrictions.

Donated Services

The Organization receives various types of volunteer services. Contributed services are not recognized unless the services received (a) create or enhance long-lived assets or (b) require specialized skills, are provided by individuals possessing those skills, and would be purchased. Donated services received do not meet the two recognition criteria described above. Accordingly, the value is not reflected in the consolidated financial statements.

Functional Allocation of Expenses

Directly identifiable expenses are charged to programs and supporting services benefited. Payroll and employee benefits expense are allocated based on a percentage of time spent. All other expenses related to more than one function are charged to programs and supporting services pro rata on the basis of square footage or other appropriate usage factors.

Use of Estimates

The preparation of consolidated financial statements in conformity with U.S. GAAP requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the consolidated financial statements and the reported amounts of revenues and expenses during the reporting period. Significant accounting estimates in the Organization's consolidated financial statements include entrance fee amortization, functional allocation of expenses, depreciation expense, and fair value of investments. Actual results could differ from those estimates.

ALDERSLY AND SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
September 30, 2021

1. DESCRIPTION OF OPERATIONS AND SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES
(continued)

Summarized Financial Information

The consolidated financial statements include certain prior year summarized comparative information in total, but not by net asset class. Such information does not include sufficient detail to constitute a presentation in conformity with U.S GAAP. Accordingly, such information should be read in conjunction with the Organization's consolidated financial statements, as of, and for the year ended September 30, 2020, from which the summarized information was derived.

Subsequent Events

Management has evaluated events and transactions for potential recognition or disclosure through the date the consolidated financial statements were available to be issued, January 26, 2022.

2. NEWLY ADOPTED ACCOUNTING PRONOUNCEMENT

Effective October 1, 2020, the Organization adopted ASU 2016-02, *Leases*, and all related amendments using the modified retrospective approach. ASU 2016-02 and its amendments are included in ASC 842. Upon adoption, ASC 842 requires lessees to recognize the assets and liabilities that arise from leases on the statement of financial position. A lessee should recognize in the statement of financial position a liability to make lease payments (the lease liability) and a right-of-use asset representing its right to use the underlying asset for the lease term. The adoption of ASC 842 did not have a material effect on the Organization's financial position or results of operations and there was no cumulative effect adjustment to the opening balance of net assets as of October 1, 2020 as a result of ASC 842 implementation.

3. LIQUIDITY AND AVAILABILITY OF FINANCIAL ASSETS

The Organization's primary source of revenue is revenue received from residents. The Organization considers contributions without donor restrictions to be available to meet cash needs for general expenditures. General operating expenditures include programmatic expenses, management and general expenses, and fundraising expenses that are expected to be paid in the subsequent year. In the event that a need arises to utilize board-designated net assets for liquidity purposes, the funds could be drawn upon through a board resolution.

ALDERSLY AND SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
September 30, 2021

3. LIQUIDITY AND AVAILABILITY OF FINANCIAL ASSETS (continued)

The table below presents financial assets available to fund general operating expenditures within one year at September 30, 2021:

Cash and cash equivalents	\$ 1,158,200
Investments in marketable securities	8,759,081
Accounts receivable - residents - net	919,566
Interest and dividends receivable	<u>2,997</u>
	10,839,844
Less amounts not available to be used within one year:	
Net assets with donor restrictions	<u>(76,235)</u>
Financial assets available to meet general operating expenditures within one year	<u><u>\$ 10,763,609</u></u>

4. INVESTMENTS AND FAIR VALUE DISCLOSURES

The following are the major categories of assets measured at fair value on a recurring basis at September 30, 2021, using quoted prices in active markets for identical assets (Level 1), significant other observable inputs (Level 2), and significant unobservable inputs (Level 3):

	<u>Fair Value</u>	<u>Level 1</u>	<u>Level 2</u>	<u>Level 3</u>
Investments				
Cash investments	\$ 2,519,079	\$ 2,519,079	\$ -	\$ -
U.S. Corporate stocks	9,535,927	9,535,927	-	-
Equity funds	2,582,112	2,582,112	-	-
Fixed income funds	1,726,962	1,726,962	-	-
U.S. government obligations	1,615,017	-	1,615,017	-
Corporate bonds	1,190,160	-	1,190,160	-
Foreign corporate stocks	394,817	394,817	-	-
Foreign obligations	85,143	-	85,143	-
	<u>19,649,217</u>	<u>16,758,897</u>	<u>2,890,320</u>	<u>-</u>
Assets whose use is limited (refer to Note 7)				
Restricted cash equivalents	251,459	251,459	-	-
Fixed income securities	509,279	-	509,279	-
	<u>760,738</u>	<u>251,459</u>	<u>509,279</u>	<u>-</u>
Total investments and restricted assets	<u><u>\$ 20,409,955</u></u>	<u><u>\$ 17,010,356</u></u>	<u><u>\$ 3,399,599</u></u>	<u><u>\$ -</u></u>

ALDERSLY AND SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
September 30, 2021

4. INVESTMENTS AND FAIR VALUE DISCLOSURES (continued)

At September 30, 2021, investments are reflected in the consolidated statement of financial position as follows:

Current	\$ 8,759,081
Long-term - held for endowment	<u>10,890,136</u>
	<u><u>\$ 19,649,217</u></u>

For the year ended September 30, 2021, net investment income was as follows:

Interest and dividend income	\$ 433,166
Net realized and unrealized gains	<u>4,101,139</u>
	4,534,305
Less: Investment management fees	<u>(114,388)</u>
	<u><u>\$ 4,419,917</u></u>

The investment income for the year ended September 30, 2021 includes \$2,318,156 in earnings from the Board Designated Endowment Fund (refer to Note 11).

5. ACCOUNTS RECEIVABLE - RESIDENTS

At September 30, 2021, accounts receivable - residents consisted of the following:

Private	\$ 865,275
Medicare/MediCal	61,162
Other insurance	<u>5,129</u>
	931,566
Less: allowance for doubtful accounts	<u>(12,000)</u>
	<u><u>\$ 919,566</u></u>

ALDERSLY AND SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
September 30, 2021

6. PROPERTY AND EQUIPMENT

At September 30, 2021, property and equipment consisted of the following:

Land	\$ 232,822
Buildings and building improvements	19,382,336
Land improvements	256,334
Equipment	976,294
Furniture	413,158
Assisted living furniture	149,212
Vehicles	61,457
	<u>21,471,613</u>
Less: accumulated depreciation	<u>(13,230,761)</u>
	<u>8,240,852</u>
Construction in progress:	
Mission Avenue independent living project	1,131,636
Rosenborg project	5,608,016
Unit remodels	216,869
	<u>6,956,521</u>
Total construction in progress	<u>6,956,521</u>
	<u><u>\$ 15,197,373</u></u>

7. ASSETS WHOSE USE IS LIMITED OR RESTRICTED

At September 30, 2021, assets with limited or restricted use consisted of the following:

Series 2015A bond funds	
Debt service reserve	\$ 525,010
Principal fund	108,984
Interest fund	74,518
Project fund	52,226
	<u>760,738</u>
	<u><u>\$ 760,738</u></u>

ALDERSLY AND SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
September 30, 2021

8. INVESTMENTS IN RESIDENTIAL REAL ESTATE

At September 30, 2021, investments in residential real estate consisted of the following:

Land	\$ 990,000
Buildings	716,245
Building improvements	<u>146,136</u>
	1,852,381
Less: accumulated depreciation	<u>(137,072)</u>
Investments in residential real estate	<u><u>\$ 1,715,309</u></u>

For the year ended September 30, 2021, operating results relating to the investments in residential real estate were as follows:

Rental income	\$ 81,460
Depreciation	(27,649)
Taxes and licenses	(26,477)
Management fees	(7,494)
Utilities and maintenance	(1,592)
Bank fees	<u>(300)</u>
Net income from investments in residential real estate	<u><u>\$ 17,948</u></u>

9. UNEARNED ENTRANCE FEES AND GUARANTEED REFUNDS

Changes in unearned entrance fees and guaranteed refunds for the year ended September 30, 2021, were as follows:

	<u>Unearned Entrance Fees</u>	<u>Guaranteed Refunds</u>	<u>Total</u>
Balance at September 30, 2020	\$ 4,989,262	\$ 2,726,833	\$ 7,716,095
Entrance fees received	<u>1,736,695</u>	<u>443,834</u>	<u>2,180,529</u>
	6,725,957	3,170,667	9,896,624
Less: entrance fees amortization	(1,286,110)	-	(1,286,110)
Less: entrance fees refunds	<u>(355,451)</u>	<u>(995,378)</u>	<u>(1,350,829)</u>
Balance at September 30, 2021	5,084,396	2,175,289	7,259,685
Less: current portion	<u>-</u>	<u>(494,070)</u>	<u>(494,070)</u>
	<u><u>\$ 5,084,396</u></u>	<u><u>\$ 1,681,219</u></u>	<u><u>\$ 6,765,615</u></u>

ALDERSLY AND SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
September 30, 2021

9. UNEARNED ENTRANCE FEES AND GUARANTEED REFUNDS (continued)

Continuing care retirement communities are required to report a liability recognizing an obligation to provide future services and the use of the facilities to current residents in excess of related anticipated revenues, when the present value of future net cash outflows plus depreciation to be charged related to the contracts exceeds unearned entrance fees.

A calculation of the obligation for future services was performed as of September 30, 2021. There was no obligation for future services at September 30, 2021 as the projected revenues exceeded projected expenses by approximately \$6,081,000, discounted to approximately \$5,325,000. The interest rate used to discount the asset was 3.05%.

10. LONG-TERM DEBT

At September 30, 2021, long-term debt consisted of the following:

In February 2015, the California Statewide Communities Development Authority (CSCDA) issued Revenue Refunding Bonds series 2015A and 2015B on behalf of the Organization at an aggregate purchase price of \$7,307,398. The purchase amount reflects \$6,635,000 of aggregate par amounts plus an original issue premium of the series 2015A bonds of \$765,288 and less an aggregate purchase discount of \$92,890 (of which \$29,458 relates to the series 2015A bonds and \$63,432 relates to the series 2015B bonds). The bond proceeds were used to pay off existing bond debt from the California Health Facilities Financing Authority (CHFFA), pay off a note to a financial institution, establish funding for future capital projects, and a debt service reserve fund. The bonds bear interest rates ranging from 2.5% to 5% with effective interest rates ranging from 2.6% to 4.6% and mature at various dates through May 15, 2040. The bonds are collateralized by a deed of trust on the real property, certain personal property, and a security interest in the gross revenues of the Organization. The series 2015B bonds matured and were repaid in 2017.

	\$ 5,640,000
Less: unamortized financing costs	(254,451)
Add: unamortized bond premium - net of unamortized bond discount	493,091
	<u>5,878,640</u>
Less: current maturities	(190,000)
	<u><u>\$ 5,688,640</u></u>

ALDERSLY AND SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
September 30, 2021

10. LONG-TERM DEBT (continued)

At September 30, 2021, future maturities of long-term debt were as follows:

<u>Year ending September 30,</u>	
2022	\$ 190,000
2023	195,000
2024	205,000
2025	215,000
2026	225,000
Thereafter	<u>4,610,000</u>
	<u><u>\$ 5,640,000</u></u>

11. NET ASSETS WITHOUT DONOR RESTRICTIONS - BOARD DESIGNATED

Board Designated for Endowment

Certain gifts and realized and unrealized gains or losses on these gifts have been internally designated by the Board of Directors to be maintained similar to an endowment fund. Dissolution of this designation requires three quarters vote of the full Board. The Organization does not have any donor restricted endowment funds.

The Board of Directors adopted a spending policy for the board designated endowment fund with an objective of allocating 3% of the fund balance annually (based on the rolling average of the 12 preceding quarters' balances) to fund various projects at the discretion of management.

The investment objective is to provide liquidity for debt service, operations, projects, and capital needs as required. The asset allocations are set up to maintain approximately 35% of the assets in fixed income investments with the remaining assets in equities with large market capitalization and a high level of liquidity.

Board Designated for Care Fund

The Board designated Care Fund was established to provide assistance to residents who have developed a financial need due to unforeseen or uncontrollable circumstances. The Board of Directors has established a set of guidelines to be used in considering applications for hardship assistance each year.

Board Designated for Master Plan

The Board designated Master Plan Fund was established to provide partial funding for various facilities renovations at Aldersly. The Master Plan is part of the Organization's strategic planning for long-term success of the Organization. The Board of Directors has not yet determined the full cost of the project and will be designating additional funds as necessary in the future to cover anticipated costs.

ALDERSLY AND SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
September 30, 2021

11. NET ASSETS WITHOUT DONOR RESTRICTIONS - BOARD DESIGNATED (continued)

For the year ended September 30, 2021, changes in Board designated net assets were as follows:

	<u>Endowment</u>	<u>Care Fund</u>	<u>Master Plan</u>	<u>Total</u>
Balances at September 30, 2020	\$ 8,837,093	\$ 188,174	\$ 765,302	\$ 9,790,569
Designated investment income - net	2,318,156	-	-	2,318,156
Appropriations	<u>(265,113)</u>	<u>-</u>	<u>-</u>	<u>(265,113)</u>
Balances at September 30, 2021	<u>\$ 10,890,136</u>	<u>\$ 188,174</u>	<u>\$ 765,302</u>	<u>\$ 11,843,612</u>

12. NET ASSETS WITH DONOR RESTRICTIONS

At September 30, 2021, net assets with donor restrictions were held for the following purposes:

Care Fund	\$ 65,531
Music Memory Fund	10,079
Staff Appreciation Fund	<u>625</u>
	<u>\$ 76,235</u>

13. RETIREMENT PLAN

The Organization has an Internal Revenue Code section 401(k) retirement plan (the "Plan"). Plan participants may elect to defer a portion of their compensation (up to the maximum allowed by law) and have such salary deferrals contributed to their plan accounts. The Organization matches up to 4% of the employee's salary. For the year ended September 30, 2021, employer matching contributions to the Plan were \$53,289. The Plan also provides for discretionary employer profit sharing contributions to the Plan. There were no discretionary contributions made for the year ended September 30, 2021.

14. CONTINGENCIES AND COMMITMENTS

Contingencies

The Organization is a party to certain claims in the normal course of business. While the result of these proceedings cannot be predicted with certainty, management believes that the final outcome of these matters will not have a material adverse effect on the consolidated financial statements.

Commitments

At September 30, 2021, the Organization has approximately \$765,000 in net assets designated by the Board (refer to Note 12) and approximately \$52,000 of assets with limited or restricted use (refer to Note 7) set aside for future capital projects.

ALDERSLY AND SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
September 30, 2021

15. RISK AND UNCERTAINTIES

In March 2020, the World Health Organization declared the outbreak of a novel coronavirus ("COVID-19") as a pandemic, which continues to spread throughout the United States. Although at least three different vaccines have been developed and released, there continues to be uncertainty as to the duration of the disruption and its eventual impact. The COVID-19 pandemic has led to severe disruptions and uncertainty in capital markets and economies, which has led to volatility in the Organization's investment portfolio. While the volatility is currently expected to be temporary; there is uncertainty around its ultimate duration. During the year ended September 30, 2021, while operating revenue declined slightly from the prior year, there was a significant negative impact on cash flows from operating activities primarily related to a decline in cash received from residents (including entrance fees from new residents and service fees from current residents) and an increase in entrance fee refunds paid to residents. While the Organization expects this matter to be temporary, the related financial impact cannot be reasonably estimated at this time. Management will continue to closely monitor the development of COVID-19 and the effect to the Organization's operations and financial position and adjust its plans as deemed necessary.

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Aldersly and Subsidiary

Consolidated Financial Statements

September 30, 2020

with summarized comparative totals for

September 30, 2019

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INDEPENDENT AUDITOR'S REPORT

**To the Board of Directors of
Aldersly and Subsidiary**

Report on the Financial Statements

We have audited the accompanying consolidated financial statements of Aldersly (a California not-for-profit organization) and Subsidiary (collectively the "Organization"), which comprise the consolidated statement of financial position as of September 30, 2020, and the related consolidated statements of activities, functional expenses and cash flows for the year then ended, and the related notes to the consolidated financial statements (collectively, the financial statements).

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

**Opinion**

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of Aldersly and Subsidiary as of September 30, 2020, and the changes in their net assets and their cash flows for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Report on Summarized Comparative Information

We have previously audited the Organization's September 30, 2019 financial statements, and we expressed an unmodified audit opinion on those audited financial statements in our report dated December 4, 2019. In our opinion, the summarized comparative information presented herein as of and for the year ended September 30, 2019, is consistent, in all material respects, with the audited financial statements from which it has been derived.

BAKER TILLY US, LLP

A handwritten signature in black ink that reads "Baker Tilly US, LLP". The signature is written in a cursive, flowing style.

San Francisco, California
January 28, 2021

ALDERSLY AND SUBSIDIARY
CONSOLIDATED STATEMENT OF FINANCIAL POSITION
September 30, 2020
(with comparative totals for the year ended September 30, 2019)

	2020	2019
ASSETS		
Current Assets		
Cash and cash equivalents	\$ 1,466,118	\$ 1,934,194
Investments in marketable securities (Note 4)	14,593,671	13,521,159
Accounts receivable - residents - net (Note 5)	294,271	215,979
Accounts receivable - other	50	1,881
Interest and dividends receivable	2,313	2,403
Prepaid expenses	301,987	304,684
Total current assets	<u>16,658,410</u>	<u>15,980,300</u>
Property and Equipment - net (Note 6)	<u>10,170,045</u>	<u>9,587,144</u>
Assets Whose Use is Limited or Restricted (Note 7)		
Restricted cash equivalents	290,785	215,018
Fixed income securities	505,862	493,132
	<u>796,647</u>	<u>708,150</u>
Other Noncurrent Assets		
Long-term investments held for endowment (Note 4)	8,837,093	8,313,572
Investments in residential real estate - net (Note 8)	1,742,957	1,766,821
Cemetery plots	-	5,582
	<u>10,580,050</u>	<u>10,085,975</u>
Total assets	<u><u>\$ 38,205,152</u></u>	<u><u>\$ 36,361,569</u></u>
LIABILITIES AND NET ASSETS		
Current Liabilities		
Accounts payable and accrued expenses	\$ 663,548	\$ 420,718
Accrued salaries and wages	493,345	355,867
Refunds payable	620,580	212,060
Deposit liability	44,287	102,562
Guaranteed refunds (Note 9)	393,000	370,000
Current maturities of long-term debt (Note 10)	180,000	170,000
Accrued settlement (Note 15)	400,000	-
Total current liabilities	<u>2,794,760</u>	<u>1,631,207</u>
Long-Term Liabilities		
Unearned entrance fees (Note 9)	4,912,356	4,682,897
Guaranteed refunds (Note 9)	2,333,833	2,476,957
Long-term debt - net of unamortized financing costs and net bond premium (Note 10)	5,891,657	6,084,673
	<u>13,137,846</u>	<u>13,244,527</u>
Total liabilities	<u>15,932,606</u>	<u>14,875,734</u>
Net Assets		
Without donor restrictions		
Undesignated	12,406,367	11,980,044
Board designated (Note 12)	9,790,569	9,267,048
	<u>22,196,936</u>	<u>21,247,092</u>
With donor restrictions (Note 13)	75,610	238,743
Total net assets	<u>22,272,546</u>	<u>21,485,835</u>
Total liabilities and net assets	<u><u>\$ 38,205,152</u></u>	<u><u>\$ 36,361,569</u></u>

ALDERSLY AND SUBSIDIARY
CONSOLIDATED STATEMENT OF ACTIVITIES
Year Ended September 30, 2020
(with comparative totals for the year ended September 30, 2019)

	2020			2019
	Without Donor Restrictions	With Donor Restrictions	Total	Total
SERVICE REVENUE AND SUPPORT				
Service Revenue				
Independent living fees	\$ 2,960,821	\$ -	\$ 2,960,821	\$ 2,919,658
Skilled nursing fees - net	2,459,206	-	2,459,206	2,334,746
Assisted living fees	2,420,924	-	2,420,924	2,386,590
Entrance fees amortization	894,598	-	894,598	907,519
Total service revenue	8,735,549	-	8,735,549	8,548,513
Support				
Government grant - PPP	931,200	-	931,200	-
Donations, gifts and bequests	136,750	1,800	138,550	293,447
Net assets released from restrictions (Note 13)	164,933	(164,933)	-	-
Total revenue and support	9,968,432	(163,133)	9,805,299	8,841,960
OPERATING EXPENSES				
Program services	8,894,541	-	8,894,541	8,634,210
Management and general	1,469,939	-	1,469,939	1,266,363
Fundraising	185,632	-	185,632	146,211
Total expenses	10,550,112	-	10,550,112	10,046,784
Change in net assets before other revenues (expenses)	(581,680)	(163,133)	(744,813)	(1,204,824)
OTHER REVENUES (EXPENSES)				
Loss on disposal of assets	(1,621)	-	(1,621)	(2,452)
Investment income - net (Note 4)	1,622,495	-	1,622,495	386,353
Investment property net income (Note 8)	7,990	-	7,990	5,616
Provider relief funds	293,180	-	293,180	-
Rental and other income	9,480	-	9,480	13,230
Settlement expense (Note 15)	(400,000)	-	(400,000)	-
Total other revenues (expenses)	1,531,524	-	1,531,524	402,747
CHANGE IN NET ASSETS	949,844	(163,133)	786,711	(802,077)
NET ASSETS - beginning of year	21,247,092	238,743	21,485,835	22,287,912
NET ASSETS - end of year	\$ 22,196,936	\$ 75,610	\$ 22,272,546	\$ 21,485,835

ALDERSLY AND SUBSIDIARY
CONSOLIDATED STATEMENT OF FUNCTIONAL EXPENSES
Year Ended September 30, 2020
(with comparative totals for the year ended September 30, 2019)

	2020				2019
	Program Services	Management and General	Fundraising	Total	Total
Salaries	\$ 3,807,376	\$ 367,486	\$ 118,681	\$ 4,293,543	\$ 3,999,040
Payroll taxes and benefits	1,023,182	116,911	29,426	1,169,519	1,001,373
Total personnel costs	4,830,558	484,397	148,107	5,463,062	5,000,413
Consultants	-	124,118	-	124,118	251,661
Depreciation	698,119	69,614	-	767,733	761,459
Food	439,417	-	-	439,417	417,074
Health care ancillaries	230,593	-	-	230,593	350,811
Insurance	170,431	10,245	-	180,676	173,376
Interest	265,113	15,507	-	280,620	284,692
IT, connection and phone	222,815	11,727	-	234,542	226,388
Laundry services	84,924	-	-	84,924	77,372
Maintenance and repairs	262,754	15,795	-	278,549	221,520
Management service expense	614,217	102,841	-	717,058	732,235
Marketing	-	250,867	-	250,867	193,081
Medical director fees	49,958	-	-	49,958	38,208
Outside labor	73,548	116,808	37,525	227,881	234,938
Professional services	-	117,609	-	117,609	59,841
Professional services non-operating	-	23,447	-	23,447	17,105
Property taxes	111,525	6,704	-	118,229	121,098
Recruiting	-	23,207	-	23,207	40,116
Rental property expenses	-	41,924	-	41,924	42,676
Resident activities	85,474	-	-	85,474	83,302
Supplies expense	276,251	14,540	-	290,791	175,067
Training	11,080	1,955	-	13,035	17,382
Travel	-	9,381	-	9,381	37,933
Utilities	253,196	15,220	-	268,416	280,485
Other operating expenses	214,568	83,606	-	298,174	278,586
	8,894,541	1,539,512	185,632	10,619,685	10,116,818
Less expenses included with revenues on the statement of activities:					
Rental property expenses	-	(69,573)	-	(69,573)	(70,034)
	<u>\$ 8,894,541</u>	<u>\$ 1,469,939</u>	<u>\$ 185,632</u>	<u>\$ 10,550,112</u>	<u>\$ 10,046,784</u>

ALDERSLY AND SUBSIDIARY
CONSOLIDATED STATEMENT OF CASH FLOWS
Year Ended September 30, 2020
(with comparative totals for the year ended September 30, 2019)

	2020	2019
CASH FLOWS FROM OPERATING ACTIVITIES		
Cash received from residents	\$ 9,233,360	\$ 9,743,885
Cash received from donors	138,550	293,447
Interest and dividends received net of management fees	400,997	479,654
Cash received from provider relief funds	293,180	-
Cash paid for interest on long-term debt	(295,487)	(297,709)
Government grant - PPP	931,200	-
Cash paid to suppliers and employees	(9,208,543)	(8,882,428)
Net cash provided by operating activities	1,493,257	1,336,849
CASH FLOWS FROM INVESTING ACTIVITIES		
Proceeds from sales of investments	12,082,778	7,648,168
Purchase of investments	(12,457,223)	(7,657,460)
Proceeds from sales of assets held in trust	-	544,487
Purchase of assets held in trust	(12,730)	(24,015)
Capital expenditures	(1,328,391)	(706,856)
Net cash used in investing activities	(1,715,566)	(195,676)
CASH FLOWS FROM FINANCING ACTIVITIES		
Bond principal payments	(170,000)	(165,000)
Net cash provided (used in) by financing activities	(170,000)	(165,000)
NET (DECREASE) INCREASE IN CASH, CASH EQUIVALENTS, AND RESTRICTED CASH EQUIVALENTS	(392,309)	976,173
CASH, CASH EQUIVALENTS, AND RESTRICTED CASH EQUIVALENTS - beginning of year	2,149,212	1,173,039
CASH, CASH EQUIVALENTS, AND RESTRICTED CASH EQUIVALENTS - end of year	\$ 1,756,903	\$ 2,149,212
Reconciliation of end of year totals in the consolidated statement of cash flows related to captions in the consolidated statement of financial position		
Cash and cash equivalents	\$ 1,466,118	\$ 1,934,194
Assets whose use is limited or restricted - restricted cash equivalents	290,785	215,018
	\$ 1,756,903	\$ 2,149,212

ALDERSLY AND SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
September 30, 2020

1. DESCRIPTION OF OPERATIONS AND SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Founded in 1921 by Danish immigrants as a not-for-profit retirement community located in San Rafael, California, Aldersly today is a diverse and vibrant mix of residents from many cultural backgrounds. Aldersly is a continuing care retirement community that offers three lifestyle options - Independent Living, Assisted Living, and the Health and Rehabilitation Center. Residents are able to seamlessly transition between care levels, as necessary.

In August 2014, Aldersly formed a wholly-owned subsidiary, an LLC, for the purpose of acquiring property.

A summary of significant accounting policies applied in the preparation of the accompanying consolidated financial statements follows:

Principles of Consolidation

The accompanying consolidated financial statements include the accounts of Aldersly and its wholly-owned subsidiary, collectively the "Organization." Intercompany transactions and balances have been eliminated in consolidation.

Basis of Presentation

The accompanying consolidated financial statements have been prepared on the accrual basis of accounting.

Net Assets

The net assets of the Organization are reported as follows:

Without Donor Restrictions

Net assets that are not subject to donor-imposed stipulations. Donations received and spent in accordance with donor-imposed stipulations in the same reporting period are also included in this classification. A portion of these net assets may be designated by the Board of Directors for specific purposes (refer to Note 12).

With Donor Restrictions

Net assets subject to donor-imposed stipulations that may or will be met either by actions of the Organization or the passage of time as well as net assets subject to donor-imposed stipulations that they be maintained in perpetuity by the Organization. At September 30, 2020, the Organization did not have net assets with donor restrictions to be maintained in perpetuity.

ALDERSLY AND SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
September 30, 2020

1. DESCRIPTION OF OPERATIONS AND SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES
(continued)

Income Taxes

The Organization is exempt from federal and state income taxes under Internal Revenue Code Section 501(c)(3) and California Revenue and Taxation Code, Section 23701d except as noted for the LLC. Accordingly, it has not provided for income taxes in these consolidated financial statements.

The LLC's net earnings (losses) are reported on the federal exempt organization tax return of its parent company. The LLC files a separate state tax return in California and is subject to an annual minimum franchise tax of \$800.

Each year, management considers whether any material tax position the Organization has taken is more likely than not to be sustained upon examination by the applicable taxing authority. Management believes that any positions the Organization has taken are supported by substantial authority and, hence, do not need to be measured or disclosed in these consolidated financial statements.

Cash, Cash Equivalents, and Restricted Cash

The Organization considers all unrestricted, highly liquid investments with an initial maturity of three months or less to be cash equivalents. Restricted cash includes amounts held relating to assets whose use is limited or restricted. The Organization classifies cash held in money market funds by investment custodians as short-term investments.

Concentrations of Credit Risk

Financial instruments that potentially subject the Organization to concentrations of credit risk consist principally of cash, cash equivalents and restricted cash. Risks associated with cash and cash equivalents are mitigated by banking with creditworthy institutions. Such balances with any one institution may, at times, be in excess of federally insured amounts (currently \$250,000 per depositor). The Organization has not experienced any losses in such accounts and believes it is not exposed to any significant credit risk.

Investments, in general, are exposed to various risks, such as interest rate, credit and overall market volatility. Investments are insured up to the limit set by the Securities Investor Protection Corporation ("SIPC").

Accounts Receivable - Residents

The Organization assesses collectability on all resident accounts prior to providing services. An allowance for uncollectible accounts is recognized to reduce accounts receivable to its net realizable value for impairment of revenues for changes in resident credit worthiness. The allowance is estimated by management based on factors such as aging of the accounts receivable, and anticipated collection of the consideration. Accounts are written off through bad debt expense when the Organization has exhausted all collection efforts and accounts are deemed uncollectible.

ALDERSLY AND SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
September 30, 2020

1. DESCRIPTION OF OPERATIONS AND SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES
(continued)

Investments

Investments in marketable equity and debt securities are presented in the consolidated financial statements at their fair values based on quoted market prices. Investment income, which consists of dividend and interest income and unrealized and realized gains (losses) on investments, is shown in the consolidated statement of activities net of investment management fees.

Rental real estate held for investment is recorded at cost, less accumulated depreciation.

Fair Value Measurements

The Organization considers the use of market-based information over entity specific information in valuing its marketable investment securities using a three-level hierarchy for fair value measurements based on the nature of inputs used in the valuation of an asset or liability as of the measurement date.

The three-level hierarchy for fair value measurements is defined as follows:

- *Level 1* inputs to the valuation methodology - quoted prices (unadjusted) for identical assets or liabilities in active markets.
- *Level 2* inputs to the valuation methodology - quoted prices for similar assets and liabilities in active markets, and inputs that are observable for the asset or liability, either directly or indirectly, for substantially the full term of the investment.
- *Level 3* inputs to the valuation methodology - unobservable and significant to the fair value measurement.

Fair value is defined as the price that would be received to sell an asset or paid to transfer a liability (i.e. exit price) in an orderly transaction between market participants at the measurement date. An investment's categorization within the valuation hierarchy is based upon the lowest level of input that is significant to the fair value measurement.

Property and Equipment

Property and equipment are carried at cost less accumulated depreciation. Donated assets are recorded at fair market value at the date of donation. Depreciation is provided on the straight line method over the estimated useful lives of the assets, which range from five to forty years. Maintenance, repairs and renewals which neither materially add to the value of the property nor appreciably prolong its life are charged to expense as incurred. The Organization capitalizes assets with a cost or donated value of \$1,000 or more and an estimated useful life greater than one year. Gains or losses on dispositions of property and equipment are included in the consolidated statement of activities.

ALDERSLY AND SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
September 30, 2020

1. DESCRIPTION OF OPERATIONS AND SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES
(continued)

Assets Whose Use is Limited or Restricted

Assets whose use is limited or restricted represent assets held by trustees under indenture agreements. These assets are presented in the consolidated financial statements at their fair value. The underlying investments are held in interest bearing and fixed income accounts.

Financing Costs

Deferred financing costs are amortized over the term of the related financing.

Deferred financing costs are presented in the consolidated statement of financial position as a direct deduction from the carrying amount of long-term debt (refer to Note 10). The amortization of deferred financing costs is included in interest expense. For the year ended September 30, 2020, the amortization of deferred financing costs amounted to \$13,879.

Bond Premium

Bond premium net of bond discount is amortized over the term of the related financing.

Net bond premium is presented in the consolidated statement of financial position as a direct increase to the carrying amount of long-term debt (refer to Note 10). The amortization of net bond premium is included in interest expense. For the year ended September 30, 2020, the amortization of net bond premium amounted to \$26,896.

Revenue Recognition

Resident Services

Revenues primarily result from fees charged to customers under continuing care retirement community ("CCRC") resident contracts, non-CCRC resident contracts and Health Care Center patient contracts. Revenue recognition is evaluated under Accounting Standards Codification ("ASC") 606 (refer to Note 2) through the following five steps: (i) identification of the contract or contracts with a customer; (ii) identification of the performance obligations in the contract; (iii) determination of the transaction price; (iv) allocation of the transaction price in the contract; and (v) recognition of revenue when or as a performance obligation is satisfied.

Net resident service revenues are reported at the amount that reflects the consideration the Organization expects to receive in exchange for the services provided. These amounts are due from residents, patients or third-party payors and include variable consideration for retroactive adjustments, if any, under reimbursement programs. Performance obligations are determined based on the nature of the services provided. The performance obligation for resident contracts is to stand ready to provide a residence, resident services and resident care based on their needed level of care. The performance obligation for patient contracts is to stand ready to provide routine nursing care as well as emergency care that may be required.

ALDERSLY AND SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
September 30, 2020

1. DESCRIPTION OF OPERATIONS AND SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES
(continued)

Revenue Recognition (continued)

Resident Services (continued)

Net resident service revenues are primarily comprised of skilled nursing, assisted living, and independent living revenue streams, which are primarily derived from providing housing, skilled nursing, assisted living, and independent living services to residents or patients at a stated daily or monthly fee, net of any explicit or implicit price concessions. The Organization has determined that the services included in the stated daily or monthly fee for each level of care represents a series of distinct services that have the same timing and pattern of transfer. Therefore, the Organization considers the services provided to residents in each level of care to be one performance obligation which is satisfied over time as services are provided. As such, skilled nursing, assisted living, and independent living revenues are recognized on a daily or month-to-month basis as services are rendered.

The two types of CCRC contracts that the Organization provides include: Traditional and 50% Return of Capital ("ROC"). Both CCRC contracts allow the resident a right of cancellation at any time during the life of the contract due to either death or move out, including 57 months for traditional and 4 years for ROC contracts. 50% of an ROC resident's entrance fee is always guaranteed to be refunded upon death or move out. As CCRC residents typically do reside at the Organization's community for a period that exceeds these limits, the Organization considers 100% of a Traditional CCRC resident's entrance fee and 50% of an ROC resident's entrance fee to be non-refundable.

The guaranteed refund component of entrance fees is not amortized to income and is classified as guaranteed refunds liability in the accompanying consolidated statement of financial position.

Revenue from nonrefundable entrance fees received are recognized through amortization of the nonrefundable entrance fee using the straight-line method over the estimated remaining life expectancies of the residents which approximates the period of time the goods and services under the agreements are expected to be transferred to residents. The unamortized portion of entrance fees are classified as deferred revenues from unearned entrance fees, a contract liability, in the accompanying consolidated statement of financial position until the performance obligations are satisfied.

The Organization receives revenue for services under third-party payor programs, including Medicare, Medi-Cal and other third-party payors. Settlements with third-party payors for retroactive adjustments due to audits, reviews, or investigations are included in the determination of the estimated transaction price for providing services. The Organization estimates the transaction price based on the terms of the contract and correspondence with the third-party payor and historical payment trends, and retroactive adjustments are recognized in future periods as final settlements are determined.

ALDERSLY AND SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
September 30, 2020

1. DESCRIPTION OF OPERATIONS AND SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES
(continued)

Revenue Recognition (continued)

Resident Services (continued)

Payment terms and conditions for the Organization's contracts vary by contract type and payor source. Entrance fees for CCRC residents are due on or before the contract date of move in. Net resident service fee revenues for recurring and routine monthly services are generally billed monthly on the first of the month. Resident service revenues for ancillary services are generally billed monthly in arrears. Payment of monthly service fees by CCRC residents are to be made within 15 days from the first of the month. Payment of monthly service fees by non-CCRC residents are to be made within 5 days from the first of the month. Payment of daily service fees by Health Care Center patients are to be made within 10 days from the first of the month.

Contract costs include incremental costs of obtaining contracts that would not have been incurred if the contracts were not obtained and are recorded at cost. For the Organization, contract costs consist of sales commissions paid to sales personnel for obtaining new contracts. Contract costs are amortized over the estimate life expectancy of the residents using the straight-line method, which approximates the period of time that goods and services are expected to be transferred to residents. During the year ended September 30, 2020, contract costs were immaterial and therefore, were not capitalized.

The Organization disaggregates revenue from contracts with customers by type of service and payor source as this depicts the nature, amount, timing and uncertainty of its revenue and cash flows as affected by economic factors.

Resident service revenues consist of the following for the year ended September 30, 2020:

	<u>Skilled Nursing</u>	<u>Assisted Living</u>	<u>Independent Living</u>	<u>Total</u>
Self-pay	\$ 1,461,271	\$ 2,420,924	\$ 2,960,821	\$ 6,843,016
Medicare and other	702,690	-	-	702,690
Medi-Cal assistance	295,245	-	-	295,245
Amortization of nonrefundable entrance fees	44,076	146,607	703,915	894,598
	<u>\$ 2,503,282</u>	<u>\$ 2,567,531</u>	<u>\$ 3,664,736</u>	<u>\$ 8,735,549</u>

ALDERSLY AND SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
September 30, 2020

1. DESCRIPTION OF OPERATIONS AND SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES
(continued)

Revenue Recognition (continued)

Contributions and Grants

Revenue from contribution and grant income is evaluated under Accounting Standards Update ("ASU") 2018-08, and is accounted for as nonreciprocal transactions. Unconditional contributions and grants received are recorded as net assets with donor restrictions or net assets without donor restrictions depending on the existence and nature of any donor restrictions. Support that is not restricted by the donor is reported as an increase in net assets without restrictions. All other donor restricted support is reported as an increase in net assets with donor restrictions. When a restriction expires (that is when a stipulated time restriction ends or purpose restriction is accomplished), net assets with donor restrictions are reclassified to net assets without donor restrictions.

The Organization elected to record the funds received under the Coronavirus Aid, Relief, and Economic Securities Act Paycheck Protection Program as a refundable advance and recognized revenue as the conditions of the grants were met.

Donated Services

The Organization receives various types of volunteer services. Contributed services are not recognized unless the services received (a) create or enhance long-lived assets or (b) require specialized skills, are provided by individuals possessing those skills, and would be purchased. Donated services received do not meet the two recognition criteria described above. Accordingly, the value is not reflected in the consolidated financial statements.

Functional Allocation of Expenses

Directly identifiable expenses are charged to programs and supporting services benefited. Payroll and benefits costs are allocated based on a percentage of time spent. All other expenses related to more than one function are charged to programs and supporting services pro rata on the basis of square footage or other appropriate usage factors.

Use of Estimates

The preparation of consolidated financial statements in conformity with U.S. generally accepted accounting principles requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the consolidated financial statements and the reported amounts of revenues and expenses during the reporting period. Significant accounting estimates include entrance fee amortization, functional allocation of expenses, depreciation expense and fair value of investments. Actual results could differ from those estimates.

ALDERSLY AND SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
September 30, 2020

1. DESCRIPTION OF OPERATIONS AND SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES
(continued)

Reclassifications

Certain accounts in the prior year were reclassified to conform to the current year presentation.

Recently Issued Accounting Standards

In February 2016, the Financial Accounting Standards Board ("FASB") issued ASU 2016-02, *Leases*. This standard modifies the principles that lessees and lessors apply to report information in their financial statements about the amount, timing, and uncertainty of cash flows arising from leases. The standard requires lessees to recognize most leases on their statements of financial position. The new standard will be effective for the Organization for the year ending September 30, 2021, and early adoption is permitted.

In June 2020, the FASB also issued ASU 2020-05, *Revenue from Contracts with Customers and Leases – Effective Dates for Certain Entities*, to defer the effective dates of ASU 2014-09 and ASU 2016-02 to provide immediate, near-term relief for certain entities for whom these updates are either currently effective or imminently effective. The deferral of the effective date of ASU 2016-02 is reflected in the aforementioned paragraph.

Summarized Financial Information

The consolidated financial statements include certain prior year summarized comparative information in total, but not by net asset class. Such information does not include sufficient detail to constitute a presentation in conformity with accounting principles generally accepted in the United States of America. Accordingly, such information should be read in conjunction with the Organization's consolidated financial statements, as of, and for the year ended September 30, 2019, from which the summarized information was derived.

Subsequent Events

Management has evaluated events and transactions for potential recognition or disclosure through the date the consolidated financial statements were available to be issued, January 28, 2021.

2. NEWLY ADOPTED ACCOUNTING PRONOUNCEMENTS

Revenue from Contracts with Customers

In August 2016, FASB issued ASU 2014-09, *Revenue from Contracts with Customers*, which replaces most existing revenue recognition guidance in U.S. GAAP and is intended to improve and converge with international standards the financial reporting requirements for revenue from contracts with customers. ASU 2014-09 and its amendments were included primarily in ASC 606. The Organization has adjusted the presentation of its consolidated financial statements accordingly.

ALDERSLY AND SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
September 30, 2020

2. NEWLY ADOPTED ACCOUNTING PRONOUNCEMENTS (continued)

Revenue from Contracts with Customers (continued)

The core principle of ASC 606 is that an entity should recognize revenue for the transfer of goods or services equal to the amount that it expects to be entitled to receive for those goods or services. Revenue is recognized when control of the promised goods or services is transferred to customers. ASC 606 also requires additional disclosures about the nature, amount, timing and uncertainty of revenue and cash flows arising from customer contracts, including significant judgments used. The Organization adopted ASC 606 effective October 1, 2019, using the modified retrospective method. The adoption of ASC 606 did not have a material effect on the Organization's consolidated financial position or results of operations and there was no cumulative effect adjustment to the opening balance of net assets as of October 1, 2019 as a result of ASC 606 implementation.

Clarifying the Scope of Accounting Guidance for Contributions Received and Contributions Made

In June 2018, the FASB issued ASU 2018-08, *Clarifying the Scope and Accounting Guidance for Contributions Received and Contributions Made*. The ASU clarified and improved the scope and accounting guidance around contributions of cash and other assets received and made by all entities, including business entities. The ASU assists entities in (1) evaluating whether transactions should be accounted for as contributions (nonreciprocal transactions), or as exchange (reciprocal) transactions and (2) determining whether a contribution is conditional or unconditional. The adoption of ASU 2018-08, under a modified prospective method effective October 1, 2019, did not have a material effect on the Organization's consolidated financial position or results of operations.

Restricted Cash

In November 2016, the FASB issued ASU 2016-18, *Restricted Cash*, which amends ASC 230 to add guidance on the classification and presentation of restricted cash in the statement of cash flows. As a result, restricted cash is now included with cash and cash equivalents in the statement of cash flows. The required changes have been reflected in the Organization's consolidated statement of cash flows using retrospective adoption.

3. LIQUIDITY AND AVAILABILITY OF FINANCIAL ASSETS

The Organization's primary source of revenue is revenue received from residents. The Organization considers contributions without donor restrictions to be available to meet cash needs for general expenditures. General expenditures include programmatic expenses, management and general expenses and fundraising expenses that are expected to be paid in the subsequent year. In the event that a need arises to utilize board-designated funds for liquidity purposes, the funds could be drawn upon through a board resolution.

ALDERSLY AND SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
September 30, 2020

3. LIQUIDITY AND AVAILABILITY OF FINANCIAL ASSETS (continued)

The table below presents financial assets available to fund general operating expenses within one year at September 30, 2020:

Cash and cash equivalents	\$ 1,466,118
Investments in marketable securities	14,593,671
Accounts receivable - residents - net	294,271
Accounts receivable - other	50
Interest and dividends receivable	2,313
	<u>16,356,423</u>
Less amounts not available to be used within one year:	
Net assets with donor restrictions	<u>(75,610)</u>
Financial assets available to meet general operating expenses within one year	<u><u>\$ 16,280,813</u></u>

4. INVESTMENTS AND FAIR VALUE DISCLOSURES

The following are the major categories of assets measured at fair value on a recurring basis at September 30, 2020, using quoted prices in active markets for identical assets (Level 1), significant other observable inputs (Level 2), and significant unobservable inputs (Level 3):

	<u>Fair Value</u>	<u>Level 1</u>	<u>Level 2</u>	<u>Level 3</u>
Investments				
Cash investments	\$ 3,833,539	\$ 3,833,539	\$ -	\$ -
Corporate stocks	10,487,633	10,487,633	-	-
Corporate bonds	1,849,597	-	1,849,597	-
U.S. government obligations	1,914,786	-	1,914,786	-
Foreign obligations	69,688	-	69,688	-
Fixed income funds	2,080,650	2,080,650	-	-
Equity funds	3,194,871	3,194,871	-	-
	<u>23,430,764</u>	<u>19,596,693</u>	<u>3,834,071</u>	<u>-</u>
Assets whose use is limited (refer to Note 7)				
Restricted cash equivalents	290,785	290,785	-	-
Fixed income securities	505,862	-	505,862	-
	<u>796,647</u>	<u>290,785</u>	<u>505,862</u>	<u>-</u>
Total investments and restricted assets	<u><u>\$ 23,430,764</u></u>	<u><u>\$ 19,596,693</u></u>	<u><u>\$ 3,834,071</u></u>	<u><u>\$ -</u></u>

ALDERSLY AND SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
September 30, 2020

4. INVESTMENTS AND FAIR VALUE DISCLOSURES (continued)

At September 30, 2020, investments are reflected in the consolidated statement of financial position as follows:

Current	\$ 14,593,671
Long-term - held for endowment	<u>8,837,093</u>
	<u><u>\$ 23,430,764</u></u>

For the year ended September 30, 2020, net investment income was as follows:

Interest and dividend income	\$ 511,980
Net realized and unrealized gains	<u>1,221,588</u>
	1,733,568
Less: Investment management fees	<u>(111,073)</u>
	<u><u>\$ 1,622,495</u></u>

The investment income for the year ended September 30, 2020 includes \$772,928 in earnings from the Board Designated Endowment Fund (refer to Note 12).

5. ACCOUNTS RECEIVABLE - RESIDENTS

At September 30, 2020, accounts receivable - residents consisted of the following:

Private	\$ 256,559
Medicare/MediCal	71,379
Other insurance	<u>11,639</u>
	339,577
Less: allowance for doubtful accounts	<u>(45,306)</u>
	<u><u>\$ 294,271</u></u>

ALDERSLY AND SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
September 30, 2020

6. PROPERTY AND EQUIPMENT

At September 30, 2020, property and equipment consisted of the following:

Land	\$ 232,822
Buildings and building improvements	19,302,775
Land improvements	256,334
Equipment	961,148
Furniture	410,994
Assisted living furniture	149,212
Vehicles	61,457
	<u>21,374,742</u>
Less: accumulated depreciation	<u>(12,518,154)</u>
	<u>8,856,588</u>
Construction in progress:	
Mission Avenue project	641,465
Rosenborg project	629,049
Unit remodels	42,943
Total construction in progress	<u>1,313,457</u>
	<u><u>\$ 10,170,045</u></u>

7. ASSETS WHOSE USE IS LIMITED OR RESTRICTED

At September 30, 2020, assets with limited or restricted use consisted of the following:

Series 2015A bond funds	
Debt service reserve	\$ 522,014
Principal fund	116,234
Interest fund	106,177
Project fund	52,222
	<u>\$ 796,647</u>

ALDERSLY AND SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
September 30, 2020

8. INVESTMENTS IN RESIDENTIAL REAL ESTATE

At September 30, 2020, investments in residential real estate consisted of the following:

Land	\$ 990,000
Buildings	716,245
Building improvements	<u>146,136</u>
	1,852,381
Less: accumulated depreciation	<u>(109,424)</u>
	<u><u>\$ 1,742,957</u></u>

For the year ended September 30, 2020, operating results relating to the investments in residential real estate were as follows:

Rental income	\$ 77,563
Depreciation	(27,649)
Taxes and licenses	(24,726)
Management fees	(9,364)
Utilities and maintenance	(7,509)
Bank fees	<u>(325)</u>
Investment property net income	<u><u>\$ 7,990</u></u>

9. UNEARNED ENTRANCE FEES AND GUARANTEED REFUNDS

Changes in unearned entrance fees and guaranteed refunds for the year ended September 30, 2020, were as follows:

	<u>Unearned Entrance Fees</u>	<u>Guaranteed Refunds</u>	<u>Total</u>
Balance at September 30, 2019	\$ 4,682,897	\$ 2,846,957	\$ 7,529,854
Entrance fees received	<u>1,815,241</u>	<u>232,022</u>	<u>2,047,263</u>
	6,498,138	3,078,979	9,577,117
Less: entrance fees amortization	(894,598)	-	(894,598)
Less: entrance fees refunds	<u>(691,184)</u>	<u>(352,146)</u>	<u>(1,043,330)</u>
Balance at September 30, 2020	4,912,356	2,726,833	7,639,189
Less current portion	<u>-</u>	<u>(393,000)</u>	<u>(393,000)</u>
	<u><u>\$ 4,912,356</u></u>	<u><u>\$ 2,333,833</u></u>	<u><u>\$ 7,246,189</u></u>

Continuing care retirement communities are required to report a liability recognizing an obligation to provide future services and the use of the facilities to current residents in excess of related anticipated revenues, when the present value of future net cash outflows plus depreciation to be charged related to the contracts exceeds the unearned entrance fees.

ALDERSLY AND SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
September 30, 2020

9. UNEARNED ENTRANCE FEES AND GUARANTEED REFUNDS (continued)

A calculation of the obligation for future services was done as of September 30, 2020. There was no obligation for future services at September 30, 2020, as the projected revenues exceeded projected expenses by approximately \$2,292,000, discounted to approximately \$2,139,000. The interest rate used to discount the asset was 3.05%.

10. LONG-TERM DEBT

At September 30, 2020, long-term debt consisted of the following:

In February 2015, the California Statewide Communities Development Authority (CSCDA) issued Revenue Refunding Bonds series 2015A and 2015B on behalf of the Organization at an aggregate purchase price of \$7,307,398. The purchase amount reflects \$6,635,000 of aggregate par amounts plus an original issue premium of the series 2015A bonds of \$765,288 and less an aggregate purchase discount of \$92,890 (of which \$29,458 relates to the series 2015A bonds and \$63,432 relates to the series 2015B bonds). The bond proceeds were used to pay off existing bond debt from the California Health Facilities Financing Authority (CHFFA), pay off a note to a financial institution, establish funding for future capital projects, and a debt service reserve fund. The bonds bear interest rates ranging from 2.5% to 5% with effective interest rates ranging from 2.6% to 4.6% and mature at various dates through May 15, 2040. The series 2015B bonds matured and were repaid in 2017.		\$ 5,820,000
Less: unamortized financing costs		(268,330)
Add: unamortized bond premium - net of unamortized bond discount		519,987
		<u>6,071,657</u>
Less: current maturities		<u>(180,000)</u>
		<u><u>\$ 5,891,657</u></u>

At September 30, 2020, future maturities of long-term debt were as follows:

<u>Year ending September 30,</u>	
2021	\$ 180,000
2022	190,000
2023	195,000
2024	205,000
2025	215,000
Thereafter	<u>4,835,000</u>
	<u><u>\$ 5,820,000</u></u>

The debt is collateralized by a deed of trust on the real property, certain personal property, and a security interest in the gross revenues of the Organization.

ALDERSLY AND SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
September 30, 2020

11. PAYCHECK PROTECTION PROGRAM (PPP)

On April 21, 2020, the Organization received a note payable in the amount of \$931,200 which bears interest at 1%, under the Coronavirus Aid, Relief, and Economic Security Act (the "CARES Act"). The maturity date is two years from the date of first disbursement (which has been extended to five years with the subsequent passing of the Paycheck Protection Program Flexibility Act of 2020). Monthly payments of principal and interest are deferred until June 2021 or later as determined by the Small Business Administration. Interest accrues during the deferment period. The Organization has elected to classify PPP proceeds as grant revenue (refer to Note 1). As provided for in the CARES Act, the Organization will apply for forgiveness for the full \$931,200 proceeds covering certain qualifying costs incurred during the 24 week period. All PPP proceeds were expended during the year ended September 30, 2020. The entire amount was recognized as grant income during the year ended September 30, 2020 as allowable expenses exceeded the amount of the proceeds received and full forgiveness is anticipated.

12. NET ASSETS WITHOUT DONOR RESTRICTIONS - BOARD DESIGNATED

Board Designated for Endowment

Certain gifts and realized and unrealized gains or losses on these gifts have been internally appropriated by the Board of Directors to be maintained similar to an endowment fund. Dissolution of this appropriation requires a three quarters vote of the full Board. The Organization does not have any donor restricted endowment funds.

The Board of Directors adopted a spending policy for the board designated endowment fund with an objective of allocating 3% of the fund balance annually (based on the rolling average of the 12 preceding quarters' balances) to fund various projects at the discretion of management.

The investment objective is to provide liquidity for debt service, operations, projects, and capital needs as required. The asset allocations are set up to maintain approximately 35% of the assets in fixed income investments with the remaining assets in equities with large market capitalization and a high level of liquidity.

Board Designated for Care Fund

The Board designated Care Fund was established to provide assistance to residents who have developed a financial need due to unforeseen or uncontrollable circumstances. The Board of Directors has established a set of guidelines to be used in considering applications for hardship assistance each year.

Board Designated for Master Plan

The Board designated Master Plan Fund was established to provide partial funding for various facilities renovations at Aldersly. The Master Plan is part of the Organization's strategic planning for long-term success of the Organization. The Board of Directors has not yet determined the full cost of the project and will be designating additional funds as necessary in the future to cover anticipated costs.

ALDERSLY AND SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
September 30, 2020

12. NET ASSETS WITHOUT DONOR RESTRICTIONS - BOARD DESIGNATED (continued)

For the year ended September 30, 2020, changes in board designated net assets were as follows:

	<u>Endowment</u>	<u>Care Fund</u>	<u>Master Plan</u>	<u>Total</u>
Balances at September 30, 2019	\$ 8,313,572	\$ 188,174	\$ 765,302	\$ 9,267,048
Appropriations	(249,407)	-	-	(249,407)
Designated investment income - net	<u>772,928</u>	<u>-</u>	<u>-</u>	<u>772,928</u>
Balances at September 30, 2020	<u>\$ 8,837,093</u>	<u>\$ 188,174</u>	<u>\$ 765,302</u>	<u>\$ 9,790,569</u>

13. NET ASSETS WITH DONOR RESTRICTIONS

At September 30, 2020, net assets with donor restrictions were held for the following purposes:

Care Fund	\$ 65,531
Music Memory	<u>10,079</u>
	<u>\$ 75,610</u>

For the year ended September 30, 2020, \$126,380 was released from restrictions for the Mission Avenue project – Phase 2 and \$38,553 for the Care Fund.

14. RETIREMENT PLAN

The Organization has an Internal Revenue Code section 401(k) retirement plan (the “Plan”). Plan participants may elect to defer a portion of their compensation (up to the maximum allowed by law) and have such salary deferrals contributed to their plan accounts. The Organization matches up to 4% of the employee’s salary. Matching contributions for the year ended September 30, 2020 were \$66,572. The Plan also provides for discretionary employer profit sharing contributions to the Plan. There were no discretionary contributions made for the year ended September 30, 2020.

15. CONTINGENCIES

The Organization is a party to certain claims in the normal course of business. At September 30, 2020, the Organization is a party to a wage and hour class action lawsuit. While the result of these proceedings cannot be predicted with certainty, the Organization estimated its likely exposure to be approximately \$400,000, which is included in accrued settlement in the Organization’s consolidated statement of financial position.

At September 30, 2020, the Organization has set aside approximately \$765,000 for future capital projects (refer to Note 12).

ALDERSLY AND SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
September 30, 2020

16. RISK AND UNCERTAINTIES

On January 30, 2020, the World Health Organization declared the coronavirus outbreak ("COVID-19") a "Public Health Emergency of International Concern" and on March 11, 2020, declared it to be a pandemic. The COVID-19 outbreak in 2020 has led to severe disruptions and uncertainty in the global supply chain, capital markets and economies, and those disruptions have since intensified and will likely continue for some time. In addition, the California State Governor ordered the closure of the physical location of businesses, except those identified in the "critical infrastructure sectors," for a limited period of time. The disruption is currently expected to be temporary, however there is uncertainty around the duration. While the Organization expects this matter may negatively impact its results of operations and financial position, the related impacts cannot be reasonably estimated at this time. Management will continue to closely monitor the development of COVID-19 and the effect on the Organization's operations and financial position and adjust its plans as deemed necessary.

During the year ended September 30, 2020, the Organization obtained a Paycheck Protection Program grant in the amount of \$931,200 (refer to Note 11).

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APPENDIX C

FINANCIAL FEASIBILITY REPORT

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HENDRICKSON CONSULTING

6 Beach Road – #494, Tiburon, California 94920 - (415) 889-5035 – Bill1Hendrickson@gmail.com

FINAL REPORT

ALDERSLY AND SUBSIDIARY

FINANCIAL FEASIBILITY REPORT

APRIL 21, 2023

HENDRICKSON CONSULTING

6 Beach Road, #494, Tiburon, CA 94920 – (415) 889-5035 – BillHendrickson@gmail.com

April 21, 2023

Shannon Brown
Executive Director
Aldersly
326 Mission Avenue
San Rafael, CA 94901

Dear Ms. Brown:

We are pleased to submit this feasibility study for Aldersly, a 501(c)(3) corporation that owns and operates a multi-level retirement community in San Rafael, California. Aldersly currently consists of 56 independent living (IL) apartments and 50+ assisted living, memory care, and extended care (high acuity assisted living) beds. Aldersly began operations in 1921. The proceeds of the \$63.3 million Series 2023 Bonds (par plus premium) will be used to construct a new 35-unit IL building and to refinance existing debt. When completed Aldersly will have approximately 76 IL units, with the number of health units/beds unchanged from current levels.

The 2023 Bonds are anticipated to be issued in June and are expected to have a 2053 term and maximum coupon rates of 5.0%. The 2023 Bonds will be insured through the State of California's Cal Mortgage program. Interest payments to bondholders begin on November 15, 2023. Principal payments begin on May 15, 2025.

To evaluate the financial feasibility of the transaction we have reviewed critical information sources, including the following:

- the key revenue sources for Aldersly,
- the key expenses for Aldersly,
- the estimated costs and timing of the improvements, and
- the terms and structure of the proposed bond issue.

The information obtained through this process has been used to forecast Aldersly financial statements for the fiscal years ending September 30, 2023 to 2028. Based on our evaluation, the debt coverage ratio is expected to exceed 1.40x maximum annual debt service beginning in FY 2027. In addition, the sources of funds will be adequate to meet operating expenses, working capital, and other capital requirements.

The forecasts contained in this report are based on several assumptions. To the extent that these assumptions are not realized, the actual results may vary accordingly. Implementation of policies and procedures to attain the forecast results is the responsibility of Aldersly and its management. Since forecasts of future events are subject to uncertainty, we cannot guarantee these forecasts as specific results that will be achieved.

We appreciate the assistance provided by Aldersly management during the preparation of this study.

Sincerely,

William D. Hendrickson

William D. Hendrickson
Hendrickson Consulting

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SECTION A
ALDERSLY
STATEMENTS OF CHANGES IN NET ASSETS
(\$000s)

Fiscal Year Ending 9/30	2021	2022	2023	2024	2025	2026	2027	2028
<u>REVENUE</u>								
Independent Living	\$2,949	\$3,090	\$2,988	\$2,845	\$3,796	\$5,680	\$6,344	\$6,598
Assisted Living	1,902	1,494	1,411	1,468	1,526	1,587	1,651	1,717
Memory Care	-	656	1,082	1,330	1,490	1,660	1,842	1,915
Skilled/Extended Care	2,118	1,801	1,332	1,524	1,729	1,948	2,182	2,269
Rental/Other	132	92	100	104	108	112	117	122
Amortized Entrance Fees	1,286	889	818	767	1,665	2,005	1,868	1,752
Contributions	108	59	8,919	250	260	270	281	292
Investment Earnings	4,420	(2,399)	544	631	576	1,072	765	759
Total Revenue	\$12,915	\$5,682	\$17,195	\$8,919	\$11,151	\$14,336	\$15,049	\$15,424
<u>EXPENSES</u>								
Salaries/Benefits	\$4,892	\$4,760	\$5,100	\$5,316	\$5,838	\$6,245	\$6,521	\$6,782
Other	3,938	3,473	4,000	4,160	4,473	4,729	4,918	5,115
LCS Fees	300	314	318	323	328	333	338	343
Depreciation/Amortization	740	800	809	818	2,020	2,644	2,624	2,605
Net Interest/Fees	271	253	200	0	6	1,604	1,525	1,497
Total Expenses	\$10,141	\$9,600	\$10,427	\$10,617	\$12,666	\$15,555	\$15,926	\$16,342
Change in NA - Unrestricted	\$2,774	(\$3,918)	\$6,768	(\$1,698)	(\$1,515)	(\$1,220)	(\$877)	(\$918)
Change in NA - Donor Restricted	\$1	\$7,769	(\$7,769)	\$0	\$0	\$0	\$0	\$0
BALANCE (DEFICIT)	\$25,048	\$28,899	\$27,898	\$26,200	\$24,685	\$23,466	\$22,589	\$21,671

SECTION A
ALDERSLY
STATEMENTS OF FINANCIAL POSITION
(\$000s)

Fiscal Year Ending 9/30	2021	2022	2023	2024	2025	2026	2027	2028
<u>ASSETS</u>								
Cash & Investments	\$9,917	\$6,552	\$8,735	\$7,349	\$17,650	\$11,034	\$10,896	\$11,030
Accounts Receivable	923	425	568	598	711	903	997	1,037
Pledges Receivable	0	7,769	0	0	0	0	0	0
Other Current Assets	706	788	788	788	788	788	788	788
 Total Current Assets	 \$11,546	 \$15,534	 \$10,091	 \$8,735	 \$19,149	 \$12,725	 \$12,682	 \$12,855
Limited Use Assets	\$761	\$762	\$43,896	\$18,696	\$2,109	\$1,035	\$1,035	\$1,035
Investments - Long-Term	10,890	7,051	7,051	7,051	7,051	7,051	7,051	7,051
Net Property, Plant, Equip.	16,912	20,038	38,922	63,804	79,096	77,452	75,828	74,223
 TOTAL ASSETS	 \$40,109	 \$43,385	 \$99,961	 \$98,286	 \$107,405	 \$98,262	 \$96,595	 \$95,164
<u>LIABILITIES</u>								
Accts. Payable/Accr. Exp.	\$1,805	\$775	\$1,032	\$1,074	\$1,166	\$1,239	\$1,291	\$1,341
Res. Deposits - Restricted	20	636	636	636	400	100	100	100
Refunds Payable	98	287	287	287	287	287	287	287
Current Portion - Debt	190	195	0	11,945	18,340	560	585	615
 Total Current Liabilities	 \$2,113	 \$1,893	 \$1,955	 \$13,942	 \$20,193	 \$2,186	 \$2,263	 \$2,343
Unamortized Entrance Fees	\$7,259	\$7,128	\$6,769	\$6,751	\$29,474	\$40,118	\$39,837	\$39,857
Debt - Principal	5,689	5,465	63,338	51,393	33,053	32,493	31,908	31,293
 TOTAL LIABILITIES	 \$15,061	 \$14,486	 \$72,063	 \$72,086	 \$82,720	 \$74,797	 \$74,007	 \$73,493
 NET ASSETS	 \$25,048	 \$28,899	 \$27,898	 \$26,200	 \$24,685	 \$23,466	 \$22,589	 \$21,671
 TOTAL NET ASSETS/LIAB.	 \$40,109	 \$43,385	 \$99,961	 \$98,286	 \$107,405	 \$98,263	 \$96,596	 \$95,164

SECTION A
ALDERSLY
STATEMENTS OF CASH FLOWS
(\$000s)

Fiscal Year Ending 9/30	2021	2022	2023	2024	2025	2026	2027	2028
<u>OPERATING ACTIVITIES</u>								
Change in Net Assets	\$2,775	\$3,851	(\$1,001)	(\$1,698)	(\$1,515)	(\$1,220)	(\$877)	(\$918)
Depreciation and Amortization	740	800	809	818	2,020	2,644	2,624	2,605
Initial Entrance Fees	-	-	-	-	23,589	11,794	-	-
Turnover Net Entrance Fees	830	759	460	748	800	854	1,587	1,772
Amortized Entrance Fees	(1,286)	(889)	(818)	(767)	(1,665)	(2,005)	(1,868)	(1,752)
Changes in Assets/Liabilities	(1,264)	(5,906)	8,045	12	(257)	(419)	(43)	11
Cash From Operating Act.	\$1,795	(\$1,385)	\$7,494	(\$886)	\$22,971	\$11,649	\$1,423	\$1,719
<u>INVESTING ACTIVITIES</u>								
Project Expenditures	(\$1,240)	(\$1,657)	(\$19,197)	(\$25,200)	(\$16,312)	\$0	\$0	\$0
Capital Expenditures	(4,500)	(3,956)	(500)	(500)	(1,000)	(1,000)	(1,000)	(1,000)
Cash From Investing Act.	(\$5,740)	(\$5,613)	(\$19,697)	(\$25,700)	(\$17,312)	(\$1,000)	(\$1,000)	(\$1,000)
<u>FINANCING ACTIVITIES</u>								
Debt Proceeds	\$0	\$0	\$63,846	\$0	\$0	\$0	\$0	\$0
Change in Bond Funds	0	0	(41,512)	25,200	16,312	0	0	0
Refinancing	0	0	(5,369)	0	0	0	0	0
Debt Reserve	0	0	(2,384)	0	275	1,074	0	0
Debt Principal Payments	(180)	(206)	(195)	0	(11,945)	(18,340)	(560)	(585)
Cash From Financing Act.	(\$180)	(\$206)	\$14,386	\$25,200	\$4,642	(\$17,266)	(\$560)	(\$585)
Net Change in Cash/Equiv.	(\$4,125)	(\$7,204)	\$2,183	(\$1,386)	\$10,301	(\$6,617)	(\$137)	\$134
End Of Year Cash & Equiv.	\$20,807	\$13,603	\$15,786	\$14,400	\$24,701	\$18,085	\$17,947	\$18,081

B. BACKGROUND

Aldersly and Subsidiary (Aldersly), is a 501(c)(3) non-profit corporation which owns and operates a continuing care retirement community (CCRC) on a 3.5-acre site located in the City of San Rafael. Aldersly opened in 1921, and currently consists of 56 independent living (IL) apartments, 15 assisted living (AL) rooms with 15 beds (all private), 15 memory care (MC) rooms with 20 beds (10 private, 10 semi-private), and 10 extended care (EC) rooms with 16 beds (4 private 6 semi-private). Extended care replaced the former skilled nursing facility (SNF) in February 2022 and the beds are now licensed as residential care facility for the elderly (RCFE) by the State Department of Social Services (DSS). The subsidiary was formed as a limited liability corporation (LLC) in 2014 for the purposes of acquiring property for expansion. Aldersly has been managed by Life Care Services (LCS), a national senior community management and development firm, since 2004.

PROJECT SUMMARY

The proceeds of the \$60.8 million par Senior Living Revenue and Refunding Bonds, Series 2023 (the 2023 Bonds) will be used to construct a 35-unit IL building, which will replace 15 existing smaller IL units, and to refund approximately \$5.3 million remaining on 2015 Bonds. Demolition and site preparation is expected to begin in June 2023, with construction beginning in July 2023 and ending in January 2025. First move-ins, after licensing, are estimated in February 2025.

ALDERSLY PROGRAM

IL residents who enter into CCRC contracts (a few residents enter into month-to-month lease agreements) pay an entrance fee which is either “traditional” and refundable over a 57-month declining period, or a 50% “return of capital” (ROC) repayable fee contingent on re-sale (the remaining 50% is subject to declining refund over a 49-month period). Aldersly has added a 90% ROC agreement for the 35 new IL units. Residents of existing IL units receive three meals per day, weekly housekeeping, and a range of social and activity services. In addition, IL residents receive a discount of 15% off the direct-admit market rate for AL, MC, and EC monthly/daily fees. Residents of the new IL unit will receive a meal allowance equivalent to approximately one dinner meal per day and bi-weekly housekeeping, as well as the 15% health bed discount. Future entrants to the existing units will continue to receive the three meals and weekly services, in part since they tend to be frailer and their kitchens more limited (Alcoves and Studios have no kitchens and the remaining apartments have partial kitchens).

THE BOARD OF DIRECTORS

Aldersly is currently governed by a 10-member Board of Directors plus two non-voting resident members. Non-resident directors are eligible to serve a maximum of three consecutive three-year terms. Members also participate in a series of standing committees including Executive, Budget, Audit, and Endowment Fund and Investment. The Board also has several advisory committees.

C. PROJECT AND FINANCING ASSUMPTIONS

A summary of the sources and uses of funds for the IL project and the refunding is shown in **Table 1**. Aldersly is being assisted in development by Greenbrier Development, LLC under the terms of a July 2021 amended Development Agreement. The 2023 Bonds are divided into Series A and B for the long and short-term project-related debt, and Series C for the refunding of the 2015 Bonds.

THE PROJECT

The project will consist of 58,000 square foot (sf) on four floors and replace three 1-2 floor buildings containing 12 “200-numbered” apartments. Three additional apartments (two in the “400” building and one in the “500” building) will be converted to other uses. When completed there will be a total of 41 existing IL apartments and the 35 new IL apartments. Other improvements include a new café, activity room and roof terrace. The 35 new apartments will average approximately 1,010 net sf, nearly double the existing 56-apartment 550 sf average.

Demolition of three “200” buildings and site preparation are scheduled to begin in June 2023. Building construction is expected to begin in July 2023 and to end 19 months later in January 2025. Allowing one month for licensing results in an estimated February 2025 opening. Aldersly has or expects to receive all required building permits, conditional use permits from the City of San Rafael and other agencies by May 2023. The project will also require approvals from the City of San Rafael, the County of Marin, and the Department of Social Service (DSS).

Aldersly and Greenbrier have retained Perkins Eastman for architectural services and expect to receive a guaranteed maximum price (GMP) contract for all work by May 2023. The budget also includes an owner’s contingency equal to 6.5% of the total project budget (including all soft costs).

The Development Agreement covers Greenbrier’s development and marketing efforts. Payments to Greenbrier include a Development Fee (\$1.0 million), a Marketing Fee equal to 1.5% of gross entrance fees (approximately \$500,000) and up to \$200,000 for “occupancy incentives. Greenbrier has received approximately \$440,000 through February 2023 in fee payments.

FINANCING ASSUMPTIONS

The Series 2023A-C Bonds financing assumptions reflected in **Tables 1 and 2** have been provided by Ziegler, Aldersly’s investment banker. The 2023 bonds are estimated to have a maximum 5.0% coupon rate, with principal payments beginning in 2025 and ending in 2053. Entrance fees from the 35 new IL units (estimated to exceed \$35 million) are being used to pay Series B and C Bonds (\$30.3 million combined). The Series B Bonds are due June 1, 2026, and the Series C Bonds are due May 1, 2025. All interest payments through August 2025 are funded from 2023 Bond proceeds. As shown in **Table 2**, annual debt on the Series A Bonds averages \$2.08 million with principal payments beginning on May 15, 2027.

TABLE 1
ALDERSLY
SOURCES/USES OF FUNDS
(\$000s)

Fiscal Year Ending 9/30	Thru 2022	2023	2024	2025	TOTAL
<u>SOURCES</u>					
Debt - Long-Term	\$0	\$33,053	\$0	\$0	\$33,053
Debt - Short-Term	0	25,050	0	0	\$25,050
Debt - Refinance	0	5,235	0	0	\$5,235
Debt Reserve Funds - 2015 Bonds	0	508	0	0	\$508
Cash Equity	4,384	4,616	0	0	\$9,000
TOTAL SOURCES	\$4,384	\$68,462	\$0	\$0	\$72,846
<u>USES</u>					
Land & Related	\$844	\$0	\$0	\$0	\$844
Construction & Related	-	8,000	24,000	15,610	\$47,610
Professional Services/GB Fees	2,590	1,500	500	380	\$4,970
Marketing	900	500	300	100	\$1,800
Contingencies/Other	50	1,000	400	222	\$1,672
Subtotal - Project Costs	\$4,384	\$11,000	\$25,200	\$16,312	\$56,896
Net Funded Interest	\$0	\$3,861	\$0	\$0	\$3,861
Refinancing	0	5,369	0	0	\$5,369
Debt Reserve - A	0	1,035	0	0	\$1,035
Debt Reserve - B/C	0	1,349	0	0	\$1,349
Cal Mortgage Fees	0	3,071	0	0	\$3,071
Issuance Costs	0	1,265	0	0	\$1,265
Subtotal - Financing Costs	\$0	\$15,950	\$0	\$0	\$15,950
TOTAL USES	\$4,384	\$26,950	\$25,200	\$16,312	\$72,846
BALANCE	\$0	\$41,512	\$16,312	\$0	\$0

TABLE 2
ALDERSLY
ANNUAL 2023 BOND DEBT PAYMENTS
(\$000s)

Fiscal Year Ending 9/30	2023	2024	2025	2026	2027	2028
Net Interest		\$0	\$6	\$1,604	\$1,525	\$1,497
Principal		<u>\$0</u>	<u>11,945</u>	<u>18,340</u>	<u>560</u>	<u>585</u>
Annual Debt		\$0	\$11,951	\$19,944	\$2,085	\$2,082
Balance	\$63,338	\$63,338	\$51,393	\$33,053	\$32,493	\$31,908

D. OPERATING ASSUMPTIONS

The following is a discussion of key utilization, revenue, and expense assumptions. These are based on audited statements from 2021 and 2022, historical occupancy and rate information, and discussions with management. Other sources include March internal financial statements, occupancy reports through March (six months of FY 2023), and the FY 2023 budget.

KEY REVENUE ASSUMPTIONS

Aldersly relies on private payments for all levels of care (the previous SNF also received governmental revenues). A summary of current monthly fees and entrance fees is shown in **Table 3**. Monthly fees were increased by 6% from FY 2022 and entrance fees for existing apartments by 6%. A summary of proposed fees for the 35 new apartments is also shown in **Table 3**.

Monthly Fees and Related Income

Table 3 includes a summary of monthly fees and related income (community fees, guest meals, garage charges) for all levels of care. Monthly fees make up more than 95% of all ongoing charges. Entrance fee contract residents pay a 15% discounted rate from listed monthly fees in AL, MC, and EC care. On average about one-third each of AL, MC, and EC occupants are contract residents, with the other two-thirds paying the listed market rate. The contract share of AL/MC/EC occupants is projected to remain at one-third during the forecast period. Monthly fees and related income for existing apartments are increased by 4.0% per year after FY 2023. Monthly fees for new apartments are increased by 4.0% per year after FY 2025.

Entrance Fees

Aldersly currently offers three contract entrance fee options: traditional “declining refund”, 50% “return of capital” (ROC), and 90% ROC (only offered to entrants of the 35-new IL units). In addition, a limited number of IL apartments (currently two occupied) are under monthly lease contracts. Repayments on both the 50% and 90% options are contingent upon resale of the apartment. The traditional fee declining refund period is 57 months (1.75% per month). The non-repayable portions of the 50% and 90% fees are 49 months and 3 months respectively. About two-thirds of the existing IL units are occupied by entrants who selected the traditional option and one-third who have selected the 50% ROC option. This trend for the 41 post-project existing units is expected to continue during the forecast period. Based on current deposit patterns, move-ins to the 35 new units are expected to include approximately 19 90% ROC (54%), 9 50% ROC (26%) and 7 traditional (20%). The existing apartment entrance fees shown in **Table 3** are estimated to increase annually by 4.0% after move-in. The 35 new apartment entrance fees are shown are for non-Charter “Standard” move-ins. Charter members will receive a 5% discount from the rates shown, and are expected to make up about 60% (21 of 35) of the new move-ins. Standard entrants will pay either the rate shown or a higher rate, depending on when they place their deposit.

TABLE 3
ALDERSLY
KEY EXISTING UNIT/FEE ASSUMPTIONS
FY 2023 DOLLARS EXISTING UNITS/FY 2025 MOVE-IN DOLLARS NEW UNITS (1)

UNIT/BED TYPE	TOTAL UNITS	SQUARE FEET	ENTRY FEE-0%	ENTRY FEE-50%	ENTRY FEE-90%	MONTHLY FEE
<u>EXISTING INDEPENDENT LIVING (2)</u>						
Alcove	7	370	\$143,560	\$189,400	NA	\$4,760
Studio	6	390	\$155,290	\$204,760	NA	\$4,760
One-Bedroom - Standard	6	450	\$206,450	\$270,920	NA	\$5,010
One-Bedroom - Medium	4	630	\$259,180	\$339,340	NA	\$5,510
One-Bedroom - Large	11	680	\$266,920	\$349,480	NA	\$6,830
One-Bedroom - Deluxe Suite	5	720	\$281,490	\$368,550	NA	\$6,830
One-Bedroom - Penthouse	2	600	\$295,930	\$387,460	NA	\$6,830
TOTAL/AVERAGE	41	547	\$223,110	\$292,700		\$5,780
Double Fee	6		\$0	\$0		\$1,300
<u>NEW INDEPENDENT LIVING (3)</u>						
One-Bedroom - Christian	6	800	\$511,000	\$682,000	\$852,000	\$6,295
One-Bedroom/Den - I/J/A/F	8	990	\$744,000	\$993,000	\$1,241,000	\$6,795
One-Bedroom/Den - V/M/H	11	1,060	\$755,000	\$1,007,000	\$1,259,000	\$6,795
One-Bedroom/Den - M+/V+	4	1,060	\$812,000	\$1,083,000	\$1,354,000	\$7,195
Two-Bedroom - Crown	6	1,140	\$827,000	\$1,102,000	\$1,378,000	\$7,195
TOTAL/AVERAGE	35	1,013	\$730,000	\$973,100	\$1,216,400	\$6,824
Double Fee	15		\$15,600	\$21,000	\$26,000	\$1,200
<u>EXISTING HEALTH CARE (4)</u>						
AL - Studio	9					\$7,990
AL - One-Bedroom	<u>6</u>					<u>\$9,190</u>
Total/Average Units	15					\$8,470
MC - Studio Shared - Beds	10					\$7,370
MC - Studio Private	<u>10</u>					<u>\$9,310</u>
Total/Average Beds	20					\$9,310
EC - Semi-Private - Beds	4					\$12,810
EC - Private	<u>12</u>					<u>\$14,330</u>
Total/Average Beds	16					\$13,950

NOTES

- (1) New unit entrance fees are in move in dollars for standard residents, charter residents receive 5% discount. Monthly fees are in move-in (FY 2025) dollars.
- (2) Currently 56 existing IL units. Table shows post-project unit count
- (3) Forecasts assume 54% select 90%, 26% 50%, and 20% 0% refundable entrance fees
- (4) Direct Admit rates. CCRC contract resident transfers receive 15% discount

Historical and Projected Existing Occupancy and Revenues

Table 4 shows a summary of Aldersly's monthly/daily revenues by level of care. Prior to FY 2021 IL occupancy generally averaged about 45-50 (80%-90%) of the 56 available apartments. The lower occupancy was primarily due to less demand for the relatively small apartments. Additionally, the studio and alcove units, which account for 13 of the 56 apartments do not have kitchens and are less popular than the larger apartments. In FY 2022 Aldersly began limiting new move-ins into the 15 "200 Building" units to be eliminated by the new 35 IL unit project. As a result, overall IL occupancy has declined to approximately 40-45 apartments. Existing apartment occupancy is expected to average about 93% (38 apartments) during and after the new project is completed. A total of 13 of the 41 remaining IL apartments are Alcoves and Studios with no kitchens and are expected to continue to experience low occupancy levels (currently 10-11 units).

Table 4 also shows a summary of projected occupancy and revenues for the 35 new IL apartments. To date Aldersly has received 24 10% entrance fee deposits (69% of the total) which are currently being held in a trustee-managed escrow account. Fill-up is conservatively estimated to take 18 months (under 2 per month) and stabilize at 33 apartments (94%).

Occupancy of AL units has historically been high, averaging above 95%. In January 2022 Aldersly converted the first floor of the Rosenberg building to MC. Since then, AL has continued to average above 95% occupancy and is expected to remain at this level during the forecast period.

The MC unit monthly occupancy has been stable since opening, generally fluctuating between 9 and 12 units, with a recent surge to 14 units. While management expects occupancy to increase, the forecasts assume that most of this growth will occur after IL construction is completed in early 2025. The estimated 16 occupied beds by FY 2027 represents a 52% increase from the FY 2023 10.5 average to date.

Aldersly converted its SNF to EC in February 2022 and occupancy has been stable at 9-10 beds since then. EC is intended to meet the needs of higher-acuity AL residents and is staffed at or near SNF levels. Aldersly is still in the process of reconfiguring its EC building and expects to take the next 1-2 years to convert it to a primarily private-room program. The eventual resident occupancy is expected to stabilize at about 14 patients by the end of FY 2026, a 47% increase from FY 2023 averages to date (9.5 beds).

A sensitivity analysis showing the impacts of both MC and EC remaining at current levels is shown below in **Section G**.

TABLE 4
ALDERSLY
OPERATING REVENUE FORECASTS
(\$000s)

Fiscal Year Ending 9/30	2021	2022	2023	2024	2025	2026	2027	2028
<u>INDEPENDENT LIVING</u>								
Available Units	54.0	54.0	48.0	41.0	76.0	76.0	76.0	76.0
Average Occ. - Existing	43.0	44.7	41.5	38.0	38.0	38.0	38.0	38.0
Average Occ. - Expansion	-	-	-	-	14.3	28.4	33.0	33.0
Average Occ. - Total	43.0	44.7	41.5	38.0	52.3	66.4	71.0	71.0
% Occupancy	79.6%	82.8%	86.5%	92.7%	68.8%	87.4%	93.4%	93.4%
Average Mo. Rate - Existing	\$5,715	\$5,761	\$6,000	\$6,240	\$6,490	\$6,749	\$7,019	\$7,300
Average Mo. Rate - New					\$7,338	\$7,632	\$7,937	\$8,255
Monthly Fees - Existing	\$2,949	\$3,090	\$2,988	\$2,845	\$2,959	\$3,078	\$3,201	\$3,329
Monthly Fees - New	\$0	\$0	\$0	\$0	\$837	\$2,602	\$3,143	\$3,269
MONTHLY REVENUES	\$2,949	\$3,090	\$2,988	\$2,845	\$3,796	\$5,680	\$6,344	\$6,598
<u>ASSISTED LIVING</u>								
Available Units/Beds	30.0	22.5	15.0	15.0	15.0	15.0	15.0	15.0
Average Occupancy	25.0	17.0	14.7	14.7	14.7	14.7	14.7	14.7
% Occupancy	83.3%	75.6%	98.0%	98.0%	98.0%	98.0%	98.0%	98.0%
Average Rate	\$6,340	\$7,324	\$8,000	\$8,320	\$8,653	\$8,999	\$9,359	\$9,733
MONTHLY REVENUES	\$1,902	\$1,494	\$1,411	\$1,468	\$1,526	\$1,587	\$1,651	\$1,717
<u>MEMORY CARE</u>								
Available Units/Beds		20.0	20.0	20.0	20.0	20.0	20.0	20.0
Average Occupancy		10.0	11.0	13.0	14.0	15.0	16.0	16.0
% Occupancy		50.0%	55.0%	65.0%	70.0%	75.0%	80.0%	80.0%
Average Rate		\$7,952	\$8,200	\$8,528	\$8,869	\$9,224	\$9,593	\$9,977
MONTHLY REVENUES		\$656	\$1,082	\$1,330	\$1,490	\$1,660	\$1,842	\$1,915
<u>EXTENDED CARE</u>								
Available Units/Beds	20.0	18.0	16.0	16.0	16.0	16.0	16.0	16.0
Average Occupancy	19.0	15.5	10.0	11.0	12.0	13.0	14.0	14.0
% Occupancy	95.0%	86.1%	62.5%	68.8%	75.0%	81.3%	87.5%	87.5%
Average Rate	\$9,289	\$9,683	\$11,100	\$11,544	\$12,006	\$12,486	\$12,985	\$13,505
MONTHLY REVENUES	\$2,118	\$1,801	\$1,332	\$1,524	\$1,729	\$1,948	\$2,182	\$2,269

Historical and Projected Entrance Fees

Table 5 shows a summary of entrance fee move-ins, sales revenues, and refunds. Aldersly averaged about 10 resales per year prior to FY 2023 (and Covid-19). There have been three IL entrance fee move-ins/transfers totaling \$650,000 through March 2023 as Aldersly keeps vacant units available for “200 Building” transferees. Management expects low or no move-ins to continue through June 2023. There have been \$260,000 in refunds through March resulting from the departure/death of two residents with 50% repayable contracts.

The age of entry is higher at Aldersly than a typical CCRC, and the average length of stay in IL is about 6-7 years (versus 10 years for typical CCRC). Entrance fee resales of existing IL units are estimated at 6 per year in FY 2024 and thereafter. Entrants to the new IL units are expected to be younger and have turnovers more comparable to other CCRCs (average 9 to 11-year length of stay). Minimal turnovers of new units are expected in FY 2027 and FY 2028.

TABLE 5
ALDERSLY
ENTRANCE FEE FORECASTS
(000s)

Fiscal Year Ending 9/30	2021	2022	2023	2024	2025	2026	2027	2028
<u>EXISTING IL UNITS</u>								
Number of Resales	10.0	7.0	5.0	6.0	6.0	6.0	6.0	6.0
Weighted Average Resale Price	\$218	\$229	\$238	\$248	\$258	\$268	\$279	\$290
Total Resales	\$2,180	\$1,603	\$1,191	\$1,486	\$1,546	\$1,607	\$1,672	\$1,739
Number of Repayments	10.0	7.0	6.0	6.0	6.0	6.0	6.0	6.0
Weighted Average Repayment	(\$135)	(\$121)	(\$122)	(\$123)	(\$124)	(\$125)	(\$127)	(\$128)
Total Repayments	(\$1,350)	(\$844)	(\$731)	(\$738)	(\$746)	(\$753)	(\$761)	(\$768)
NET E. FEES - EXISTING	\$830	\$759	\$460	\$748	\$800	\$854	\$911	\$970
<u>NEW IL UNITS</u>								
Number of First-Time Sales					22.0	11.0		
Average Sale Price					\$1,072	\$1,072		
Initial Sales Proceeds					\$23,589	\$11,794		
Number of Resales							1.5	1.8
Weighted Average Resale Price							\$1,115	\$1,160
Total Resales							\$1,673	\$2,087
Number of Repayments							1.1	1.5
Weighted Average Repayment							(\$898)	(\$850)
Total Repayments							(\$997)	(\$1,286)
NET E. FEES - EXPANSION					\$23,589	\$11,794	\$675	\$802
TOTAL EXISTING/EXPANSION	\$830	\$759	\$460	\$748	\$24,389	\$12,649	\$1,587	\$1,772

Net Rental/Other Income

Aldersly receives rental payments for two single-family homes adjacent to its main campus. In FY 2021 rents totaled \$82,000 (the audit presents the net income which reflects about \$36,000 in maintenance and management fees and \$28,000 in depreciation for a net of \$18,000). The total rental income was \$84,000 in FY 2022. Other miscellaneous revenue brings the estimated FY 2023 total to \$100,000 and is estimated to increase by 4.0% per year thereafter. The homes are owned by a limited liability company (LLC) and is not included as security for the 2023 Bonds. As such, the net revenue from the homes is excluded from the debt coverage calculation in **Section F** below.

Donations and Bequests

In the ten years from FY 2012-21 Aldersly received an average of \$280,000 per year from donations and bequests, ranging from \$21,000 in FY 2017 to \$1.1 million in FY 2013. In FY 2022 Aldersly received an \$8.0 million pledge from previous resident. This pledge will be converted to cash by the end of FY 2023. Aldersly also expects to receive an additional \$1.0 million gift in FY 2023. Aldersly's annual fund-raising budget is approximately \$250,000. For forecasting purposes, FY 2024 contributions are estimated at \$250,000, and increased by 4.0% per year thereafter.

Investment Earnings

In FY 2021 Aldersly investment earnings totaled \$4.4 million, including \$3.0 million of realized gains, as investments were sold to fund expansion project costs, \$1.1 million in unrealized gains, and \$318,000 in interest/dividends net of management fees. In FY 2022 these amounts totaled \$1.5 million realized gains, \$4.1 million in unrealized losses, and \$213,000 net interest/dividends. For forecasting purposes, earnings on reserves and on the 2023 Bond debt reserve are projected to average 4.0% per year in interest, dividends, and realized gains. No unrealized gains and losses are projected after FY 2022.

KEY EXPENSE ASSUMPTIONS

Aldersly's departmental expenses (excluding depreciation and interest) are projected to total \$9.2 million in FY 2023; \$4.0 million in salaries for approximately 74 full-time equivalent (FTE) employees, \$1.1 million in benefits (about 27% of salaries), and \$4.2 million of other expenses (e.g. food, utilities, supplies, insurance, LCS management fees). The 74 FTEs include 31 AL/MC/EC, 19 dining, 13 plant and housekeeping, 8 general and administrative, and 3 resident services. FTEs declined in FY 2022 with the closure of the SNF. As with other senior communities, Aldersly has faced significant challenges in staffing its open positions and has had to increase average wages by an average of 6% in FY 2023 to attract employees. Operating expenses for existing operations are forecast to increase by 4.0% per year thereafter. MC and EC caregivers are also increased in future years to reflect the projected increase in MC/EC census (from approximately 20 currently to 29 by FY 2027). LCS management fees are set at an annual fixed amount (\$318,000 in FY 2023) rather than a percent of revenue and are increased by 4.0% per year.

The New IL Apartments Operating Expenses

A summary of estimated project operating expenses in FY 2023 dollars at stabilization is shown in **Table 6**. One of the economic benefits of adding IL units is the relatively modest increase in operating expenses. As shown, Aldersly expects to add staff, primarily in dining and environmental services (housekeeping, maintenance), to serve the estimated 50 new IL residents. A sensitivity scenario for higher staffing and operating expenses is included in **Section G**.

TABLE 6
ALDERSLY
DEPARTMENTAL EXPENSE SUMMARY @ FULL OCCUPANCY (1)
FISCAL YEAR 2023 DOLLARS

DEPARTMENT	Paid FTEs	Hr. Rate	Sal/FTE	Salaries	Benefits	Other	TOTAL
Dining Services	4.0	\$20.00	\$42,000	\$168,000	\$45,000	\$120,000	\$333,000
Environmental Services	2.0	\$23.00	\$48,000	\$96,000	\$26,000	\$40,000	\$162,000
Residential Services	1.0	\$23.00	\$48,000	\$48,000	\$13,000	\$27,000	\$88,000
Administration	0.0	\$0.00	\$0	\$0	\$0	\$17,000	\$17,000
TOTAL/AVERAGE	7.0	\$21.44	\$44,600	\$312,000	\$84,000	\$204,000	\$600,000

(1) Excludes Management fees, depreciation, and interest payments.

IL Expansion Operating Cash Flows

Table 7 shows a summary of incremental cash flows from the 35 IL unit expansion. As shown, the expansion is projected to cover debt payments) and provide surpluses to offset existing Aldersly operation losses. As shown, the expansion is projected to provide a significant benefit to Aldersly.

**TABLE 7
ALDERSLY
CASH FLOW FORECASTS - 35 IL UNIT EXPANSION
(\$000s)**

Fiscal Year Ending 9/30	2025	2026	2027	2028
Monthly Fees/Other Revenue	\$837	\$2,602	\$3,143	\$3,269
Salaries/Benefits	\$286	\$446	\$464	\$482
Other	147	229	239	248
Total Operating Expenses	\$433	\$675	\$702	\$730
Net Operating Cash Flow	\$404	\$1,927	\$2,441	\$2,539
Entrance Fees	\$23,589	\$11,794	\$675	\$802
Annual Debt	(\$11,951)	(\$19,944)	(\$2,085)	(\$2,082)
Net Cash Flow	\$12,041	(\$6,222)	\$1,031	\$1,258
Debt Coverage			1.49	1.60

E. FINANCIAL STATEMENT FORECASTS

Section A shows financial forecast statements for Aldersly reflecting all current operations as well as the impact of the proposed expansion. The statements are consolidated and, for information purposes, include the LLC affiliate, which is the owner of two homes. The ratios in **Section F** below exclude the LLC.

STATEMENTS OF ACTIVITIES

In addition to the cash revenue and expense assumptions discussed in previous sections, there are two accrual categories. Depreciation estimates are based on an average useful life of 30 years for existing assets, 35 years for the project, and 15 years for future ongoing capital improvements. Entrance fee amortization reflects existing units and the non-refundable portion of the new unit entrance fees.

STATEMENTS OF FINANCIAL POSITION

Accounts receivable is estimated at 30 days of monthly fees and other income. Accounts payable and accrued expenses are projected at 40 days of annual expenses less depreciation. Net property, plant and equipment includes approximately \$1.7 million for the two homes owned by the LLC.

STATEMENTS OF CASH FLOWS

Ongoing maintenance capital expenditures average \$500,000 annually during the expansion project period and \$1.0 million per year thereafter.

F. KEY FINANCIAL RATIOS

Table 8 shows a summary of key financial ratios for Aldersly. Cash available for debt service is estimated to be negative in FY 2024 and FY 2025 during the construction and ramp-up period before the new IL units begin generating operating surpluses (cash available for debt service in both FY 2021 and FY 2022 was also negative before inclusion of realized gains). Thereafter debt coverage is projected to exceed 1.40x maximum annual debt service (MADS) in FY 2027, the first year of stabilized occupancy. Net operating cash flow from the LLC is backed out of the debt coverage calculation. Aldersly's unrestricted/designated reserves are expected to exceed 500 days in all years. MADS excludes payments for the capitalized interest fund in FY 2023-2025.

TABLE 8
ALDERSLY
DEBT COVERAGE AND OTHER KEY RATIOS
(\$000s)

Fiscal Year Ending 9/30	2021	2022	2023	2024	2025	2026	2027	2028
<u>CASH AVAILABLE FOR DEBT SERVICE</u>								
Change in Net Assets - Unrestr.	\$2,774	(\$3,918)	\$6,768	(\$1,698)	(\$1,515)	(\$1,220)	(\$877)	(\$918)
Adjustment for LLC	(46)	(44)	(46)	(48)	(49)	(51)	(54)	(56)
Unrealized Losses (Gains)	(1,105)	4,079	-	-	-	-	-	-
Depreciation and Amortization	740	800	809	818	2,020	2,644	2,624	2,605
Amortized Entrance Fees	(1,286)	(889)	(818)	(767)	(1,665)	(2,005)	(1,868)	(1,752)
Entrance Fees - Resale	830	759	460	748	800	854	1,587	1,772
Interest	271	253	200	-	6	1,604	1,525	1,497
Net Cash for Debt Service	\$2,178	\$1,040	\$7,373	(\$946)	(\$404)	\$1,827	\$2,937	\$3,149
<u>DEBT SERVICE</u>								
Net Interest - All Debt	\$271	\$253	\$200	\$0	\$6	\$1,604	\$1,525	\$1,497
Principal - Long-term Debt	180	206	195	-	-	-	560	585
Total	\$451	\$459	\$395	\$0	\$6	\$1,604	\$2,085	\$2,082
MADS	\$480	\$480	\$480	NA	NA	\$1,593	\$2,085	\$2,085
Unrestricted Reserves	\$20,807	\$13,603	\$15,786	\$14,400	\$24,701	\$18,085	\$17,947	\$18,081
Operating Expenses	\$9,401	\$8,800	\$9,618	\$9,799	\$10,646	\$12,911	\$13,302	\$13,737
Long-Term Debt	\$5,689	\$5,465	\$63,338	\$51,393	\$33,053	\$32,493	\$31,908	\$31,293
<u>KEY RATIOS</u>								
Debt Coverage - MADS	4.54	2.17	15.36	NA	NA	1.15	1.41	1.51
Debt Coverage - Actual	4.83	2.27	18.66	NA	NA	1.14	1.41	1.51
Days Cash on Hand	808	564	599	536	847	511	492	480
Cash to Long-term Debt	248.9%	24.9%	28.7%	32.7%	81.1%	58.8%	59.5%	61.1%

G. SENSITIVITY FORECASTS

Table 9 shows actual debt coverage and days cash calculations under alternative scenarios.

In **Scenario 1** occupancy for MC and EC remains at recent historical/current levels (10.5 beds and 9.5 beds respectively – total 20 beds), versus the base case increase of FY 2026 to 30 beds.

In **Scenario 2** MC/EC occupancy increases to 30 beds as projected in the base case but the new 35 IL unit project occupancy levels at 28 units (80%) versus the 33 (94%) estimated in the base case.

In **Scenario 3** operating expenses for the 35 new IL units are increased by \$300,000 (50%) above the estimated \$600,000 (2023 dollars) at stabilized occupancy.

In **Scenario 4** interest expense on the 2023 Bonds increases by 1.0% over the 5.0% estimate used in the base case, adding about \$280,000 per year in debt payments.

TABLE 9
ALDERSLY
SENSITIVITY ANALYSIS
(\$000s)

Fiscal Year Ending 9/30	2024	2025	2026	2027	2028
<u>Base Case</u>					
Debt Coverage Ratio- MADS	NA	NA	1.15	1.41	1.51
Days Cash on Hand	536	847	511	492	480
<u>Sensitivity 1 - Reduced MC/EC Occupancy</u>					
Debt Coverage Ratio - MADS	NA	NA	0.62	0.86	0.92
Days Cash on Hand	527	823	468	420	377
<u>Sensitivity 2 - Reduced IL Expansion Occupancy</u>					
Debt Coverage Ratio - MADS	NA	NA	0.99	1.04	1.12
Days Cash on Hand	536	847	349	312	282
<u>Sensitivity 3 - Higher IL Operating Expenses</u>					
Debt Coverage Ratio - MADS	NA	NA	0.92	1.21	1.23
Days Cash on Hand	536	847	484	456	433
<u>Sensitivity 4 - Higher Interest Rates</u>					
Debt Coverage Ratio - MADS	NA	NA	0.98	1.25	1.34
Days Cash on Hand	536	847	513	485	475

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APPENDIX D

SUMMARY OF PRINCIPAL DOCUMENTS

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APPENDIX D

SUMMARY OF PRINCIPAL DOCUMENTS

The following is a summary of certain provisions of the Indenture, the Loan Agreement, the Regulatory Agreement, the Deed of Trust and the Contract of Insurance, which are not described elsewhere in this Official Statement. *These summaries do not purport to be complete or definitive and are qualified in their entirety by reference to the full terms of the Loan Agreement, the Indenture, the Regulatory Agreement, the Deed of Trust and the Contract of Insurance.* All capitalized terms not defined in this Official Statement have the meaning set forth in the Indenture or in the Regulatory Agreement. The definitions set forth below are derived from the Indenture and the Regulatory Agreement. Certain terms defined for purposes of the Indenture are defined differently in the Regulatory Agreement. Reference should be made to the Regulatory Agreement for definitions of terms used therein.

DEFINITIONS OF CERTAIN TERMS

“Accountant” means any Independent certified public accountant or firm of such accountants with a national or regional reputation selected by the Corporation and acceptable to the Department. The initial Accountant of Baker Tilly US, LLP is acceptable to the Department.

“Act” means the Joint Exercise of Powers Act, comprising Articles 1, 2, 3 and 4 of Chapter 5 of Division 7 of Title 1 (commencing with Section 6500) of the Government Code of the State of California, as now in effect and as it may from time to time hereafter be amended or supplemented.

“Additional Payments” means payments so designated and required to be made by the Corporation pursuant to the Loan Agreement.

“Adjusted Annual Operating Revenues” means operating revenue and investment income of the Corporation, less contractual allowances, allowance for bad debts and free services for any Fiscal Year, all as determined in accordance with generally accepted accounting principles.

“Administrative Fees and Expenses” means any application, commitment, financing or similar fee charged, or reimbursement for administrative or other expenses incurred by the Authority or the Trustee.

“Affiliate” means a Person which, directly or indirectly through one or more intermediaries, controls, is controlled by or is under common control with the Corporation.

“Aggregate Debt Service” means, as of any date of calculation and with respect to any period, the sum of amounts of Debt Service for all Long-Term Indebtedness for such period.

“Authority” means the California Municipal Finance Authority, or its successors and assigns, a joint exercise of powers authority formed by the Joint Powers Agreement, pursuant to the Act.

“Authorized Denomination” means \$5,000 or any integral multiple thereof or the outstanding principal amount of the Bonds, if less.

“Authorized Representative” means (1) with respect to the Corporation, its president or chair, vice president or vice chair, chief executive officer, chief financial officer or any other person designated as an Authorized Representative of the Corporation by a Certificate of the Corporation signed by its chair, vice-chair, chief executive officer or chief financial officer and filed with the Trustee, and (2) with respect

to the Department, the Director of the Department or the Deputy Director of the Cal-Mortgage Loan Insurance Division or any other person designated as an Authorized Representative of the Department by a Statement of the Department signed by its Director or the Deputy Director of the Cal Mortgage Loan Insurance Division and filed with the Trustee. Such authorization shall remain in effect until the Trustee has received written notice to the contrary accompanied by a new designation.

“Authorized Signatory” means with respect to the Authority, any member of the Board of Directors of the Authority or the Executive Director of the Authority, or any other person designated as an Authorized Signatory pursuant to a resolution adopted thereby or by a certificate signed by a member of the Board or such Executive Director and filed with the Trustee.

“Beneficial Owner” means any person which has or shares the power, directly or indirectly, to make investment decisions concerning ownership of any Bonds (including Persons holding Bonds through nominees, depositories or other intermediaries).

“Board” means the governing board of the Corporation.

“Bond Counsel” means Independent counsel of recognized national standing in the field of obligations the interest on which is excluded from gross income for federal income tax purposes, selected by the Corporation and acceptable to the Authority and the Department.

“Bond Reserve Account” means the account by that name in the Revenue Fund established pursuant to the Indenture.

“Bond Reserve Account Requirement” means, (a) with respect to the Series 2023A Bonds, as of any date of calculation, an amount equal to the lesser of (i) 50% of Maximum Annual Debt Service on all Series 2023A Bonds then Outstanding, (ii) 125% of average annual debt service on the Series 2023A Bonds then Outstanding, or (iii) 10% of the Outstanding principal amount of the Series 2023A Bonds; (b) with respect to the Series 2023B-1 Bonds, as of any calculation date, an amount equal to \$285,000.00; (c) with respect to the Series 2023B-2 Bonds, as of any calculation date, an amount equal to \$673,125.00 and (d) with respect to the Series 2023C Bonds, as of any calculation date, an amount equal to \$286,825.00. As of the date of issuance of the Series 2023A Bonds, the Bond Reserve Account Requirement is \$1,027,465.63.

“Bondholder” or **“Holder,”** whenever used with respect to a Bond, means the Person in whose name such Bond is registered.

“Bonds” means, collectively, the Series 2023A Bonds, the Series 2023B Bonds and the Series 2023C Bonds.

“Business Day” means any day other than a Saturday, Sunday, or a day on which banking institutions in the city in which the Corporate Trust Office of the Trustee is located are authorized or obligated by law or executive order to be closed or a day on which the Federal Reserve System is closed.

“Capitalized Interest Account” means the account by that name created under the Indenture.

“Certificate,” “Statement,” “Request,” “Requisition” and **“Order”** of the Authority, the Department or the Corporation mean, respectively, a written certificate, statement, request, requisition or order signed in the name of the Authority by an Authorized Signatory or such other person as may be designated and authorized to sign for the Authority, in the name of the Corporation by an Authorized

Representative of the Corporation and in the name of the Department by an Authorized Representative of the Department.

“Code” means the Internal Revenue Code of 1986, or any successor statute thereto, and any regulations promulgated thereunder. Reference to any particular Code section shall, in the event of such a successor Code, be deemed to be a reference to the successor to such Code section.

“Continuing Disclosure Agreement” means that certain Continuing Disclosure Agreement, dated the date of issuance and delivery of the Bonds, delivered by the Corporation, as originally executed and as it may be amended from time to time in accordance with the terms thereof.

“Contract of Insurance” means that certain Contract of Insurance, dated as of June 1, 2023, among the Department, the Corporation and the Authority relating to the Bonds, as amended, modified and supplemented from time to time.

“Corporate Trust Office” means the corporate trust office of the Trustee, which at the date of the execution of this Indenture is located at The Bank of New York Mellon Trust Company, N.A., 333 South Hope Street, Suite #2525, Los Angeles, California 90071, Attention: Global Corporate Trust Services, provided that for purposes of exchange, transfer, cancellation, payment, redemption and surrender of Bonds such term means the office or agency of the Trustee in Dallas, Texas.

“Corporation” means Aldersly, a California nonprofit public benefit corporation duly organized and existing under the laws of the State, its successors and assigns, or any corporation which is the surviving, resulting or transferee corporation in any merger, consolidation or transfer of assets permitted under the Regulatory Agreement.

“Costs of Issuance” means all items of expense directly or indirectly payable by or reimbursable to the Corporation and related to the authorization, issuance, sale and delivery of the Bonds, including but not limited to advertising and printing costs, costs of preparation and reproduction of documents, filing and recording fees, initial fees and charges of the Trustee (including legal fees and charges of its counsel), legal fees and charges, fees and disbursements of consultants and professionals, rating agency fees, fees and charges for preparation, execution, transportation and safekeeping of Bonds, and any other cost, charge or fee in connection with the original issuance of Bonds.

“Costs of Issuance Fund” means the fund by that name established pursuant to the Indenture.

“Current Ratio” means a ratio of current assets to current liabilities, as determined in accordance with generally accepted accounting principles and as shown on the Corporation’s audited financial statements.

“Days Cash on Hand” means, for any Fiscal Year, the quotient obtained by dividing (a) the Corporation’s cash and cash equivalents (including, as applicable, board designated funds and funded depreciation but excluding donor restricted funds and proceeds of short term debt, and the Corporation’s beneficial interest in unrestricted cash and cash equivalents held by the Corporation for the purpose of investment management) as of the end of such Fiscal Year by (b) the quotient of dividing (i) the Corporation’s operating expenses including interest expense (excluding depreciation, amortization, allowance for bad debts, and any other noncash expenses) for such Fiscal Year by (ii) the number of days in such Fiscal Year.

“Debt Service” when used with respect to any Long-Term Indebtedness, means, as of any date of calculation and with respect to any period, the sum of (a) The interest falling due on such Long-Term

Indebtedness during such period (except to the extent that such interest is payable from the proceeds of such Long-Term Indebtedness set aside for such purpose), and (b) The scheduled principal (or mandatory sinking fund or installment purchase price or lease rental or similar) payments or deposits required with respect to such Long-Term Indebtedness during such period (except to the extent such principal is payable from the proceeds of such Long-Term Indebtedness set aside for such purpose), computed on the assumption that no portion of such Long-Term Indebtedness shall cease to be outstanding during such period except by reason of the application of such scheduled payments, provided, however, that for purposes of such computation:

(1) if Long-Term Indebtedness is

(a) secured by an irrevocable letter of credit or irrevocable line of credit issued by a financial institution having a combined capital and surplus of at least fifty million dollars (\$50,000,000) and whose unsecured securities are rated in one of the two highest short-term or long-term rating categories (without regard to numerical modifier) by each rating agency then rating the Bonds, or

(b) insured by an insurance policy or surety bond issued by an insurance company rated at least A+ by Alfred M. Best Company in Best's Insurance Reports,

principal payments or deposits with respect to such Long-Term Indebtedness nominally due in the last Fiscal Year in which such Long-Term Indebtedness matures may, at the option of the Corporation, be treated as if they were due as specified in any loan agreement or installment sale/purchase agreement issued in connection with such letter of credit, line of credit, insurance policy or surety bond or pursuant to the repayment provisions of such letter of credit, line of credit, insurance policy or surety bond (or, if such loan agreement or installment sale/purchase agreement or repayment provisions provide for repayment over less than 20 years and the Trustee receives a Statement of the Corporation to the effect that the Corporation intends to refinance such Long-Term Indebtedness prior to maturity, as if they were amortized over a 20-year period with substantially level debt service) and interest on such Long-Term Indebtedness after such Fiscal Year shall be assumed to be payable at an interest rate equal to a rate per annum equal to the 25-year revenue bond index most recently published preceding the date of calculation in The Bond Buyer (subject to any adjustment for errors therein which may be acknowledged by the publishers thereof);

(2) if interest on Long-Term Indebtedness is payable pursuant to a variable interest rate formula, the interest rate on such Long-Term Indebtedness for periods when the actual interest rate cannot yet be determined shall be assumed to be equal to the greater of

(a) the average rate of interest borne (or which would have been borne) by such Long-Term Indebtedness during the Fiscal Year immediately preceding the date of calculation, plus one percent (1%); or

(b) the average rate of interest borne by such Long-Term Indebtedness during the three full calendar months immediately preceding the date of calculation, plus one percent (1%);

(3) if interest is capitalized with respect to Long-Term Indebtedness, Debt Service on such Long-Term Indebtedness shall be included in computations of Maximum Aggregate Annual Debt Service under the Regulatory Agreement only in proportion to the amount of interest payable in the then-current Fiscal Year from sources other than amounts funded to pay such capitalized interest;

(4) with respect to a Guarantee, there shall be included in the Debt Service of the Corporation:

(a) twenty-five percent (25%) of the Corporation's maximum possible monetary liability under the Guarantee in any Fiscal Year unless the Guarantee is drawn upon;

(b) one hundred percent (100%) of the Corporation's monetary liability under the Guarantee which has been drawn upon, until such time as all amounts drawn upon the Guarantee have been repaid to the Corporation, and for two Fiscal Years thereafter;

(5) if moneys or Investment Securities described in subsections (a), (b), (e) or (f) of the definition thereof set forth below and contained in the applicable Indenture (not callable by the issuer thereof prior to maturity) have been deposited with a trustee or escrow agent in an amount, together with earnings thereon, sufficient to pay the principal of or interest on Long-Term Indebtedness as it comes due, such principal or interest, as the case may be, shall not be included in computations of Debt Service; and

(6) scheduled principal payments for Long-Term Indebtedness expected to be paid from Initial Entrance Fees shall be excluded.

"Debt Service Coverage Ratio" means (i) for any period of time that begins prior to Stable Occupancy, the ratio determined by dividing Net Income Available for Debt Service by Aggregate Debt Service scheduled to become due during such period; and (ii) for any period of time that begins on or after achieving Stable Occupancy, the ratio determined by dividing Net Income Available for Debt Service by Maximum Aggregate Annual Debt Service, each described below under the caption "REGULATORY AGREEMENT—Rates and Charges; Debt Coverage; Current Ratio; Days Cash on Hand."

"Deed of Trust" means that certain Deed of Trust, Assignment of Rents and Leases with Fixture Filing and Security Agreement, dated as of June 1, 2023, executed by the Corporation, as trustor, in favor of Chicago Title, as trustee for the benefit of the Department and the Trustee (as assignee of the Authority), the holders of the Bonds and the holders of Parity Debt, as beneficiaries, as amended, modified and supplemented from time to time.

"Deed Trustee" means the Person at the time serving as such under the Deed of Trust.

"Department" means the Department of Health Care Access and Information of the Health and Human Services Agency of the State, or its successors and assigns, and any other corporation or association which may at any time be substituted in its place as provided in this Indenture.

"Department Documents" means the Contract of Insurance, the Deed of Trust and the Regulatory Agreement.

"Deposit Account Control Agreement" means a deposit account control agreement among the Corporation, the Department, the Trustee and a Depository Bank.

"Depository" means The Depository Trust Company and its successors and assigns, or any other Securities Depository selected as set forth in the Indenture, which agrees to follow the procedures required to be followed by such depository in connection with the Bonds.

"Depository Bank" means a financial institution which has entered into a Deposit Account Control Agreement with the Corporation, the Department and the Trustee.

“Electronic Means” shall mean the following communication methods: e-mail, facsimile transmission, secure electronic transmission containing applicable authorization codes, passwords and/or authentication keys, or another method or system specified by the Trustee as available for use in connection with its services under the Indenture.

“Entrance Fee Fund” means the fund by that name established pursuant to the Indenture.

“Entrance Fee Redemption Account” means the account by that name in the Revenue Fund established pursuant to the Indenture.

“Entrance Fee Redemption Date” means the twenty-fifth (25th) day of each calendar month.

“Entrance Fee Transfer Date” means the first Business Day of each month prior to the termination of the Entrance Fee Fund pursuant the Indenture.

“Entrance Fees” means fees, other than security deposits, monthly rentals or monthly service charges, paid to the Corporation by residents of living units for the purpose of obtaining the right to reside in those living units or to obtain a parking space including any refundable resident deposits described in any lease, Residency Agreement or similar agreement with respect to those living units or parking spaces, but shall not include any such amounts held in escrow or otherwise set aside pursuant to the requirements of any such agreement or a reservation agreement prior to the occupancy of the living unit or parking space covered by such lease, Residency Agreement or similar agreement (which amounts shall be included if and when occupancy occurs).

“Environmental Indemnity” means the Environmental Indemnity entered into as of June 1, 2023, by the Corporation, for the benefit of the Department, the Authority and the Trustee, in connection with the Contract of Insurance and the Deed of Trust.

“Environmental Regulations” means any federal, state or local law, statute, code, ordinance, regulation, requirement or rule relating to dangerous, toxic or hazardous pollutants, Hazardous Substances or, chemical waste, materials or substances.

“Event of Default” means any of the events specified in the Indenture and described below under the caption “INDENTURE—Events of Default under the Indenture and Remedies—Events of Default.”

“Existing Residential Living Units” means the 41 residential living units that are in existence at the Facilities as of March 31, 2023, but shall not include any Existing Residential Living Units that are subsequently removed from available inventory by the Corporation.

“Expansion Project” means the costs of, or reimbursements for, the capital construction, improvement, furnishing and equipping of an expansion project at the continuing care retirement community owned and operated by the Corporation, to be financed with a portion of the proceeds of the Bonds.

“Facilities” means: (i) the real property described in an exhibit to the Deed of Trust and the Regulatory Agreement and all real property added, from time to time, to the definition of Facilities pursuant to the Regulatory Agreement; (ii) all buildings and structures thereon and fixtures and improvements thereto, whether now existing or hereafter constructed, installed or acquired; and (iii) all tangible personal property owned by the Corporation and used in, around or about the aforesaid real property, whether now existing or hereafter constructed, installed or acquired, including but not limited to the personal property described in an exhibit to the Regulatory Agreement.

“Favorable Opinion of Bond Counsel” means an opinion of Bond Counsel, addressed to the Trustee to the effect that the action proposed to be taken will not, in and of itself, cause interest on the Bonds to be included in gross income for purposes of federal income taxation.

“Financing Documents” means, collectively, the Loan Agreement, the Department Documents, the Tax Agreement and the Continuing Disclosure Agreement.

“Fiscal Year” means the period beginning on January 1 of each year and ending on the next succeeding December 31 or any other twelve-month period hereafter selected and designated as the official fiscal year period of the Corporation.

“501(c)(3) Organization” means an organization described in Section 501(c)(3) of the Code.

“Governmental Unit” shall have the meaning set forth in Section 150 of the Code.

“Gross Revenue Fund” means the fund by that name established pursuant to the Loan Agreement.

“Gross Revenues” means all revenues, income, receipts and money received in any period by the Corporation (other than donor-restricted gifts, grants, bequests, donations or contributions, endowment funds and tax revenues), including, but without limiting the generality of the foregoing: (a) gross revenues derived from its operation and possession of and pertaining to its properties; (b) proceeds with respect to, arising from, or relating to its properties and derived from (1) insurance (including business interruption insurance) or condemnation proceeds (except to the extent such proceeds are required by the terms of the Regulatory Agreement or other agreements with respect to the Indebtedness which the Corporation is permitted to incur pursuant to the terms of the Regulatory Agreement) to be used for purposes inconsistent with their use for the payment of Loan Repayments, Additional Payments or similar payments with respect to Parity Debt, (2) accounts, including but not limited to, accounts receivable, (3) securities and other investments, (4) inventory and intangible property, (5) payment/reimbursement programs and agreements, and (6) contract rights, accounts, instruments, claims for the payment of moneys and other rights and assets now or hereafter owned, held or possessed by or on behalf of the Corporation, and (c) rentals received from the lease of the Corporation’s properties or space in its facilities; provided, however, that there shall be excluded from Gross Revenues (i) any amounts received by the Corporation as a billing agent for another entity, except for fees received for serving as billing agent, (ii) gifts, grants, bequests, donations and contributions to the Corporation heretofore or hereafter made, and the income and gains derived therefrom, which are specifically restricted by the donor or grantor to a particular purpose which is inconsistent with their use for Loan Repayments, Additional Payments or similar payments with respect to Parity Debt, (iii) any moneys received by the Corporation from prospective residents or commercial tenants in order to pay for customized improvements to those residential living units or other areas of the Corporation’s facilities to be occupied or leased to such residents or tenants, (iv) payments or deposits under a residency agreement that by its terms or applicable law are required to be held in escrow or trust for the benefit of a resident until the conditions for the release of such payment or deposit have been satisfied, and (v) all deposits and/or advance payments made in connection with any residency of the residential living units or other areas of the Corporation’s facilities to be occupied by residents or tenants and received prior to receipt of such certificate and licenses for occupancy of such units.

“Guarantee” means any obligation of the Corporation guaranteeing in any manner, whether directly or indirectly, any obligation of any Persons which would, if such Persons were the Corporation, constitute Long-Term Indebtedness.

“Hazardous Substances” means: (a) any oil, flammable substance, explosives, radioactive materials, hazardous wastes or substances, toxic wastes or substances or any other wastes, materials or pollutants which (i) pose a hazard to the Project or to persons on or about the Project or (ii) cause the Project to be in violation of any Environmental Regulation; (b) asbestos in any form which is or could become friable, urea formaldehyde foam insulation, transformers or other equipment which contain dielectric fluid containing levels of polychlorinated biphenyls, or radon gas; (c) any chemical, material or substance defined as or included in the definition of “waste,” “hazardous substances,” “hazardous wastes,” “hazardous materials,” “extremely hazardous waste,” “restricted hazardous waste,” or “toxic substances” or words of similar import under any Environmental Regulation including, but not limited to, the Comprehensive Environmental Response, Compensation and Liability Act (“CERCLA”), 42 USC §§ 9601 et seq.; the Resource Conservation and Recovery Act (“RCRA”), 42 USC §§ 6901 et seq.; the Hazardous Materials Transportation Act, 49 USC §§ 1801 et seq.; the Federal Water Pollution Control Act, 33 USC §§ 1251 et seq.; the California Hazardous Waste Control Law (“HWCL”), Cal. Health & Safety Code §§ 25100 et seq.; the Hazardous Substance Account Act (“HSAA”), Cal. Health & Safety Code §§ 25300 et seq.; the Underground Storage of Hazardous Substances Act, Cal. Health & Safety Code §§ 25280 et seq.; the Porter-Cologne Water Quality Control Act (the “Porter-Cologne Act”), Cal. Water Code §§ 13000 et seq., the Safe Drinking Water and Toxic Enforcement Act of 1986 (Proposition 65); and Title 22 of the California Code of Regulations, Division 4, Chapter 30; (d) any other chemical, material or substance, exposure to which is prohibited, limited or regulated by any governmental authority or agency or may or could pose a hazard to the health and safety of the occupants of the Project or the owners and/or occupants of property adjacent to or surrounding the Project, or any other person coming upon the Project or adjacent property; or (e) any other chemical, materials or substance which may or could pose a hazard to the environment.

“Indebtedness” means (a) any Guarantee and (b) any indebtedness or obligation of the Corporation (other than accounts payable and accruals), as determined in accordance with generally accepted accounting principles, including obligations under conditional sales contracts or other title retention contracts, and rental obligations under leases which are considered capital leases under generally accepted accounting principles. Indebtedness shall not include Non-recourse Indebtedness.

“Indenture” means the Indenture relating to the Bonds, between the Authority and the Trustee, dated as of June 1, 2023, as originally executed or as it may from time to time be supplemented, modified or amended by any Supplemental Indenture.

“Independent,” when referring to an Accountant, counsel, Management Consultant or a Person, means an Accountant, counsel, Management Consultant or Person who is independent of and not under the control of the Corporation, does not have any substantial interest, direct or indirect, in the Corporation, and in the case of an individual, is not connected, including through a spouse, with the Corporation as a director, officer or employee of the Corporation, and in the case of a firm, is not connected with the Corporation as a partner, director, officer or employee of the Corporation, but who may be regularly retained by the Corporation.

“Information Services” means, initially, the Electronic Municipal Market Access system (EMMA), or any successor designated by the Securities and Exchange Commission.

“Initial Entrance Fees” means Entrance Fees received upon the initial occupancy of any Residential Living Units (including any such fees collected for the purpose of obtaining a parking space) not previously Occupied, including, without limitation, Entrance Fees paid by residents that will transition to a Reserved Residential Living Unit at the time that such Residential Living Unit is available to be Occupied.

“Insurance and Condemnation Proceeds Fund” means the fund by that name established pursuant to the Indenture.

“Insurance Law” means Chapter 1, Part 6, Division 107 of the Health and Safety Code of the State, cited as the “California Health Facility Construction Loan Insurance Law,” as now in effect and as it may from time to time hereafter be amended or supplemented.

“Insurance Premium” means the premium charged for insurance by the Department pursuant to Insurance Law Section 129040.

“Interest Account” means the account by that name in the Revenue Fund established pursuant to the Indenture.

“Interest Payment Date” means May 15 and November 15 of each year, commencing November 15, 2023.

“Investment Securities” means any of the following:

- (a) United States Government Obligations;
- (b) Obligations of any of the following federal agencies which obligations represent the full faith and credit of the United States of America (including stripped securities if the agency has stripped them itself)
 - (i) U.S. Export-Import Bank;
 - (ii) Farmers Home Administration;
 - (iii) Federal Financing Bank;
 - (iv) Federal Housing Administration;
 - (v) General Services Administration;
 - (vi) Government National Mortgage Association (“GNMA”) (including guaranteed mortgage-backed bonds and guaranteed pass-through obligations);
 - (vii) Rural Economic Community Development Administration
 - (viii) Small Business Administration
 - (ix) U.S. Maritime Administration (guaranteed Title XI financing); and
 - (x) U.S. Department of Housing and Urban Development (including project notes, local authority bonds, new communities debentures, U.S. government guaranteed debentures, U.S. Public Housing Notes and Bonds and U.S. government guaranteed public housing notes and bonds;
- (c) Debentures, bonds, notes or other evidence of indebtedness issued or guaranteed by any of the following U.S. government agencies which obligations are not fully guaranteed by the full faith and credit of the United States of America (including stripped securities if the agency has stripped them itself):

- (i) Federal Home Loan Bank System (senior debt obligations);
- (ii) Resolution Funding Corporation (REFCORP) obligations;
- (iii) Federal Home Loan Mortgage Corporation (FHLMC or “Freddie Mac”) senior debt obligations or participation certificates;
- (iv) Federal National Mortgage Association (FNMA or “Fannie Mae”) mortgage-backed securities and senior debt obligations;
- (v) Senior debt obligations of other government sponsored agencies approved by the Department.

(d) Investments in money market funds registered under the Federal Investment Company Act of 1940, whose shares are registered under the Federal Securities Act of 1933, and having a rating by S&P of AAAM-G, AAAM or better (including funds for which the Trustee, its parent holding company, if any, or any affiliates or subsidiaries of the Trustee provide investment advisory or other management services;

(e) Pre-refunded municipal obligations defined as follows: any bonds or other obligations of any state of the United States of America or of any agency, instrumentality or local Governmental Unit of any such state which are not callable at the option of the obligor prior to maturity or as to which irrevocable instructions have been given by the obligor to call on the date specified in the notice; and

(i) which are rated, based on an irrevocable escrow account or fund (the “Escrow”), in the highest rating category of Moody’s or S&P or any successors thereto; or

(ii) (A) which are fully secured as to principal, interest and redemption premium, if any, by an Escrow consisting only of cash or obligations described in paragraph (a) above, which Escrow may be applied only to the payment of such principal of and interest and redemption premium, if any, on such bonds or other obligations on the maturity date or dates thereof or the specified redemption date or dates pursuant to such irrevocable instructions, as appropriate, and (B) which Escrow is sufficient, as verified by a nationally recognized independent certified public accountant, to pay principal of and interest and redemption premium, if any on the bonds or other obligations described in this paragraph on the maturity date or dates specified in the irrevocable instructions referred to above, as appropriate;

(f) Repurchase or reserve purchase agreements (including those of the Trustee or any of its affiliates) fully secured by collateral security described in clauses (a), (b), (c), or (h) of this definition, which collateral (i) is held by the Trustee or a third party agent during the term of such repurchase agreement, (ii) is not, pursuant to the terms of such agreement, subject to liens or claims of third parties and (iii) has a market value (determined at least once every 14 days) at least equal to the amount so invested;

(g) Demand deposits, including trust accounts, trust funds, interest bearing money market accounts, overnight bank deposits, interest bearing deposits, banker’s acceptances or certificates of deposit of, or time deposits in, any bank (including the Trustee or any of its affiliates) or savings and loan association (i) which certificates of deposit or time deposits are fully insured by the Federal Deposit Insurance Corporation or (ii) which certificates of deposit (including those placed by a third party pursuant to an agreement between the Trustee and the Corporation) or time deposits are secured at all times, in the manner and to the extent provided by law, by collateral security (described in clauses (a), (b),

(c), or (h) of this definition) with a market value (valued at least quarterly) of no less than the original amount of moneys so invested;

(h) Municipal obligations rated “Aaa/AAA” on the basis of insurance or credit enhancement, provided the underlying rating of the municipal obligation must be at least “Baa/BBB,” uninsured, or unenhanced municipal obligations rated at least “Aa2/AA” or general obligations of states with a rating of “A2/A” by Moody’s or S&P;

(i) U.S. dollar denominated deposit accounts, federal funds or bankers acceptances with domestic commercial banks which may include the Trustee and its affiliates which have a rating on their short term certificates of deposit on the date of purchase of “P-1” by Moody’s and “A-1” or “A-1+” by S&P (for purposes of rating, ratings on holding companies are not considered as the rating of the bank) and maturing not more than 360 calendar days after the date of purchase;

(j) The Local Agency Investment Fund of the State, created pursuant to Section 16429.1 of the California Government Code, to the extent the Trustee is authorized to register such investment in its name;

(k) Direct obligations of the State (including obligations issued or held in book-entry form on the books of the Office of the Treasurer of the State) or obligations the timely payments of the principal of and interest on which are fully guaranteed by the State; and

(l) Other forms of investments approved in writing by the Department.

“Joint Powers Agreement” means a Joint Exercise of Powers Agreement, dated as of January 1, 2004 by and among certain California cities, counties and special districts, as may be amended from time to time.

“Loan Agreement” means that certain Loan Agreement, dated as of June 1, 2023, between the Corporation and the Authority, as amended, modified and supplemented from time to time in accordance with the terms thereof and of the Indenture.

“Loan Default Event” means any of the events specified in the Loan Agreement and described below under the caption “LOAN AGREEMENT—Loan Default Events.”

“Loan Repayments” means the payments so designated and required to be made by the Corporation pursuant to the Loan Agreement.

“Long-Term Indebtedness” means Indebtedness having an original maturity greater than one year or renewable at the option of the Corporation for a period greater than one year from the date of original incurrence or issuance thereof unless, by the terms of such Indebtedness, no Indebtedness is permitted to be outstanding thereunder for a period of at least 30 consecutive days during each calendar year.

“Management Agent” means that Person or those Persons with whom the Corporation has entered into a contract, whether as an independent contractor or employee, for managerial services, relating to the management or operation of all or substantially all of the Facilities. In the event the Corporation does not have a separate management contract, then “Management Agent” shall mean all of those Persons serving as the Corporation’s chief executive officer, chief financial officer, chief operating officer, or other similar officers. In the event the Corporation does not have such officers, then

“Management Agent” shall mean all of those Persons that manage or operate all or substantially all of the Facilities.

“**Management Consultant**” means an Independent Person of national or regional reputation qualified to report on questions relating to the financial condition and projections of continuing care retirement communities, selected by the Corporation so long as such Management Consultant is acceptable to the Department.

“**Mandatory Sinking Account Payment**” means, with respect to Term Bonds of any maturity, the amount required by the Indenture to be paid on any single date for the redemption or payment at maturity of Term Bonds of such maturity.

“**Maximum Aggregate Annual Debt Service**” means, as of any date of calculation, the Aggregate Debt Service as computed for the then current or any future Fiscal Year in which such sum shall be largest; provided that for any calculation, actual Debt Service paid on the Series 2023B Bonds and Series 2023C Bonds during the calculation period shall be used instead of Maximum Aggregate Annual Debt Service on such Series 2023B Bonds and Series 2023C Bonds.

“**Maximum Annual Debt Service**” means, as of any date of calculation, the sum of (1) the interest falling due on then Outstanding Bonds (assuming that all then Outstanding Serial Bonds are retired on their respective maturity dates and all Outstanding Term Bonds are retired at the times and in the amounts provided by Mandatory Sinking Account Payments), and (2) the principal amount of then Outstanding Serial Bonds falling due by their terms and the aggregate amount of all Mandatory Sinking Account Payments required, all as computed for the Fiscal Year in which such sum shall be the largest.

“**Moody’s**” means Moody’s Investors Service, Inc., a corporation organized and existing under the laws of the State of Delaware, its successors and their assigns, or, if such corporation shall be dissolved or liquidated or shall no longer perform the functions of a securities rating agency, any other nationally recognized securities rating agency designated by the Corporation by notice to the Authority and the Trustee.

“**Net Income Available for Debt Service**” means, with respect to any period, the excess of revenues (including non-operating revenues and Entrance Fees other than Initial Entrance Fees and net of any refunds of Entrance Fees (other than Initial Entrance Fees) due under Residency Agreements) over expenses from operations of the Corporation for such period, determined in accordance with generally accepted accounting principles, to which shall be added interest expense, amortization expense, depreciation expense and other non-cash charges, each item determined in accordance with generally accepted accounting principles, and excluding (a) any profits or losses on the sale or other disposition, not in the ordinary course of business, of investments or fixed or capital assets or resulting from the early extinguishment of debt, (b) gifts, grants, bequests, donations and contributions, to the extent specifically restricted by the donor to a particular purpose inconsistent with their use for the payment of Debt Service or operating expenses, (c) the net proceeds of insurance (other than business interruption insurance) and condemnation awards, (d) changes in net unrealized gain (loss) on investments, (e) non-cash revenues, (f) Initial Entrance Fees, (g) amortization of Entrance Fees, and (h) amortization and other non-cash credits.

“**Non-recourse Indebtedness**” means any indebtedness of the Corporation, which is not a general obligation of the Corporation and is secured by a lien on property of the Corporation, liability for which is effectively limited to the property subject to such lien (which property is not integral to the operation of the Facilities) with no recourse, directly or indirectly, to any other property of the Corporation.

“Occupied” means (i) with respect to any Residential Living Unit, any unit for which a Residency Agreement has been executed, and related Entrance Fees has been paid or a promissory note for such Entrance Fees has been executed, and the occupant of such Residential Living Unit continues to reside therein or (ii) with respect to any other type of unit/bed, physical possession of such unit/bed by a resident (other than a resident temporarily transferred from another unit/bed within the community). If two or more units have been combined into a single unit, all such units shall continue to be considered separate units for the purpose of calculating the percentage of units occupied.

“Opinion of Counsel” means a written opinion of counsel (including, without limitation, counsel for the Authority, the Trustee or the Corporation) selected by the Corporation and acceptable to the Authority.

“Outstanding,” when used as of any particular time with reference to Bonds, means (subject to the provisions of the Indenture relating to unclaimed Bonds) all Bonds theretofore, or thereupon being, authenticated and delivered by the Trustee under the Indenture except: (1) Bonds theretofore cancelled by the Trustee or surrendered to the Trustee for cancellation; (2) Bonds with respect to which all liability of the Authority shall have been discharged in accordance with the Indenture; and (3) Bonds for the transfer or exchange of or in lieu of or in substitution for which other Bonds shall have been authenticated and delivered by the Trustee pursuant to the Indenture.

“Parity Debt” means any Long-Term Indebtedness which is incurred by the Corporation in accordance with the provisions of the Regulatory Agreement and secured equally and ratably with the obligations of the Corporation under the Loan Agreement by a lien on and security interest in the Gross Revenues and the Deed of Trust.

“Participating Underwriter” means the original underwriter of the Bonds required to comply with the Rule in connection with offering of the Bonds.

“Permitted Encumbrances” means and includes:

(a) undetermined liens and charges incident to construction or maintenance, and liens and charges incident to construction or maintenance now or hereafter filed of record which are being contested in good faith and have not proceeded to final judgment (and for which all applicable periods for appeal or review have not expired), provided that the Corporation shall have set aside reserves with respect thereto which, in the opinion of the Department, are adequate;

(b) notices of *lis pendens* or other notices of or liens with respect to pending actions which are being contested in good faith and have not proceeded to final judgment (and for which all applicable periods for appeal or review have not expired), provided that the Corporation shall have set aside reserves with respect thereto which, in the opinion of the Department, are adequate;

(c) the lien of taxes and assessments which are not delinquent, or, if delinquent, are being contested in good faith, provided that the Corporation shall have set aside reserves with respect thereto which, in the opinion of the Department, are adequate;

(d) minor defects and irregularities in title to the Facilities which in the aggregate do not materially adversely affect the value or operation of the Facilities for the purposes for which they are or may reasonably be expected to be used;

(e) easements, exceptions or reservations for the purpose of ingress and egress, parking, pipelines, telephone lines, telegraph lines, power lines and substations, roads, streets, alleys, highways,

railroad purposes, drainage and sewerage purposes, dikes, canals, laterals, ditches, the removal of oil, gas, coal or other minerals, and other like purposes, or for the joint or common use of real property, facilities and equipment, which in the aggregate do not materially interfere with or impair the operation of the Facilities for the purposes for which they are or may reasonably be expected to be used;

(f) rights reserved to or vested in any municipality or governmental or other public authority to control or regulate or use in any manner any portion of the Facilities which do not materially impair the operation of the Facilities for the purposes for which they are or may reasonably be expected to be used;

(g) present or future valid zoning laws and ordinances;

(h) the rights of the Authority, the Corporation, the Department, the Trustee and holders of Parity Debt under the Loan Agreement, the Indenture, the Regulatory Agreement and the Deed of Trust, and the lien and charge of the Indenture, the Regulatory Agreement and the Deed of Trust;

(i) liens securing indebtedness for the payment, redemption or satisfaction of which money (or evidences of indebtedness) in the necessary amount shall have been deposited in trust with a trustee or other holder of such Indebtedness;

(j) purchase money security interests and security interests existing on any personal property prior to the time of its acquisition by the Corporation through purchase, merger, consolidation or otherwise, whether or not assumed by the Corporation, or placed upon property being acquired by the Corporation to secure a portion of the purchase price thereof, or lessor's interests in leases required to be capitalized in accordance with generally accepted accounting principles;

(k) statutory liens arising in the ordinary course of business which are not delinquent or are being contested in good faith by the Corporation;

(l) the lease or license of the use of a part of the Facilities for use in performing professional or other services necessary for the proper and economical operation of the Facilities in accordance with customary business practices in the health care industry;

(m) liens or encumbrances existing as of the date of initial execution and delivery of the Bonds as listed on an exhibit to the Regulatory Agreement;

(n) liens securing Parity Debt on a parity with the obligations of the Corporation under the Regulatory Agreement;

(o) statutory rights of the United States of America to recover against the Corporation by reason of federal funds made available under 42 U.S.C. § 291 et seq., and similar rights under other federal and state statutes;

(p) a security interest in the Corporation's accounts receivable to provide short-term borrowing as permitted under the Regulatory Agreement, subject to the prior consent of the Department;

(q) any liens arising from or in connection with assistance provided by the Federal Emergency Management Agency; and

(r) other liens and encumbrances specifically approved in writing by the Department.

“Person” means a person, individual, company, firm, association, organization, partnership, trust, corporation or other legal entity or group of entities, including a governmental entity or any agency or political subdivision thereof.

“Principal Account” means the account by that name in the Revenue Fund established pursuant to the Indenture.

“Principal Payment Date” means the principal and Mandatory Sinking Account Payment dates for the Bonds, which dates occur on May 15 of each year.

“Project” has the meaning given in the Official Statement.

“Project Costs” means (a) the obligations of the Corporation incurred for labor and materials and to architects, engineers, project supervisors, contractors, builders and materialmen in connection with the design, demolition of existing structures, acquisition, construction, installation and equipping of the Expansion Project; (b) the cost of contract bonds and of insurance of all kinds that may be required or necessary during the course of construction of the Expansion Project which is not paid by the contractor or contractors or otherwise provided for; (c) all costs of engineering services, including test borings, surveys, estimates, plans and specifications and preliminary investigations, and supervising construction, as well as for the performance of all other duties required by or consequent upon the proper construction of the Expansion Project; (d) Costs of Issuance; (e) all other costs which the Corporation shall be required to pay, under the terms of any contract or contracts, for the acquisition, construction and installation of the Expansion Project; (f) other costs of a nature comparable to those described in clauses (a) through (e) above which the Corporation shall be required to pay as a result of the damage, destruction, condemnation or taking of the Expansion Project or any portion thereof; (g) fees and expenses including consultants’ fees and expenses incurred in connection with the Expansion Project; (h) allocable interest on the Bonds and any interim financing of the Expansion Project during the period of construction of such Expansion Project; and (i) any other costs incurred by the Corporation which are properly chargeable to the capital account of the Expansion Project and which may be financed by the Bonds under the Act and the Code (including any fees for a qualified guarantee, as defined in Regulations, to the extent properly chargeable to the capital account of the Expansion Project under the Code); and (j) repayment of any loan incurred to pay any of the costs described in (a) through (i) above which may be financed by the Bonds under the Act and the Code; provided, however, that in no event shall the term “Project Costs” include any item or items of expense which may not be financed from the proceeds of the Bonds under the Act or which, if paid or reimbursed from the proceeds of the Bonds would, individually or in the aggregate, cause the interest on the Bonds to be includable for federal income tax purposes in the gross income of the registered owners thereof.

“Project Fund” means the fund by that name established pursuant to the Indenture.

“Project Plans” means the plans for the Expansion Project on file with the Corporation and made available to the Authority at or prior to the time of execution by the Authority of the Loan Agreement, as such plans may be revised from time to time prior to the completion date in accordance with the provisions of the Loan Agreement.

“Rating Category” means (i) with respect to any long term Rating Category, all ratings designated by a particular letter or combination of letters, without regard to any numerical modifier, plus or minus sign or other modifier and (ii) with respect to any short term or commercial paper Rating Category, all ratings designated by a particular letter or combination of letters and taking into account any numerical modifier, but not any plus or minus sign or other modifier.

“Rebate Fund” means the fund by that name established pursuant to the Indenture.

“Rebate Requirement” means the Rebate Requirement as defined in the Tax Agreement.

“Record Date” means, with respect to any Interest Payment Date for the Bonds, the 1st day of the calendar month immediately preceding such Interest Payment Date, whether or not such day is a Business Day.

“Redemption Fund” means the fund by that name established pursuant to the Indenture.

“Redemption Price” means, with respect to any Bond (or portion thereof), the principal amount of such Bond (or portion thereof), plus interest accrued to the date of redemption, payable upon redemption thereof pursuant to the provisions of such Bond and the Indenture.

“Regulations” means the federal income tax regulations, as the same may be amended from time to time.

“Regulatory Agreement” means that certain regulatory agreement, dated as of June 1, 2023, and effective as of the date of issuance of the Bonds, among the Corporation, the Department and the Authority, as originally executed and as amended, supplemented or restated from time to time in accordance with its terms.

“Reserved” means a Residential Living Unit (a) that is Occupied or (b) for which the Corporation has received a deposit equal to not less than ten percent (10%) of the Entrance Fees related to such Residential Living Unit or some other amount required by the Corporation in order to hold such Residential Living Unit for a prospective resident. If two or more units have been combined into a single unit, all such units continue to be considered separate units for the purpose of determining the percentage of units Reserved.

“Residency Agreement” means any written agreement or contract, as amended from time to time, between the Corporation and a resident or potential resident of a facility giving the resident certain rights of occupancy in the facility, including without limitation, residential living units, assisted living units, memory support units, and providing for certain services to such resident including any reservation agreement or other agreement or contract reserving rights of occupancy.

“Residential Living Units” means all of the residential living units, excluding Existing Residential Living Units, that are or become part of the Facilities regardless of whether or not they are offered for occupancy on an Entrance Fee basis or a rental basis.

“Retained Rights” means the right of the Authority to receive payment of its fees and expenses (including Additional Payments and Administrative Fees and Expenses to the extent payable to the Authority), the Authority’s right to indemnification in certain circumstances, the Authority’s right to enforce venue provisions, the Authority’s right to execute and deliver supplements and amendments to the Loan Agreement, the Authority’s right to grant consents under the Loan Agreement and the Authority’s right to receive notices and consent to amendments.

“Revenue Fund” means the fund by that name established pursuant to the Indenture.

“Revenues” means all amounts received by the Authority or the Trustee pursuant or with respect to the Loan Agreement, including, without limiting the generality of the foregoing, Loan Repayments (including both timely and delinquent payments and any late charges, and regardless of source),

prepayments, insurance proceeds, payments received pursuant to the Insurance Law, condemnation proceeds, and all interest, profits or other income derived from the investment of amounts in any fund or account established pursuant to the Indenture (except the Rebate Fund), but not including (1) any Additional Payments or Administrative Fees and Expenses, (2) any amounts paid to the Authority or the Trustee pursuant to rights of indemnification, or (3) any moneys required to be deposited in the Rebate Fund.

“Risk Management Consultant” means an Independent Person having experience and a favorable reputation in consulting on the insurance requirements of continuing care retirement communities in the State of the general size and character of the Facilities, selected by the Corporation, so long as such Risk Management Consultant is acceptable to the Department.

“Rule” means Rule 15c2-12(b)(5) adopted by the Securities and Exchange Commission under the Securities Exchange Act of 1934, as the same may be amended from time to time.

“S&P” means S&P Global Ratings, its successors and assigns or, if such corporation shall be dissolved or liquidated or shall no longer perform the functions of a securities rating agency, any other nationally recognized securities rating agency designated by the Corporation by notice to the Authority and the Trustee.

“Series 2023A Bonds” means the California Municipal Finance Authority Insured Revenue and Refunding Bonds (Aldersly Project), Series 2023A, in the aggregate principal amount of \$31,010,000, issued under the Indenture.

“Series 2023B Bonds” means, collectively, the Series 2023B-1 Bonds and the Series 2023B-2 Bonds.

“Series 2023B-1 Bonds” means the California Municipal Finance Authority Insured Revenue and Refunding Bonds (Aldersly Project), Series 2023B-1 Tax Exempt Mandatory Paydown Securities (TEMPS – 85SM), in the aggregate principal amount of \$7,125,000, issued under the Indenture.

“Series 2023B-2 Bonds” means the California Municipal Finance Authority Insured Revenue and Refunding Bonds (Aldersly Project), Series 2023B-2 Tax Exempt Mandatory Paydown Securities (TEMPS – 65SM), in the aggregate principal amount of \$17,950,000, issued under the Indenture.

“Series 2023C Bonds” means the California Municipal Finance Authority Insured Revenue and Refunding Bonds (Aldersly Project), Series 2023C Taxable Mandatory Paydown Securities (TMPS), in the aggregate principal amount of \$5,215,000, issued under the Indenture.

“Short-Term Indebtedness” means Indebtedness having an original maturity less than or equal to one year and not renewable at the option of the Corporation for a term greater than one year from the date of original incurrence or issuance unless, by the terms of such Indebtedness, no Short-Term Indebtedness is permitted to be outstanding thereunder for a period of at least 30 consecutive days during each calendar year.

“Special Record Date” means the date established by the Trustee pursuant to the provisions of the Indenture as a record date for the payment of defaulted interest on Bonds.

“Stable Occupancy” means, with respect to the Residential Living Units financed with the proceeds of the Bonds and included in the Project, the earlier of either (1) the first date on which the total

percentage of such Residential Living Units which are Occupied is equal to or greater than 93% calculated as of the last day of any fiscal quarter or (2) September 30, 2027.

“State” means the State of California.

“Supplemental Indenture” means any indenture hereafter duly authorized and entered into between the Authority and the Trustee, supplementing, modifying or amending the Indenture; but only if and to the extent that such Supplemental Indenture is specifically authorized under the Indenture.

“Tax Agreement” means the Tax Certificate and Agreement, delivered by the Authority and the Corporation at the time of issuance of the Bonds, as the same may from time to time be amended or supplemented in accordance with the terms thereof.

“Term Bonds” means, collectively, the Bonds maturing on May 15, 2043 and May 15, 2053.

“Trustee” means The Bank of New York Mellon Trust Company, N.A., a national banking association duly organized and existing under and by virtue of the laws of the United States of America, or its successor, as Trustee under the Indenture as provided in the Indenture.

“United States Government Obligations” means:

(1) direct obligations of the United States of America (including obligations issued or held in book-entry form on the books of the Department of the Treasury of the United States of America, and “CATS” and “TIGRS”) or obligations the payment of principal of and interest on which are unconditionally guaranteed by the United States of America; and

(2) senior debt obligations of other agencies of the United States of America approved in writing by the Department.

INDENTURE

General

The Indenture sets forth the terms of the Bonds, the application of the Bond proceeds, the nature and extent of the security, various rights of the Bondholders, rights, duties and immunities of the Trustee and the rights and obligations of the Authority. Certain provisions of the Indenture are summarized below. Other provisions are summarized in this Official Statement under the captions “THE BONDS” and “SECURITY AND SOURCE OF PAYMENT FOR THE BONDS.” These summaries do not purport to be complete or definitive and are qualified in their entirety by reference to the full terms of the Indenture.

Pledge and Assignment

Pursuant to the provisions of the Indenture, the Authority transfers in trust, grants a security interest in and assigns to the Trustee, for the benefit of the Holders from time to time of the Bonds, all of the Revenues and other assets pledged in the Indenture and all of the right, title and interest of the Authority in the Loan Agreement (except for (i) Retained Rights and (ii) the obligation of the Corporation to make deposits pursuant to the Tax Agreement), the Deed of Trust, the Contract of Insurance, the Environmental Indemnity, and the Regulatory Agreement. The Trustee shall be entitled to and shall collect and receive all of the Revenues, and any Revenues collected or received by the Authority shall be deemed to be held, and to have been collected or received, by the Authority as the agent of the Trustee and shall forthwith be paid by the Authority to the Trustee. The Trustee shall also be entitled to, and

subject to the provisions of the Indenture, shall take all steps, actions and proceedings reasonably necessary in its judgment to enforce, either jointly with the Authority or separately, any or all rights of the Authority (other than those specifically retained by the Authority) and all of the obligations of the Corporation under the Indenture, the Loan Agreement, the Deed of Trust, the Contract of Insurance, the Environmental Indemnity, and the Regulatory Agreement. Notwithstanding the foregoing, the Retained Rights are reserved by the Authority and are exempted from the foregoing assignment.

Establishment of Funds and Accounts

The Indenture creates the Revenue Fund, including the Interest Account, the Principal Account, the Entrance Fee Redemption Account and the Bond Reserve Account, each established within the Revenue Fund, the Insurance and Condemnation Proceeds Fund, the Project Fund, the Costs of Issuance Fund, the Capitalized Interest Account and the Rebate Fund. All of such funds and accounts shall be established, maintained and held in trust by the Trustee and applied in accordance with the provisions set forth in the Indenture.

Project Fund. The Trustee shall establish, maintain and hold in trust a separate fund designated as the “Project Fund.” The moneys in the Project Fund shall be used and withdrawn by the Trustee to pay Project Costs. No moneys in the Project Fund shall be used to pay Costs of Issuance. Before any payment from the Project Fund shall be made, the Corporation shall file or cause to be filed with the Trustee certain items described in the Indenture. When the Project has been completed, and the required items described in the Indenture shall have been delivered to the Trustee and the Department by the Corporation, the Trustee shall, as directed by the Corporation, transfer any remaining balance in such Project Fund, less the amount of any retention, to the Revenue Fund and the Project Fund shall be closed.

Costs of Issuance Fund. The Trustee shall establish, maintain and hold in trust a separate fund designated as the “Costs of Issuance Fund.” The moneys in the Costs of Issuance Fund shall be used and withdrawn by the Trustee to pay the Costs of Issuance upon receipt by the Trustee of (i) a Requisition of the Corporation, and (ii) an executed form of the Department stating that such disbursements are authorized and the amounts so authorized. Amounts, if any, remaining in the Costs of Issuance Fund shall be transferred to the Revenue Fund and the Costs of Issuance Fund shall be closed.

Revenue Fund. All Revenues other than Initial Entrance Fees deposited in the Entrance Fee Fund shall be promptly deposited by the Trustee upon receipt thereof in a special fund designated as the “Revenue Fund,” which the Trustee shall establish, maintain and hold in trust, except as otherwise provided in the Indenture and except that (i) all moneys received by the Trustee and required by the Regulatory Agreement to be deposited in the Insurance and Condemnation Proceeds Fund or the Redemption Fund shall be promptly deposited in such Fund and (ii) all moneys received by the Trustee and required to be deposited in each respective subaccount of the Bond Reserve Account shall be promptly deposited in such subaccount. All Revenues deposited with the Trustee shall be held, disbursed, allocated and applied by the Trustee only as provided in the Indenture.

Interest Account. All amounts in the Interest Account shall be used and withdrawn by the Trustee solely for the purpose of paying interest on the Bonds as it shall become due and payable (including accrued interest on any Bonds purchased or redeemed prior to maturity pursuant to the Indenture).

Capitalized Interest Account. The Trustee shall establish, maintain and hold in trust when deposits thereto are required a separate fund designated as the “Capitalized Interest Account” with separate subaccounts therein for each of the Series 2023A Bonds, the Series 2023B-1 Bonds, the Series 2023B-2 Bonds and the Series 2023C Bonds. On each date that transfers to the Revenue Fund are

required under the Indenture, while there are funds on deposit in the subaccounts of the Capitalized Interest Account, the Trustee shall transfer from each subaccount of the Capitalized Interest Account to the Revenue Fund the lesser of (a) an amount equal to any such transfer required in respect of the applicable series of Bonds on that date, or (b) the amount remaining in such subaccount of the Capitalized Interest Account. Upon the transfer of all amounts remaining in the Capitalized Interest Account to the Reserve Fund, the Capitalized Interest Account shall be closed.

Principal Account. All amounts in the Principal Account shall be used and withdrawn by the Trustee solely for the purpose of paying the principal of the Bonds when due and payable as provided in the Indenture.

The Trustee shall establish and maintain within the Principal Account a separate subaccount for the Bonds, designated as the “_____ Sinking Account,” inserting therein the series and maturity (if more than one such account is established) designation of such Bonds. On each Mandatory Sinking Account Payment date, the Trustee shall apply the Mandatory Sinking Account Payment required on that date to the redemption (or payment at maturity, as the case may be) of the Term Bond, upon the notice and in the manner provided in the Indenture; provided that, at any time prior to giving such notice of such redemption, the Trustee may apply moneys in the Principal Account to the purchase of the Term Bond at public or private sale, as and when and at such prices (including brokerage and other charges, but excluding accrued interest, which is payable from the Interest Account) as directed by the Corporation in writing, except that the purchase price (excluding accrued interest) shall not exceed the principal amount of such Term Bond. If, during the twelve-month period immediately preceding said Mandatory Sinking Account Payment date, the Trustee has purchased the Term Bond with moneys in the Principal Account, or, during said period and prior to giving said notice of redemption, the Corporation has deposited the Term Bond with the Trustee, or the Term Bond was at any time purchased or redeemed by the Trustee from the Redemption Fund and allocable to said Mandatory Sinking Account Payment, such Term Bond so purchased or deposited or redeemed shall be applied, to the extent of the full principal amount thereof, to reduce said Mandatory Sinking Account Payment. The Term Bond purchased or deposited as described in this paragraph shall be canceled by the Trustee upon the order of the Authority. The Term Bond purchased from the Principal Account or deposited by the Corporation with the Trustee shall be allocated first to the Mandatory Sinking Account Payments as may be specified by the Corporation or, if the Corporation fails to specify such Mandatory Sinking Account Payments, in inverse order of their payment dates.

Entrance Fee Redemption Account. All amounts in the Entrance Fee Redemption Account shall be used and withdrawn by the Trustee solely for the purpose of paying the redemption price of the Series 2023B Bonds and the Series 2023C Bonds when due and payable, as provided in the Indenture.

Insurance and Condemnation Proceeds Fund. The Trustee shall establish, maintain and hold in trust when deposits thereto are required under the Regulatory Agreement a separate fund designated as the “Insurance and Condemnation Proceeds Fund,” and shall administer said fund in accordance with the Regulatory Agreement.

Redemption Fund. The Trustee shall establish and maintain a fund designated as the “Redemption Fund.” The Trustee shall accept all moneys deposited for redemption (other than for sinking account redemption) and shall deposit such moneys into the Redemption Fund. All amounts deposited in the Redemption Fund shall be accepted and used and withdrawn by the Trustee solely for the purpose of redeeming Bonds, in the manner and upon the terms and conditions specified in the Indenture, at the next succeeding date of redemption for which notice has not been given and at the Redemption Prices then applicable to redemptions from the Redemption Fund; provided that, at any time prior to selection of Bonds for redemption, the Trustee shall, upon direction of the Corporation, apply such amounts to the

purchase of Bonds at public or private sale, as and when and at such prices (including brokerage and other charges, but excluding accrued interest, which is payable from the Interest Account) as the Corporation may direct, except that the purchase price (exclusive of accrued interest) may not exceed the Redemption Price then applicable to such Bonds (or, if such Bonds are not then subject to redemption, the par value of such Bonds); and provided further that in the case of optional redemption of Bonds pursuant to the Indenture in lieu of optional redemption at such next succeeding date of redemption, or in combination therewith, amounts on deposit in the Redemption Fund for such optional redemption may, upon written direction of the Corporation, be transferred to the Principal Account and credited against Loan Repayments in order of their due date as set forth in a Request of the Corporation.

The Term Bond purchased or redeemed from the Redemption Fund shall be allocated to the Mandatory Sinking Account Payments for such Term Bond specified by the Corporation (in accordance with the Tax Agreement) in writing delivered to the Trustee, provided, however, if the Corporation fails to deliver such specification, in inverse order of the Mandatory Sinking Fund Payments.

Bond Reserve Account. The Trustee shall establish, maintain and hold in trust when deposits thereto are required a separate account within the Revenue Fund designated as the “Bond Reserve Account” with separate subaccounts therein for each the Series 2023A Bonds, the Series 2023B-1 Bonds, the Series 2023B-2 Bonds, and the Series 2023C Bonds.

Moneys on deposit in the Bond Reserve Account shall be used and withdrawn by the Trustee solely for the purpose of making up any deficiency in the Interest Account or Principal Account for the Bonds (but, in each case, only with the consent of the Department as provided in the Regulatory Agreement) or (together with any other moneys available therefor) for the payment or redemption of all Bonds then Outstanding. Moneys on deposit in the Series 2023A Bond subaccount of the Bond Reserve Account shall be used solely for the purpose of making up any deficiency in the Interest Account or Principal Account for the Series 2023A Bonds. Moneys on deposit in the Series 2023B-1 Bond subaccount of the Bond Reserve Account shall be used solely for the purpose of making up any deficiency in the Interest Account or Principal Account for the Series 2023B-1 Bonds. Moneys on deposit in the Series 2023B-2 Bond subaccount of the Bond Reserve Account shall be used solely for the purpose of making up any deficiency in the Interest Account or Principal Account for the Series 2023B-2 Bonds. Moneys on deposit in the Series 2023C Bond subaccount of the Bond Reserve Account shall be used solely for the purpose of making up any deficiency in the Interest Account or Principal Account for the Series 2023C Bonds.

On the fifth day of the calendar month following the month in which a valuation is made as described in the Indenture, any amount in the applicable subaccount of the Bond Reserve Account in excess of the applicable Bond Reserve Account Requirement shall be transferred to the Revenue Fund. To the extent that amounts in the applicable subaccount of the Bond Reserve Account are less than 100% of the applicable Bond Reserve Account Requirement, the Corporation shall within 30 days after receiving notice of such valuation pay to the Trustee an amount sufficient to increase the balance in the applicable subaccount of the Bond Reserve Account to the applicable Bond Reserve Account Requirement.

Rebate Fund. The Trustee shall establish and maintain a fund separate from any other fund established and maintained under the Indenture designated as the Rebate Fund. Within the Rebate Fund, the Trustee shall, upon the direction of the Authority or the Corporation, maintain such accounts as shall be necessary to comply with the terms and conditions of the Tax Agreement. Subject to the transfer provisions provided in the Indenture, all money at any time deposited in the Rebate Fund shall be held by the Trustee in trust, to the extent required to satisfy the Rebate Requirement (as defined, computed and provided to the Trustee in accordance with the Tax Agreement), for payment to the federal government of

the United States of America. Neither the Authority, the Corporation, the Department nor the Holder of any Bonds shall have any rights in or claim to such money. All amounts deposited into or on deposit in the Rebate Fund shall be governed by the Indenture and by the Tax Agreement.

Entrance Fee Fund. The Trustee shall establish, maintain and hold in trust a separate fund designated as the “Entrance Fee Fund.” All moneys received by the Trustee and held in the Entrance Fee Fund pursuant to the Indenture shall be trust funds under the terms of this Indenture held for the benefit of the holders of all of the Series 2023B-1 Bonds, the Series 2023B-2 Bonds and the Series 2023C Bonds Outstanding under the Indenture (except as otherwise provided) and shall not be subject to lien or attachment of any creditor of the Corporation. Such moneys shall be held in trust and applied in accordance with the provisions of the Indenture.

Allocation of Revenues

On or before the 10th day of each month, the Trustee shall transfer from the Revenue Fund and deposit into the following respective accounts and subaccounts (each of which the Trustee shall establish and maintain within the Revenue Fund) and then to the Rebate Fund, the following amounts, in the following order of priority, the requirements of each such account or fund (including the making up of any deficiencies in any such account resulting from lack of Revenues sufficient to make any earlier required deposit) at the time of deposit to be satisfied before any transfer is made to any account or fund subsequent in priority:

First: to each respective subaccount of the Interest Account, one-sixth of the aggregate amount of interest becoming due and payable during the next succeeding six months on all Bonds of the related series then Outstanding on the next Interest Payment Date, until the balance in said subaccount is equal to said aggregate amount of interest; provided, however, that from the date of delivery of the Bonds until the first Interest Payment Date with respect to the Bonds (if less than six months), transfers to each respective subaccount of the Interest Account shall be sufficient, on a monthly pro rata basis, to pay the interest becoming due and payable on said Interest Payment Date on the related series of Bonds by such Interest Payment Date;

Second: to each respective subaccount of the Principal Account, one-twelfth of the aggregate amount of principal becoming due and payable during the next ensuing twelve months on the Outstanding Serial Bonds of the related series plus one-twelfth of the aggregate amount of Mandatory Sinking Account Payments required to be paid during the next ensuing twelve months into the respective Sinking Accounts for Outstanding Term Bonds of the related series, on the next Principal Payment Date, until the balance in said subaccount of the Principal Account is equal to said aggregate amount of such principal and Mandatory Sinking Account Payments for the related series of Bonds; provided, however, that from the date of delivery of the Bonds until the first Principal Payment Date with respect to the Bonds (if less than twelve months), transfers to each respective subaccount of the Principal Account shall be sufficient on a monthly pro rata basis to pay the principal and Mandatory Sinking Account Payments becoming due and payable on said Principal Payment Date on the related series of Bonds by such Principal Payment Date;

Third: to each respective subaccount of the Bond Reserve Account, (i) one-twelfth of the aggregate amount of each prior withdrawal from the applicable subaccount of the Bond Reserve Account for the purpose of making up a deficiency in the Interest Account or Principal Account for the applicable series of Bonds (until deposits on account of such withdrawal are sufficient to fully restore the amount withdrawn), provided that no deposit need be made into any subaccount of the Bond Reserve Account if the balance in said account is at least equal to the related Bond Reserve Account Requirement, and (ii) in the event the balance in said account shall

be less than the applicable Bond Reserve Account Requirement due to valuation of the Investment Securities deposited therein in accordance with the Indenture, the amount necessary to increase the balance in said account to an amount at least equal to the applicable Bond Reserve Account Requirement (until deposits on account of such valuation deficiency are sufficient to increase the balance in said account to said amount); and

Fourth: upon direction of the Authority or the Corporation, to the Rebate Fund, such amounts as are required to be deposited therein by the Indenture (including the Tax Agreement).

Any moneys remaining in the Revenue Fund after the foregoing transfers shall be transferred first to the Department to the extent necessary to repay insurance advances made by the Department (as directed by the Department to the Trustee in writing), including interest thereon as specified in the Regulatory Agreement, and thereafter to the Corporation.

Investment of Moneys in Funds and Accounts

All moneys in any of the funds and accounts established pursuant to the Indenture shall be invested by the Trustee, upon the written direction of the Corporation two Business Days in advance of the making of such investment, solely in Investment Securities. The Trustee shall acquire such Investment Securities upon the written direction of the Corporation at such prices and on such terms as directed by the Corporation. In the absence of written directions from the Corporation, the Trustee shall hold all moneys uninvested. All Investment Securities shall be acquired subject to the limitations set forth in the Indenture, the limitations as to maturities described under this caption and such additional limitations or requirements consistent with the foregoing as may be established by Request of the Corporation.

Moneys in all funds and accounts (other than each subaccount of the Bond Reserve Account) shall be invested in Investment Securities maturing not later than the date on which it is estimated that such moneys will be required for the purposes specified in the Indenture. Moneys in the Bond Reserve Account shall be invested in Investment Securities maturing prior to the final maturity of the applicable series of Bonds but in no event longer than five years from the date of investment therein; provided, however, moneys in each subaccount of the Bond Reserve Account may be invested in Investment Securities with a nominal maturity date which is greater than five years as long as said Investment Securities by their terms allow the Trustee to obtain (at any time the Trustee is required to draw on any subaccount of the Bond Reserve Account under the Indenture) the corpus thereof at no less than the purchase price thereof without any loss in value. Investment Securities purchased under a repurchase agreement may be deemed to mature on the date or dates on which the Trustee may deliver such Investment Securities for repurchase under such agreement.

Notwithstanding any other provision in the Indenture, the Authority shall not enter into or direct the Trustee to enter into any agreement, including, without limitation, any investment or sale agreement involving the sale of future interest income or forward delivery agreement or forward purchase contract or forward purchase supply contract, which provides for an upfront payment to the Corporation, in connection with the investment of any of the funds or accounts established under the Indenture and held by the Trustee.

All interest, profits and other income received from the investment of moneys in the Rebate Fund shall be deposited when received in the Rebate Fund. All interest, profits and other income received from the investment of moneys in the Insurance and Condemnation Proceeds Fund shall be deposited when received in the Insurance and Condemnation Proceeds Fund. All interest, profits and other income received from the investment of moneys in the Project Fund and the applicable subaccount of the Bond

Reserve Account shall be deposited when received in the Capitalized Interest Account, so long as the Capitalized Interest Account has not been closed, and following the closure of the Capitalized Interest Account, such amounts shall be transferred when received in the manner set forth in the following sentence. All interest, profits and other income received from the investment of moneys in any other fund or account established pursuant to the Indenture, shall be transferred when received (a) first, to the applicable subaccount of the Bond Reserve Account to the extent necessary to increase the balance therein to the applicable Bond Reserve Account Requirement, (b) second, to the Principal Account to the extent necessary to increase the balance therein to the aggregate amount of principal of the Bonds coming due during the next ensuing twelve months, and (c) third, to the Revenue Fund. Notwithstanding anything to the contrary contained in this paragraph, an amount of interest received with respect to any Investment Security equal to the amount of accrued interest, if any, paid as part of the purchase price of such Investment Security shall be credited to the fund or account for the credit of which such Investment Security was acquired.

Certain Covenants

Against Encumbrances. The Authority shall not create, or permit the creation of, any pledge, lien, charge or other encumbrance upon the Revenues and other assets pledged or assigned under the Indenture while any of the Bonds are Outstanding, except the pledge and assignment created by the Indenture. Subject to this limitation, the Authority expressly reserves the right to enter into one or more other indentures for any of its corporate purposes, including other programs under the Act, and reserves the right to issue other obligations for such purposes.

Enforcement of Loan Agreement and Other Covenants. The Trustee shall collect all amounts due from the Corporation pursuant to the Loan Agreement, and subject to the provisions of the Indenture, shall exercise all rights assigned to it pursuant to the Loan Agreement and shall enforce, and take all steps, actions and proceedings reasonably necessary for the enforcement of all of the rights of the Authority upon the written request of the Holders of a majority in aggregate principal amount of the Bonds then Outstanding, except as is otherwise provided in the Indenture and all of the obligations of the Corporation, including, without limitation, such steps, actions and proceedings as shall be directed by the Authority.

The Authority shall not amend, modify or terminate any of the terms of the Loan Agreement, or consent to any such amendment, modification or termination, without the written consent of (1) the Department (provided that the Contract of Insurance is then in effect and the Department is not in default thereunder), or (2) the Holders of a majority in principal amount of the Bonds then Outstanding (if the Contract of Insurance is no longer in effect or the Department is in default thereunder). The Authority shall not amend, modify or terminate the Loan Agreement or any of the Department Documents in any manner adverse to the interests of the Trustee without the written consent of the Trustee.

The Trustee, subject to the provisions of the Indenture, shall take all actions required by the terms of the Contract of Insurance, and shall enforce the Contract of Insurance by appropriate legal action, for the benefit of the Bondholders.

If (1) a Loan Default Event has occurred and is continuing under the Loan Agreement or (2) debentures have been issued by the Treasurer of the State of California in satisfaction of the Department's obligations under the Contract of Insurance, the Trustee shall, within three Business Days of receipt of a Request of the Department, transfer to the Department all of the Trustee's right, title and interest in the Loan Agreement and the Regulatory Agreement and the Deed of Trust other than the right of the Trustee to receive payments under the Loan Agreement.

Events of Default under the Indenture and Remedies

Events of Default. The following events shall be Events of Default:

(a) default in the due and punctual payment of the principal or Redemption Price of any Bond when and as the same shall become due and payable, whether at maturity as therein expressed, by proceedings for redemption, by declaration or otherwise, or default in the redemption of any Bonds from Mandatory Sinking Account Payments in the amounts and at the times provided therefor;

(b) default in the due and punctual payment of any installment of interest on any Bond when and as such interest installment shall become due and payable;

(c) default by the Authority in the observance of any of the other covenants, agreements or conditions on its part in the Indenture or in the Bonds contained, if such default shall have continued for a period of 60 days after written notice thereof, specifying such default and requiring the same to be remedied, shall have been given to the Authority and the Corporation by the Trustee, or to the Authority, the Corporation and the Trustee by the Holders of not less than 25% in aggregate principal amount of the Bonds at the time Outstanding; or

(d) a Loan Default Event.

Acceleration of Maturities. If an Event of Default shall occur, then, and in each and every such case during the continuance of such Event of Default, the Trustee may and, upon receipt of instructions from the Holders of not less than a majority in aggregate principal amount of the Bonds at the time Outstanding, or the Department shall, upon notice in writing to the Authority, the Department and the Corporation, declare the principal of all of the Bonds then Outstanding, and the interest accrued thereon, to be due and payable immediately, and upon any such declaration the same shall become and shall be immediately due and payable, anything in the Indenture or in the Bonds contained to the contrary notwithstanding; provided, however, that no such declaration may be made if the Contract of Insurance is in effect and the Department is not in default thereunder unless (i) the Trustee is required to make such declaration pursuant to the provisions of the Indenture described below under the caption “—Collection Upon Insurance” or (ii) the Department consents to such acceleration and agrees to pay an amount equal to the full principal amount of Bonds then Outstanding and interest thereon at the stated interest rates on the Bonds to the date of acceleration.

Any such declaration, however, is subject to the condition that if, at any time after such declaration and before any judgment or decree for the payment of the moneys due shall have been obtained or entered, the Authority, the Department or the Corporation shall deposit with the Trustee a sum sufficient to pay all the principal or Mandatory Sinking Account Payments or Redemption Price of and installments of interest on the Bonds payment of which is overdue, with interest on such overdue principal at the rate borne by the respective Bonds, and the reasonable fees, charges and expenses of the Authority and the Trustee, including without limitation those of their respective attorneys, and any and all other defaults actually known to the Trustee (other than in the payment of principal of and interest on the Bonds due and payable solely by reason of such declaration) shall have been made good or cured to the satisfaction of the Trustee or provision deemed by the Trustee to be adequate shall have been made therefor, then, and in every such case, the Trustee may, if such declaration was made by the Trustee without instruction from the Holders, and the Trustee shall, upon receipt of written notice by the Holders of not less than a majority in aggregate principal amount of the Bonds then Outstanding, which written notice shall also be delivered to the Authority, the Department and the Corporation, on behalf of the Holders of all of the Bonds, rescind and annul such declaration and its consequences and waive such default; but no such rescission and annulment shall extend to or shall affect any subsequent default, or

shall impair or exhaust any right or power consequent thereon. Notwithstanding the foregoing, the Trustee shall waive any Event of Default which is caused solely by a default under the Regulatory Agreement if the Department waives such default in writing.

Collection Upon Insurance. Upon the occurrence and continuance of an Event of Default, the Trustee shall proceed to take such steps as are necessary, in the reasonable judgment of the Trustee, to collect upon the insurance provided by the Insurance Law. If the Department and the Treasurer of the State of California have notified the Trustee in writing that they elect to pay such insurance by means of debentures of the Department's Health Facility Construction Loan Insurance Fund, the Trustee shall as soon as practicable provide notice to each Bondholder of the exchange of such debentures for the Bonds then Outstanding in the same manner as for notice of redemption pursuant to the Indenture, and shall deliver to each Bondholder, as soon as practicable after surrender of such Bondholder's Bonds, debentures in a principal amount equal to the principal amount of such Bonds plus accrued interest thereon and having maturities the same as such Bonds, bearing interest at such rate or rates equal to the rates on the respective Bonds.

Application of Revenues and Other Funds After Default. If an Event of Default shall occur and be continuing, all Revenues and any other funds then held or thereafter received by the Trustee under any of the provisions of the Indenture, after payment of the reasonable fees, charges and expenses of the Trustee (including reasonable fees and disbursements of its counsel, agents and advisors and indemnities) incurred, subject to the provisions described below under the caption " – Trustee to Represent Bondholders," in and about the performance of its powers and duties under this Indenture, shall be applied by the Trustee as follows and in the following order:

(1) To the payment of the principal or Redemption Price of and interest then due on the Bonds (upon presentation of the Bonds to be paid, and stamping thereon of the payment if only partially paid, or surrender thereof if fully paid) subject to the provisions of the Indenture, as follows:

(i) Unless the principal of all of the Bonds shall have become or have been declared due and payable,

First: To the payment to the persons entitled thereto of all installments of interest then due in the order of the maturity of such installments, and, if the amount available shall not be sufficient to pay in full any installment or installments maturing on the same date, then to the payment thereof ratably, according to the amounts due thereon, to the persons entitled thereto, without any discrimination or preference;

Second: To the payment to the Persons entitled thereto of the unpaid principal (including Mandatory Sinking Account Payments) or Redemption Price of any Bonds which shall have become due, whether at maturity or by call for redemption, in the order of their due dates, with interest on the overdue principal at the rate borne by the respective Bonds, and, if the amount available shall not be sufficient to pay in full all the Bonds due on any date, together with such interest, then to the payment thereof ratably, according to the amounts of principal or Redemption Price due on such date to the persons entitled thereto, without any discrimination or preference.

(ii) If the principal of all of the Bonds shall have become or have been declared due and payable, to the payment of the principal or Redemption Price and interest then due and unpaid upon the Bonds, with interest on the overdue principal at the rate borne by the respective Bonds, and, if the amount available shall not be sufficient to pay in full the whole amount so due and unpaid, then to the payment thereof ratably, without preference or priority of

principal over interest or Redemption Price, or of interest over principal or Redemption Price, or of Redemption Price over principal or interest, or of any installment of interest over any other installment of interest, or of any Bond over any other Bond, according to the amounts due respectively for principal, Redemption Price, and interest, to the persons entitled thereto without any discrimination or preference;

(2) To the payment of any expenses necessary in the opinion of the Trustee to protect the interests of the Holders of the Bonds;

(3) To the Department to the extent necessary to repay insurance advances (including interest thereon calculated in accordance with the Regulatory Agreement) made by the Department; and

(4) To the payment of the reasonable fees, charges and expenses of the Authority and the payment of any amounts owed under the expense and indemnification provisions of the Loan Agreement.

Notwithstanding the foregoing or any other provision of the Indenture to the contrary, in the event that the Department shall no longer be obligated under the Contract of Insurance for any reason while any of the Bonds remain Outstanding, if an Event of Default shall occur and be continuing, all Revenues and any other funds then held or thereafter received by the Trustee under any of the provisions of the Indenture (other than funds held for the payment of particular Bonds pursuant to the provisions of the Indenture) shall be applied by the Trustee first to the payment of any expenses necessary in the opinion of the Trustee to protect the interests of the Holders of the Bonds and payment of reasonable fees, charges and expenses of the Trustee (including reasonable fees and disbursements of its counsel, agents and advisors) incurred, subject to the provisions of the Indenture described below under the caption “—Trustee to Represent Bondholders,” in and about the performance of its powers and duties under the Indenture and then in accordance with the order described above under this caption.

Trustee to Represent Bondholders. Pursuant to the Indenture, the Trustee is irrevocably appointed (and the successive respective Holders of the Bonds by taking and holding the same, shall be conclusively deemed to have so appointed the Trustee) as trustee and true and lawful attorney in fact of the Holders of the Bonds for the purpose of exercising and prosecuting on their behalf such rights and remedies as may be available to such Holders under the provisions of the Bonds, the Indenture, the Loan Agreement, the Regulatory Agreement, the Contract of Insurance, the Deed of Trust, the Environmental Indemnity, the Act and applicable provisions of any other law. Upon the occurrence and continuance of an Event of Default or other occasion giving rise to a right in the Trustee to represent the Bondholders, the Trustee in its discretion may, and upon the written request of the Department or the Holders of not less than 25% in aggregate principal amount of the Bonds then Outstanding (provided, however, that if more than one such request is received by the Trustee from the Holders, the Trustee shall follow the request executed by the Holders of the greater percentage of Bonds then Outstanding in excess of 25%), and upon being indemnified to its satisfaction therefor, shall, with the written consent of the Department (so long as the Contract of Insurance is in effect and the Department is not in default thereunder,) proceed to protect or enforce its rights or the rights of such Holders by such appropriate action, suit, mandamus or other proceedings as it shall deem most effectual to protect and enforce any such right, at law or in equity, either for the specific performance of any covenant or agreement contained in the Indenture, or in aid of the execution of any power granted under the Indenture, or for the enforcement of any other appropriate legal or equitable right or remedy vested in the Trustee or in such Holders under the Indenture, the Loan Agreement, the Regulatory Agreement, the Contract of Insurance, the Deed of Trust, the Environmental Indemnity, the Act or any other law; and upon instituting such proceeding, the Trustee shall be entitled, as a matter of right, to the appointment of a receiver of the Revenues and other assets pledged under the Indenture, pending such proceedings. All rights of action under the Indenture or the Bonds or otherwise may be prosecuted and enforced by the Trustee without the possession of any of the Bonds or the

production thereof in any proceeding relating thereto, and any such suit, action or proceeding instituted by the Trustee shall be brought in the name of the Trustee for the benefit and protection of all the Holders of such Bonds, subject to the provisions of the Indenture.

Notwithstanding anything to the contrary in the Indenture, the Authority shall have no obligation to and instead the Trustee may, without further direction from the Authority, take any and all steps, actions and proceedings, to enforce any or all rights of the Authority (other than those specifically retained by the Authority pursuant to the Indenture) under the Indenture and the Loan Agreement, including, without limitation, the rights to enforce the remedies upon the occurrence and continuation of an Event of Default and the obligations of the Corporation under the Loan Agreement.

Office and Bondholders' Direction of Proceedings. Anything in the Indenture to the contrary notwithstanding, the Department (so long as the Contract of Insurance is in effect and the Department is not in default thereunder) and/or the Holders of a majority in aggregate principal amount of the Bonds then Outstanding, in each case where the Holders seek to direct proceedings with the written consent of the Department (so long as the Contract of Insurance is in effect and the Department is not in default thereunder), shall have the right, by an instrument or concurrent instruments in writing executed and delivered to the Trustee, to direct the method of conducting all remedial proceedings taken by the Trustee under the Indenture, provided that such direction shall not be otherwise than in accordance with law and the provisions of the Indenture, and that, unless the Department is the Holder of all Bonds or has caused all Bonds to be paid in full, the Trustee shall have the right to decline to follow any such direction which in the opinion of the Trustee might involve the Trustee in personal liability or would be unjustly prejudicial to Bondholders not parties to such direction; provided, further, that the Trustee shall have no duty to ascertain whether or not such actions or forbearances are unduly prejudicial to such Bondholders.

Anything in the Indenture to the contrary notwithstanding, in the event that any of the following has occurred and is continuing:

(a) the Corporation files a petition in voluntary bankruptcy, for the composition of its affairs or for its corporate reorganization under any state or federal bankruptcy or insolvency law, or makes an assignment for the benefit of creditors, or admits in writing to its insolvency or inability to pay debts as they mature, or consents in writing to the appointment of a trustee or receiver for itself or for the whole or any substantial part of the Facilities;

(b) a court of competent jurisdiction shall enter an order, judgment or decree declaring the Corporation an insolvent, or adjudging it bankrupt, or appointing a trustee or receiver of the Corporation or of the whole or any substantial part of the Facilities, or approving a petition filed against the Corporation seeking reorganization of the Corporation under any applicable law or statute of the United States of America or any state thereof, and such order, judgment or decree shall not be vacated or set aside or stayed within 60 days from the date of the entry thereof; or

(c) under the provisions of any other law for the relief or aid of debtors any court of competent jurisdiction shall assume custody or control of the Corporation or of the whole or any substantial part of the Facilities, and such custody or control shall not be terminated within 60 days from the date of assumption of such custody or control;

then, so long as the Contract of Insurance is in effect and the Department is not in default thereunder, the Department shall have the right to vote in the place and stead of all Holders with respect to any plan of reorganization or liquidation, on any agreement for composition of creditors, and on any assignment for the benefit of creditors. Any reorganization or liquidation plan with respect to the Corporation must be acceptable to the Department.

The Department shall represent Bondholders in all bankruptcy proceedings and may take such action or consent to any agreement on behalf of the Bondholders, provided that any such action or consent shall in no way impair the rights and benefits due Bondholders under the Contract of Insurance.

Limitation on Bondholders' Right to Sue. No Holder of any Bond shall have the right to institute any suit, action or proceeding at law or in equity, for the protection or enforcement of any right or remedy under the Indenture, the Loan Agreement, the Regulatory Agreement, the Contract of Insurance, the Deed of Trust, the Environmental Indemnity, the Act or any other applicable law with respect to such Bond, unless: (1) such Holder shall have given to the Trustee written notice of the occurrence of an Event of Default; (2) the Holders of not less than 25% in aggregate principal amount of the Bonds then Outstanding (or if more than one such request is received, the written request executed by the Holders of the greatest percentage of Bonds then Outstanding in excess of 25%) shall have made written request upon the Trustee to exercise the powers granted by the Indenture or to institute such suit, action or proceeding in its own name; (3) such Holder or said Holders shall have tendered to the Trustee reasonable indemnity against the costs, expenses and liabilities to be incurred in compliance with such request; (4) the Trustee shall have refused or omitted to comply with such request for a period of 60 days after such written request shall have been received by, and said tender of indemnity shall have been made to, the Trustee; and (5) the Department consents in writing to the action specified in such request (provided that such consent shall be required only so long as the Contract of Insurance is in effect and the Department is not in default thereunder).

Such notification, request, tender of indemnity and refusal or omission are declared, in every case, to be conditions precedent to the exercise by any Holder of Bonds of any remedy under the Indenture or under law; it being understood and intended that no one or more Holders of Bonds shall have any right in any manner whatever by his or their action to affect, disturb or prejudice the security of the Indenture or the rights of any other Holders of Bonds, or to enforce any right under the Indenture, the Loan Agreement, the Regulatory Agreement, the Contract of Insurance, the Deed of Trust, the Environmental Indemnity, the Act or other applicable law with respect to the Bonds, except in the manner provided in the Indenture, and that all proceedings at law or in equity to enforce any such right shall be instituted, had and maintained in the manner provided in the Indenture and for the benefit and protection of all Holders of the Outstanding Bonds, subject to the provisions of the Indenture.

Control Rights of the Department. Notwithstanding anything in the Indenture to the contrary, so long as the Insurance is in effect and the Department is not in default under the Contract of Insurance: (a) the Department shall be deemed to be the Holder of all of the Bonds for purposes of (i) exercising all remedies and directing the Trustee to take actions or for any other purposes following an Event of Default, and (ii) granting any consent, direction or approval or taking any action permitted by or required under the Indenture or the Loan Agreement, as the case may be, to be granted or taken by the Holders of such Bonds; (b) anything in the Indenture or the Loan Agreement to the contrary notwithstanding, upon the occurrence and continuance of an Event of Default, the Department shall be entitled to control and direct the enforcement of all rights and remedies granted to the Holders or the Trustee for the benefit of the Holders; and (c) the rights granted to the Department under the Indenture and/or the Loan Agreement to request, consent to or direct any action are rights granted to the Department in consideration of its issuance of its insurance for the Bonds. Any exercise by the Department of such rights is merely an exercise of the Department's contractual rights and shall not be construed or deemed to be taken for the benefit, or on behalf, of the Holders and such action does not evidence any position of the Department, affirmative or negative, as to whether the consent of the Holders or any other person is required in addition to the consent of the Department.

Amendment of Indenture

The Indenture and the rights and obligations of the Authority and of the Holders of the Bonds and of the Trustee may be modified or amended from time to time and at any time by an indenture or indentures supplemental thereto, which the Authority and the Trustee may enter into when the written consent of the (i) Department (provided that the Contract of Insurance is then in effect and the Department is not in default thereunder) or (ii) the Holders of a majority in aggregate principal amount of the Bonds then Outstanding (if the Contract of Insurance is no longer in effect or the Department is in default thereunder) shall have been filed with the Trustee; provided that if such modification or amendment will, by its terms, not take effect so long as any Bonds of any particular maturity remain Outstanding, the consent of the Holders of such Bonds shall not be required and such Bonds shall not be deemed to be Outstanding for the purpose of any calculation of Bonds Outstanding under the Indenture. No such modification or amendment shall (1) extend the fixed maturity of any Bond, extend the time of payment for the payment of any Bond, reduce the amount of any Mandatory Sinking Account Payment or principal thereof or reduce the rate of interest thereon, or extend the time of payment of interest thereon, without the consent of the Holder of each Bond so affected, or (2) reduce the aforesaid percentage of Bonds the consent of the Holders of which is required to effect any such modification or amendment, or permit the creation of any lien on the Revenues and other assets pledged under the Indenture prior to or on a parity with the lien created by the Indenture, or deprive the Holders of the Bonds of the lien created by the Indenture on such Revenues and other assets (except as expressly provided in the Indenture and the Loan Agreement), without the consent of the Holders of all of the Bonds then Outstanding. It shall not be necessary for the consent of the Bondholders to approve the particular form of any Supplemental Indenture, but it shall be sufficient if such consent shall approve the substance thereof. Promptly after the execution by the Authority and the Trustee of any Supplemental Indenture pursuant to the Indenture, the Trustee shall mail a notice, attaching a copy of such Supplemental Indenture, to the Bondholders at the addresses shown on the bond registration books maintained by the Trustee, or if the Bonds are held by the Depository, shall send such notice to the Bondholders by Electronic Means. Any failure to give such notice, or any defect therein, shall not, however, in any way impair or affect the validity of any such Supplemental Indenture.

The Indenture and the rights and obligations of the Authority, of the Trustee and of the Holders of the Bonds may also be modified or amended from time to time and at any time by an indenture or indentures supplemental thereto, which the Authority and the Trustee may enter into without the consent of any Bondholders, but only with the consent of the Corporation and the Department (provided that the Contract of Insurance is then in effect and the Department is not in default thereunder), if the Trustee has been furnished an Opinion of Counsel, that the provisions of such Supplemental Indenture shall not materially adversely affect the interests of the Holders, including, without limitation, for any one or more of the following purposes:

(1) to add to the covenants and agreements of the Authority contained in the Indenture other covenants and agreements thereafter to be observed, to pledge or assign additional security for the Bonds (or any portion thereof), or to surrender any right or power reserved to or conferred upon the Authority, provided that no such covenant, agreement, pledge, assignment or surrender shall materially and adversely affect the interests of the Holders of the Bonds;

(2) to make such provisions for the purpose of curing any ambiguity, inconsistency or omission, or of curing or correcting any defective provision, contained in the Indenture, or in regard to matters or questions arising under the Indenture, as the Authority may deem necessary or desirable and not inconsistent with the Indenture, and which shall not materially and adversely affect the interests of the Holders of the Bonds;

(3) to modify, amend or supplement the Indenture in such manner as to permit the qualification thereof under the Trust Indenture Act of 1939, as amended, or any similar federal statute in effect, and to add such other terms, conditions and provisions as may be permitted by said act or similar federal statute, and which shall not materially and adversely affect the interests of the Holders of the Bonds;

(4) to make such provisions for the purpose of preserving the exclusion from gross income for federal income tax purposes of interest on the Bonds as the Authority may deem necessary or desirable and not inconsistent with the Indenture; or

(5) to modify, amend or supplement the Indenture in any other respect that does not materially adversely affect the interests of the Holders of the Bonds.

Defeasance

Discharge of Indenture. Bonds may be paid by the Authority in any of the following ways; provided that the Authority also pays or causes to be paid any other sums payable under the Indenture by the Authority and related to the Bonds: (a) by paying or causing to be paid the principal or Redemption Price of and interest on all Bonds then Outstanding, as and when the same become due and payable; (b) by depositing with the Trustee, in trust, or with an escrow agent in irrevocable escrow, at or before maturity, moneys or securities in the necessary amount (as provided in the Indenture) to pay or redeem all Bonds then Outstanding; or (c) by delivering to the Trustee, for cancellation by it, all Bonds then Outstanding.

If the Authority shall pay all Bonds then Outstanding and shall also pay or cause to be paid all other sums payable under the Indenture by the Authority, then and in that case, at the election of the Authority, and notwithstanding that any Bonds shall not have been surrendered for payment, the Indenture and the pledge of Revenues and other assets made under the Indenture and all covenants, agreements and other obligations of the Authority under the Indenture shall cease, terminate, become void and be completely discharged and satisfied, except only as provided pursuant to the provisions of the Indenture described below under the caption “—Discharge of Liability on Bonds.”

Discharge of Liability on Bonds. Upon the deposit with the Trustee, in trust, at or before maturity, of money or securities in the necessary amount (as provided in the Indenture) to pay or redeem any Outstanding Bond (whether upon or prior to its maturity or the redemption date of such Bond), provided that, if such Bond is to be redeemed prior to maturity, notice of such redemption shall have been given as provided in the Indenture or provision satisfactory to the Trustee shall have been made for the giving of such notice, then all liability of the Authority in respect of such Bond shall cease, terminate and be completely discharged, except only that thereafter the Holder thereof shall be entitled to payment of the principal of and interest on such Bond by the Authority and the Authority shall remain liable for such payment, but only out of such money or securities deposited with the Trustee as aforesaid for their payment, provided further, however, that the provisions of the Indenture shall apply in all events.

Deposit of Money or Securities with Trustee. Whenever in the Indenture it is provided or permitted that there be deposited with or held in trust by the Trustee money or securities in the necessary amount to pay or redeem any Bonds, the money or securities to be deposited or held may include money or securities held by the Trustee in the funds and accounts established pursuant to the Indenture (exclusive of the Rebate Fund) and shall be:

(a) lawful money of the United States of America in an amount equal to the principal amount of such Bonds and all unpaid interest thereon to maturity, except that, in the case of Bonds which

are to be redeemed prior to maturity and in respect of which notice of such redemption shall have been given as provided in the Indenture or provision satisfactory to the Trustee shall have been made for the giving of such notice, the amount to be deposited or held shall be the principal amount or Redemption Price of such Bonds and all unpaid interest thereon to the redemption date; or

(b) Investment Securities described in clause (A) of the definition thereof in “DEFINITIONS OF CERTAIN TERMS” above (not callable by the issuer thereof prior to maturity) the principal of and interest on which when due will provide money sufficient in the opinion of an Accountant to pay the principal or Redemption Price of and all unpaid interest to maturity, or to the redemption date, as the case may be, on the Bonds to be paid or redeemed, as such principal or Redemption Price and interest become due, provided that, in the case of Bonds which are to be redeemed prior to the maturity thereof, notice of such redemption shall have been given as provided in the Indenture or provision satisfactory to the Trustee shall have been made for the giving of such notice;

provided, in each case, that the Trustee shall have been irrevocably instructed (by the terms of the Indenture or by Request of the Authority) to apply such money to the payment of such principal or Redemption Price and interest with respect to such Bonds.

LOAN AGREEMENT

General

The Loan Agreement is an agreement between the Authority and the Corporation whereby the Authority agrees to lend the proceeds of the Bonds to the Corporation and the Corporation agrees to make payments to the Trustee sufficient to pay debt service on the Bonds. Certain of the provisions of the Loan Agreement are summarized below. This summary does not purport to be complete or definitive and is qualified in its entirety by reference to the full terms of the Loan Agreement.

Loan of Proceeds; Loan Repayments

The Authority lends and advances to the Corporation, and the Corporation borrows and accepts from the Authority (solely from the proceeds of the sale of the Bonds), the net proceeds received from the sale of the Bonds, such proceeds to be applied under the terms and conditions of the Loan Agreement and the Indenture. In consideration of the loan of such proceeds to the Corporation, the Corporation agrees that, on or before the first Business Day of each month and as long as any of the Bonds remain Outstanding, it shall pay to the Trustee for deposit in the Revenue Fund such amount as is required by the Trustee to make the transfers and deposits required on or before the 25th day of such month pursuant to the Indenture. Notwithstanding the foregoing, if five Business Days prior to any interest or principal payment date with respect to the Bonds, the aggregate amount in the Revenue Fund (other than the applicable subaccount of the Bond Reserve Account) is for any reason insufficient or unavailable to make the required payments of principal, Mandatory Sinking Account Payments or Redemption Price of or interest on the Bonds then becoming due (whether by maturity, redemption or acceleration), the Corporation shall forthwith pay the amount of any such deficiency to the Trustee. In addition, the Corporation shall pay (or cause to be paid) to the Trustee for deposit in the applicable subaccount of the Bond Reserve Account in accordance with the Indenture such amount as is required to be deposited in such month to replenish any prior withdrawal from the applicable subaccount of the Bond Reserve Account and shall pay (or cause to be paid) to the Trustee such amount as shall be necessary to increase the applicable subaccount of the Bond Reserve Account to the applicable Bond Reserve Account Requirement in accordance with the provisions set forth in the Indenture in the event that a valuation of the applicable subaccount of the Bond Reserve Account indicates that the amount on deposit in the applicable subaccount of the Bond Reserve Account on the date of valuation is less than 100% of the

applicable Bond Reserve Account Requirement. Each payment by the Corporation to the Trustee under the Loan Agreement (each a “Loan Repayment,” and collectively, the “Loan Repayments”) shall be in lawful money of the United States of America and paid to the Trustee at its Corporate Trust Office and held, invested, disbursed and applied as provided in the Indenture.

Except as otherwise expressly provided in the Loan Agreement, all amounts payable by the Corporation to the Authority under the Loan Agreement shall be paid to the Trustee, as assignee of the Authority, and the Loan Agreement and all right, title and interest of the Authority in any such payments shall be assigned and pledged to the Trustee so long as any Bonds remain Outstanding.

Additional Payments

In addition to the Loan Repayments, the Corporation shall also pay to the Authority or the Trustee, as the case may be, “Additional Payments,” as provided in the Loan Agreement. Such Additional Payments shall be billed to the Corporation by the Authority or the Trustee from time to time, together with a statement certifying the amount billed has been incurred or paid for one or more of the below items. After such a demand, amounts so billed shall be paid by the Corporation within 30 days after receipt of the bill by the Corporation. The obligations of the Corporation under the Loan Agreement shall survive the resignation and removal of the Trustee, payment of the Bonds and discharge of the Indenture.

The Additional Payments to the Authority are:

(a) All taxes and assessments of any type or character charged to the Authority or to the Trustee affecting the amount available to the Authority or the Trustee from payments to be received under the Loan Agreement or in any way arising due to the transactions contemplated by the Loan Agreement (including taxes and assessments assessed or levied by any public agency or governmental authority of whatsoever character having power to levy taxes or assessments) but excluding franchise taxes based upon the capital and/or income of the Trustee and taxes based upon or measured by the net income of the Trustee; provided, however, that the Corporation shall have the right to protest any such taxes or assessments and to require the Authority or the Trustee, at the Corporation’s expense, to protest and contest any such taxes or assessments levied upon them and that the Corporation shall have the right to withhold payment of any such taxes or assessments pending disposition of any such protest or contest unless such withholding, protest or contest would adversely affect the rights or interests of the Authority or the Trustee;

(b) All reasonable and documented fees, costs and charges of the Authority identified in the Loan Agreement, including reasonable and documented fees and expenses of attorneys, accountants, consultants and other experts, incurred in good faith and arising out of or in connection with the Financing Documents (as defined below), the Bonds or the Indenture;

(c) The reasonable and documented fees and expenses of such accountants, consultants, attorneys and other experts as may be engaged by the Authority to prepare audits, financial statements, reports, opinions or provide such other services required under the Loan Agreement, the Department Documents, the Tax Agreement and the Continuing Disclosure Agreement (collectively, the “Financing Documents”) or the Indenture;

(d) The issuance fee and annual fee of the Authority and the reasonable and documented fees and expenses of the Authority or any agent or attorney selected by the Authority to act on its behalf in connection with the Financing Documents, the Bonds or the Indenture, including, without limitation, any and all reasonable and documented expenses incurred in connection with the authorization, issuance, sale

and delivery of any such Bonds or in connection with any litigation, investigation or other proceeding which may at any time be instituted involving the Loan Agreement, the Financing Documents, the Bonds or the Indenture or any of the other documents contemplated thereby, or in connection with the reasonable supervision or inspection of the Corporation, its properties, assets or operations or otherwise in connection with the administration of the Financing Documents;

(e) Any amounts due and payable by the Corporation as arbitrage rebate under Section 148 of the Code, pursuant to the Corporation's covenants and agreements with respect thereto in the Financing Documents; and

(f) All other reasonable, documented and necessary fees and expenses attributable to the Bonds, the Loan Agreement, or related documents, including without limitation all payments required pursuant to the Tax Agreement.

The Additional Payments to the Trustee are:

(a) All taxes and assessments of any type or character charged to the Trustee affecting the amount available to the Trustee from payments to be received under the Loan Agreement or in any way arising due to the transactions contemplated thereby (including taxes and assessments assessed or levied by any public agency or governmental authority of whatsoever character having power to levy taxes or assessments); provided, however, that the Corporation shall have the right to protest any such taxes or assessments and to require the Trustee, at the Corporation's expense, to protest and contest any such taxes or assessments levied upon them and that the Corporation shall have the right to withhold payment of any such taxes or assessments pending disposition of any such protest or contest unless such withholding, protest or contest would adversely affect the rights or interests of the Trustee and the Corporation has provided the Trustee with security and indemnification reasonably deemed adequate by the Trustee in respect of such affected rights or interests;

(b) All reasonable and documented fees and expenses of accountants, consultants, attorneys and other experts as may be engaged by the Trustee to prepare audits, financial statements, reports, opinions or provide such other services required under the Loan Agreement or the Indenture;

(c) All reasonable and documented fees, costs and charges of the Trustee identified in the Loan Agreement, including reasonable fees and expenses of attorneys, accountants, consultants and other experts, incurred in good faith and without negligence and arising out of or in connection with the Financing Documents, the Bonds or the Indenture; and

(d) All other reasonable, documented and necessary fees and expenses attributable to the Bonds, the Loan Agreement, or related documents, including without limitation all payments required pursuant to the Tax Agreement.

Security For Corporation's Obligations

In consideration of the issuance of the Bonds by the Authority and the loan of the proceeds thereof to the Corporation and to secure the payment of Loan Repayments and Additional Payments and the performance of the other obligations of the Corporation under the Loan Agreement, the Corporation pledges and grants a security interest (subject to Permitted Encumbrances) to the Trustee and the Department, as their interests may appear, in the Facilities. The Corporation will enter into the Deed of Trust to further secure the Corporation's obligations under the Loan Agreement. The Corporation agrees to execute and cause to be filed and to deliver such other documents (including, but not limited to, deposit account control agreements) as the Authority, the Department or the Trustee may reasonably require in

order to perfect or maintain as perfected such security interest or give public notice thereof. The Deed of Trust, pursuant to its terms, may be amended and property released therefrom upon written notice to the Trustee with the consent of the Department without the necessity of obtaining the consent of the Authority, the Trustee or the Bondholders.

Obligations of the Corporation Unconditional

The obligations of the Corporation under the Loan Agreement are absolute and unconditional, notwithstanding any other provision of the Loan Agreement or the Indenture. Until the Loan Agreement is terminated and all payments under the Loan Agreement are made, the Corporation: (i) will pay all amounts required under the Loan Agreement without abatement, deduction or setoff except as otherwise expressly provided in the Loan Agreement; (ii) will not suspend or discontinue any payments due under the Loan Agreement for any reason whatsoever, including, without limitation, any right of setoff or counterclaim; (iii) will perform and observe all its other agreements contained in the Loan Agreement; and, (iv) except as provided in the Loan Agreement, will not terminate the Loan Agreement for any cause including, without limiting the generality of the foregoing, damage, destruction or condemnation of the Facilities or any part thereof, commercial frustration of purpose, any change in the tax or other laws of the United States of America or of the State, or any political subdivision of either thereof or any failure of the Authority or the Trustee to perform and observe any agreement, whether express or implied, or any duty, liability or obligation arising out of or connected with the Loan Agreement.

Prepayment

The Corporation shall have the right, so long as all amounts that have theretofore become due under the Loan Agreement have been paid, at any time or from time to time to prepay all or any part of the Loan Repayments, and the Authority agrees that the Trustee shall accept such prepayments when the same are tendered. All such prepayments shall be deposited upon receipt in the Redemption Fund established under the Indenture and used for the redemption or purchase of Outstanding Bonds in the manner and subject to the terms and conditions set forth in the Indenture. The Corporation also shall have the right to surrender Bonds acquired by it in any manner whatsoever to the Trustee for cancellation, and such Bonds, upon such surrender and cancellation, shall be deemed to be paid and retired, and allocated as set forth in the Indenture; and principal and interest otherwise payable on such Bonds shall be credited against Loan Repayments. Notwithstanding any such prepayment or surrender of Bonds, as long as any Bonds remain Outstanding or any Additional Payments remain unpaid, the Corporation shall not be relieved of its obligations under the Loan Agreement.

Limitation on Indebtedness

The Corporation shall not incur any indebtedness or financial obligations, including without limitation, by borrowing money, by assuming or guaranteeing the obligations of others, and by entering into installment purchase contracts or leases required to be capitalized in accordance with generally accepted accounting principles, provided, however, that notwithstanding the foregoing provision, the Corporation may incur the following: (i) obligations and liabilities under the Loan Agreement, the Regulatory Agreement or the Indenture, including any supplements or amendments thereto; (ii) obligations and liabilities permitted under the Regulatory Agreement; and (iii) any other indebtedness or obligations of the Corporation approved in writing by the Department.

Tax Covenant

The Corporation covenants and agrees that it will at all times do and perform all acts and things permitted by law and the Loan Agreement which are necessary in order to assure that interest paid on the

Series 2023A Bonds and the Series 2023B Bonds will be excluded from gross income for federal income tax purposes and will take no action that would result in such interest not being so excluded. Without limiting the generality of the foregoing, the Corporation agrees to comply with the provisions of the Tax Agreement. This covenant shall survive payment in full or defeasance of the Series 2023A Bonds and the Series 2023B Bonds.

Continuing Disclosure

In the Loan Agreement, the Corporation covenants and agrees to comply with and carry out all of the provisions of the Continuing Disclosure Agreement. Notwithstanding any other provision of the Loan Agreement, failure of the Corporation to comply with the Continuing Disclosure Agreement shall not be considered a Loan Default Event; however, the Trustee, at the written request of any Participating Underwriter or the Holders of at least 25% aggregate principal amount of Bonds Outstanding, shall, but only to the extent the Trustee is indemnified to its satisfaction from and against any cost, liability or expense related thereto, including, without limitation, reasonable and documented fees and expenses of its attorneys and advisors and its additional fees and expenses, or any Holder or Beneficial Owner of the Bonds may, take such actions as may be necessary and appropriate, including seeking mandate or specific performance by court order, to cause the Corporation to comply with its obligations under the provisions of the Loan Agreement described in this paragraph.

Loan Default Events

The following events shall be “Loan Default Events:”

(a) If the Corporation shall fail to pay any Loan Repayments on or before the day such Loan Repayments are due and payable;

(b) If any representation or warranty made by the Corporation in the Loan Agreement or in any document, instrument or certificate furnished to the Trustee or the Authority in connection with the issuance of the Bonds shall at any time prove to have been incorrect in any material respect as of the time made;

(c) If the Corporation shall fail to observe or perform any covenant, condition, agreement or provision in the Loan Agreement or the Regulatory Agreement on its part to be observed or performed, other than as referred to in paragraph (a) of this caption, or shall breach any warranty by the Corporation contained in the Loan Agreement, for a period of 60 days after written notice, specifying such failure or breach and requesting that it be remedied, has been given to the Corporation by the Authority, the Trustee or the Department; except that, if such failure or breach can be remedied but not within such 60-day period and if the Corporation has taken all action reasonably possible to remedy such failure or breach within such 60-day period, such failure or breach shall not become a Loan Default Event for so long as the Corporation shall diligently proceed to remedy the same in accordance with and subject to any directions or limitations of time established by the Trustee or the Department;

(d) If the Corporation shall abandon the Facilities, or any substantial part thereof, and such abandonment shall continue for a period of 60 days after written notice thereof shall have been given to the Corporation by the Authority, the Trustee or the Department;

(e) If any default shall exist under any agreement respecting Long-Term Indebtedness (other than Parity Debt) and if, as a result thereof, Long-Term Indebtedness in an aggregate principal amount in excess of 10% of the Corporation’s Adjusted Annual Operating Revenues shall be declared immediately due and payable or a proceeding is brought for enforcement thereof; provided,

however, that a Loan Default Event shall not exist under this clause (e) if the Corporation establishes reserves or obtains a surety bond acceptable to the Department for the payment of such Long-Term Indebtedness which, in the opinion of the Department, are adequate or (ii) sets aside 100% of the payments then due on such Long-Term Indebtedness in a separate fund or with an escrow agent until any dispute as to the amount due has been resolved;

(f) If any default shall exist under any instrument pursuant to which Parity Debt was issued and is Outstanding, and such default shall continue after the applicable grace period;

(g) If the Corporation files a petition in voluntary bankruptcy, for the composition of its affairs or for its corporate reorganization under any state or federal bankruptcy or insolvency law, or makes an assignment for the benefit of creditors, or admits in writing to its insolvency or inability to pay debts as they mature, or consents in writing to the appointment of a trustee or receiver for itself or for the whole or any substantial part of the Facilities;

(h) If a court of competent jurisdiction shall enter an order, judgment or decree declaring the Corporation an insolvent, or adjudging it bankrupt, or appointing a trustee or receiver of the Corporation or of the whole or any substantial part of the Facilities, or approving a petition filed against the Corporation seeking reorganization of the Corporation under any applicable law or statute of the United States of America or any state thereof, and such order, judgment or decree shall not be vacated or set aside or stayed within 60 days from the date of the entry thereof;

(i) If, under the provisions of any other law for the relief or aid of debtors, any court of competent jurisdiction shall assume custody or control of the Corporation or of the whole or any substantial part of the Facilities, and such custody or control shall not be terminated within 60 days from the date of assumption of such custody or control; or

(j) If any Event of Default under the Indenture shall occur.

Remedies on Default

If a Loan Default Event shall occur, then, and in each and every such case during the continuance of such Loan Default Event, the Trustee on behalf of the Authority, subject to the limitations in the Indenture as to the enforcement of remedies and subject to the Trustee's rights and protections under the Indenture, may, with the consent of the Department (so long as the Contract of Insurance is in full force and effect and the Department is not in default thereunder) take any one or more of the following remedial steps subject to applicable law:

(a) The Trustee may, upon notice in writing to the Corporation, declare all installments of Loan Repayments and Additional Payments payable for the remainder of the term of the Loan Agreement to be immediately due and payable, whereupon the same shall be immediately due and payable, anything in the Loan Agreement to the contrary notwithstanding; "all installments" as used in this paragraph (a) shall mean an amount equal to the entire principal amount of the then Outstanding Bonds, together with any applicable redemption premiums and all interest accrued or to accrue on and prior to the next succeeding redemption date or dates on which the Bonds can be redeemed after giving notice to the Holders thereof as required by the Indenture (less moneys available for such purposes then held by the Trustee) plus any other payments due or to become due under the Loan Agreement, including, without limitation, any unpaid fees and expenses of the Trustee which are then due or will become due prior to the time that the Bonds are paid in full and the trust established by the Indenture is terminated.

(b) The Trustee may take whatever action, at law or in equity, as may appear necessary or desirable to collect the Loan Repayments, Additional Payments and any other payments then due and thereafter to become due under the Loan Agreement or to enforce the performance and observance of any obligation, covenant, agreement or provision contained in the Loan Agreement to be observed or performed by the Corporation.

(c) The Authority or the Trustee shall have all the rights and remedies of a secured party or creditor under the Uniform Commercial Code of the State of California, and the general laws of the State of California, with respect to the enforcement of the security interests granted or reserved under the Loan Agreement, including without limitation to the extent permitted by law the right to require that all or a portion of the Gross Revenues be assembled and delivered to the Trustee and the Trustee may, to the extent permitted by law, impound books and records evidencing the Corporation's accounts, accounts receivable and other similar claims for the payment of money and take possession of all notes and other documents which evidence such accounts, accounts receivable and claims for money and give notice to obligors thereunder of its interest in Gross Revenues and make direct collections on such accounts, accounts receivable and claims for money.

(d) The Authority or the Trustee may take whatever legal action may appear necessary or desirable to enforce their rights and the rights of the Holders of the Bonds under the Deed of Trust.

(e) With regard to the Deed of Trust, the exercise of any remedies are subject to the provisions of the Indenture described above under the caption "INDENTURE— Events of Default under the Indenture and Remedies—Additional Requirements Concerning Foreclosure."

Loan Agreement Represents Complete Agreement; Amendments

The Loan Agreement represents the entire contract between the parties. The Loan Agreement may not be effectively amended, changed, modified, altered or terminated except by the written agreement of the Corporation and the Authority and the concurring written consent of the Trustee and the Department, given in accordance with the provisions of the Indenture.

REGULATORY AGREEMENT

General

The Regulatory Agreement is an agreement among the Department, the Authority and the Corporation to establish the requirements of the Department with respect to certain details of the financing transaction. The Regulatory Agreement also sets out certain business covenants of the Corporation, including maintenance, operation and management of the Facilities and limitations on encumbrances, assignment and transfer of any part of the Facilities and other matters. The Regulatory Agreement also provides for the rights and obligations of the parties in the event of a default and provides for the manner in which the benefits of the insurance are to be paid. Although certain provisions of the Regulatory Agreement are summarized below, this summary does not purport to be complete or definitive and is qualified in its entirety by reference to the full terms of the Regulatory Agreement.

Security of Gross Revenues Pledged and Deed of Trust

The performance of the obligations of the Corporation to the Department under the Regulatory Agreement and the Contract of Insurance is secured by, among other things, the Gross Revenues pledged by the Corporation under the Regulatory Agreement, and by the lien on the Facilities created by the Deed

of Trust and the Insurance Law. The Corporation covenants and agrees that the lien of the Deed of Trust shall be subject only to liens, conditions, covenants and restrictions, easements, taxes and assessments of record approved by the Department as exceptions to the ALTA title insurance policy identified in the Regulatory Agreement, and Permitted Encumbrances.

Use of Proceeds of Bonds

The proceeds of the Bonds shall be used exclusively by the Corporation to finance the Project and to pay the insurance premium and other expenses related to the execution and issuance of the Bonds.

Negative Covenants

The Corporation shall not, without the prior written consent of the Department, among other things: (a) alter the Facilities (except in the ordinary course of business); (b) pay officers or directors other than in their capacities as officers, directors, employees, contractors or suppliers of the Corporation or the reimbursement of ordinary out-of-pocket expenses; (c) amend the Corporation's articles of incorporation or bylaws in any material respect; (d) except for affiliations or contracts with public agencies, health maintenance organizations and other health care plans and providers entered into by the Corporation in its ordinary course of business, subject to the limited exceptions set forth in the Regulatory Agreement, establish, maintain or affiliate with a Person in conjunction with which the Corporation will carry on its activities, transfer control of any of the Facilities, or assume the management or control of any other Person; (e) cease to operate the Facilities as a "health facility" as defined in the Insurance Law, except to the extent permitted by the Insurance Law; or (f) amend any architectural or construction contract for the Project except for customary change orders for which moneys are available in the Project Fund, as established in the Indenture.

Maintenance of the Facilities

The Corporation shall maintain the Facilities in good and substantial repair and condition; provided that, in the event all or any of the Facilities shall be destroyed or damaged by fire or other casualty, the money derived from any insurance on the property shall be applied in accordance with the terms of the Regulatory Agreement and the Indenture.

Bankruptcy; Insolvency; Receiver

The Corporation shall not file any petition in bankruptcy or in insolvency, or for a receiver or reorganization or composition; or make any assignment for the benefit of creditors or to a trustee for creditors; or permit an adjudication in bankruptcy, the taking possession of the Facilities or any part thereof by a receiver, or the seizure and sale of the Facilities or any part thereof under judicial process or pursuant to any power of sale (except as provided in the Deed of Trust) and fail to have such adverse actions set aside within 45 days.

The Corporation immediately shall give notice to the Department of the filing of any petition, or commencement of any proceedings, in bankruptcy, or for a receiver or insolvency or for reorganization or composition, or any assignment for the benefit of creditors to a trustee for the benefit of creditors, relating to the Corporation or the Facilities.

If the Corporation, or its creditors, file a petition alleging insolvency, requesting reorganization or a composition of creditors, or for an assignment for the benefit of creditors, in any court, the Department shall have the right to participate in, or vote on, any plan or reorganization, agreement for a composition

of creditors and on any assignment for the benefit of creditors. If there is a proceeding to effect a receivership for the Corporation, the Department shall have the right to select the receiver.

So long as the Contract of Insurance is in full force and effect and the Department is not in default thereunder, the Department shall represent the holders in all bankruptcy proceedings and may take such action or consent to any agreement on behalf of holders, provided that any such action or consent shall in no way impair the rights and benefits due holders under the Contract of Insurance.

Maintenance of Existence; Affiliation, Merger, Consolidation Sale or Transfer Under Certain Conditions

The Corporation shall maintain its existence as a nonprofit public benefit corporation of the State, operating a health facility and meeting the requirements of Section 501(c)(3) of the Code, and shall not dissolve, sell or otherwise dispose of all or substantially all of its assets or affiliate with, consolidate with or merge into another Person or permit one or more other Persons to affiliate with, consolidate with or merge into it; provided, that the Corporation may, without violating the covenants contained in the Regulatory Agreement, affiliate with, consolidate with or merge into another Person, or permit one or more other Persons to affiliate with, consolidate with or merge into it, or sell or otherwise transfer to another Person such assets, if:

(1) The Corporation obtains the written consent of the Department to such transaction and a Statement of the Department to the effect that the Contract of Insurance remains in full force and effect after such transaction;

(2) The Department, the Authority, and the Trustee shall have received an Opinion of Bond Counsel to the effect that such affiliation, merger, consolidation, sale or other transfer will not cause the interest on the Bonds to be included in gross income for federal income tax purposes under Section 103 of the Code;

(3) The surviving, resulting or transferee Person: (a) assumes in writing, if such Person is not the Corporation, all of the obligations of the Corporation under the Regulatory Agreement, the Loan Agreement and the Contract of Insurance, and agrees to fulfill and comply with the terms, covenants and conditions thereof; and further consents to the terms of the Indenture; (b) is not, after such transaction, otherwise in default under any provision of the Regulatory Agreement, the Loan Agreement or the Indenture; (c) is an organization meeting the requirements of section 501(c)(3) of the Code or a corresponding provision of the federal income tax laws then in effect; and (d) shall have net assets at least equal to the net assets of the Corporation prior to such transaction;

(4) The Trustee and the Department shall have received the report of a Management Consultant to the effect that Net Income Available for Debt Service of the surviving, resulting or transferee Person (after giving effect to such merger, consolidation, sale or other transfer) for each of the first two full Fiscal Years following such merger, consolidation, sale or other transfer is projected to be not less than the greater of Net Income Available for Debt Service of the Corporation for each of the two most recent Fiscal Years for which audited financial statements are available, as certified by an Accountant;

(5) The Trustee, the Authority and the Department shall have received a report of an Accountant to the effect that the net worth of the surviving, resulting or transferee Person, after giving effect to such merger, consolidation, sale or other transfer, is at least equal to 100% of the net worth of the Corporation immediately prior to such merger, consolidation, sale or other transfer; and

(6) The Trustee, the Authority, and the Department shall have received an Opinion of Counsel to the effect that the Loan Agreement, the Contract of Insurance and the Regulatory Agreement constitute the legal, valid and binding obligations of the surviving, resulting or transferee Person, as the case may be, enforceable against such Person in accordance with their respective terms.

Notwithstanding the foregoing, the Corporation may, without complying with the provisions described above in this section, transfer substantially all of its assets to an Affiliate provided that:

(1) The Corporation obtains the written consent of the Department to such transaction and the Contract of Insurance remains in full force and effect after such transaction;

(2) The Department, the Authority, and the Trustee shall have received an Opinion of Bond Counsel to the effect that such proposed transfer(s) will not cause the interest on the Bonds to be included in the gross income for federal income tax purposes under Section 103 of the Code;

(3) Such Affiliate agrees to become a co-obligor and jointly and severally liable with the Corporation under the Regulatory Agreement, the Contract of Insurance and the Loan Agreement; and

(4) After such transaction, the Corporation and the Affiliate are in compliance with the provisions of the Regulatory Agreement and the Loan Agreement.

In the event of such a transfer to an Affiliate, references in the Regulatory Agreement to Indebtedness of the Corporation shall apply to the combined Indebtedness of the Corporation and the Affiliate, and references to the financial condition or forecasted results of operations of the Corporation shall apply to the consolidated financial condition or results of operations of the Corporation and the Affiliate.

If an affiliation, merger, consolidation, sale or other transfer is effected, as described under this caption, the provisions described under this caption shall continue in full force and effect, and no further affiliation, merger, consolidation, sale or transfer shall be effected except in accordance with such provisions.

Rates and Charges; Debt Coverage; Current Ratio; Days Cash on Hand

(A) The Corporation shall operate the Facilities as a revenue producing health facility. The Corporation shall fix, charge and collect, or cause to be fixed, charged and collected, subject to applicable requirements or restrictions imposed by law, such rates, fees and charges which, together with all other receipts and revenues of the Corporation and any other funds available therefor, are reasonably projected to be sufficient in each Fiscal Year, commencing in the Fiscal Year ending September 30, 2023, to produce a Debt Service Coverage Ratio of at least 1.25:1.0 for such Fiscal Year.

(B) The Corporation shall maintain, as of the end of each Fiscal Year, commencing in the Fiscal Year ending September 30, 2023, a Current Ratio of at least 1.50:1.0 for such Fiscal Year.

(C) The Corporation shall maintain, as of the end of each Fiscal Year, commencing in the Fiscal Year ending September 30, 2023, at least 150 Days Cash on Hand, as shown on the Corporation's audited financial statements for such Fiscal Year.

(D) Within 120 days after the end of each Fiscal Year, the Corporation shall compute (1) the Debt Service Coverage Ratio, (2) the Current Ratio and (3) the Days Cash on Hand for such Fiscal Year

and promptly furnish to the Authority, the Trustee and the Department a Statement setting forth the results of such computation.

The Corporation further covenants and agrees that if at the end of such Fiscal Year, (i) Debt Service Coverage Ratio shall have been less than the amount required by subsection (A) described above, (ii) the Current Ratio shall have been less than the amount required by subsection (B) described above, or (iii) the Days Cash on Hand shall have been less than the amount required by subsection (C) described above, the Corporation will promptly employ a Management Consultant to make recommendations as to a revision of the rates, fees and charges of the Corporation or the methods of operation of the Corporation which will result in producing (x) a Debt Service Coverage Ratio of at least equal to the amount required by subsection (A) described above, (y) a Current Ratio of at least the amount required by subsection (B) described above in the current Fiscal Year; and (z) Days Cash on Hand of at least the amount required by subsection (C) described above in the current Fiscal Year; provided, however, the Corporation need not so employ a Management Consultant if the Department consents, in writing, to a waiver of said covenant to employ a Management Consultant. Copies of the recommendations of the Management Consultant shall be filed with the Authority, the Trustee and the Department. The Corporation shall, to the extent feasible, promptly upon its receipt of such recommendations, subject to applicable requirements or restrictions imposed by law, revise its rates, fees and charges or its methods of operation or collections and shall take such other action as shall be in conformity with such recommendations; provided, however, the Corporation need not make such revisions or take such actions in conformity with such recommendations if (1) the Board makes a good faith determination that such recommendations, in whole or in part, are not in the best interests of the Corporation, and (2) the Department gives its written consent to the effect that the Corporation need not comply, in whole or in part, with such recommendations. In the event that the Corporation fails to comply with the recommendations of the Management Consultant, the Department may replace existing management with new management, which shall be chosen unilaterally by the Department.

If the Corporation complies in all material respects with the reasonable recommendations of the Management Consultant in respect to said rates, fees, charges and methods of operation or collection, the Corporation will be deemed to have complied with the covenants set forth in the Regulatory Agreement and described herein for such Fiscal Year, notwithstanding that the Debt Service Coverage Ratio, the Current Ratio or the Days Cash on Hand shall be less than the amount required under subsections (A), (B) or (C) above; provided, that (1) this sentence shall not be construed as in any way excusing the Corporation from taking any action or performing any duty required under the Regulatory Agreement or be construed as constituting a waiver of any other event of default under the Regulatory Agreement and (2) the Debt Service Coverage Ratio shall be at least equal to 1.0 for such Fiscal Year.

(E) Notwithstanding the foregoing, the Corporation may permit the rendering of service at, or the use of, the Facilities without charge or at reduced charges, at the discretion of the Board, to the extent necessary for maintaining its tax-exempt status or to establish or maintain its eligibility for grants, loans, subsidies or payments from the United States of America, any instrumentality thereof, or the State or any political subdivision or instrumentality thereof, or in compliance with any recommendation for free services that may be made by the Management Consultant.

Limitation on Encumbrances

The Corporation shall not create, assume or suffer to exist and shall immediately satisfy or release any mortgage, deed of trust, pledge, security interest, encumbrance, lien, attachment or charge of any kind (including the charge upon property purchased under conditional sales or other title retention agreements) upon the Facilities or the Gross Revenues; provided, however, that notwithstanding the foregoing provision, the Corporation may create, assume or suffer to exist Permitted Encumbrances.

Limitation on Indebtedness

The Corporation shall not incur any Indebtedness or financial obligations, including without limitation, by borrowing money, by assuming or guaranteeing the obligations of others, and by entering into installment purchase contracts or leases required to be capitalized in accordance with generally accepted accounting principles, except the Corporation may incur the following:

1. Obligations and liabilities under the Regulatory Agreement, the Loan Agreement or the Indenture, including any supplements or amendments thereto or thereto in connection with the issuance of any additional series of Bonds;

2. Contractual liabilities (other than liabilities for borrowed money or liabilities which would otherwise be considered Indebtedness under generally accepted accounting principles) incurred in the ordinary course of business for which moneys are available;

3. Short-Term Indebtedness with the prior written consent of the Department and provided that no amount of Short-Term Indebtedness shall be outstanding for a period of 30 consecutive days during each Fiscal Year. The aggregate amount incurred by the Corporation under the provisions of the Regulatory Agreement described in this subsection shall not exceed at the time of incurrence 10% of the Corporation's Adjusted Annual Operating Revenues for the most recent Fiscal Year for which audited financial statements are available;

4. Liabilities for contributions to self-insurance programs;

5. Long-Term Indebtedness (which may be Parity Debt) incurred for the purpose of refinancing outstanding Long-Term Indebtedness provided that (a) the Department has consented in writing to the incurring of such Indebtedness, and (b) the issuance of such Long-Term Indebtedness does not increase Maximum Aggregate Annual Debt Service by more than 10%, as certified by a written report of an Accountant which shall be filed with the Authority, the Trustee and the Department prior to such transaction;

6. Long-Term Indebtedness (which may be Parity Debt), provided that:

(a) the Department has consented in writing to the incurring of such Indebtedness; and

(b) (1) the Debt Service Coverage Ratio, as certified by a written report of an Accountant which shall be filed with the Trustee and the Department for the most recent Fiscal Year for which audited financial statements are available immediately preceding the date of incurrence of such Long-Term Indebtedness, was at least equal to 1.25 on all outstanding Long-Term Indebtedness and the Long-Term Indebtedness proposed to be incurred, or (2) (a) the Debt Service Coverage Ratio, as certified by a written report of an Accountant which shall be filed with the Trustee and the Department for the most recent Fiscal Year for which audited financial statements are available immediately preceding the date of incurrence of such Long-Term Indebtedness, was at least equal to 1.25 on all Long-Term Indebtedness then outstanding; and (b) the Debt Service Coverage Ratio, as shown in a written feasibility report prepared by a Management Consultant and filed with the Trustee, the Authority and the Department prior to such transaction, for each of the first two Fiscal Years following the incurrence of such Long-Term Indebtedness (or, if such Long-Term Indebtedness is incurred to finance additional facilities, in each of the first three Fiscal Years following the Fiscal Year when it is proposed that such facilities

will be completed and placed in service) is forecasted to be at least 1.25 on all Long-Term Indebtedness proposed to be outstanding at the end of each such Fiscal Year;

7. Long-Term Indebtedness (which may be Parity Debt), incurred to complete a project if the Board certifies that the Corporation cannot complete such project unless such Long-Term Indebtedness is incurred, provided that (a) the Department has consented in writing to the incurring of such Indebtedness; and (b) the aggregate principal amount of such Indebtedness does not exceed 10% of the principal amount of Long-Term Indebtedness incurred to finance such project;

8. Long-Term Indebtedness (excluding Parity Debt), provided that (a) the Department has consented in writing to the incurring of such Indebtedness; and (b) the aggregate amount incurred by the Corporation under the provisions of the Regulatory Agreement described in this paragraph, paragraph 3 and paragraph 9 and then outstanding shall not exceed at the time of incurrence 10% of the Corporation's Adjusted Annual Operating Revenues for the most recent Fiscal Year for which audited financial statements are available;

9. Liabilities under capitalized lease agreements for the lease of, or Indebtedness for money borrowed or liabilities under instruments evidencing deferred payment arrangements for the purchase of, equipment, tangible personal property or real property; provided that the aggregate amount incurred by the Corporation under the provisions of the Regulatory Agreement described in this paragraph, paragraph 3 and paragraph 8 above and then outstanding shall not exceed at the time of incurrence 10% of the Corporation's Adjusted Annual Operating Revenues for the latest Fiscal Year for which audited financial statements are available;

10. Non-recourse Indebtedness, provided that the Department has approved in writing the incurrence of such Indebtedness and such Indebtedness does not encumber the Facilities;

11. Repayment obligations under reimbursement or similar agreements with banks or insurance companies relating to letters or lines of credit or other credit facilities used to secure Long-Term Indebtedness;

12. Indebtedness, not for borrowed money, incurred in the ordinary course of business; and

13. Any Indebtedness or obligations of the Corporation consented to in writing by the Department.

Limitations on Disposition of Property

Disposition of Cash. The Corporation shall not dispose of any cash or cash equivalents unless the disposition is made in the ordinary course of business, and: (1) the Corporation receives an asset or service of reasonably equivalent value for such cash or cash equivalents; or (2) prior to such disposition, there is filed with the Department, the Authority and the Trustee a Statement of the Corporation, which Statement is satisfactory to the Department, to the effect that, either (a) the Debt Service Coverage Ratio for the most recent Fiscal Year for which audited financial statements are available next preceding such disposition would not be reduced or, if reduced, would not be reduced below a ratio of 2.0:1.0 (such calculation to be made assuming such disposition had occurred at the beginning of such Fiscal Year), or (b) the average Debt Service Coverage Ratio, as forecasted in such Statement of the Corporation for the

two Fiscal Years immediately following such disposition, will be not less than a ratio of 2.0:1.0; and (c) such disposition has been consented to by the Department in writing.

Disposition of Real Property. The Corporation shall not sell, lease, sublease, assign, transfer, encumber or otherwise dispose of all or any part or parts of the real property described in the Regulatory Agreement, including the buildings and structures thereon and fixtures and improvements of such real property, without the prior written consent of the Department.

Disposition of Personal Property. The Corporation shall not sell, lease, sublease, assign, transfer, encumber or otherwise dispose of all or any part or parts of the Facilities not included in the preceding paragraphs, other than in the “ordinary course of business,” unless the Department gives its prior written consent to such disposition. “Ordinary course of business” shall be defined during the term of the Regulatory Agreement by the Department in the exercise of its sound and reasonable discretion, by the Department giving written notice thereof to the Corporation, which determination will become effective on receipt of such notice by the Corporation.

Except as provided pursuant to the Regulatory Agreement concerning a disposition of substantially all of the Corporation’s assets, in no event shall the Corporation dispose of any part or parts of its Facilities in any Fiscal Year aggregating in excess of 2-1/2% of the Corporation’s net property, plant and equipment (as shown on the Corporation’s most recent audited financial statements), unless the Department gives its prior written consent to such disposition.

Execution of Releases. In connection with a disposal of property, including cash, as described under this caption, upon receipt of such consent by the Department or Statement of the Corporation required by the Regulatory Agreement, the Department, the Authority, the 2013 Authority and the Trustee shall execute and deliver releases from security interests or other documents reasonably requested by the Corporation.

Limitation on Acquisition of Property, Plant and Equipment

The Corporation shall not acquire additional property, plant and equipment (except (1) in the ordinary course of business, (2) with the proceeds of Indebtedness permitted by the Regulatory Agreement, or (3) as part of a merger or consolidation permitted by the Regulatory Agreement) or (4) by gift (other than gifts of cash or personal property or gifts of real property if either (i) its use is residential or (ii) it is subject of a Phase I report indicating no contaminants), purchase, construction, merger or consolidation, unless the Department gives its prior written consent to such acquisition.

Parity Debt

The Corporation may incur Parity Debt, subject, however to compliance with the provisions of the Regulatory Agreement described above under the caption “—Limitation on Indebtedness,” and subject to the following conditions: (1) the Trustee shall act as trustee for the Parity Debt; (2) the agreement under which Parity Debt is issued shall require that: (a) a Loan Default Event shall constitute an event of default under such agreement and the Regulatory Agreement; (b) rights and obligations of the holders of Parity Debt shall be substantially the same as the rights and obligations of the holders of Bonds under the Indenture, except that if the Parity Debt is not covered under the Contract of Insurance, the holders of Parity Debt shall have no rights under the Contract of Insurance or to payments made with respect thereto; and (c) remedies upon an event of default shall be substantially the same as the remedies provided in the Indenture, the Regulatory Agreement and the Loan Agreement, and, prior to exercising any such remedies, the holders of such Parity Debt (or a trustee representing their interest) shall be required to cooperate with the Trustee to the end that the interests of such holders and the holders of the

Bonds shall be equally protected; (3) any collateral given or to be given to secure Parity Debt shall also secure the Bonds on a pari passu basis; provided that the Debt Service Reserve Account shall only secure the Bonds to the extent provided in the Indenture, and the Corporation may, but need not, establish similar reserve accounts for debt service of Parity Debt; (4) the Parity Debt shall be prepayable in accordance with terms substantially in the form of and under the conditions prescribed in the Indenture or otherwise agreed to by the Department; (5) any Parity Debt shall be insured by the Department under the Insurance Law, or if the Parity Debt can be issued as such without being insured under the Insurance Law, with the consent of the Department; and (6) in the case of any Parity Debt that will not be insured by the Department, the Corporation shall pay any associated legal document review costs incurred by the Department, including fees for outside counsel.

Insurance

The Corporation shall keep the Facilities and their operations adequately insured at all times, and, shall carry and maintain, or cause to be carried and maintained, and will pay, or cause to be paid, in timely fashion the premiums for, at least the coverages specified in the Regulatory Agreement. The coverages and limits may be varied only with the prior written consent of the Department.

The Corporation shall employ a Risk Management Consultant to review the insurance requirements of the Corporation from time to time (but not less frequently than once every 24 months). If the Risk Management Consultant makes recommendations for the increase of any of the coverage required by the Regulatory Agreement, the Corporation shall increase such coverage in accordance with such recommendations, subject to a good faith determination of the Board that such recommendations, in whole or in part, are in the best interests of the Corporation. The Corporation shall have the right, without giving rise to an event of default under the Regulatory Agreement solely on such account; (1) with the prior written consent of the Department, to maintain insurance coverage below that required by the Regulatory Agreement, provided further that the Corporation shall furnish to the Trustee and the Department a Statement of the Risk Management Consultant or other evidence, satisfactory to the Department, that the insurance so provided affords the greatest amount of coverage available for the risk being insured against at rates which in the judgment of the Risk Management Consultant are reasonable in connection with reasonable and appropriate risk management, or (2) with the prior written consent of the Department, to adopt alternative risk management programs which the Board determines to be reasonable and which shall not have a material adverse impact on the Corporation's reimbursement from third-party payers, including, without limitation, to self-insure in whole or in part, to participate in programs of captive insurance companies, to participate with other health care institutions in mutual or other cooperative insurance or other risk management programs, to participate in state or federal insurance programs, to take advantage of state or federal laws now or hereafter in existence limiting medical and malpractice liability or to establish or participate in other alternative risk management programs; all as may be approved in writing as reasonable and appropriate risk management by the Risk Management Consultant. A copy of such approval shall be furnished to the Trustee and the Department.

Title Insurance

The Corporation shall obtain, at its own cost and expense, an ALTA Lender's policy of title insurance, with such endorsements as may be required by the Department, at the time of and dated as of the date of delivery of the Bonds or Parity Debt, in an aggregate amount not less than the aggregate principal amount of the Bonds and Parity Debt to be outstanding after the issuance of such Bonds or Parity Debt, payable to the Department, the Trustee and the Authority, insuring the title of the Corporation to the site of the Facilities, subject only to Permitted Encumbrances, issued by a title insurance company admitted to do business in the State by the Department of Insurance of the State, and which is acceptable to the Department.

Disposition of Insurance and Condemnation Proceeds

The proceeds of property and builders risk insurance maintained by the Corporation pursuant to the Regulatory Agreement, the proceeds of any title insurance, and the proceeds of any condemnation awards with respect to the Facilities, shall be paid immediately upon receipt by the Corporation or other named insured parties to the Trustee, as assignee of the Authority, for deposit in a special fund which the Trustee shall establish and maintain and hold in trust, to be known as the "Insurance and Condemnation Proceeds Fund." In the event the Corporation elects to repair or replace the property damaged, destroyed or taken, it shall furnish to the Trustee and the Department plans of the contemplated repair or replacement, accompanied by a Statement of an architect or other qualified expert satisfactory to the Department estimating the reasonable cost of such repair or replacement and a Statement of the Corporation stating that amounts in one or more of the Insurance and Condemnation Proceeds Fund, together with investment income reasonably expected to be received with respect thereto and any other funds available or reasonably expected to become available therefor (and which the Corporation shall agree to deposit in said funds when so available), shall be sufficient to repair or replace the property damaged, destroyed or taken in accordance with said plans. After deducting therefrom the reasonable charges and expenses of the Trustee in connection with the collection and disbursement of such moneys (including fees and disbursements of counsel), moneys in the Insurance and Condemnation Proceeds Fund shall be disbursed by the Trustee for the purpose of repairing or replacing the property damaged, destroyed or taken in the manner and subject to the conditions set forth in the Indenture to the extent the provisions thereof may reasonably be made applicable. In the event that the proceeds of any loss or damage to or condemnation of the Facilities shall be less than 1-1/2% of the Corporation's Adjusted Annual Operating Revenues (as shown on the Corporation's most recent audited financial statements), and so long as an event of default under the Regulatory Agreement has not occurred and is not then continuing, the Trustee shall pay over such proceeds to the Corporation without requiring any of the documents referred to in the Regulatory Agreement described under this caption and without any formality whatsoever.

In the event the Corporation, with the consent of the Department, shall elect not to repair or replace the property damaged, destroyed or taken, as provided in the provisions of the Regulatory Agreement described in the paragraph above, the Trustee shall transfer all amounts in the Insurance and Condemnation Proceeds Fund on account of such damage, destruction or condemnation to the Redemption Fund (established under the Indenture) in order to prepay the Loan Repayments and redeem the Bonds; provided that if any Parity Debt is then outstanding, any such transfer from the Insurance and Condemnation Proceeds Fund shall be deposited in part in the Redemption Fund and in part in such other fund or account as may be appropriate (and used for the retirement of such Parity Debt) in the same proportion which the aggregate principal amount of Outstanding Bonds then bears to the aggregate unpaid principal amount of such Parity Debt.

If all amounts in the Insurance and Condemnation Proceeds Fund and any special redemption account for the retirement of Parity Debt exceed 1-1/2% of the Corporation's Adjusted Annual Operating Revenues (as shown on the Corporation's most recent audited financial statements) but are not sufficient to retire all Bonds then outstanding, the Trustee shall not transfer said amounts to the Redemption Fund and the respective special redemption accounts unless the Corporation shall file with the Trustee a report of a Management Consultant showing that projected Net Income Available for Debt Service will be sufficient to pay Aggregate Debt Service for the three full Fiscal Years immediately following such transfer after giving effect to the retirement of such Bonds and Parity Debt. In the event such report of a Management Consultant shows that projected Net Income Available for Debt Service will not be sufficient to pay Aggregate Debt Service for the three full Fiscal Years immediately following such transfer after giving effect to the retirement of such Bonds and Parity Debt, the Corporation shall apply all amounts in the Insurance and Condemnation Proceeds Fund to the repair or replacement of the property

damaged, destroyed or taken, as provided in the first paragraph under this caption, unless the Corporation shall file a further report of a Management Consultant showing that even after making such repair and replacement, projected Net Income Available for Debt Service will not be sufficient to pay Aggregate Debt Service for the three Fiscal Years immediately following such repair and replacement, in which event the Trustee shall transfer all moneys in the Insurance and Condemnation Proceeds Fund to the Redemption Fund and/or such other trust account for the retirement of Bonds and Parity Debt, as provided in the second paragraph under this caption.

Certain Covenants Relating to Operations

Indebtedness on Loan Default Event. During the continuance of a default under the Regulatory Agreement, a Loan Default Event under the Loan Agreement or an Event of Default under the Indenture, the Corporation shall not incur any additional Indebtedness or make any additional capital acquisition without the prior written consent of the Department.

Lien on Future Acquired Real Property. If the Corporation acquires any real property to be used or usable in connection with the operation of the Corporation while the Regulatory Agreement is in effect, such acquired real property ("Acquired Property") shall be deemed to fall within the definition of Facilities and therefore shall be subject to the Regulatory Agreement. The Corporation shall convey a security interest (which need not give the Department a first lien position) in the Acquired Property for the benefit of the Department under the Deed of Trust, unless such requirement is waived in writing by the Department.

Default; Remedies Upon Default

Notice and Declaration of a Default. Upon a violation of any of the provisions of the Regulatory Agreement by the Corporation, the Department may give written notice thereof to the Corporation by registered or certified mail, addressed to the address stated in the Regulatory Agreement, or such other address as may subsequently, upon appropriate written notice thereof to the Department, be designated by the Corporation as its legal business address (with a copy to the Trustee). If such violation is not corrected to the satisfaction of the Department within 30 days, or in the event the default is the result of the failure of the Corporation to make a payment required to be made to the Trustee or the result of the loss or threatened loss of the license of the Corporation, then five days, after the date such notice is given, or within such further time as the Department determines, in the Department's sole discretion, is necessary to correct the violation, without further notice the Department may declare a default under the Regulatory Agreement effective on the date of such declaration of default.

Office Directives to the Corporation. Upon an event of default under the Regulatory Agreement, the Deed of Trust, the Indenture or the Loan Agreement, the Department shall have the remedies provided by California Health and Safety Code section 129173, as well as the following: The Department may conduct an evaluation of, and direct the Corporation with respect to, the management and operation of the Facilities and the expenses of the Department or any consultants associated with such evaluation and direction shall be reimbursed by the Corporation. The Corporation shall follow all such directives, which may at the option of the Department include immediately terminating and replacing the existing Management Agent with a new Management Agent selected by the Department at the expense of the Corporation. In the event of any such termination, the Management Agent shall not be entitled to compensation for more than 30 days from the date of such termination. The Department may retain attorneys and consultants to assist in such evaluation and the Corporation shall pay the reasonable fees and expenses of such attorneys and consultants and any other expenses incurred by the Department in that connection. These remedies are in addition to those provided under Insurance Law Section 129173. The Department reserves its rights to exercise all its remedies under Insurance Law Section 129173, including,

but not limited to, subsection (b) wherein the Department may remove and appoint members of the governing body of the Corporation sufficient such that the new members constitute a voting majority of the governing body.

Payment from the Health Facility Construction Loan Insurance Fund. (1) In any case in which an Event of Default under the Indenture shall have occurred and the Trustee shall have given notice to the Department at least 30 days prior to an Interest Payment Date, or principal payment date that: (a) available moneys in the Principal Account and Interest Account held by the Trustee pursuant to the Indenture will be insufficient to pay in full the next succeeding payment of interest and/or principal when due to the holders under the Indenture, and (b) the amount by which the obligation to make such payment exceeds the amount available (the “Shortfall”), the Department shall cause an amount equal to the Shortfall to be deposited into the Principal Account and/or Interest Account at least three Business Days prior to the date on which said payment is due, as provided pursuant to the Indenture described in the following paragraphs (2) and (3).

(2) Said deposit shall be made by the Department directing the Trustee to transfer an amount equal to the Shortfall out of the Debt Service Reserve Account into the Principal Account and/or Interest Account. (However, if there are funds in the Debt Service Reserve Account at the time the Department receives such notice of the Shortfall from the Trustee, nothing contained in the Regulatory Agreement shall prevent the Department from then determining pursuant to Insurance Law Section 129145 that the lender and borrower have exhausted all reasonable means of curing the Event of Default and that it would be in the best interest of the State, the borrower and the lender to pay a portion or all of the Shortfall from the Health Facility Construction Loan Insurance Fund instead of the Debt Service Reserve Account, and from paying such amount from the Health Facility Construction Loan Insurance Fund.)

(3) If the Department, pursuant to Insurance Law Section 129145, determines, in the event the funds in the Debt Service Reserve Fund are insufficient to meet the Shortfall as provided in paragraph (2) above, that (a) the lender and the borrower will have exhausted all reasonable means of curing the Event of Default, and (b) a payment or payments from the Health Facility Construction Loan Insurance Fund to cure the Event of Default is now and will be at the time of the Event of Default in the best interest of the State, the lender and the borrower, then the Department may pay such amount required to meet the Shortfall from the Health Facility Construction Loan Insurance Fund to the Principal Account and/or Interest Account for the benefit of the lender within the time as provided in paragraph (1) above.

(4) Any payment made by the Department from the Health Facility Construction Loan Insurance Fund (“Fund”) shall be secured pursuant to Insurance Law Section 129145 by a pro rata share of the security held by the Trustee through the Deed of Trust and all applicable UCC-1s, and, upon such payment, the Corporation shall become liable for repayment of the amount thereof to the Department upon demand and shall be liable for interest on the unpaid balance thereof at the rate of 10% per annum.

(5) If the principal of all Bonds at the time Outstanding, and the interest accrued thereon have been declared immediately due and payable pursuant to the terms of the Indenture, the Department shall make payment from the Fund, or, if the Fund is insufficient to make such payment, or if the Department determines it to be in the best interest of the State, the Corporation, the Authority and the Department shall request issuance of debentures as provided below under the caption “—Issuance of Debentures.”

Issuance of Debentures. (1) In any case in which (a) the Trustee shall have directed the foreclosure and taking possession of the Facilities under the Deed of Trust and under applicable statutes, (b) the Trustee, with the consent of the Department, shall have otherwise acquired the Facilities from the Corporation after default, (c) the Trustee, with the consent of the Department, shall have assigned to the

Department the security interest created by the Deed of Trust, (d) the Trustee shall have tendered to the Department a satisfactory conveyance of title and transfer of possession of the Facilities directly from the Corporation, or other appropriate grantor, or (e) it has been determined that debentures should be issued as described in the paragraph above under the caption entitled “—Payment from the Health Facility Construction Loan Insurance Fund,” the Trustee shall be entitled to receive the benefit of the insurance as provided in Insurance Law Sections 129125 through 129160, upon (i) the prompt conveyance to the Department of title to the Facilities or, with the consent of the Department, the security interest created by the Deed of Trust, (ii) the assignment to the Department of all claims of the Trustee against the Corporation or others arising out of the sale of the Bonds, the loan transaction or the foreclosure proceedings, except such claims as may have been released with the consent of the Department, and (iii) surrender to the Department of each Bond which has been surrendered to the Trustee.

(2) Upon such conveyance, assignment and surrender, the Department shall request the State Treasurer to issue to the Trustee for the benefit of the holders so surrendered, a debenture or debentures having a total face value of and bearing interest at the rate on the respective surrendered Bonds which they replace and additional debentures equal to all additional amounts due under the Indenture as provided by Insurance Law Sections 129125 through 129160.

Additional Remedies Available to the Department. Notwithstanding any other provision in the Regulatory Agreement or provision of law relating to the acquisition, management or disposal of real property by the State, the Department shall have the power to do any or all of the following: (a) possess, operate, complete, lease, rent, renovate, modernize, insure, or sell for cash or credit, in its sole discretion, any properties conveyed to it in exchange for debentures as provided in the Insurance Law; (b) pursue to final collection by way of compromise or otherwise all claims against the Corporation assigned by the Trustee to the Department; or (c) convey and execute in the name of the Department deeds of conveyance, deeds of release, assignments and satisfactions of the Deed of Trust, and any other written instrument relating to real or personal property or any interest therein acquired by the Department.

Remedies Not Exclusive; No Waiver of Rights. No remedy conferred in the Regulatory Agreement upon or reserved to the Department is intended to be exclusive of any other available remedy or remedies, but each and every such remedy, to the extent permitted by law, shall be cumulative and shall be in addition to every other remedy given under the Regulatory Agreement, Loan Agreement and the Deed of Trust, or now or hereafter existing at law or in equity or otherwise. In order to entitle the Department to exercise any remedy, to the extent permitted by law, reserved to it contained in the Regulatory Agreement, it shall not be necessary to give any notice, unless such notice is expressly required in the Regulatory Agreement.

Capital Replacement

The Corporation shall maintain the Facilities in good and substantial repair and condition. The Corporation shall prepare a long-term capital replacement budget, as required by the Regulatory Agreement, for capital improvements, major remodeling, and for new and replacement items necessary and appropriate to maintain the Facilities for the purposes for which they are or may reasonably be expected to be used. Capital replacement costs may include, but are not limited to, carpet, flooring, roofing, windows, painting exterior and interior, major appliances, cabinets, bathrooms, walkways, fencing, stairways, exterior siding, drainage, sewage, security and alarm systems, HVAC systems, elevators, and fire sprinkler systems for the Facilities. The Corporation shall allocate the required annual budget amount for long-term capital replacement to be used solely for capital replacement costs as they are incurred.

Upon written demand of the Department, the Corporation shall perform or cause to be performed a formal inspection of its Facilities resulting in a written report by a qualified professional recommending replacement and repairs necessary to maintain the Facilities in good and substantial repair and condition. The long-term capital replacement budget shall be revised to reflect the recommended replacement and repairs included in the inspection report. The Corporation shall deliver a copy of its Board approved revised long-term capital replacement budget and the inspection report to the Department. The Corporation shall allocate the revised required annual budget amount for long-term capital replacement to be used solely for capital replacement costs as they are incurred.

Debt Service Coverage Ratio Reporting

Within 45 days after each December 31, March 31, June 30 and September 30 (each three-month period ending on each such date being referred to herein as a “Fiscal Quarter”), commencing with the Fiscal Quarter ending September 30, 2023, the Corporation shall compute the Debt Service Coverage Ratio for the twelve-month period ending on the last day of such Fiscal Quarter (“Running Twelve-Month Period”) and promptly furnish to the Department a Statement setting forth the results of such computation. Commencing in the Fiscal Quarter ending September 30, 2023, if at the end of such Fiscal Quarter the Debt Service Coverage Ratio shall have been less than 1.25 for such Running Twelve-Month Period, the Corporation shall, upon the request of the Department, employ a Management Consultant to make recommendations as to a revision of the rates, fees and charges of the Facilities or the methods of operation of the Facilities which will result in producing a Debt Service Coverage Ratio equal to at least 1.25 by the end of the current Fiscal Year. Copies of the recommendations of the Management Consultant shall be provided to the Department. The Department also may retain attorneys and consultants to assist in an evaluation of the operation and management of the Facilities and the Corporation shall pay the reasonable fees and expenses of such attorneys and consultants and any expenses incurred by the Department in that connection.

DEED OF TRUST

The obligations of the Corporation pursuant to the Loan Agreement, the Regulatory Agreement and the Contract of Insurance are secured by the lien of a Deed of Trust upon the Facilities. With the written consent of the Department and the Corporation, the Deed of Trust may be amended or terminated at any time, without the necessity of obtaining the consent of the Trustee, the Authority or the holders of the Bonds or of Parity Debt. To the extent permitted under the Regulatory Agreement, certain Property may be removed from the lien and security interest of the Deed of Trust upon written request by the Department.

Upon the failure of the Corporation to perform its obligations as required under the Deed of Trust, the trustee under the Deed of Trust (the “Deed Trustee”), the Trustee (as assignee of the Authority) and the Department, as beneficiaries under the Deed of Trust, may elect to do any or all of the following: (1) make any such payment or do any such act in such manner and to the extent necessary to protect the security of the Deed of Trust; (2) pay, purchase, contest or compromise any claim, debt, lien, charge or encumbrance which may affect or appear to affect the security of the Deed of Trust or the interest of the beneficiary or the rights, powers or duties of the Deed Trustee or the beneficiary; (3) take possession of, and manage, operate or lease, the Property; and (4) declare all sums secured by the Deed of Trust to be immediately due and payable and sell the Facilities to satisfy the lien of the Deed of Trust. If the beneficiary elects to foreclose and sell the Facilities, there are certain applicable statutory time periods which must expire before such proceedings will be effective.

The Regulatory Agreement and the Deed of Trust confer certain powers and rights upon the Department which may limit the discretion of the trustee under the Deed of Trust. So long as the

Department is obligated under the Contract of Insurance, all rights of beneficiaries under the Deed of Trust shall be exercised solely by the Department for the equal and ratable benefit of the Department and the Trustee. All rights and proceeds inuring to the benefit of the Trustee under the Deed of Trust are for the benefit of the holders of the Bonds and Parity Debt. Before the benefits of the insurance are to be paid, the Department may require such trustee to (1) foreclose on the Deed of Trust and convey title to the Facilities to the Department; or (2) assign all security interests of the Bondholders under the Deed of Trust to the Department.

CONTRACT OF INSURANCE

The Contract of Insurance is an agreement among the Department, the Corporation and the Authority whereby the Corporation and the Authority agree to abide by the terms of the Bonds, the Loan Agreement, the Indenture, the Deed of Trust, the Regulatory Agreement and the Contract of Insurance, as the terms of each such agreement apply to each of them, and the Department agrees that the Bonds are eligible for insurance and are thereby insured under the Insurance Law. The Contract of Insurance provides that the insurance may be terminated only (1) upon payment in full of the insurance of the Bonds pursuant to the Insurance Law, (2) upon the payment in full of the principal of and the accrued and unpaid interest on the Bonds (including defeasance of the Bonds) and all other amounts owing to the Holders and the Trustee under the Indenture so that the Bonds are not Outstanding, (3) upon joint written request of the Corporation, the Authority, and all the Holders as provided in the Insurance Law, or (4) if the Deed of Trust is judicially foreclosed as to such property, or the Authority, the Trustee or the Holders of the Bonds non-judicially foreclose or otherwise acquire such property after a Loan Default Event and the Authority and the Trustee do not execute and deliver to the Department a grant deed, trustee deed or quitclaim deed covering such property within 60 days of such foreclosure or other acquisition; or if Bonds are surrendered to the Trustee to be exchanged for debentures and such Bonds are not surrendered to the Department within 60 days of receipt by the Trustee; provided that, if the required conveyance or surrender is restrained, enjoined, or otherwise prevented by any court or governmental body or agency, then the Authority and the Trustee shall have 60 days to make the conveyance or surrender from the date such restraint or injunction is vacated, dismissed or discharged.

APPENDIX E

FORM OF CONTRACT OF INSURANCE

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CONTRACT OF INSURANCE

LOAN NO. 1089

**STATE OF CALIFORNIA
DEPARTMENT OF HEALTH CARE ACCESS AND INFORMATION**

THIS CONTRACT OF INSURANCE, dated as of June 1, 2023, and effective as of June 8, 2023, is by and among ALDERSLY (the “Corporation”), a California nonprofit public benefit corporation, the DEPARTMENT OF HEALTH CARE ACCESS AND INFORMATION OF THE STATE OF CALIFORNIA (the “Department”) and the CALIFORNIA MUNICIPAL FINANCE AUTHORITY, a joint exercise of powers authority organized and existing under the laws of the State of California (the “Authority”);

WHEREAS, the Department is authorized to enter into this Contract of Insurance pursuant to California Health and Safety Code Sections 127045 and 129105;

WHEREAS, the Director of the Department is authorized to enter into this Contract of Insurance on behalf of the Department pursuant to California Health and Safety Code Section 127010 and California Government Code Section 11150, *et seq.*;

WHEREAS, the undersigned Deputy Director of the Department was appointed by the Director of the Department to act on the Director’s behalf pursuant to Delegation Order 21-07, effective October 25, 2021, and is so authorized by California Health and Safety Code Section 7 and California Government Code Sections 7, 1194 and 18572;

WHEREAS, the Corporation is authorized to enter into this Contract of Insurance pursuant to the resolution of the Corporation adopted on January 10, 2023;

WHEREAS, the Authority is authorized to enter into this Contract of Insurance pursuant to the Authority’s resolution adopted on April 7, 2023;

WHEREAS, the Authority desires to issue its Insured Revenue and Refunding Bonds (Aldersly Project), Series 2023A, in the aggregate principal amount of Thirty-One Million Ten Thousand Dollars (\$31,010,000) (the “Series 2023A Bonds”), its Insured Revenue and Refunding Bonds (Aldersly Project), Series 2023B-1 Tax-Exempt Mandatory Paydown Securities (TEMPS – 85sm), in the aggregate principal amount of Seven Million One Hundred Twenty-Five Thousand Dollars (\$7,125,000) (the “Series 2023B-1 Bonds”), its Insured Revenue and Refunding Bonds (Aldersly Project), Series 2023B-2 Tax-Exempt Mandatory Paydown Securities (TEMPS – 65sm), in the aggregate principal amount of Seventeen Million Nine Hundred Fifty Thousand Dollars (\$17,950,000) (the “Series 2023B-2 Bonds” and together with the Series 2023B-1 Bonds, the “Series 2023B Bonds”) and its Insured Revenue and Refunding Bonds (Aldersly Project), Series

2023C Taxable Mandatory Paydown Securities (TMPS), in the aggregate principal amount of Five Million Two Hundred Fifteen Thousand Dollars (\$5,215,000) (the “Series 2023C Bonds” and together with the Series 2023A Bonds and the Series 2023B Bonds, the “Bonds”) pursuant to an Indenture, dated as of June 1, 2023 (the “Indenture”), by and between the Authority and The Bank of New York Mellon Trust Company, N.A., as trustee (the “Trustee”), and to lend the proceeds of the Bonds to the Corporation pursuant to a Loan Agreement, dated as of June 1, 2023 (the “Loan Agreement”), between the Authority and the Corporation, which shall be secured by a deed of trust with Fixture Filing, Security Agreement and Assignment Agreement, dated the effective date hereof (the “Deed of Trust”), on certain of the Corporation’s property and a pledge of the Corporation’s Gross Revenues;

WHEREAS, the Authority and the Corporation desire to obtain the Health Facility Construction Loan Insurance (the “Insurance”) insuring the payment of the Bonds, and the Department is willing to extend the Insurance;

WHEREAS, the Department has reviewed the final form of the Bonds, the Indenture, the Loan Agreement, the Deed of Trust and the American Land Title Association title insurance policy (issued by Chicago Title) insuring the Corporation’s fee title to that property which is subject to the Deed of Trust and naming the Trustee and the Department as beneficiaries, as their interests may appear;

WHEREAS, the Department has approved the Corporation’s application for insurance of the Bonds; and

WHEREAS, in consideration of the Insurance and in order to comply with the requirements of Chapter 1, Part 6, Division 107 of the Health and Safety Code of the State of California, cited as the “California Health Facility Construction Loan Insurance Law,” as now in effect and as it may, from time to time, hereafter be amended or supplemented (the “Insurance Law”), the Corporation, the Department and the Authority have entered into a regulatory agreement, dated as of June 1, 2023, and effective as of June 8, 2023 (the “Regulatory Agreement”), regulating the terms and conditions of the Insurance of the Bonds;

NOW, THEREFORE, in consideration of these presents and for other good and valuable consideration, the receipt of which is hereby acknowledged, the parties hereto mutually agree, and agree for the benefit of the Holders of the Bonds from time to time and the Trustee, as follows:

Section 1. Definitions. Unless the context clearly otherwise requires, all capitalized terms used herein shall have the meanings assigned to such terms in the Regulatory Agreement or in the Indenture.

Section 2. Insurance. The Department hereby declares and agrees that the Bonds are eligible for the Insurance under the Insurance Law and that the payment to the Trustee of the principal of and the accrued and unpaid interest on the insured principal of the Bonds and, such other costs and expenses required by the Insurance Law, are insured. However, payments from the Trustee to the Holders are not insured.

Section 3. Incontestability. Pursuant to Insurance Law Section 129110, such Insurance shall be incontestable from the date of the execution of this Contract of Insurance except

in case of fraud or misrepresentation on the part of the lender (as defined in Insurance Law Section 129010(i)).

Section 4. Approval of Documents. The Department approves the execution and delivery of the Loan Agreement, the Indenture and the Deed of Trust.

Section 5. Completion of the Project. The Corporation shall accomplish the Project with all practical dispatch and in an economical manner.

Section 6. Disbursement of Proceeds. Prior to each disbursement of funds to the Corporation pursuant to the provisions of the Indenture, the Corporation shall apply to the Department by submission of the Department's Form HCAI-CM-134 and supporting documentation, for an authorization of the disbursement of funds to the Corporation pursuant to the Indenture, pursuant to Insurance Law Section 129030. Certification by the Department of the Form HCAI-CM-134 submitted to the Department by the Corporation shall constitute the Department's authorization and consent to the disbursement of funds to the Corporation.

Section 7. Compliance with Law and Documents. The Authority and the Corporation shall, to the extent they are respectively obligated thereunder, comply with the Insurance Law and the terms, conditions and covenants of the Bonds, the Loan Agreement, the Indenture, the Deed of Trust, the Regulatory Agreement and this Contract of Insurance.

Section 8. Premium Payment. The Corporation has paid all premiums required for the Insurance on the effective date hereof. Insurance of the Bonds shall not be cancelled or terminated for any reason, including any failure by the Corporation to comply with the provisions of the Regulatory Agreement or any other agreement or failure by the Trustee to enforce such compliance, except as provided in Section 9 hereof.

Section 9. Termination of Insurance. The Insurance provided herein may be terminated by the Department only upon the occurrence of any of the following:

(a) *Payment of Insurance by the Department.* Upon the payment in full by the Department of the Insurance of the Bonds pursuant to the Insurance Law.

(b) *Payment of Bonds; Defeasance.* Upon the payment in full of the principal of and the accrued and unpaid interest on the Bonds (including defeasance of the Bonds) so that all principal and interest components of the Bonds that have or may come due to the Holders of the Bonds and the Trustee under the Indenture are paid.

(c) *Joint Request.* Upon the joint written request of the Authority, the Corporation and all the Holders as provided in Insurance Law Section 129185.

(d) *Foreclosure or Conveyance; Surrender of Bonds.* If the Deed of Trust is judicially foreclosed as to such property, or the Authority, the Trustee or the Bond Holders non-judicially foreclose or otherwise acquire such property after a Loan Default Event and the Authority and the Trustee do not execute and deliver to the Department a grant deed, trustee deed or quitclaim deed covering such property within sixty (60) days of such foreclosure or other acquisition; or if any Bonds are surrendered to the Trustee to be exchanged for debentures and

such Bonds are not surrendered to the Department within sixty (60) days of receipt by the Trustee; provided that, if the required conveyance or surrender is restrained, enjoined, or otherwise prevented by any court or governmental body or agency, then the Authority and the Trustee shall have sixty (60) days to make the conveyance or surrender from the date such restraint or injunction is vacated, dismissed or discharged.

Section 10. Successors Bound. This Contract of Insurance shall bind, and the benefits shall inure to, the respective parties hereto, their legal representatives, successors in office or interest, and assigns, and shall be directly enforceable by the Trustee. The Department hereby consents to the Authority's assignment of its rights under this Contract of Insurance to the Trustee.

Section 11. Severability of Invalid Provisions. The invalidity of any clause, part, or provision of this Contract of Insurance shall not affect the validity of the remaining portions hereof so long as the Insurance remains in effect.

Section 12. Agreement Represents Complete Agreement; Amendments. Except as otherwise provided herein, this Contract of Insurance represents the entire contract among the parties. This Contract of Insurance may be amended, changed or modified by the written agreement of the Department and the Corporation, provided that such amendment, change or modification shall not materially adversely affect the Holders of the Bonds.

Section 13. Headings and References. The headings or titles of the several sections, subsections and subdivisions hereof shall be solely for convenience of reference and shall not affect the meaning, construction or effect of this Contract of Insurance. All references herein to "sections," "subsections" and other subdivisions are to the corresponding sections, subsections or subdivisions of this Contract of Insurance. The words "herein," "hereof," "hereby," "hereunder" and other words of similar import refer to this Contract of Insurance as a whole and not to any particular section, subsection or subdivision hereof. Words of the masculine gender shall mean and include words of the feminine and neuter genders.

Section 14. Governing Law; Venue. The laws of the State of California shall govern this Contract of Insurance, the interpretation thereof and any right or liability arising hereunder. Any action or proceeding to enforce or interpret any provision of this Contract of Insurance shall be brought, commenced or prosecuted in Sacramento County Superior Court, Sacramento, California.

Section 15. Attorneys' Fees. In the event of any action at law or in equity between the parties hereto to interpret or enforce any of the provisions of this Contract of Insurance, the non-prevailing party or parties to such litigation shall pay to the prevailing party or parties all costs and expenses, including reasonable and documented fees of the Trustee for Bond Holders, and actual and documented attorneys' fees, incurred therein by such prevailing party or parties; and if such prevailing party or parties shall recover judgment in any such action or proceeding, such costs, expenses and attorneys' fees may be included in and as part of such judgment. The prevailing party shall be the party who is entitled to recover its costs of suit, whether or not the suit proceeds to final judgment. A party not entitled to recover its costs of suit shall not recover attorneys' fees.

Section 16. Electronic Signature. Each of the parties hereto agrees that the transaction consisting of this Contract of Insurance may be conducted by electronic means. Each party agrees, and acknowledges that it is such party's intent, that if such party signs this Contract of Insurance using an electronic signature, it is signing, adopting, and accepting this Contract of Insurance and that signing this Contract of Insurance using an electronic signature is the legal equivalent of having placed its handwritten signature on this Contract of Insurance on paper. Each party acknowledges that it is being provided with an electronic or paper copy of this Contract of Insurance in a usable format.

Section 17. Execution in Counterparts. This Contract of Insurance may be executed in any number of counterparts, each of which shall be deemed for all purposes to be an original and all of which shall together constitute but one and the same instrument.

[SIGNATURE PAGE FOLLOWS]

IN WITNESS WHEREOF, the parties hereto have duly executed this Contract of Insurance as of the day and year first above written.

ALDERSLY

By: _____
Authorized Representative

**DEPARTMENT OF HEALTH CARE
ACCESS AND INFORMATION**

By: Elizabeth A. Landsberg, Director

By: _____
Jeremy P. Marion
Deputy Director

**CALIFORNIA MUNICIPAL FINANCE
AUTHORITY**

By: _____
Authorized Signatory

APPENDIX F

FORM OF CONTINUING DISCLOSURE AGREEMENT

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CONTINUING DISCLOSURE AGREEMENT

This Continuing Disclosure Agreement (the “*Disclosure Agreement*”) is executed and delivered by Aldersly, a nonprofit public benefit corporation incorporated under the laws of the State of California (the “*Borrower*”), as of June 8, 2023. The Borrower covenants and agrees as follows:

Section 1. Definitions. Any capitalized terms used herein but not defined herein shall have the meanings assigned to them in the hereinafter described Regulatory Agreement, and the following capitalized terms shall have the following meanings:

“*Annual Budget*” shall mean the operating budget of the Borrower in the form required by Section XXIII of the Regulatory Agreement.

“*Annual Report*” shall mean any Annual Report provided by the Borrower pursuant to, and as described in, Sections 3 and 4 of this Disclosure Agreement.

“*Authority*” shall mean the California Municipal Finance Authority, a public instrumentality of the State of California.

“*Bondholders*” shall mean the owners and beneficial owners from time to time of the Series 2023 Bonds.

“*Borrower*” shall mean Aldersly, a nonprofit public benefit corporation incorporated under the laws of the State of California.

“*Current Ratio*” shall have the meaning set forth in the Regulatory Agreement (as amended or waived by the Department).

“*Days Cash on Hand*” shall have the meaning set forth in the Regulatory Agreement (as amended or waived by the Department).

“*Debt Service Coverage Ratio*” shall have the meaning set forth in the Regulatory Agreement (as amended or waived by the Department).

“*Department*” shall mean the Department of Health Care Access and Information of the State of California.

“*Disclosure Agreement*” shall mean this agreement.

“*Dissemination Agent*” shall mean the Borrower or any Dissemination Agent designated in writing by the Borrower and which has filed with the Borrower a written acceptance of such designation.

“*EMMA*” shall mean the Electronic Municipal Market Access system of the MSRB accessible at <http://emma.msrb.org> or such other information repository as may be determined by the SEC from time to time.

“*Financial Obligation*” means a (a) debt obligation, (b) derivative instrument entered into in connection with, or pledged as security or a source of payment for, an existing or planned debt obligation, or (c) guarantee of a debt obligation or a derivative instrument. The term Financial Obligation does not include municipal securities as to which a final official statement has been provided to the MSRB consistent with the Rule.

“*Indenture*” shall mean the Indenture dated as of June 1, 2023, between the Authority and the Trustee, pursuant to which the Series 2023 Bonds are issued.

“*Listed Events*” shall mean any of the events listed in Section 5(a) of this Disclosure Agreement.

“*Loan Agreement*” shall mean the Loan Agreement dated as of June 1, 2023, between the Borrower and the Authority relating to the Series 2023 Bonds.

“*MSRB*” shall mean the Municipal Securities Rulemaking Board or any successor entity as described in the Rule.

“*Obligated Person*” shall have the meaning set forth in the Rule.

“*Offering Document*” shall mean the Official Statement dated May 24, 2023 describing the Series 2023 Bonds.

“*Quarterly Report*” shall mean any quarterly report provided by the Borrower pursuant to Sections 3 and 4 of this Disclosure Agreement.

“*Regulatory Agreement*” shall mean the Regulatory Agreement, dated as of June 1, 2023, among the Borrower, the Authority and the Department.

“*Rule*” shall mean Rule 15c2-12(b)(5) adopted by the SEC under the Securities Exchange Act of 1934.

“*SEC*” shall mean the United States Securities and Exchange Commission.

“*Series 2023 Bonds*” means, collectively, the Series 2023A Bonds, the Series 2023B Bonds and the Series 2023C Bonds.

“*Series 2023A Bonds*” means the Authority’s Insured Revenue and Refunding Bonds (Aldersly Project), Series 2023A.

“*Series 2023B Bonds*” means, collectively, the Series 2023B-1 Bonds and the Series 2023B-2 Bonds.

“*Series 2023B-1 Bonds*” means the Authority’s Insured Revenue and Refunding Bonds (Aldersly Project), Series 2023B-1 Tax Exempt Mandatory Paydown Securities (TEMPS-85).

“*Series 2023B-2 Bonds*” means the Authority’s Insured Revenue and Refunding Bonds (Aldersly Project), Series 2023B-2 Tax Exempt Mandatory Paydown Securities (TEMPS-65).

“*Series 2023C Bonds*” means the Authority’s Insured Revenue and Refunding Bonds (Aldersly Project), Series 2023C Taxable Mandatory Paydown Securities (TMPS).

“*Trustee*” shall mean The Bank of New York Mellon Trust Company, N.A., as trustee.

“*Underwriter*” shall mean B.C. Ziegler and Company, or any additional purchaser of the Series 2023 Bonds required to comply with the Rule in connection with an offering of the Series 2023 Bonds.

Section 2. Purpose of the Disclosure Agreement. The purpose of this Disclosure Agreement is to assist the Underwriter in complying with the Rule in connection with the Series 2023 Bonds. The Borrower represents that the Borrower is the only Obligated Person with respect to the Series 2023 Bonds at the time the Series 2023 Bonds are delivered to the Underwriter.

Section 3. Provision of Annual Reports, Annual Budgets and Quarterly Reports.
(a) The Borrower shall, or shall cause the Dissemination Agent to, not later than 120 days after the completion of each fiscal year of the Borrower (beginning with the fiscal year ending September 30, 2023), provide or cause to be provided to the MSRB (in an electronic format by transmission to EMMA and accompanied by identifying information as prescribed by the MSRB) an Annual Report that is consistent with the requirements of Section 4(a) of this Disclosure Agreement.

(b) The Borrower shall, or shall cause the Dissemination Agent to, not later than 45 days after the completion of each fiscal quarter of the Borrower (beginning with the fiscal quarter ending June 30, 2023), provide or cause to be provided to the MSRB (in an electronic format by transmission to EMMA and accompanied by identifying information as prescribed by the MSRB) a Quarterly Report that is consistent with the requirements of Section 4(b) of this Disclosure Agreement.

(c) The Borrower shall, or shall cause the Dissemination Agent to, not later than 30 days after the approval of the Annual Budget for the ensuing fiscal year by the governing board of the Borrower, provide or cause to be provided to the MSRB (in an electronic format by transmission to EMMA and accompanied by identifying information as prescribed by the MSRB), a copy of the Annual Budget for the ensuing fiscal year.

(d) In each case the Annual Report and the Quarterly Report may be submitted as a single document or as a package comprising separate documents. Any or all of the items constituting the Annual Report or the Quarterly Report may be incorporated by reference from other documents that have been submitted to the MSRB or the SEC. If the document

incorporated by reference is a final official statement, it must be available from the MSRB. The Borrower shall clearly identify each such other document so incorporated by reference.

(e) The Dissemination Agent shall (if the Dissemination Agent is other than the Borrower) file a report with the Borrower certifying that the Annual Report, the Quarterly Report or the Annual Budget, as applicable, has been provided pursuant to this Disclosure Agreement, stating the date it was provided to the MSRB.

(f) With respect to each Annual Report, Quarterly Report or Annual Budget required to be submitted to the MSRB in this Section 3, the Borrower agrees to deliver such information or, alternatively, a notice of the Borrower's intent to act as its own Dissemination Agent with respect to such information, to the Dissemination Agent at least five (5) Business Days prior to the date required for dissemination to the MSRB. If the Dissemination Agent does not receive an Annual Report, Quarterly Report or Annual Budget or a notice of the Borrower's intent to act as Dissemination Agent with respect to such information on or before such required dissemination date, then the Dissemination Agent shall file with the MSRB a Notice of Failure to file. If the Borrower is unable to provide to the MSRB an Annual Report, Quarterly Report or Annual Budget by the dates required in this Section 3 and the Dissemination Agent has not filed with the MSRB a related Notice of Failure to file, the Borrower shall send or cause to be sent a notice of such fact to the MSRB (in an electronic format by transmission to EMMA and accompanied by identifying information as prescribed by the MSRB).

Section 4. Content of Annual Reports and Quarterly Reports. (a) The Annual Report to be delivered under Section 3(a) shall provide the following financial and operating data:

(1) Audited financial statements of the Borrower for the fiscal year immediately preceding the due date of the Annual Report. Such financial statements shall be prepared in accordance with generally accepted accounting principles and shall be audited by an independent certified public accountant, and shall include a statement of financial position as of the end of such fiscal year, and a statement of changes in net assets (deficit), a statement of operations, and a statement of cash flows for such fiscal year, showing in each case in comparative form the financial figures for the preceding fiscal year, prepared in accordance with generally accepted accounting principles; *provided, however*, that if such audited financial statements are not available by the deadline for filing the Annual Report, they shall be provided when and if available, and unaudited financial statements shall be included in the Annual Report.

(2) To the extent not otherwise provided, an update of the financial and operating data included in the tables and charts under the headings "RESIDENCY AGREEMENTS – Fee Structure" and "HISTORICAL UTILIZATION" contained in Appendix A to the Official Statement.

(3) (A) Borrower's calculations of the Borrower's Debt Service Coverage Ratio for such fiscal year, of the Borrower's Current Ratio as of the last day of such fiscal year and of the Borrower's Days Cash on Hand as of the last day of such fiscal year, and

(B) a statement from the independent certified public accountant that audited the financial statements described in subparagraph (1) above that such independent certified public accountant has no knowledge of any default under the Regulatory Agreement or the Loan Agreement, insofar as such default relates to accounting matters, or if such independent certified public accountant shall have obtained knowledge of any such default or defaults, they shall disclose in such statement the default or defaults and the nature thereof, insofar as such default or defaults relate to accounting matters.

(b) The Quarterly Report to be delivered under Section 3(b) shall contain the following financial and operating data:

(1) Management-prepared financial statements, including a statement of operations and statement of cash flows of the Borrower during such period and a statement of financial position as of the end of each such fiscal quarter, all prepared in reasonable detail and certified, subject to year-end adjustment, by an officer of the Borrower (including, if necessary, a management-prepared discussion and analysis regarding the results of operations for such fiscal quarter).

(2) A calculation of the Current Ratio, the Days Cash on Hand and the Debt Service Coverage Ratio for each fiscal quarter.

(3) An Officer's Certificate of the Borrower stating that the Borrower is in compliance with all of the terms, provisions and conditions of the Regulatory Agreement and the Loan Agreement or, if not, specifying all such defaults and the nature thereof.

Section 5. Reporting of Listed Events. (a) This Section 5 shall govern the giving of notices of the occurrence of any of the following events with respect to the Series 2023 Bonds:

- (1) principal and interest payment delinquencies;
- (2) non-payment related defaults, if material;
- (3) unscheduled draws on debt service reserves reflecting financial difficulties;
- (4) unscheduled draws on credit enhancements reflecting financial difficulties;
- (5) substitution of credit or liquidity providers, or their failure to perform;
- (6) adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability, Notices of Proposed Issue (IRS Form 5701-TEB) or other material notices or determinations with respect to the tax status of the Series 2023A Bonds or the Series 2023B Bonds, or other material events affecting the tax status of the Series 2023A Bonds or the Series 2023B Bonds;

- (7) modifications to rights of security holders, if material;
- (8) bond calls, if material, and tender offers (except for mandatory scheduled redemptions not otherwise contingent upon the occurrence of an event);
- (9) defeasances;
- (10) release, substitution, or sale of property securing repayment of the Series 2023 Bonds, if material;
- (11) rating changes;
- (12) bankruptcy, insolvency, receivership or similar event of the Borrower;
- (13) the consummation of a merger, consolidation, or acquisition involving the Borrower or the sale of all or substantially all of the assets of the Borrower, other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms, if material;
- (14) appointment of a successor or additional trustee or the change of name of a trustee, if material;
- (15) the incurrence of a Financial Obligation of the Borrower, if material, or an agreement to covenants, events of default, remedies, priority rights, or other similar terms of a Financial Obligation of the Borrower (including debt service schedules), any of which affect security holders, if material; and
- (16) a default, event of acceleration, termination event, modification of terms, or other similar events under the terms of a Financial Obligation of the Borrower, any of which reflect financial difficulties.

(b) On the occurrence of a Listed Event, the Borrower shall, or shall cause the Dissemination Agent to, promptly file a notice of such occurrence with the MSRB (in an electronic format by transmission to EMMA and accompanied by identifying information as prescribed by the MSRB). Such notice shall be filed within 10 Business Days after the occurrence of the Listed Event. If the Borrower determines that it failed to give notice as required by this Section, it shall promptly file a notice of such occurrence in the same manner.

Section 6. Termination of Reporting Obligation. The Borrower's obligations under this Disclosure Agreement with respect to the Series 2023 Bonds shall terminate upon the defeasance, prior redemption or payment in full of all the Series 2023 Bonds.

Section 7. Dissemination Agent. From time to time, the Borrower may appoint or engage a Dissemination Agent to assist the Borrower in carrying out its obligations under this Disclosure Agreement, and may discharge any such agent, with or without appointing a

successor Dissemination Agent. If at any time there is not any other designated Dissemination Agent, the Borrower shall be the Dissemination Agent. The initial Dissemination Agent shall be the Borrower. The sole remedy of any party against the Dissemination Agent shall be nonmonetary and specific performance. The Dissemination Agent shall have only such duties as are specifically set forth in this Disclosure Agreement. The Dissemination Agent's obligation to deliver the information at the times and with the contents described herein shall be limited to the extent the Borrower has provided such information to the Dissemination Agent as required by this Disclosure Agreement. The Dissemination Agent shall not be responsible for the form or content of any Annual Report, Quarterly Report, Annual Budget, notice of Listed Event, or other document furnished to the Dissemination Agent by the Borrower, nor shall it have any duty or obligation to review or verify any information, disclosures or notices provided to it by the Borrower. The Dissemination Agent shall have no responsibility for the Borrower's failure to report to the Dissemination Agent a notice of Listed Event or a duty to determine the materiality thereof. The Dissemination Agent shall have no duty to determine, or liability for failing to determine, whether the Borrower has complied with this Dissemination Agreement. The Dissemination Agent shall not be deemed to be acting in any fiduciary capacity for the Borrower, the Authority, any Bondholder, or any other party. The Dissemination Agent may conclusively rely upon certifications of the Borrower at all times.

THE BORROWER AGREES TO INDEMNIFY AND SAVE THE DISSEMINATION AGENT AND ITS RESPECTIVE OFFICERS, DIRECTORS, EMPLOYEES AND AGENTS, HARMLESS AGAINST ANY LOSS, EXPENSE AND LIABILITIES WHICH THEY MAY INCUR ARISING OUT OF OR IN THE EXERCISE OR PERFORMANCE OF THEIR POWERS AND DUTIES HEREUNDER, INCLUDING THE REASONABLE COSTS AND EXPENSES (INCLUDING REASONABLE ATTORNEYS' FEES) OF DEFENDING AGAINST ANY CLAIM OF LIABILITY, BUT EXCLUDING LIABILITIES DUE TO THE DISSEMINATION AGENT'S, OR ITS OFFICERS', DIRECTORS', EMPLOYEES', OR AGENTS', NEGLIGENCE OR WILLFUL MISCONDUCT. The obligations of the Borrower under this paragraph of Section 7 shall survive resignation or removal of the Dissemination Agent and defeasance, redemption or payment of the Series 2023 Bonds.

The Dissemination Agent shall receive reasonable compensation for its services provided hereunder. The Dissemination Agent may resign at any time by providing at least 60 days' written notice to the Borrower.

Section 8. Amendment; Waiver; Modification. The Borrower may amend or waive any provision of this Disclosure Agreement, if such amendment or waiver is supported by an opinion of counsel expert in federal securities laws, to the effect that such amendment or waiver would not, in and of itself, cause the undertakings herein to violate the Rule if such amendment or waiver had been effective on the date hereof but taking into account any subsequent change in or official interpretation of the Rule or adjudication of the Rule by a final decision of a court of competent jurisdiction. The Borrower may modify from time to time the specific types of information provided in an Annual Report or Quarterly Report to the extent necessary as a result of a change in legal requirements, change in law or change in the nature of the Borrower or its businesses, *provided* that any such modification will be done in a manner consistent with the Rule and will not, in the opinion of Bond Counsel or another party unaffiliated with the

Authority or the Borrower, materially impair the interests of the Bondholders. The Borrower shall provide any such amendment, waiver or modification to the Dissemination Agent. The Dissemination Agent may rely conclusively on any opinion delivered pursuant to the provisions of this Section 8, and shall have no duty to determine, or liability for failing to determine, whether any amendment, waiver or modification pursuant to this Section 8 is consistent with guidance provided by the SEC with regard to permitted amendments, or the manner of effecting such amendments, under the Rule.

Section 9. Additional Information. The Borrower may from time to time choose to disseminate other information, using the means of dissemination set forth in this Disclosure Agreement or any other means of communication, or include other information in any Annual Report, Quarterly Report or notice of occurrence of a Listed Event, in addition to that which is required by this Disclosure Agreement. If the Borrower chooses to include any information in any Annual Report, Quarterly Report or notice of occurrence of a Listed Event in addition to that which is specifically required by this Disclosure Agreement, such Member shall have no obligation under this Disclosure Agreement to update such information or include it in any future Annual Report, Quarterly Report or notice of occurrence of a Listed Event.

Section 10. Default. A default under this Disclosure Agreement shall not be deemed an Event of Default under the Indenture, the Regulatory Agreement or the Loan Agreement, and the sole remedy of Bondholders under this Disclosure Agreement in the event of any failure of the Borrower to comply with this Disclosure Agreement shall be an action to compel performance.

Section 11. Beneficiaries. This Disclosure Agreement shall inure solely to the benefit of the Borrower, the Underwriter and the Bondholders, and shall create no rights in any other person or entity.

Section 12. Responsible Officer. The Borrower's Executive Director shall be the officer, agency, or agent of the Borrower responsible for providing Annual Reports and Quarterly Reports and giving notice of Listed Events, to the extent required hereunder, and any inquiries regarding this Disclosure Agreement should be directed to the Borrower, to the attention of its Executive Director.

Section 13. Future Changes to the Rule. As set forth in Section 2 of this Disclosure Agreement, the Borrower has executed and delivered this Disclosure Agreement solely and only to assist the Underwriter in complying with the requirements of the Rule. Therefore, notwithstanding anything in this Disclosure Agreement to the contrary, in the event the SEC, the MSRB or other regulatory authority shall approve or require changes to the requirements of the Rule, the Borrower shall be permitted, but shall not be required, to unilaterally modify the covenants in this Disclosure Agreement, without complying with the requirements of Section 8 of this Disclosure Agreement, in order to comply with, or conform to, such changes. In the event of any such modification of this Disclosure Agreement, the Borrower shall file a copy of this Disclosure Agreement, as revised, on EMMA in a timely manner.

IN WITNESS WHEREOF, the Borrower caused this Disclosure Agreement to be executed by its duly authorized officers as of the date first set forth above.

ALDERSLY

By: _____
President

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APPENDIX G

FORM OF OPINION OF BOND COUNSEL

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[Closing Date]

California Municipal Finance Authority
Carlsbad, California

California Municipal Finance Authority
Insured Revenue and Refunding Bonds
(Aldersly Project)

\$31,010,000	\$7,125,000	\$17,950,000	\$5,215,000
Series 2023A	Series 2023B-1	Series 2023B-2	Series 2023C
Fixed Rate	Tax Exempt	Tax Exempt	Taxable Mandatory
	Mandatory Paydown	Mandatory Paydown	Paydown Securities
	Securities	Securities	(TMPS)
	(TEMPS – 85 SM)	(TEMPS-65 SM)	
(Final Opinion)			

Ladies and Gentlemen:

We have acted as bond counsel to the California Municipal Finance Authority (the “Authority”) in connection with issuance of (1) \$31,010,000 aggregate principal amount of California Municipal Finance Authority Insured Revenue and Refunding Bonds (Aldersly Project), Series 2023A (the “Series 2023A Bonds”), (2) \$7,125,000 aggregate principal amount of California Municipal Finance Authority Insured Revenue and Refunding Bonds (Aldersly Project), Series 2023B-1 Tax Exempt Mandatory Paydown Securities (TEMPS – 85SM) (the “Series 2023B-1 Bonds”), (3) \$17,950,000 aggregate principal amount of California Municipal Finance Authority Insured Revenue and Refunding Bonds (Aldersly Project), Series 2023B-2 Tax Exempt Mandatory Paydown Securities (TEMPS – 65SM) (the “Series 2023B-2 Bonds” and, together with the Series 2023A Bonds and the Series 2023B-1 Bonds, the “Tax-Exempt Bonds”) and (4) \$5,215,000 aggregate principal amount of California Municipal Finance Authority Insured Revenue and Refunding Bonds (Aldersly Project), Series 2023C Taxable Mandatory Paydown Securities (TMPS) (the “Series 2023C Bonds” and, together with the Tax-Exempt Bonds, the “Bonds”) issued pursuant to an indenture, dated as of June 1, 2023 (the “Indenture”), between the Authority and The Bank of New York Mellon Trust Company, N.A., as trustee (the “Trustee”). The Indenture provides that the Bonds are issued for the stated purpose of making a loan of the proceeds thereof to Aldersly (the “Corporation”), a California nonprofit public benefit corporation, pursuant to a loan agreement, dated as of June 1, 2023 (the “Loan Agreement”), between the Authority and the Corporation. Capitalized terms not otherwise defined herein shall have the meanings ascribed thereto in the Indenture.

In such connection, we have reviewed the Indenture, the Loan Agreement, the Tax Agreement relating to the Tax-Exempt Bonds, opinions of counsel to the Authority and the Corporation, certificates of the Authority, the Trustee, the Corporation and others, and such other documents, opinions and matters to the extent we deemed necessary to render the opinions set forth herein.

We have relied on the opinion of Hanson Bridgett LLP, counsel to the Corporation, regarding, among other matters, the current qualification of the Corporation as an organization described in Section 501(c)(3) of the Internal Revenue Code of 1986 (the "Code"). We note that the opinion is subject to a number of qualifications and limitations. We have also relied upon representations of the Corporation regarding the use of the facilities financed or refinanced with the proceeds of the Bonds in activities that are not considered unrelated trade or business activities of the Corporation within the meaning of Section 513 of the Code. We note that the opinion of counsel to the Corporation does not address Section 513 of the Code. Failure of the Corporation to be organized and operated in accordance with the Internal Revenue Service's requirements for the maintenance of its status as an organization described in Section 501(c)(3) of the Code, or use of the bond-financed or refinanced facilities in activities that are considered unrelated trade or business activities of the Corporation within the meaning of Section 513 of the Code, may result in interest on the Bonds being included in gross income for federal income tax purposes, possibly from the date of issuance of the Bonds.

The opinions expressed herein are based on an analysis of existing laws, regulations, rulings and court decisions and cover certain matters not directly addressed by such authorities. Such opinions may be affected by actions taken or omitted or events occurring after original delivery of the Bonds on the date hereof. We have not undertaken to determine, or to inform any person, whether any such actions are taken or omitted or events do occur or any other matters come to our attention after original delivery of the Bonds on the date hereof. Accordingly, this letter speaks only as of its date and is not intended to, and may not, be relied upon or otherwise used in connection with any such actions, events or matters. Our engagement with respect to the Bonds has concluded with their issuance, and we disclaim any obligation to update this letter. We have assumed the genuineness of all documents and signatures provided to us and the due and legal execution and delivery thereof by, and validity against, any parties other than the Authority. We have assumed, without undertaking to verify, the accuracy of the factual matters represented, warranted or certified in the documents, and of the legal conclusions contained in the opinions, referred to in the second and third paragraphs hereof. Furthermore, we have assumed compliance with all covenants and agreements contained in the Indenture, the Loan Agreement and the Tax Agreement, relating to the Tax-Exempt Bonds, including (without limitation) covenants and agreements compliance with which is necessary to assure that future actions, omissions or events will not cause interest on the Tax-Exempt Bonds to be included in gross income for federal income tax purposes. We call attention to the fact that the rights and obligations under the Bonds, the Indenture, the Loan Agreement and the Tax Agreement relating to the Tax-Exempt Bonds and their enforceability may be subject to bankruptcy, insolvency, receivership, reorganization, arrangement, fraudulent conveyance, moratorium and other laws relating to or affecting creditors'

rights, to the application of equitable principles, to the exercise of judicial discretion in appropriate cases and to the limitations on legal remedies against governmental entities such as the Authority in the State of California. We express no opinion with respect to any indemnification, contribution, liquidated damages, penalty (including any remedy deemed to constitute or to have the effect of a penalty), right of set-off, arbitration, judicial reference, choice of law, choice of forum, choice of venue, non-exclusivity of remedies, waiver or severability provisions contained in the foregoing documents, nor do we express any opinion with respect to the state or quality of title to or interest in any of the real or personal property described in or as subject to the lien of the Indenture or the Loan Agreement or the accuracy or sufficiency of the description contained therein of, or the remedies available to enforce liens on, any such property. Our services did not include financial or other non-legal advice. Finally, we undertake no responsibility for the accuracy, completeness or fairness of the Official Statement or other offering material relating to the Bonds and express no opinion or view with respect thereto.

Based on and subject to the foregoing, and in reliance thereon, as of the date hereof, we are of the following opinions:

1. The Bonds constitute the valid and binding limited obligations of the Authority.
2. The Indenture has been duly executed and delivered by, and constitutes the valid and binding obligation of, the Authority. The Indenture creates a valid pledge, to secure the payment of the principal of and interest on the Bonds, of the Revenues and the other assets pledged therefor under the Indenture, subject to the provisions of the Indenture permitting the application thereof for the purposes and on the terms and conditions set forth in the Indenture.
3. The Loan Agreement has been duly executed and delivered by, and constitutes a valid and binding agreement of, the Authority.
4. Interest on the Tax-Exempt Bonds is excluded from gross income for federal income tax purposes under Section 103 of the Code. Interest on the Tax-Exempt Bonds is not a specific preference item for purposes of the federal individual alternative minimum tax. We observe that, for tax years beginning after December 31, 2022, interest on the Tax-Exempt Bonds included in adjusted financial statement income of certain corporations is not excluded from the federal corporate alternative minimum tax. Interest on all of the Bonds is exempt from State of California personal income taxes. We express no opinion regarding other tax consequences related to the ownership or disposition of, or the amount, accrual or receipt of interest on, the Bonds.

Faithfully yours,

ORRICK, HERRINGTON & SUTCLIFFE LLP

per

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APPENDIX H

BOOK-ENTRY SYSTEM

DTC will act as securities depository for the Bonds. The Bonds will be issued as fully-registered bonds registered in the name of Cede & Co. (DTC's partnership nominee) or such other name as may be requested by an authorized representative of DTC. The ownership of one fully-registered Bond for each maturity, each in the aggregate principal amount of such maturity, will be registered in the name of Cede & Co.

DTC, the world's largest securities depository, is a limited-purpose trust company organized under the New York Banking Law, a "banking organization" within the meaning of the New York Banking Law, a member of the Federal Reserve System, a "clearing corporation" within the meaning of the New York Uniform Commercial Code, and a "clearing agency" registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.5 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments from over 100 countries that DTC's participants ("*Direct Participants*") deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges between Direct Participants' accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation ("*DTCC*"). DTCC is the holding company for DTC, National Securities Clearing Corporation and Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly ("*Indirect Participants*"). DTC has a Standard & Poor's rating of AA+. The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com and www.dtc.org.

Purchases of the Bonds under the DTC system must be made by or through Direct Participants, which will receive a credit for the Bonds on DTC's records. The ownership interest of each actual purchaser of each Bond ("*Beneficial Owner*") is in turn to be recorded on the Direct and Indirect Participants' records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Bonds are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive certificates representing their ownership interests in the Bonds, except in the event that use of the book-entry system for the Bonds is discontinued.

To facilitate subsequent transfers, all Bonds deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, Cede & Co., or such other name as may be requested by an authorized representative of DTC. The deposit of Bonds with DTC and their registration in the name of Cede & Co. or such other DTC nominee do not affect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the Bonds; DTC's records reflect only the identity of the Direct Participants to whose accounts such Bonds are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. Beneficial Owners of Bonds may wish to take certain steps to augment the transmission to them of notices of significant events with respect to the Bonds, such as redemptions, tenders, defaults, and proposed amendments to bond documents. For example, Beneficial Owners of Bonds may wish to ascertain that the nominee holding the Bonds for their benefit has agreed to obtain and transmit notices to Beneficial Owners. In the alternative, Beneficial Owners may wish to provide their names and addresses to the registrar and request that copies of notices be provided directly to them. Redemption notices shall be sent to DTC. If less than all of the Bonds are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant to be redeemed.

Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to the Bonds unless authorized by a Direct Participant in accordance with DTC's Procedures. Under its usual procedures, DTC mails an "Omnibus Proxy" to the Authority as soon as possible after the Record Date. The "Omnibus Proxy" assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts the Bonds are credited on the Record Date (identified in a listing attached to the "*Omnibus Proxy*").

Principal and interest payments on the Bonds will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts upon DTC's receipt of funds and corresponding detail information from the Trustee or the Authority, on payable date in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as in the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participant and not of DTC, the Trustee or the Authority, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of principal and interest to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of the Trustee or the Authority. Disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of Direct and Indirect Participants.

DTC may discontinue providing its services as depository with respect to the Bonds at any time by giving reasonable notice to the Authority and the Trustee. Under such circumstances, in the event that a successor securities depository is not obtained, Bond certificates are required to be printed and delivered.

THE INFORMATION PROVIDED ABOVE HAS BEEN PROVIDED BY DTC. NO REPRESENTATION IS MADE BY THE AUTHORITY, THE CORPORATION OR THE UNDERWRITER AS TO THE ACCURACY OR ADEQUACY OF SUCH INFORMATION PROVIDED BY DTC OR AS TO THE ABSENCE OF MATERIAL ADVERSE CHANGES IN SUCH INFORMATION SUBSEQUENT TO THE DATE HEREOF.

For so long as the Bonds are registered in the name of DTC or its nominee, Cede & Co., the Authority and the Trustee will recognize only DTC or its nominee, Cede & Co., as the registered owner of the Bonds for all purposes, including payments, notices and voting.

Under the Indenture, payments made by the Trustee to DTC or its nominee will satisfy the Authority's obligations under the Indenture and the Corporation's obligations under the Loan Agreement, to the extent of the payments so made.

None of the Authority, the Underwriter, the Corporation or the Trustee will have any responsibility or obligation with respect to (i) the accuracy of the records of DTC, its nominee or any Direct Participant or Indirect Participant with respect to any beneficial ownership interest in any Bond, (ii) the delivery to any Direct Participant or Indirect Participant or any other Person, other than an owner, as shown in the Bond Register, of any notice with respect to any Bond including, without limitation, any notice of redemption, tender, purchase or any event which would or could give rise to a tender or purchase right or option with respect to any Bond, (iii) the payment of any Direct Participant or Indirect Participant or any other Person, other than an owner, as shown in the Bond Register, of any amount with respect to the principal of, premium, if any, or interest on, or the purchase price of, any Bond or (iv) any consent given by DTC as registered owner.

Prior to any discontinuation of the book-entry only system described above, the Authority and the Trustee may treat DTC as, and deem DTC to be, the absolute owner of the Bonds for all purposes whatsoever, including, without limitation, (i) the payment of principal of, premium, if any, and interest on the Bonds, (ii) giving notices of redemption and other matters with respect to the Bonds, (iii) registering transfers with respect to the Bonds and (iv) the selection of Bonds for redemption.

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